

Vistry Group VTY

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by

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2023 2024

Price:	777.00	EPS	1.1	1.46
Shares Out. (in M):	346	P/E	7.05	5.3
Market Cap (in \$M):	2,690	P/FCF	6.9	2.6
Net Debt (in \$M):	0	EBIT	425	590
TEV (in \$M):	2,690	TEV/EBIT	6.3	4.55

Description

Vistry Group (VTY - London)

NVR with a Posh British Accent

1) Introduction

The UK housing market is egregiously undersupplied to the tune of millions of homes. However, due to regulatory impediments, high capital demands, cyclicalities, and now elevated interest rates, new construction has continually failed to rectify the imbalance. As a result, there is wide support across all levels of the UK government for financial aid to potential homeowners and for initiatives to increase home construction.

Against this backdrop, UK homebuilder Vistry Group (VTY.L) is transitioning to a pure-play “partnerships” business model that combines the financial and land resources of local authorities/housing associations, the central government, and even financial institutions with those of the homebuilder to create a capital-light home construction enterprise at the center of a virtuous cycle for all stakeholders. Unlike traditional homebuilders, “partnerships”-model builders pre-sell over 50% of their homes at affordable prices mostly to cycle-agnostic local councils/housing associations, shortening cash collection times and considerably reducing the business’s cyclicalities and interest rate sensitivity. Vistry’s shift from a hybrid traditional/partnerships housebuilder to a pure-play “partnerships” business will not only make it the UK’s largest affordable housing manufacturer but will also drastically improve its revenue stability and visibility, return on capital, and earnings potential.

The best analogy, valuation comparable, and example of expected returns for Vistry should be US-listed NVR. For those unfamiliar with NVR, please see the great Norbert Lou’s (charlie479) first VIC post, or simply look up its price chart and number of shares outstanding since inception. The fact that Lou’s post from 2001 is still relevant to NVR and VTY today speaks not only to the durability of the capital-light housebuilding model and its return profile, but also to the genius of his write-up itself. If it wouldn’t offend our fellow VIC members, we’d almost be inclined to write a Vistry VIC thesis by citing Lou’s NVR post and adding “but VTY is better and cheaper.” In fact, we know Mr. Lou was a shareholder in Countryside Partnerships (CSP.L), which was acquired by Vistry in late 2022. Perhaps, he’s still involved?

To add to the similarities between the two companies, a former NVR board member was added to Vistry’s board earlier this year, courtesy of large US shareholders who are directing VTY to follow NVR’s value-creation roadmap.

At present, Vistry is valued on traditional homebuilding metrics (TBV) by market participants who remain anchored to historical operations and perceptions, while simultaneously failing to recognize its shift to a pure-play, capital-light partnerships model that should be valued on earnings and/or free cash flow. Even so, the company trades on single-digit multiples of earnings and free cash flow.

In addition to a compelling valuation for a fantastic business, Vistry, through its transformation to a pure-play partnerships model, is freeing up over £1B in cash by repurposing its traditional Housebuilding segment. This cash should be returned to shareholders via buybacks over the next three years. (That’s ~40% of its market cap, or over £300M per annum for ~3 years.) Moreover, as a pure-play partnerships-model business following an NVR playbook, Vistry should be capable of returning even greater amounts of capital to shareholders each year for almost a decade.

2) Investment Thesis

We recommend investing in VTY as the true earnings power of the business is being obscured during its transition phase, and any near-term volatility in the traditional homebuilding environment (which the company is transitioning away from) should be mitigated by considerable share buybacks.

At Vistry’s current price of ~777p/share, the market values it at ~3.25x operating earnings, assuming management’s guidance of ~22K home completions per annum generating £800M operating income at a 12% operating margin. Given the visibility of the Partnerships business and the well-managed transformation already underway, we believe management’s guidance is easily achievable within its 2-3-year time frame.

The current market mispricing is so acute that our fair value estimate for a worst-case scenario, with no growth or capital returns valued on an anemic sub-5x EBIT, still comes to 2,300p/share, a ~24% IRR over five years. With a more reasonable estimation of the business and its trajectory, we see a Base Case of 48,500p/share, roughly 6x the current price, for a ~44% IRR over five years. However, should

Vistry follow the same path as NVR, shareholder returns would be well above even those of our impressive Base Case scenario.

There are several reasons for the current mispricing:

- a. **Unlike traditional homebuilding, the Partnerships business is cycle-agnostic and largely immune to interest rate changes.** Homebuilding in the UK is quite like homebuilding in the US: Land is purchased, building permits are approved, homes are built, and then those homes are sold to homeowners. This process is capital-intensive, with considerable debt financing for each participant, and thus highly sensitive to interest rates.

By contrast, in the partnerships business model, the homebuilder literally partners with housing authorities and local governments who donate land for regeneration purposes, minimizing the builder's initial capital outlay and providing a large land bank without the risks associated with typical land speculation. The builder then builds a mix of affordable housing, rental units, and private homes on the donated land, incurring costs only for project management, materials, and labor. Over 50% of the homes it builds are affordable homes pre-sold at a lower margin to housing authorities, shortening cash collection cycles and increasing visibility on forward earnings while reducing its exposure to the cyclicity of open-market home demand. The remainder of the rental units or homes are sold either to REITs for rental income or to private homeowners for a slightly higher profit.

Ultimately, less than 25% of Partnership home sales are vulnerable to housing market fluctuations and cycles. For example, Countryside Partnerships, now the crown jewel of Vistry, actually *grew* earnings from 2007 to 2010 despite the Great Financial Crisis, and from 2019 to 2022 despite the COVID-19 pandemic. Moreover, given the demand for affordable housing, there are multiple government initiatives providing financial support for homebuyers and builders. As such, Vistry's Partnerships business should exhibit steady growth through a cycle by focusing on lower-risk segments of the housing market that have greater cycle-agnostic demand – and thereby enjoying greater operational visibility and lower capital intensity than peers.

- b. **Vistry's shift to a partnerships model may on the surface look like a pivot to a lower-margin business, but ROIC improvements are being obscured.** In exchange for guaranteed pre-sales of lower-priced homes to local housing associations, the Partnerships division generates a lower operating margin (10%-15%) than traditional homebuilders (20%-25%). However, Partnerships shares the financial risks of its business with multiple stakeholders. As such, it can generate ROIC well above 40% with higher turns on inventory, compared to 20% for private homebuilders. As Vistry's traditional homebuilding segment winds down and operating margins decline toward the partnerships model average of 12%, its ROIC should trend upwards and its capital-light reinvestment runway (as well as excess cash generated and returned to shareholders) should become apparent, causing a re-rating.
- c. **Financial participants still value Vistry like a traditional homebuilder instead of on earnings like other capital-light builders.** Traditional homebuilders trade on multiples of book value (1x-3x), whereas capital-light homebuilding businesses typically trade on multiples of operating earnings or cash flow (12.5x-20x). Notably, the biggest traditional UK homebuilders (Taylor Wimpey, Barratt Developments, Persimmon, and Bellway) trade below 1x P/B (around 12x-15x earnings). Vistry, now the largest partnerships builder, trades at more than a 50% discount to those peers on earnings, and even a 15% discount to them on book value. In absence of the partnerships transformation, such relative valuation would be reasonable, as VTY's Housebuilding division was sub-scale in comparison to these players. However, we see this as a clear sign of mispricing as investors value the entirety of the business based on its historical Housebuilding business and not its future earnings engine. As Vistry transitions to a pure-play partnerships-model business and continually repurchases shares, investors should increasingly value the business on its (consistent) operating profit and cash flows.
- d. **Vistry has over a decade to capitalize on the severe UK housing supply imbalance, a longer time horizon than most expect.** The UK government has identified the need to build 4.75M new homes to ensure an acceptable standard of living for the majority of its citizens. That's almost 20% of its current housing stock. By comparison, the US needs ~7M new homes, or only 5% of its current housing stock. Importantly, housing supply and demand in the UK are egregiously out of balance even with the impact of Brexit weighing against net migration into the country. Should a Labour government reverse course on Brexit and allow more immigration from continental Europe, demand for housing (and government financial support) would likely increase.

Today, roughly 15% of UK homes, or half the 1980s average, belong to public housing entities. The government estimates an increase in homebuilding to 300K-340K new homes per annum by 2025 should start to close the housing gap, with roughly half of those being affordable. (Last year, UK homebuilders delivered ~220K new homes, of which ~60K were affordable.) At that rate, the UK's housing supply would meet demand by the mid-2030s. During the 1950s and 60s, when the UK saw its highest levels of homebuilding, units built for local authorities and housing associations amounted to half of total supply increases. Today, these entities claim just a small percentage of new home supply. However, their share is expected to increase as tens of billions of pounds in subsidies are allocated over the next few years, with Vistry's help. The company sees its pure-play Partnerships business delivering ~22K homes per annum, up from its current Housebuilding plus Partnerships total of 16K-17K. To meet government projections, Vistry could *increase* its Partnerships building rate above 30K homes per annum and maintain that pace for *at least 10 years*.

- e. **Vistry's relationships with local authorities are a "reputation moat" that generates supply-side network effect entrenching its dominant market position.** Since the end of the British Empire (1945), the UK has lead the world perhaps only in its bureaucrats' ability to create red tape (see BBC series *The Thick of It*). Local regulations and restrictions represent a considerable impediment to increased UK housing construction. Risk-averse local authorities, leery of profiteering, are reluctant to let "just anyone" in (see *Clarkson's Farm* on Amazon Prime). Jokes aside, by meeting the housing needs of these local authorities in a reliable, trustworthy manner, Vistry enhances its reputation in the marketplace, which in turn helps it approach other local authorities and cut through the red tape (such as complex permitting procedures) that typically ties up smaller or traditional homebuilders.

In fact, the company already has a long and positive track record with roughly 60 of the ~325 local authorities in the UK, more than any partnerships-model builder. For example, Vistry dedicates considerable in-house resources to work hand-in-hand with these authorities to steer the course of a housing development, while many of its competitors simply fill in paperwork with these overburdened authorities. These close relationships generate a supply-side network effect: Each new local authority can more

readily trust Vistry because of all the others who already do – and that means new entrants find it hard to break into the market. Moreover, since Vistry is now the largest affordable homebuilder in the UK, it should be able to bring on new local authorities more easily than ever before, widening this already formidable, irreplicable moat.

- f. **US investors and a former NVR board member now on Vistry's board promote shareholder-friendly capital allocation and aggressive strategy implementation.** Although Vistry is a UK company, over 25% of it is owned by activist US shareholders (through their considerable prior ownership of Countryside). Following its acquisition of Countryside, Vistry indicated its intention to force the market to recognize the Partnerships business's value – and to split the businesses apart, if that recognition was not granted. After a year that saw board member churn including the addition of a former NVR board member, management announced that it would unlock shareholder value by redirecting Vistry's traditional Housebuilding resources (such as land, labor, and capital) into the Partnerships division to create a much bigger pure-play partnerships-model business. Additionally, the capital freed up by this transition would let the company return £1B in excess cash to shareholders via a buyback, with another £300M going to reduce debt. Moreover, beyond an initial buyback, management anticipates capital returns to amount to 50% of its annual operating income. With near-term operating income of £800M expected by 2025, and with considerable stability and growth thereafter, Vistry could, at a minimum, return over £400M per annum to investors, mostly via NVR-style buybacks. (To date, NVR has repurchased over 75% of its shares.) Doing so would result in a buyback yield of ~15% at today's share price.
- g. **Underpriced shares are their own catalyst, allowing Vistry to buy back shares accretively with no need for multiple expansion to realize returns.** Given the nature of the business and the capital allocation priorities of management, we think investors should re-rate Vistry higher based on earnings. However, VTY isn't dependent on valuation multiple expansion to generate substantial shareholder returns. On the company's own disclosures, management anticipates repurchasing 100M shares at 1,000p per share over the near term, starting with £55M this quarter. The share price currently sitting well below that level simply gives Vistry an opportunity to purchase more shares than it anticipated. With this level of capital returns, the excess over 2-3 years, and the programmatic return of 50% of operating earnings per annum, perpetual undervaluation is actually a benefit, and not a risk of continual disappointment waiting for investment returns via multiple expansion from changes in outside perceptions that might not occur.

Lastly, to quickly lay out the risks to Vistry, the largest micro risks are execution issues with the pivot to a pure-play partnerships-model business, scaling up modular home manufacturing facilities, and integration issues with Countryside. The largest macro risks are the levels of undersupply in the UK housing market, government support, and construction regulations that could impede home building.

3) Business Analysis

Overview: An Amalgamation of Multiple Top-Tier Partnership Businesses; Countryside the Jewel

Vistry Group was created in early 2020 following Bovis Homes' (BVS.L) acquisition of Galliford Try's (GFRD.L) Partnerships business and Linden Homes (traditional housebuilding), two separately run franchises. The Bovis and Linden Homes brands have been around since the early 20th century. Galliford Try's Partnerships business included the Drew Smith brand, which it acquired in 2017. While these brands were maintained, Vistry combined their operations and strategies, yielding scale merits.

VTY was setup with two divisions: Housebuilding and Partnerships. Given the transition from Housebuilding, our analysis will stay centered on the Partnerships division.

Vistry's late-2022 acquisition of Countryside (CSP.L) boosted its Partnerships home completions from ~4.5K to ~8K per annum. Additionally, Countryside implemented a modular construction methodology, building ~5K homes per annum in prefabricated sections. Now called Vistry Works, these facilities are expected to ramp up from ~5K to ~8K homes per annum. Over time we expect Vistry Works will grow to represent a greater share of Vistry's total completions, driving material, labor, and supply chain efficiencies.

Last year, Vistry completed ~12K homes: ~7K from Housebuilding and ~4.5K from Partnerships (including ~650 from Countryside). Countryside Partnerships completed ~4K homes in 2022. With its transfer to a 100% partnerships-model business, Vistry is expected to increase its total annual output from 16K-17K homes to ~22K per annum within a few years.

How the Partnerships Business Model Works

We're not going to discuss traditional housebuilding in detail, as the process is well understood: A site is located and prepared with all necessary approvals and paperwork. Land is bought outright or via option contract. Construction, on average, for a single home takes 5 to 7 months.

In the partnerships model, a public/private partnership between the homebuilder and local government (or an already-established housing authority) is formed, usually as a joint venture (JV). In other instances, the partnership may be a contractual one, where Vistry develops on donated land without forming a separate entity, though the sharing of resources is similar. The typical structure of a partnership, with each partner's role and contribution, is shown below:

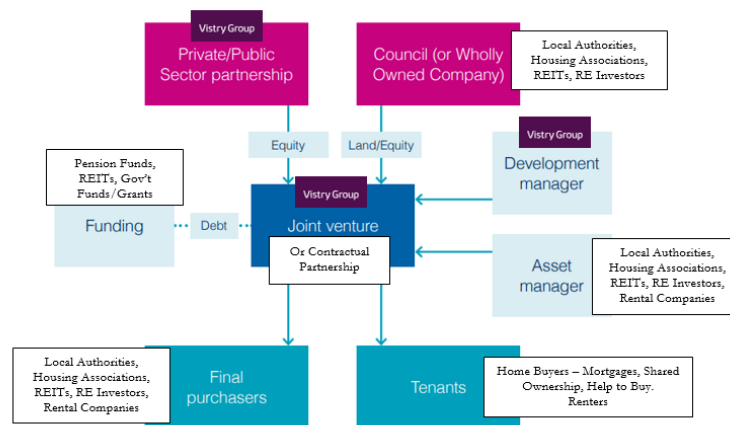


Figure 1: Housing Partnerships - London First. Edits by Author.

There are several different varieties of partnership JVs:

- A *Development-Led JV* will have a local authority partner with a developer to purchase land in exchange for a cash receipt. The agreements will include a timeframe for the developer to build on the site. At completion, the local authority may take a share of the “super profit” over and above the developer’s profit. (In some cases, the developed affordable housing may be provided in lieu of a profit share.)
- An *Investor-Led JV* will have a long-term investor (such as a pension or real estate fund) forward-fund a development and take a share of the development risk, with the local authority taking on the long-term operating risk for the completed development. The investor takes a long lease on land owned by the local authority, and then finances the development with a housebuilder. Upon completion, the local authority agrees to lease the developed homes over a term agreed to by the investors; at the end of the term, the assets revert to the local authority for a nominal sum.
- A *Limited Liability JV* sets up partnerships on a development-by-development basis, although local authorities may secure a strategic development partner. At completion, the council with its partner may choose to retain or sell the assets. If retained, the assets may be transferred to the investor, the council’s housing company, or a JV between them.

Partnership Model Economics

By involving several entities, a partnerships-model homebuilder can reduce the capital intensity of a development and simultaneously de-risk the operation. The table below shows how partnerships model economics differ from traditional housebuilding economics:

Illustrative Returns			
Traditional Model		Partnership Model	
Land Costs	£60,000	Land Donated	£160,000
Build Works	£150,000	Build Works	£50,000
Invested Capital	£210,000	Invested Capital	£50,000
Home Price	£300,000	Home Price	£250,000
Gross Margin	30%	Gross Margin	16%
Gross After-Tax Profit	£67,500	Gross After-Tax Profit	£30,000
Plot ROIC	32%	Plot ROIC	60%

With land donated or capital provided by a local authority, housing associations, and/or financial participants, a lower-priced house with lower after-tax profits can yield substantially better returns on capital for Vistry than one built via the traditional business model. The remaining burden of capital-at-risk is also shared with a national regeneration fund. Vistry receives a priority profit for each project via a final balancing land payment to the local authorities at the end of each project. This allows the value of the final project to be changed so the company can meet its agreed-upon margin targets even in the event of unforeseen cost inflation.

Given the shorter timeframe of this style of housing development, cost inflation adjustments for small projects are minimal. Contracts for larger developments can have phased viability assessments on non-private home sales that mitigate the impact of inflation via contracted pass-through mechanisms that ensure a base return largely irrespective of increases in building costs and/or land values.

Essentially this is a cost-plus model where margins are negotiated first based on a home price that is in a range of affordability set by the local council/housing association. Price changes to the home afterwards are essentially immaterial as adjustments are focused on maintaining Vistry’s modest margins, even including inflation.

The only risk to margins is from the sale of homes to private homeowners, which comprise less than 25% of Vistry’s home completions and are subject to traditional housing market forces. Here the private homes are sold at a higher margin than the pre-sold units, and thus provide only a minimal uplift to margins in the best of times. In a tougher market, they’re sold to match margin levels of the homes pre-

sold to partners.

Management: Impressive CEO with considerable ownership; US shareholders and former NVR board members

Vistry CEO Greg Fitzgerald was previously CEO of Galliford Try from 2005-15 and Bovis Homes in 2017. In 2020, Bovis purchased Galliford Try's Partnerships and Linden Homes brands, which then became Vistry.

In the early 90s, Fitzgerald led the formation of a housebuilding business with Midas Construction. The business was sold to Galliford Try in 1997, and Fitzgerald subsequently co-founded Gerald Wood Homes, which was also sold to Galliford in 1999. At Galliford, Fitzgerald led the acquisition of Linden Homes in 2007. Following the GFC, he implemented a £125M rights offering to take advantage of a fall in land prices.

After retiring from Galliford in 2015, he was offered the CEO role at Bovis Homes to lead a turnaround. He invested £3M of his own capital into the company and turned it into Vistry, essentially purchasing the homebuilding businesses he was already very familiar with. Mr. Fitzgerald owns ~10% of Vistry. His compensation package totals ~£2.5M, comprised of ~£755K salary and a ~£1.7M equity bonus.

Of note are two board members, Jeff Ubben and Paul Whetsell. Jeff is the Managing Director and Founder of Inclusive Capital, which came to own ~6% of Vistry through its acquisition of Countryside. Jeff had previously attempted to take Countryside private with an offer of ~£1.5B. His pressure on Vistry's board resulted in two board members leaving. He joined the board in mid-2023 along with Paul Whetsell, who had been a board member of NVR from 2007-18. While Inclusive Capital shut down in late November 2023, its capital in Vistry is locked up for an additional 4 years, as are a couple of the fund's other high-conviction positions.

US shareholders (generally with an activist bent, as former shareholders of Countryside) and the executive team own over 35% of Vistry.

Customer Dynamics: Severe Shortage of Affordable Homes; Local Authorities Looking to Improve Communities

Vistry's customers include not only homebuyers, but also real estate investors, local authorities, and housing associations who manage housing affordable (or mixed-tenure) developments. At present there are over 1.2M households on council waitlists for an affordable home. Across all tiers of UK housing, there is an estimated shortfall of ~4.75M homes. A typical Vistry Partnerships development is 50-50 affordable/PRS (Private Rent Sector); of those homes allocated to the PRS sector, some are sold to REITs and/or rental companies, with less than 25% sold outright to private homeowners.

Local Authorities and Housing Associations

While housing associations are nonprofits that own and manage affordable housing, local authorities are regional government agencies that control land and public housing in a particular area. These entities have a government mandate to alleviate the housing shortage but lack funding and know-how. They typically handle the delivery and management of resident and community facilities, and can be not just a homebuilder's customer, but also its regulator and even its source of land on which to build.

During the post-WWII housing boom, local authorities and housing associations were responsible for almost half of the new housing supply in the country (see Figure 2 below). In the 1980s, almost one in three people in the UK lived in social housing. That figure has declined to roughly 15% today, but the government is trying to help social housing make a comeback: Homes England provided ~£1.7B in home ownership grants in 2022, with a 9-to-1 leveraged impact – in other words, the grant money was spent by homebuyers on their 10% down payments. The agency is expected to provide ~£17B in aid from 2023 through 2028.

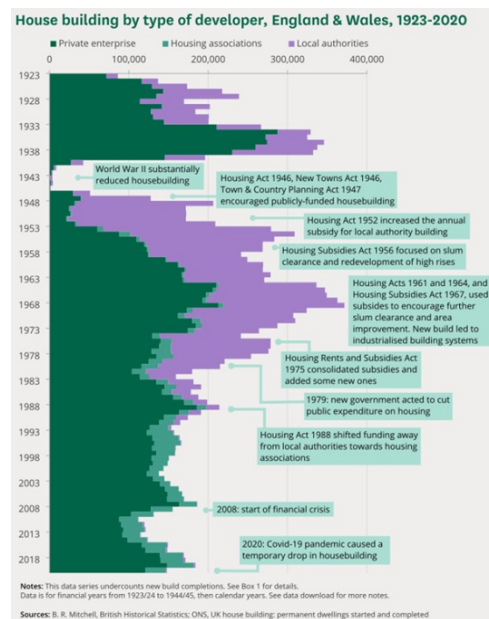


Figure 2: House of Commons.

There are two main types of local housing authorities:

1. *In-house/local authority*. Under the in-house/local authority structure, the local authority borrows from the Public Works Loan Board (PWLb) to fund a development. That development is then governed by an agreement with the housebuilder. The local authority is responsible for sourcing funding, finding a construction partner, managing the development, and delivery.
2. *Wholly-owned company (WOC)*. Within a WOC framework, the local authority funds a development with a combination of debt and equity. It's the 100% shareholder of the WOC, which serves as a trading company whose future profits can be paid as dividends to the council or reinvested for future development.

Many of these authorities and associations are staffed by members of the local community, and as such tend to be highly risk-averse. Moreover, they typically solicit bids when choosing a builder, a process that can take years. Criteria for winning a bid typically comes down to track record, and community engagement. Finally, inadequate planning resources at these entities have been a further bottleneck to developments.

However, Vistry's Partnerships business model incentivizes government authorities to approve housing plans more quickly, since over 50% of a Vistry-built housing development is delivered to these associations and authorities, who are not dependent on interest rates to finance it. In addition, Vistry's solid reputation helps it quickly gain their approval, while its size and experience let it aid them in planning and executing a development. At the same time, smaller builders and new entrants are stymied by the lengthy and difficult approval process, giving Vistry a massive competitive advantage.

Financial/Real Estate Investors

Another subset of Vistry's customers are real estate investment companies. These can be REITs comprised of rental properties, or PE-backed housing funds, such as those from Blackstone or Regis Group, PLC. A recent Blackstone-backed deal for 2,900 homes at a value of ~£820M shows how these entities can operate at scale. The Blackstone deal was marked at ~£282K per house, with 65% of them sold upfront, and with a cash payment to Vistry of ~20% (£160M). Similarly, UK pension funds have set up funds specifically to allocate capital to such partnership deals.

As little as 20%-25% of a development's homes would be sold to these pension funds, REITs, and rental companies, who typically have robust balance sheets and can access interest rate-sensitive debt capital at better rates than private homeowners can.

Homebuyers

As little as 20%-25% of a Vistry development's homes is sold on the open market to homeowners. (For traditional homebuilder developments, this figure is 75%-80%.)

Multiple UK government initiatives currently promote private home ownership. "Help to Buy" was a program that gave qualified homebuyers a low- to no-interest loan on 15% of a home's value, with 5% down provided by the buyer. It ended in March 2023, but a replacement is expected.

Shared ownership is a similar scheme in which a potential homeowner can put down 5%-10% of a home's price, with the rest financed by (1) housing associations, acting as landlords, and (2) grants from Homes England, the UK's government housing agency. Rent is fixed

below market price, and the homeowner can increase his ownership stake in the home over time.

Renters also have a “Right to Acquire” their rental unit from local authorities and housing associations. Within the rental sector are “Social Rent” and “Affordable Rent,” two categories of rental properties with rents held below market price by government regulations, and with differing lines of support for tenants.

Supplier Dynamics: Scale Merits from Being the UK’s Largest Partnerships Homebuilder

Land

Vistry has ~140K plots in its land bank (or 6-7 years’ worth, at a ~22K development rate). These include ~75K owned and controlled plots (~30K of which were transferred from its Housebuilding segment) and another ~65K in strategic land. Roughly 40% of Partnerships land comes from the public sector. Land supply consists of not just greenfield plots, but also existing locations in need of regeneration. In London alone, there are over 1M plots out for tender. Around 10% of the land in England is classed as “urban,” and 1% has domestic buildings on it, according to the UK National Ecosystem Assessment. The UK government estimates that there are almost 30K hectares in town and city centers ideally suited to regeneration, which could provide over 1.2M homes. Importantly, Vistry is the sole strategic partner for Homes England, which has £17B and 9K hectares for possible development (1 hectare ≈ 2.5 acres). Other entities, like Network Rail, have over 30K hectares available for regeneration.

Vistry has relationships with over 90 registered providers of affordable housing and over 60 local authorities (out of ~325 in the UK), each of which has land either for regeneration or greenfield. The company’s reputation and relationships with these entities should allow for sufficient land acquisition.

Further, under the partnerships business model, these local entities hold the land on their balance sheets and Vistry’s land acquisition costs are minimal to none. Land is provided on a deferred payment basis upon the completion and sale of each project, essentially eliminating inventory/land management risk.

Labor

At present, Vistry has sub-contractors and laborers to sustain a 16K-17K home per annum pace. With several competitors producing at similar levels, there appears to be sufficient labor to scale up operations. Further, those constructing with a traditional homebuilding model have responded to the high interest rate environment by lowering their pace of completion in recent years, creating some labor slack in the sector. Additionally, the construction industry in the UK has seen multiple insolvencies this year, potentially providing more workers.

A pure-play partnerships business with its steadier growth and long time horizon on housing developments spanning several years can attract the necessary labor from competitors and the construction industry, all of whom rationalize headcount in a downturn or fail to provide consistent work.

Materials

As the UK’s biggest pure-play partnership-model homebuilder, Vistry can buy construction materials in larger volume than rivals can, and with greater pricing power. Also, Vistry was able to extract ~£20M in procurement costs, going forward, from its acquisition of Countryside, as that company used cheaper timber frame designs and even had facilities (which became Vistry Works) that made prefabricated homes. As mentioned earlier, Vistry is expanding the capacity of these prefab manufacturing facilities up to ~8K homes per annum and is planning on applying the timber frame and “modern methods of construction” in all of its developments, lowering its costs across the board.

Notably, the UK governments criteria for developer selection heavily favors partners with the capability to build homes in modular fashion. Recent mandates require a minimum of 25% of the affordable homes built with the UK Government’s direct aid must use modern methods of construction like the modular housing VTY utilizes to construct its homes.

Given the partnerships model’s smoother, more predictable development pace, Vistry’s planning and procurement is becoming easier and more cost-efficient than in the past.

Competitor Dynamics: Network of Relationships with Local Authorities Keeps New Entrants Out

The Partnership brands under Vistry have a highly regarded reputation among their customers, due to decades of community engagement and solid operations. This reputation is a considerable advantage in dealing with risk-averse local authorities. Vistry has relationships with ~60 of the ~325 local authorities in the UK, more than any other affordable home/partnership builder. For instance, Countryside has a track record of successful community engagement spanning over 40 years, and a 40% win-rate on all projects it bids for. These relationships generate a supply-side network effect: Each new local authority can more readily trust Vistry because of all the others who already do. VTY is essentially the “platform” connecting all these entities that share the same goal.

Managing community relations is done by an in-house team working closely with local authorities and residents throughout a regeneration project. This can in turn keep out new competitors: It takes years for smaller or new entrants to develop relationships with these overburdened authorities, whereas Vistry coordinates and facilitates its partners' development plans. Importantly, this time-consuming relationship building is a completely different skill set to traditional homebuilders' core business, which explains the small size of these partnerships businesses at competing firms.

At present, Vistry completes 16K-17K homes per annum and should fully transition to partnership-model homebuilding over the next few years. That transition should see its output then ramp up to ~22K in another year or two. By contrast, Barratt Development lowered its total homebuilding pace from 17K to 14K per annum given the weakness in traditional homebuilding, and only completes ~4K partnership homes per annum. Taylor Wimpey completes ~14K homes per annum with ~3K partnership home completions per annum. Lastly, Persimmon completes ~12K homes and only ~3K partnership homes per annum. This sums to a total of ~10K partnership homes per annum by these three major builders. Roughly ~60K affordable homes were built in the UK in 2022. By contrast, the UK needs ~150K new affordable homes per annum for the next decade to fill the gap in the market.

Vistry, even before scaling up its operations, is the largest affordable housing builder in the UK. Once fully transitioned to a partnerships model, it will be more than twice the combined size of its major competitors' affordable housing businesses. With such a large network and considerably risk-averse client base, Vistry's Partnerships business is highly defensible against new entrants, and is unlikely to be successfully replicated.

Market Trends: Undersupply in UK Housing Expected to Continue Despite Government Action

UK Housing/Government Support

The UK government estimates the country needs ~4.75M new homes (an estimated ~20% increase in its housing stock), with about half being affordable, to start to close the housing gap. To eliminate the housing backlog and reach parity with western EU countries on housing metrics, the government estimates it needs at least ~655K new homes per annum over ten years. As shown below, the pace of construction the government originally targeted to start to close the housing supply gap is 300K-340K new homes per annum, with ~150K of those being affordable. Current construction has been running at 220K-240K per annum with ~60K affordable, or about 30% below the required level.

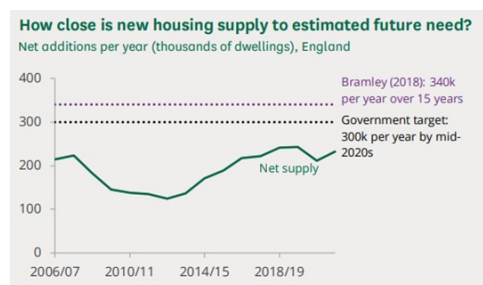


Figure 3: House of Commons.

The government has allocated ~£17B to support housing development in 2023, far more than the ~£12B it spent per annum from 2010 through 2018, but still below the £15B-£20B per annum seen in the early 2000s. It expects that each pound of public funds spent on housing will be leveraged ~6x through private market mortgage loans. Notably, at the end of 2022, the government retracted its 300K new housing target, having failed to hit that mark in years. However, with a general election in early 2025 (if not called earlier) and an anticipated Labour Party win, more support for public housing is expected, even considering the UK government's high debt/GDP levels.

Social Housing Providers

In the UK, approximately 205 large providers account for ~95% of the social housing sector's stock. The vast majority of these providers are not-for-profit. As shown below (and discussed above), local authorities (LA) and housing associations (HA) were once responsible for ~50% of new housing stock in the UK, but today they account for less than 10%:

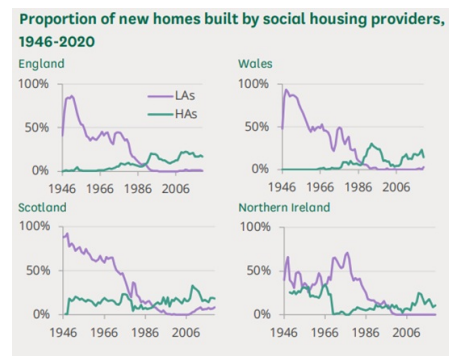


Figure 4: House of Commons.

According to the government's Global Account of Private Registered Providers, total investment in new social housing stock increased to ~£12B in 2022 on an asset base of ~£190B. Most of these entities funded their growth through operating surpluses, debt, and capital grants. Revenues from rent amounted to ~£22B. They have ~£90B in debt (~4x debt to EBITDA) and EBITDA/interest coverage ratios well above 100%. As such, these entities (i.e. Vistry's customers) are well-capitalized.

Social housing providers are expected to benefit not just from higher levels of government financial support, but also from new rules that are expected to (1) loosen restrictions on allowable uses of their operating cash flow, (2) lower taxes on housing transactions, and (3) allow increases in rent ceilings. All of these moves should spur new affordable home development.

4) Why now?

Vistry Partnerships is a uniquely positioned business at a critical juncture:

- It boasts a high ROIC, large and expanding barriers to entry, and a long time horizon for earnings growth, yet it's hidden inside an industry with none of those features.
- At the moment, the company is undergoing a transformation by winding down its traditional Housebuilding segment and repurposing all resources to its Partnerships business, temporarily obscuring the company's earnings and cash generation potential.
- Vistry plans to return £1B in capital (almost 40% of its current market cap) to owners over the next 2-3 years via buybacks, and 50% of operating earnings going forward. Additionally, roughly £300M of excess cash will be used to wipe out the company's debt.

At present, Vistry generates £400M+ in annual operating earnings (despite this being a particularly difficult time for traditional housebuilding), putting the company on a valuation of ~6.5x 2023 EBIT (~0.7x TBV). That's well below traditional UK homebuilders at ~13x EBIT (~1.1x TBV). This discount should turn into a premium as a pure-play Vistry Partnerships generates operational and financial performance far more impressive than that of its rivals. Given the superior visibility and earnings stability of its Partnerships business, Vistry is very likely to achieve its near-term £800M operating earnings target in 2-3 years, for a forward valuation of ~3.25x EBIT (i.e. operating profit), well below that of a truly comparable business, NVR, which typically trades on a normalized 12.5x-15x EBIT.

Once Vistry is past the transition stage, we expect it to continue its steady growth, with the excess earnings from its capital-light operations directed towards shrinking the share base. We note that US-based NVR has generated an IRR of ~25% over 30 years, through predictable, slower, capital-light growth and the repurchase of over 75% of its shares.

A few key points below illustrate Vistry's value potential at this point in time:

1. **Transition to Pure-Play Partnerships-Model Creates Highly Visible, Durable Revenue Growth Through a Cycle:** Housebuilding is cyclical largely due to (1) interest rates, (2) economic conditions, (3) supply factors, (4) credit availability, (5) construction and land costs, (6) speculation and investment activity, and (7) government policies. This leads to an industry generally characterized by low through-cycle growth, low visibility, and low barriers to entry – as well as high cyclical, high capital intensity, and high sensitivity to interest rate changes.

Meanwhile, a housing partnerships developer sells to entities that are (1) not interest-rate sensitive, (2) nor especially concerned on economic fluctuations, (3) are experiencing a possible multi-decade structural shortage of affordable homes, (4) have minimal need for debt financing, (5) have ample land in need of development, (6) pre-buy over 50% of a development, thus minimal speculation, and (7) have billions in financial support from the government. The partnerships model exhibits qualities that are almost entirely in opposition to the factors above that make traditional housebuilding cyclical. As such, it should be no surprise that Vistry should have higher through-cycle growth, higher visibility, and higher barriers to entry.

Vistry has conservatively guided to long-term revenue growth of 5%-8% per annum, which is largely cycle-agnostic and should be consistent year in and year out with large projects spanning years. Notably, we believe there is upside to these estimates as Countryside, the largest partnerships brand within Vistry, was ramping its partnerships business's year-on-year growth to 10%+ prior to its acquisition. With the company building 16K-17K homes today, and the complete transfer of all operations to a partnerships model, a ~22K home completion rate can be achieved within a year or two. Given the UK's acute affordable housing shortage and an aggressive management with a track record of successful strategic positioning, we anticipate an upward adjustment to guidance on

revenue growth and annual home completions once the transition to a partnerships business model is complete.

2. **Margin Declination as Housebuilding Winds Down Masks Improvement in ROIC:** Traditional housebuilding typically garners a gross profit margin above 25%, compensating for its higher capital intensity. Partnership-model homebuilders not only sell lower-priced homes, but also target a lower gross margin (15%-20%), given their customer base of political organizations providing housing to lower-income citizens. Prior to Vistry's partnerships model transformation, its revenue was 55% Housebuilding, 45% Partnerships, and its operating profit was 80% Housebuilding, 20% Partnerships. With the entire company focused on Partnerships, Vistry's operating profit margins are expected to decrease from ~19% in 2022 to ~12% by 2024, assuming the gross margins cited above with a ~5% of sales SG&A overhead.

While this appears detrimental, the capital requirements for partnerships-model developments are far less than those for traditional housebuilding, so Vistry's ROIC is expected to increase from 20%-25% to 40%+. Further, we believe that its gross margins should increase from ~15% to almost 20% over time, equating to operating margins of ~15%, given scale merits and savings from the implementation of Countryside's modular construction methods. Conservatively, Vistry anticipates only 12% operating margins once fully transitioned to the partnerships business model, which is lower than traditional housebuilding margins but with far more stable growth and capital efficiency.

3. **Capital-Light Nature of Partnerships Underpins Considerable Returns to Shareholders:** Despite margins in the low- to mid-double digits, Vistry is able to generate ROIC well above 40% as the capital-intensive elements of housebuilding are paid for by multiple partners. Moreover, by pre-selling over 50% of a development's homes and by using modular designs, Vistry's partnerships-based turns on inventory are at least double those for traditional homebuilding, where a built home can sit on a balance sheet for months (or in a market downturn, maybe a year or more).

As such, Vistry is able to fund its operations with little to none of its own cash, turning over its asset base quickly and generating substantial cash returns despite lower margins. In fact, its FCF conversion from EBIT is upwards of 90%. We anticipate the company will return 50% of its operating income to shareholders once fully transitioned to the partnerships model, equating to a minimum £400M per annum in buybacks by 2025. (That's an almost 15% yield on today's market cap.) Management has stated its intention to return £1B in capital to shareholders during this transition period (almost 40% of VTY's market cap over 2-3 years), starting with ~£55M in 4Q 2023.

4. **Returns and Business Position Highly Defensible, with Scale and Regulatory Barriers:** Given Vistry's return capabilities, aside from the UK housing market supply crunch easing (which is over a decade away even with demographic changes), the next largest impediment to realize those excess returns would be new entrants. However, Vistry is twice the size of all its competitors combined, and it has a long track record with many more local housing authorities than they do. With these authorities being highly risk-averse, a builder's track record and size are crucial to gaining their support. Moreover, with its large size, Vistry can bid at lower prices while maintaining margins and can more easily begin new developments with authorities than peers can. Lower margins, to the tune of almost 50% less than a typical home sale, certainly dis-incentive traditional housebuilders.

On the regulatory side, bidding for and planning a housing development can take years, so new entrants (or even traditional housing builders without a track record in social housing) face strong headwinds in trying to secure new partnerships. Simply put, the company is solely focused on, and already has scale in, a hard-to-implement sub-sector of the housing market, that on the surface is unattractive to other traditional homebuilders to enter. All of these factors give Vistry a formidable moat that keeps out competitors and lets the company deliver excess returns to shareholders.

5. **Highly Competent "Skin-in-the-Game" CEO, Activist US Shareholders, and Former NVR Board Member Encourage Superior Outcomes for Shareholders:** Vistry's management, board, and key shareholders all seem to share a focus on creating and delivering shareholder value. CEO Greg Fitzgerald owns over 10% of Vistry's equity. He has a long track record of excellent capital allocation in the sector, and most of his compensation is equity-based. Vistry's next-largest shareholders are US-based Browning West, Inclusive Capital (which has shut down, but whose VTY position has a 4-year lock-up), Abrams Capital, and David Capital. In aggregate, these funds own 25% of the company. In yet another tell, these US shareholders placed Paul Whetsell, a NVR board member from 2007-18, on Vistry's board. Given this cohort's disposition, we anticipate it will aim to ensure that Vistry delivers excess capital returns to shareholders, and that any actions taken by the company are to shareholders' benefit.

5) Risks/Thesis Pressure Points

Execution Risk. Vistry has almost entirely integrated Countryside and is in the midst of fully transitioning to a partnerships business model. With most of the Countryside integration out of the way, the risks of the partnerships transformation are front and center. While Vistry completed ~12K homes last year, Countryside completed ~4K, totaling ~16K (with ~8K via a partnerships model). At a current run rate of 16K-17K homes per annum, the risk of scaling up to ~22K is minimal. Management indicated current capacity is ~25K. However, shifting resources to the Partnerships business could have some execution issues. While laborers and sub-contractors can be shifted easily, the pipeline must be filled by Vistry working with local authorities/housing associations on more simultaneous developments than it ever has before. Because management in the past has executed multiple internal initiatives and M&A transactions simultaneously, we think it can handle this risk.

Supply/Demand Risk. Vistry is purposefully addressing the UK's undersupply of affordable and social housing. With 24M homes in the UK and demand for over 28M, undersupply is at 20% of total housing stock, requiring years of above-average building rates to eliminate it. At present, the UK is only creating ~220K new homes per annum, ~60K of which are affordable. An estimated ~150K affordable homes per annum would start to address the housing issue over the next decade. While this subsection of the UK housing market is being hit hardest by undersupply, solving the problem is expected to take at least a decade. However, an accelerated closing of this supply gap would necessitate lower levels of housing development in the future. This is a "known unknown" risk, as the time of supply-demand reversal and

the level of housing construction thereafter are both unclear.

Competition/Replication Risk. The company's Partnerships business generates impressive cash flow, which in theory could attract new entrants. However, as noted above, Vistry's network of local authorities is unmatched, and the company produces twice as many affordable houses as the rest of the next three largest UK partnership businesses combined. Additionally, for traditional homebuilders, building lower-margin homes may also be a deterrent to entry. Therefore, at present, Vistry's replication and competition risks are minimal.

Government Regulation/Funding Risk. The affordable housing sector in the UK is subject to government regulation. Regulatory initiatives to streamline permitting and cut through other red tape could narrow Vistry's competitive advantage by making it easier for rivals to close deals with local housing authorities.

Vistry also could be exposed to expensive building code changes. For example, the Fire Safety Regulations of 2022 resulted in Vistry taking a £300M+ provision (now behind it) to remediate a portion of its homes by removing dangerously combustible aluminum cladding, which was the culprit in the Grenfell Tower fire of 2018.

Additionally, the UK government has elevated debt/GDP ratios, and substantive government funding for housing may get crowded out of a fiscal budget, given higher interest costs on debt. Notably, local authorities, which are Vistry's direct customers, are better capitalized, with multiple forms of funding available.

Capital Allocation Risk. Vistry can generate substantial cash, and this thesis rests in part on the assumption that a large portion of this cash will be delivered to shareholders. There is a risk that Vistry might decide to put its cash to other uses, or to save it, depending on opportunities in both the equity and housing markets. However, we think management's track record and the activist nature of Vistry's shareholder base reduce that risk.

Additionally, management might be tempted to selfishly grab more of the company's returns by issuing excessive stock options to itself. Indeed, Norbert Lou's only lament concerning NVR's stellar stock price performance was management's excessive stock option grants: 1.9M issued against 7.5M shares outstanding, or more than 25% dilution. (Comment #42 on his 2001 VIC post, dated 5/27/02, has some choice turns of phrase.) However, we trust Vistry's management and activist shareholders not to sabotage the company's success for short-term personal gain.

6) Valuation

Vistry is turning into a capital-light housebuilder that stands apart from its traditional peers with a highly defensible business model, consistent 5%-8% revenue growth, ROIC trending upwards from 20%-25% to more than 40%, and capital returns of up to 50% of operating profit.

The following are our Base Case assumptions for the company:

1. Short-term guidance:
 - a. Orders: £4.3B (£3B Partnerships)
 - b. 2023 operating income: £425M
2. Long-term guidance:
 - a. ~22K Partnerships homes per annum
 - b. Revenue growth: 5%-8%
 - c. Operating margins: 12%
 - d. Operating income: £800M
 - e. Capital returns: £1.3B
 - i. £300M debt paydown
 - ii. £1B share buybacks (£55M in 4Q 2023)
3. Revenue should grow from ~£4B to ~£6.5B in 2025 as the weak Housebuilding division transitions to the partnerships model, producing 20K-22K houses per annum. From there, revenue should grow more than 7% per annum with annual home completions increasing modestly towards ~25K by 2029.
4. Operating margins should trend upwards from ~10% in 2023 to ~12% in 2024; operating income grows from £400M+ in 2023 to ~£800M by 2025 and ~£1B by 2029.
5. Roughly 50% of operating income is returned to shareholders (est. 75% via buybacks, 25% via dividends).
6. Capex: ~0.25% of revenue.
7. No net debt after 1H 2024.
8. ~12.5x normalized EV/EBIT (or ~15x EV/FCF) multiple. Our reasoning behind these multiples is in the Peer Analysis section below.
9. Discount rate of ~12.5% (mid-cap).

Five-Year Operating Model

We use a simple five-year operating model to determine value:

Base Case: Our Base Case assumes the company grows 7.5% per annum to £8B+ in revenue by 2028-29, with operating margins of ~12%, on a 12.5x EV/EBIT valuation (~15x EV/FCF). These assumptions yield a ~44% IRR over five years.

- Base Case Valuation: **£4,850p/share.**

Upside Case: Our Upside Case assumes the company grows 10% per annum to £10B+ in revenue by 2028-29, with operating margins of ~15%, on 20x EV/FCF ala NVR over a 10-year time horizon given the visibility of the model and market opportunity. **This gives yields a ~33% IRR over 10 years.**

- Upside Case Valuation: **£133,000p/share.**

Downside Case: The Downside Case assumes the company neither grows past its £800M operating income guidance nor returns capital to shareholders, and is valued at ~5x EV/EBIT (~6.5x EV/FCF). The result is a ~24% IRR over five years.

- Downside Case Valuation: **£2,300p/share.**

A summary of the three valuation scenarios is below:

Valuation Ranges			
Scenario	Upside	Base	Downside
Value/Share	£13,300p	£4,850p	£2,300p
Upside/(Downside)	1,612%	524%	196%
Annualized IRR	33%	44%	24%
MOIC	17.1x	6.2x	3.0x

Peer Analysis

Vistry has few direct public comparables, as most UK homebuilders only have a small number of annual completions of affordable homes via a partnership model. Moreover, these businesses trade on tangible book value, and are not a fair benchmark for a business with drastically different characteristics. Additionally, while US homebuilders have increasingly adopted a capital-light model, only NVR operates a fully capital-light business. Therefore, to triangulate a fair valuation, we used an EV/EBIT framework based on NVR and a few precedent transactions.

Trading Comparables

EV/EBIT

1. NVR (NVR): ~12.5x normalized EV/EBIT; currently at ~10.5x FTM.

NVR builds almost entirely prefabricated (and pre-sold) homes on land acquired via options, a capital-light model with less cyclical growth and lower operating margins. The company is on pace to build ~22K homes this year. Revenue growth should be flat over the next five years.

The normalized EV/EBIT multiple comes in at ~12.5x and has ranged from 7.5x to 15x over the period from 2010 to 2022. Vistry currently trades at ~6.5x FTM and ~3.25x EV/EBIT on its £800M operating income near-term guidance. We expect it to show growth of ~7.5% per annum for the next five years.

EBIT Margins

1. NVR (NVR): ~15% normalized EBIT margin; currently at ~20% FTM.

NVR's margins are expected to decline to its normalized 15% level as the company comes down from an over-earning period following the COVID-19 pandemic. Its capital expenditures should average zero to 0.5% of revenue.

NVR generates ~15% normalized EBIT margins through a cycle. Vistry should generate 12% EBIT margins by 2024-25, with possible expansion to ~15% over time, given scale and other efficiency initiatives.

Precedent Transaction Analysis

Vistry's management has acquired two of the below peers, primarily for their partnerships businesses:

1. Galliford Try Partnerships (to Vistry, 2020): £1,075M less Linden Homes £730M TBV - ~£350M, ~10x EV/EBIT (~£35M EBIT for Partnerships).
2. Keepmoat (to Aeromont Capital, 2021): £700M, ~13.25x EV/EBIT (~£52.5M EBIT for Partnerships).

3. Countryside Partnerships (to Vistry, 2022): £1,270M, ~12.5x EV/EBIT (~£110M EBIT for Partnerships, no housebuilding division adjustment like Linden).

In using Vistry's own acquisitions to reach our own valuation estimate, we note that the company is trading at ~6.5x EV/2023 EBIT on depressed housebuilding earnings, while its purchases were between 10x-12.5x. An average of the three transactions gives us a ~12x EV/EBIT multiple.

Valuation Multiple Conclusion

For Vistry, a ~12.5x EV/EBIT normalized valuation appears reasonable, based on capital-light homebuilding peer NVR and several partnerships acquisitions.

Additionally, NVR's normalized EV/FCF multiple is ~20x, a 33% premium to our inferred 15x EV/FCF multiple for Vistry. This implies some level of conservativeness in our valuation, should the company be valued on cash flow and compared (accurately) to NVR.

7) Market Expectations/Perceptions

Vistry is covered by 16 analysts, most with a "Hold" rating, and with an average price target of ~£870p/share. Most appear to be highly focused on the downward trajectory of near-term gross margins as the company transitions to a partnerships model. Additionally, many of these analysts apparently don't understand or appreciate the working capital/cash flow dynamics Vistry will enjoy after its business model transition. On valuation, they appear to value the company based on TBV, not earnings or cash flow.

Despite Vistry already building homes at a run-rate of 16K-17K per annum (~11K partnership homes), the analysts appear to be highly skeptical of its ability to reach ~22K partnership homes per annum construction rate in a few years.

Consensus forecasts vary widely, especially on cash flow expectations, but analysts generally believe Vistry will take at least 3-4 years to hit management's operating income target. The largest underlying disconnects are the cycle dynamics of partnerships-model housing versus the rest of the UK housing sector, and the company's operating cadence over the course of the partnerships model transition.

8) Downside Protection - Where's the Margin of Safety?

The company's downside is well-protected, as Vistry is shifting to a more consistent and defensible subsection of the UK housing market. Transitioning the traditional housebuilding segment to a partnerships model will free up ~£1B of capital, which can then be returned to shareholders over the next 2-3 years. With the enterprise value of the business sitting below £3B, that means the returned capital would equal almost 40% of Vistry's current market cap. Vistry is free cash flow-positive, with FCF margins in the 10%+ range. It has no net debt and is aiming to return capital representing 50% of operating earnings via share buybacks.

The company currently trades around 6.5x its depressed 2023 EBIT, below normalized peers. Assuming its £800M operating income guidance holds up, it trades at ~3.25x EV/EBIT, almost one-third the multiples of those peers.

Adjusting growth and margins to consensus estimates implies a negative EV/EBIT valuation for the business, based on the current market price of ~777p/share. This is because the business should produce more in discounted free cash flow over the next 5 years than its current market cap.

Vistry appears to already amply discount many investors' (misplaced) fears about the housing cycle, its ability to scale up its partnerships operations, and its belief in delivering returns to shareholders.

9) Conclusion

Vistry is a unique business with the ability to compound shareholder wealth over a durable time horizon. It's currently mispriced as indicators of its normalized returns and operating tempo are obscured. In fact, the company at this point in time could be considered a "special situation," given the inflection in the business this year, and its expected large-scale return of capital.

The partnerships model transition should occur over the next 2-3 years. Once it's complete, Vistry's exceptional business characteristics and returns should be visible to investors. If not, consistent buybacks should ensure a solid return.

As of December 7, 2023, Vistry is trading at 777p/share. With a Base Case valuation of **4,850p/share**, we believe there is **~525% upside**, equating to a **~44% IRR over five years**.

In time, should the company remain disciplined and live up to our "NVR-but-better" thesis and operating strategy, we would anticipate even higher returns.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

- Ramp in Partnerships completions/large scale deals
- Successful operational shift from traditional Housebuilding
- Margins stabilize at 12%, inflect upward once transitioned to 100% Partnerships
- Return of capital to shareholders – Predominately buybacks

Messages

Subject Great writeup
Entry 12/08/2023 12:12 PM
Member Bismarck

We agree with all of these points though are not quite as bullish as you are. Just wanted to say great writeup and thanks for the contribution.

Subject Agree
Entry 12/08/2023 12:16 PM
Member fiverocks19

Really appreciate the write-up, agentcooper2120.

As mentioned in other spots on VIC, I think the risk-reward in Vistry is as good as any opportunity out there right now.

Under 3x run-rate EBIT for an asset-light, high-growth partnerships business with a zero-debt balance sheet and over a billion of stock buybacks about to start this month, on a 2.6B market cap. And the best CEO/management team in the sector.

The set up is really phenomenal. This is NVR on steroids.

fiverocks

Subject Me three
Entry 12/08/2023 02:52 PM
Member katana

This is my second-largest position. Making it this large requires me to see what I do here - not only high upside, but virtually no chance of meaningful downside on a multi-year basis. I say that as someone who cut their teeth in homebuilding investing by shorting everything in sight in 2005-2006, and watching and/or living through further big industrywide stock declines in 2018, 2020, and 2020 in both U.S. and U.K.

I have never been so jazzed by one of my companies promising a big multi-year buyback. My long-time holding NXST creates value by buying a lot of shares for \$1 that are worth \$2, but it now does so with little organic earnings growth, and the earnings multiple will probably never rise much. VTY is going to get huge buybacks of undervalued stock, *plus* a favorable business-model change, *plus* a big capital unlock from the change to fund the buybacks, *plus* organic growth, *plus* a multiple re-rate.

Two brief additions to the write-up:

1. I am told that management (the entire team) are excellent operators.
2. The buyback may run out of willing sellers fairly quickly unless price rises a lot. Most of the US holders (35% of total) are the activists and similar-minded folks they've "recruited," all of whom are waiting for much higher prices. Another 15% is index funds.

Subject What can go wrong here?
Entry 12/08/2023 04:25 PM
Member Bismarck

So seems like a bunch of us agree. Yet the valuation is still so cheap and it seems clear they are going to be a much larger biz. So what do you all think can go wrong here? How do we lose money? I ask because I'm somewhat concerned it is not so simple as it seems - feels almost too easy. Maybe it is a smidcap UK co and it is that easy though. Any thoughts welcome. Thanks a lot!!

Subject Thank You & Follow-Up
Entry 12/08/2023 04:33 PM
Member zzz007

Thank you agentcooper2120, for the great writeup and overview of Vistry. We have spent some time researching and also feel that the company is cheap. We have spoken to the company but have a couple of points that give us pause:

- Although the ROIC and working capital turns should be significantly better than a typical homebuilder (spec-building) I would contend that VTY is not completely like NVR. From my knowledge, NVR uses almost entirely land options, while VTY still uses a significant land bank.
- In addition, mgmt. indicated that sometimes, VTY will provide its own land in certain Partnership deals, rather than have the HAs provide the land entirely
- Although VTY intends to wind down the land bank, mgmt. indicated that they still plan on buying land, rather than fully committing to a land option (strategic/controlled land) model
- Mgmt. indicated that a decent portion of the ~40% ROIC+ guidance is driven by the spec-building they are doing on 20-25% of the homes from the Partnership deals (again slightly different from NVR)
 - From our understanding, the "Partner Delivery" segment is most like NVR, which is still quite small for VTY

This is all to say that VTY is, in our view, not completely like NVR, and one still needs to underwrite some of VTY's ability to spec-build. Please correct me if I am missing something. However, we agree that VTY is cheap. Thank you for your great contribution.

Best,

zzz007

Subject Re: What can go wrong here?
Entry 12/08/2023 04:38 PM
Member fiverocks19

1 - there is a UK election next year

2 - there is still a lot of pessimism out there about the UK housing market, even though prices are only down -1% yoy and are up three months in a row (i.e., all the folks calling for a UK housing collapse have been extremely wrong so far)

3 - some sell-siders (Jefferies and UBS) are worried about execution, as no housebuilder in the UK has ever delivered 20k units/year

On the last point, I'd just mention that there's nothing special about the 20k number. Vistry is already doing almost 17k units/year, and partnerships businesses do 3-5x the asset turns of a traditional housebuilder, so it's not a big leap to get there. DR Horton in the US does 80k units/year.

Honestly - I think the #1 reason is simply that in the US, stocks get priced "in advance" by months or quarters ahead of events happening. In the UK, everyone wants to see things play out before rewarding the company. The buy-back hasn't started yet (it will this month), the transformation to pure-play partnerships is not done (it will be in H2 2024). Everyone wants to see if this is really as good as the bulls think it is. Having researched this company for 6+ years now, and the UK housing market for 16+ years, I am confident it's as good if not better. But folks in the UK need to see it to believe it. To me, it's just a matter of time.

fiverocks

Subject	Re: Thank You & Follow-Up
Entry	12/08/2023 04:56 PM
Member	fiverocks19
zzz007-	

I think that misunderstands the business model.

The partner delivery segment is essentially a contracting business. Zero capital employed, but margins are thin. It's a small part of VTY's business (less than 10% of profits) and is really used as a way to build relationships or to have an extra tool to successfully structure a mixed-tenure project. NVR is not a contracting business - I think this is probably the least-similar part of the two businesses. So I'd disagree pretty strongly with that.

If you look both historically and forward, the return-on-capital for VTY is better than for NVR. Countryside routinely did ROCE's above 70% as a public company, but that was juiced by some really exceptional projects in London. I think going forward, this is a 40-50% ROCE business (the company underwrites to at least 40% on every deal). This compares favorably with NVR, which over the long run has done 30-35% returns-on-capital.

So why is this? Well, it's because VTY has these enormous competitive advantages (scale, track record, relationships, expertise, etc.) where it can deliver these complex community regenerations in partnership with Local Authorities and other entities like Housing Associations, etc. There really isn't anyone else who can do this at scale (I think the #2 is probably Hill Group, which is 1/50th the size of Vistry partnerships). If you are a Local Authority, "no one gets fired for hiring Countryside" (which is Vistry's partnerships brand). It's just a no-brainer, especially given all the blow-ups that have happened when the volume housebuilders have tried to do partnerships themselves. That really hasn't gone well.

Yes, Vistry will buy land sometimes. Inside the M-25, very rarely. Outside the M-25, pretty often. But it's done in a way where Vistry gets other benefits - faster asset-turns, larger up-front payments, etc., something where they will still hit the 40%+ ROCE target. Some of Vistry's best partnerships projects are actually where there is some kind of brownfield redevelopment with an LA, and then Vistry buys additional parcels of contiguous land, and back-to-backs it with up-front payments from PRS providers. It's about the ROCE, not the land.

So I guess what I'm saying is you are correct that VTY is not completely like NVR, but that entirely misses the point. Of course they're not exactly the same businesses. The UK housing system is wildly different from how housing works in the US, and Vistry's partnerships model doesn't exist in the US. On this side of the pond, we don't have Local Authorities, we don't have Housing Associations, we don't have this really crazy planning permission process that has forced chronic underbuilding in the UK for the last 43 years, we don't have any of that. So correct, they are different. But that misses the point entirely.

It's what's the same that's important: (1) asset-light housebuilder, (2) high returns-on-capital, (3) great management team, (4) share buybacks.

The NVR comparison is not about the specifics of how the asset-light housebuilding model works. As mentioned, it's totally different in the US vs. the UK. The comparison is about how NVR's financial model delivered a 1200x return over the last 30 years following that 4-step playbook, and how Vistry is now doing the same - except it's growing faster, earns higher returns on capital, and is starting at a lower valuation.

It's about the financial model and the structure, not the specifics of how housebuilding works in the US vs. UK.

fiverocks

Subject	Re: Re: Thank You & Follow-Up
Entry	12/08/2023 05:03 PM
Member	zzz007
Thank you fiverocks, appreciate the helpful response	

Subject	BTW, macro trends are good
Entry	12/08/2023 05:32 PM
Member	katana

Here are the 1-year charts for UK inflation and 10-year yield.



Subject I think Partnerships is a bit hairier than others
Entry 12/08/2023 05:48 PM
Member Rtg123

Not involved in VTY. Reasonably positively inclined but I don't think the company on the other end of this transformation is as clean as is being alluded to.

The 40% ROCE target seems b/s to me. It excludes taxes on the numerator and intangible assets on the denominator. JEF accounts for denominator issues in their downgrade but if you account for 29% tax rate, we talking about a true ROIC that is in mid-teens by 2028 if you believe Jefferies numbers. That doesn't sound like some crazy amazing business to me and I don't think Jefferies is sandbagging the numbers (they more or less in line with Company targets). US builders have and I think will end up with much higher ROEs once gross margins normalize (see evercore note yesterday that was good).

Exhibit 7 - ROCE achievement depends on definition

	2022	2023E	2024E	2025E	2026E	2027E	2028E
Capital Employed	4,445	4,431	4,139	3,978	3,990	4,520	4,956
Capital employed excl cash, Firesafety and pension	4,293	4,180	3,838	3,696	3,554	3,628	3,541
Capital employed as above (average)	3,439	4,236	4,009	3,767	3,625	3,591	3,584
Capital employed as above less Intangibles	3,032	2,936	2,594	2,453	2,311	2,384	2,297
Capital employed Co definition (average of above)	2,471	2,984	2,765	2,524	2,382	2,347	2,341
Adj EBIT	451	462	451	508	643	794	849
ROCE company definition	18.3%	15.5%	16.3%	20.1%	27.0%	33.8%	36.3%
ROCE on consolidated EBIT and including intangibles and pension in CE	13.1%	10.9%	11.2%	13.5%	17.7%	22.1%	23.7%

I haven't followed UK housebuilding for anywhere near as long as others on this thread. However, we have followed CSP for last 4 years and never found the Partnerships business to be as clean as some local authority gives you land and then CSP/VTY just builds on it and you get a fixed margin and infinite ROIC cuz no land cost. Our interactions were more with legacy CSP team but our impression was that nothing is cookie cutter about Partnerships and deals do require capital frequently. I know legacy CSP team was bad and plenty of execution issues but I think many people just have the impression Partnerships isn't as simple/clean as is being presented and thats why no-erate yet. Maybe thats the oppty but I can't prove it. VTY team seem great and the background on them in this write up speaks for itself.

Finally, while i also agree only 25% of completions in Partnerships come from private sales, the ASPs are higher as are the margins. We thought at legacy CSP private sales made up 40% of revenue and over half the profits of the segment. Ie this business isn't so different cyclicalty than a normal housebuilder. It just has a story to tell to try and get an NVR-like multiple. Yes, I know the Partnerships business grew organically Y/Y vs housebuilding down double digits but CSP had a ton of execution issues creating a pretty easy comp. Long-term I do think this is a concern on the multiple

Like I said, I'm positively inclined on the stock. However, think the situation is hairier than maybe others do.

Subject Re: I think Partnerships is a bit hairier than others
Entry 12/09/2023 10:24 AM
Member Bismarck

I do not think the JEF denominator is right, though? Why would you include the intangibles from the countryside acquisition in the denominator? think about it as an incremental ROIC basis even, which is really all that matters. agree should look at it after-tax but that does not mean it's a bs number.

Subject Re: Re: I think Partnerships is a bit hairier than others
Entry 12/09/2023 03:12 PM
Member katana

I'll put some comparable numbers to this discussion:

The capital-employed # should definitely exclude intangibles, that is straight out of any standard corporate valuation textbook. (In any event it doesn't matter, as long as you compare with peers using like-for-like metrics.)

Let's use the 2028E numbers in that JEF table. 849m EBIT * (1-29% taxes) = 603m NOPLAT. I know mgmt guided to 29% tax rate for this year, but isn't that likely a bit high as a steady-state rate, even with the recent 600bps jump in UK corporate rates?

Excluding intangibles, you can use either 2341m or 2297m of capital employed from the JEF table. I'll choose the higher number.

You're supposed to average prior year's and current year's capital #s to get an average. Here the 2 years' #s are so close that it's not worth the extra math.

$603 / 2341 = 26\%$ ROIC

For comparison, my U.S. favorite LGIH, which is a fave in part because it has high ROICs relative to peers, has an average ROIC (defined the same way) for the past 10 years of 14%. I expect great things for LGIH in coming years, which, if my dreams come true, will push the ROIC to 16%.

So 26% for VTY is looking pretty good.

Subject	Re: I think Partnerships is a bit hairier than others
Entry	12/09/2023 07:27 PM
Member	fiverocks19
Rtg123-	

You sound like the RBC analyst. There are three "sells" on the stock out of thirteen analysts, including RBC. His whole short thesis is "they are calculating ROCE wrong!" because he thinks intangibles and land creditors should be added back.

First - speaking as a heavy short-seller who would put my track record on the short side up against anyone's... "the ROCE is calculated wrong" is not a short thesis. If one of my analysts brought it to me, I'd send him/her back. The buy side pretty much ignores the RBC when it comes to the housebuilders (and Vistry), for good reason.

Second - I agree with katana and Bismarck. Of course intangibles should be excluded. And land creditors should be excluded too, which are simply commitments to future payments for land, including via options, which is much like including future rent payments as debt on the balance sheet. When you pay down debt you don't get anything back. When you pay for land, YOU GET THE LAND. Ridiculous to include it.

Third - EBIT is used as the numerator because it's apples-to-apples and it's how everyone does it. Even the RBC analyst agrees EBIT is the right metric. The ROCE (return-on-capital-employed) calculation in the UK is EBIT/capital employed. Vistry partnerships earns twice the ROCE of the other UK housebuilders, and should earn about 1000bps better than NVR has historically earned. If you want to use net income, of course you can, but then you need to compare it apples-to-apples to everyone else. At a 45% ROCE and including a 29% tax rate, the after-tax return-on-invested-capital is still above 30%. Not bad at all.

On cyclicity. I could not disagree more that "this business isn't so different cyclicity than a normal housebuilder", which is a ridiculous statement IMHO.

During the 2008 financial crisis, when UK housebuilders issued billions of equity just to survive, Countryside partnerships grew its EBIT. During Covid, Vistry Partnerships grew its EBIT. In 2023, when the average listed UK housebuilder will see its EBIT down between -30% and -40%, the pro-forma partnerships business for Vistry will grow its EBIT. The track record here is fantastic. The outperformance in downturns is massive.

And it's not just being resilient when times are tough. When Countryside went public in 2015, its partnerships EBIT was 40M. When it merged with Vistry in 2022, full-year partnerships EBIT would have been 150M (even with no CEO in place). That's almost a 4x of operating profit in seven years. The growth here far outpaces other UK housebuilders.

I also would be curious to know what you mean by the business being "hairy".

If you mean that sometimes partnerships deals require land to be purchased, well of course that is true. That doesn't stop partnerships from earning a 40%+ ROCE or from being far more resilient/non-cyclical. I'd be happy to go through the partnerships business model in more detail to help you (or anyone) understand better how this works.

If you mean by "hairy" that the business is not so good, on this I'd strongly disagree. It's a fantastic business. But it's also a difficult business with high barriers to entry. Which is why the traditional volume UK housebuilders suck at it and have such a terrible track record. Here are a few articles relating their struggles (I have dozens more like this):

<https://www.constructionnews.co.uk/project-reports/barratts-6bn-enfield-residential-deal-collapses-26-10-2017/>

<https://www.constructionnews.co.uk/sections/news/mayor-blasts-barnet-regen-as-how-not-to-do-regeneration-19-12-2017/>

<https://www.building.co.uk/news/redrow-pulls-out-of-london-estate-revamp/5107401.article>

Point being, the competitive moat here is wide, and it's a tough business to do well. There's a reason why Countryside (Vistry) is in such high demand. They're the best at it, and everyone likes hiring and working with the best.

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Subject	Questions
Entry	12/10/2023 03:41 AM

Member

Forrest Gump

Thanks for the interesting write up. Two stupid questions:

1. If Countryside business was doing so great, why was McPherson forced out with the shares falling 28% concurrently. Stuff happens, but at first blush that that does not sound like the business was thriving
2. In the write it is mentioned that Fitzgerald owns about 10% of Vistry. Yet in the last AR I see only 1.6 MM shares. CapIQ has the same number. Am I missing something here?

Many thanks in advance, Forrest

Subject Re: Questions
Entry 12/10/2023 08:59 AM
Member agentcooper2120

All, Thanks for reading and engaging. After the Persimmon post, Vistry really did need its own idea and thread.

A few choices were made in where to focus the Vistry writeup, the drama that was Countryside was best left to previous posts. So we didn't get too in the weeds on what happened there. I have no doubt fiverocks can give a robust answer to point 1. On point 2, looks like a fat fingered change of what was \$10M vs. 10%, thanks for the catch. We do believe the VTY position is a solid portion of his net worth though.

Subject Re: Re: Questions
Entry 12/10/2023 06:04 PM
Member fiverocks19

Forrest Gump-

On #2, I agree with agentcooper2120. I think he meant 10M+ GBP ownership, including an insider buy of 5M GBP following the Countryside-Vistry merger announcement.

On #1, my view is that McPherson was a terrible CEO...and Countryside Partnerships still managed to grow EBIT from 2019 to 2022, which speaks to the business quality. It's kind of the inverse of that old Buffett quote: "When a management with a reputation for brilliance tackles a business with a reputation for bad economics, it is the reputation of the business that remains intact." In this case, a really poor CEO tackled a business with good economics, and operating profit still managed to go up in spite of the CEO.

Here are the crib notes on McPherson:

- Ian Sutcliffe was the CEO from the IPO until his departure in late-2019 (his wife was in a life-threatening car accident, and he departed to support her).
- The Countryside Board did a "desk search" (no external candidates), and then hired the candidate the search firm did not recommend, i.e., McPherson, for reasons that have never been made clear.
- McPherson was in way over his head. He was a terrible communicator, he had no gift for strategy, he didn't understand capital markets, and he misunderstood his job priorities.
- Sutcliffe had made a lot of noise that the company would go pure-play partnerships once both housebuilding and partnerships were "of scale". Upon his departure, Sutcliffe declared this objective had been reached and there were no further "barriers" to a separation. McPherson did a U-Turn on going pure-play shortly after his appointment in early-2020, which drew the ire of investors. Not long after, there were three activists involved (Browning West, David Capital, and Inclusive Capital).
- The Chairman of the Board who picked McPherson resigned in April 2020 under activist pressure. His replacement decided it was obvious the company should go pure-play partnerships and the company overruled McPherson and chose that path less than 90 days later. This really wasn't a difficult strategic choice. I think at this point, McPherson was already a dead man walking as the Chairman had taken strategic decision-making away from him.
- In addition to struggling with strategy and capital markets, McPherson was a poor operator. He thought the role of the CEO was to be a trouble-shooter, and he tried to centralize what is a naturally de-centralized business while spending most of his time in the weeds on minor operating issues. The result was way too much overhead in the center, and serious operating delays in the business as on-the-ground personnel waited lengthy periods of time for responses from HQ.
- It rapidly became apparent that McPherson was not the right guy, and the new Chairman fired him in January 2022 (less than nine months after the Chairman joined) and almost exactly two years after McPherson's start-date as CEO.

From 2019 to 2022, the EBIT of Countryside Partnerships grew from 120M to 150M. So it's not like he drove the business into the ditch...it was still growing. But man did he suck. We were happy to see him go.

Again, my takeaway is that this is such a resilient business, that even with this guy McPherson running it, the performance was still solid.

The new Vistry team plays at a different level. They have a great sense-of-urgency and are excellent operators. Watching the CEO (Greg Fitzgerald) and the CEO Partnerships (Stephen Teagle) go about their business is just totally different from watching McPherson flail. Lots of opportunity for this "A Team" to continue to improve the operation from here.

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Subject Re: Re: Re: Questions
Entry 12/11/2023 07:25 AM
Member Forrest Gump

Thank you for the thoughtful response Fiverocks.

Don't want to nit pick, but I think Fitzgerald owns less than GBP 10 MM worth of stock as the insider buy is smaller than it appears at first glance. The related party footnote and the insider purchase announcement make clear that the stake was purchased through Baker Estates Ltd rather than Fitzgerald personally. Baker Estate is a home builder run by Ian Baker in which Fitzgerald owns a stake and sits on the board. It is not clear how much he owns, but it seems to be less than 100%. Presumably 100% of the stock purchase of Baker Estate is attributed to him because he exercises some degree of control over Baker Estates.

This is very poorly presented in the annual report as it makes it look like he owned 100% of all shares directly without any footnote or explanation except for the related party note. When I read this initially I got it wrong so thought I'd point it out in case someone made the same mistake I did.

On a sidenote, I don't love him having a stake in a competitor from which he derives GBP 2 MM per year in income roughly in line with his comp from Vistry and which seems to have some affordable housing exposure as well (though they are south west focused where Vistry does not seem to be active). Also think given the potential for a conflict a lot more should be disclosed on his relationship to Baker Estates.

Subject Share Buyback Begins Today
Entry 12/11/2023 08:57 AM
Member fiverocks19

Nice timing, agentcooper2120.

The first tranche of Vistry's 1 Billion GBP share buyback program officially commences today.

https://otp.tools.investis.com/clients/uk/bovis_homes2/rns/regulatory-story.aspx?newsid=1741033&cid=1525

fiverocks

Subject Question on completions projection
Entry 12/12/2023 01:21 PM
Member AIFL

Question for anyone who cares to answer. I'm curious how you bridge the gap between Vistry's partnership completions over the past few years vs their projections. They're going from ~4.5k partnership completions in 2022, ~6k completions in 2023, to projecting 22k completions in a few years. I'm not insinuating this is impossible, I'm just curious how you bridge the gap to get there. Assuming that the structure of the deals in the industry is always via an LA/HA soliciting bids from builders (is this the case?), there are 2 ways you can bridge the gap. Either Vistry is about to start winning A LOT higher percentage of the bids, or the overall pie is growing significantly. What is the assumption here?

Assuming Vistry is about to start winning a lot more of the overall percentage of the bids out there (obviously the more realistic scenario), is this just a function of them bidding on more projects? And what is the restricting factor on that? Assuming they are not capital constrained because the partnerships business is capital light, is the cap literally just the total number of these projects happening in the UK? Do we have a sense for what that number is in terms of annual completions? I'm struggling with these numbers because via your writeup, the other 3 big builders are doing ~10k partnership completions annually (so roughly 16k annually between Vistry and the other big 3). So where are these extra completions coming from to get to 22k?

Subject Re: Question on completions projection
Entry 12/12/2023 05:06 PM
Member fiverocks19
 AIFL-

I don't think you have your numbers quite right.

Partnerships includes both mixed-tenure and partner delivery. In 2022, the pro-forma partnerships business for Vistry delivered 9,118 completions (see page 20), which is more than twice what you mentioned in post #19:

<https://www.vistrygroup.co.uk/sites/vistrygroup/files/2023-03/Full-Year-results-presentation-2022-SHOW%20FILE.pdf>

In 2023, the number of partnerships deliveries should be closing in on 11K, which is again close to twice the 6K number you mentioned for 2023. Overall deliveries for the combined group of both housebuilding and partnerships in 2023 is expected to be 16-17K.

The partnerships business model has asset turns roughly 3-4x that of housebuilding. By redeploying capital and projects from housebuilding to partnerships, the number of units delivered should increase notably. The right way to think about it, in my opinion, is to start from 16-17K units as a baseline for deliveries, and then assume a rate post-full conversion to partnerships that is some degree higher than that. I think you end up at 20K+ units pretty quickly. It's not tripling the number of partnerships deliveries, its increasing the total deliveries (fully under a partnerships model) by about 15%.

fiverocks

Subject Re: Re: Question on completions projection
Entry 12/12/2023 06:35 PM
Member katana

So, Vistry's stated goal is to double partnership deliveries, not nearly quadruple them as AIFL posited, because their starting number was too low. But the qualitative question still stands: The likely primary constraint isn't Vistry's capacity to supply (which they will have by shifting resources from legacy housebuilding), it's the implied increase in demand. How will they get that many more contracts out of the authorities and associations?

And since others here can almost certainly do a better job answering than me, I'll let them take a crack.

Subject Re: Re: Re: Question on completions projection
Entry 12/12/2023 06:46 PM
Member fiverocks19
 Hi katana-

I'm not sure that's quite right. Demand for what Vistry does is huge, and more than the company can satisfy.

Blackstone, through its subsidiaries Leaf Living (PRS) and Sage Housing (affordable) signed an agreement with Vistry last month to purchase £819M worth of units (1,000+ units/year). My understanding is Blackstone likely has a lot more cash behind that...and the company disclosed recently that it has another three "large" deals of similar size in the pipeline, plus numerous smaller deals.

PRS funding is expected to double over the next five years. The waitlist for affordable housing is 1.2M, a record in recent years. There are so many projects to deliver, and so much need for these units, it's really incredible.

The primary constraint is neither supply (projects to deliver) nor demand (willing buyers of the different-tenured units). It's people...i.e., the company's ability to execute. There isn't another firm of any scale doing partnerships in the UK that Vistry can poach people from. The only way for Vistry to grow is to have a robust training program (which it does) and aggressively train people in-house. That means the partnerships business can grow, but its growth is probably capped in the 10-15% range per annum just based on the availability of qualified people to deliver partnerships regenerations.

fiverocks

Subject Re: Re: Question on completions projection
Entry 12/12/2023 06:47 PM
Member AIFL
 So 2 questions on that.

1. I actually don't see them break out completions at the quarterly trading update so I'm just going off the half year report where I see completions of 4k so my numbers were off a bit. Would be around 8k for 2023. Where is the 11k number coming from?

2. This didn't actually answer my question. In order to get to 22k completions, these deals have to be out there for the taking. Where are they getting them from because I don't see that number out there currently?

Subject Re: Re: Re: Question on completions projection
Entry 12/12/2023 07:13 PM
Member fiverocks19
 AIFL-

Historically, the H1/H2 delivery breakdown was 1/3 vs. 2/3 for Countryside's partnerships business, weighted to the second half of the year. So extrapolated for Vistry, 4K in H1 would imply 8K in H2 (total would be 12K). I am being conservative and assuming the ratio may be a little tighter this year (in part because partner delivery is less H1/H2 imbalanced), hence the 10.5-11K figure. The sell-side is generally in-line with my numbers.

As mentioned in my response to katana, the demand for what Vistry does is enormous. Lemme throw a couple more out there.

In mid-2023, Vistry entered into a joint venture with Kier Property to deliver all of Kier Property's regeneration projects. This is brand new for Vistry. What is interesting about this deal is that Kier Property is the exclusive partner for Network Rail, which owns most of the rail network in the UK. To put that in context, Vistry's relationship with Homes England is by some distance its most important. Network Rail owns 3x as much land as Homes England. Regenerating transport hubs has become a major trend in the UK. As this relationship spins up, I could see it adding 1,000-3,000 units per year in deliveries.

Also in mid-2023, Vistry announced it would be starting its own Housing Association, backed by third-party capital, called Linden First. Purchase decisions would be made by the capital backers, but the idea would be that Linden First would receive priority access to Vistry-built affordable homes and in return, Linden First would only buy from Vistry. This could add demand for another 1,000-3,000 units per year in deliveries.

There are dozens more out there like this. Demand for PRS is relentless. Demand for affordable homes is relentless. And given the severe housing shortage in the UK, demand for private homes remains relentless. I don't think Vistry is going to be experiencing a demand problem any time soon.

fiverocks

Subject Re: Re: Re: Re: Question on completions projection
Entry 12/13/2023 09:54 AM
Member AIFL

Understood, thanks for the replies.

Subject	Greg's LT Bonus
Entry	12/13/2023 10:07 AM
Member	HTC2012

Anyone have the details of what Greg's newly negotiated long-term bonus structure is that barely passed? Thanks.

Subject	Re: Re: Re: Re: Re: Question on completions projection
Entry	12/13/2023 12:09 PM
Member	fiverocks19

No worries. I've clearly spent too much of my life on Vistry. Happy to answer any further questions you have.

This is one of those businesses where the more you peel back the onion, the more compelling it looks.

fiverocks

Subject	Re: Greg's LT Bonus
Entry	12/13/2023 12:17 PM
Member	fiverocks19

HTC2012-

Greg's bonus plan is very reasonable, in my opinion (we voted in favor). Greg makes £800K per year and his bonus can be up to 6x his salary, depending on performance. Most of the bonus (5/6) comes in shares that must be held for the long-term, so he's closely aligned with shareholders.

The specifics of the plan (i.e., the targets to reach and the KPI's to be judged on) for 2024 and beyond have not yet been released (you can, of course, readily find the 2023 criteria and targets). The Board wanted to lock down Greg as CEO, and they did the vote **before** announcing the strategy change to going pure-play partnerships, so it makes sense why they would defer setting the criteria for achieving the bonuses. ISS and Glass Lewis came out against because the criteria and thresholds for 2024 and beyond were not yet determined. I would guess ISS and Glass Lewis come out in favor on the next vote, when the details will be done and disclosed.

I spoke at length with Paul Whetsell, the head of the compensation committee, and he assured me the bonus targets would not be "gimme's" and that the company would award exceptional performance, but not mediocre performance.

None of this seems unreasonable to me. He's a stellar CEO running a business worth £3 billion. For his maxed-out compensation to be £5.6M...that feels like underpaying him TBH.

fiverocks

Subject	Re: Re: Greg's LT Bonus
Entry	12/13/2023 02:08 PM
Member	blaueskobalt

European governance standards are dumb. They focus too much on the theoretical rights of minorities and too little on actual alignment.

Subject	ROIC
Entry	12/13/2023 02:42 PM
Member	komrade.kapital

Trying to better understand the drivers of ROIC for the partnerships business and the key factors that make a >40% return sustainable ie the core of VTY's MOAT.

From a margin/numerator standpoint VTY targets 10-15% partnership margins. I imagine there's some scale here which speaks to the >\$50mn in synergies outlined at the time of Countryside M&A but it would seem plausible that this could be competed away by a smaller upstart who is willing to take a lower margin to win the job?

From a IC/denominator standpoint it seems like this would be the harder piece to replicate from a competitors standpoint. It's hard to see a sharp ROIC fade when the biggest cost outlay (land) is being paid using someone else's balance sheet but I also assume this is commonplace for partnership businesses in the UK and not unique to VTY?

So if margin profile and lack of upfront cost outlay are in theory replicable by competitors, I'm to better understand what locks in VTY's excellent ROIC and what is most difficult to replicate?

My current sense is its a combination of the following which in aggregate form a pretty strong competitive advantage: long-standing reputation, scale (inventory turns), capacity to submit and win RFPs, relationships, government inertia, lack of competition. On that last note -*Once fully transitioned to a partnerships model, it will be more than twice the combined size of its major competitors' affordable housing businesses.* Is there simply now a complete lack of competition for large scale partnership projects? what type of ROIC have other partnership businesses produced?

I recognize this is a but of qualitative question but any insights would be appreciated. To me that is the key question, if you believe the ROIC of the partnerships businesses is sustainable then it is simply a matter of time before that cash flow stream is rerated by the market.

Thanks,

KK

Subject
Entry
Member

Re: ROIC
12/13/2023 05:48 PM
fiverocks19

Hi KK-

The moat around Vistry's business is enormous. About as wide as any business I've seen. If you and I had a couple billion dollars to try and replicate it from scratch and compete...honestly, I'd say we would not be able to get it done, even over a 10+ year period.

First we'd have to prove that we could deliver complex regeneration projects (not sure how we'd do this). Then we'd have to build up all the relationships and knowledge around how to structure partnerships deals. Then we'd actually have to convince a Local Authority to join forces with us - which is a 3-5 year bidding process, and at the end of the day most LA's just pick Countryside (Vistry) because "no one gets fired for hiring Countryside". If we did get picked, I'd be nervous, because it means Vistry probably passed on the deal because there was something wrong with it and it's likely to blow up. Then we'd have to deliver it over a multi-year period. And then we'd have one partnerships deal...Countryside (Vistry) is doing like 75 concurrently right now. We're 15+ years in and still so far away...

I've attached below part of my own write-up on Vistry. But I think in some sense what it comes down to is Vistry has a set of competencies that are close to unique. The company has the expertise to develop complex mixed-tenure regeneration projects (technical expertise), plus has the ability to structure and deliver those projects working with a range of partners/stakeholders (management/relationship expertise), plus has the track record to actually win these regeneration deals (selling expertise).

For reference, while Vistry may only be a few times larger than the next-biggest "partnerships" business, the ones with some scale (like Lovell, Keepmoat, etc.) are really contracting businesses and don't directly compete with Vistry. If you compare Vistry to the next-largest "mixed-tenure partnerships" business, then Vistry is leagues ahead...at least 50x, and maybe more like 75-100x, the size of the #2 (which is probably Hill Group, <https://www.hill.co.uk/>). The company is so far-and-away ahead, it's just not catchable over any reasonable time frame.

Anyways, the section of my write-up is below.

fiverocks

*The partnerships model is difficult to replicate at scale. Countryside's **competitive moat is extraordinary**.*

*Traditional volume housebuilders are structured to deal with the eccentricities of the UK housing system. All residential construction in the UK requires approval from **local planning boards**, which are rife with NIMBY-ism and bureaucracy, and often take years to approve new developments (or redevelopments). As a result, there is a practical cap on how many homes are built each year, enforced simply by the slow pace of approvals from planning boards. In every year since 1980, the UK has had more new households formed than net dwellings built. The housing shortage in the UK is shocking – far worse than anything we can conceptualize in the US.*

*Volume housebuilders have adapted to this reality via a three-step model: buy land, get planning permission, and build/sell homes as quickly as the market allows. In this **land-led** approach, the value-add comes from (1) buying land well and (2) winning planning permission, which leads to a step-change in value. The actual building and selling of homes, while operationally important, is broadly commoditized and not how one builder distinguishes itself from another. The volume builder culture is about investing in and controlling land to maximize margins.*

*The partnerships model presents an obvious contrast. Instead of land-led, it is **partner-led**. Value-add comes not from buying land (which partners often provide) or winning planning permission (which is usually included in RFP's or development agreements), but instead from structuring good deals with good partners – and then delivering while keeping those partners engaged and supportive. Partnerships requires strong **project management, partner management, and community relations**; at sites like Acton Gardens, Countryside even publishes a newspaper to keep community members informed on progress. This kind of approach is entirely foreign to the volume builder.*

*But it's not just a culture gap – there are tangible barriers-to-entry too. Volume builders generally (1) don't have much experience with **mixed-tenure**, (2) don't have strong **relationships** with Local Authorities, Housing Associations, or PRS providers, (3) struggle to structure deals as they are incentivized by operating margins, not **return-on-capital**, (4) don't have **expertise** managing complex regeneration projects, and (5) don't have Countryside's **track record**. Even if volume builders wished to do partnerships, would anyone hire them? As Exhibit C shows, when volume housebuilders have dabbled in partnerships, it's often ended in spectacular failure.*

Subject	How do I lose money?
Entry	12/13/2023 07:49 PM
Member	tps12

Thank you everyone for the very interesting discussion. We have followed these two businesses and find the setup compelling. In a certain sense it almost seems "too good to be true."

The long thesis seems pretty clear. To ask a different question: how could I lose money in this idea? We'd like to understand the steel-man case for how capital could be permanently impaired from here.

Subject	Re: Re: ROIC
Entry	12/14/2023 03:56 AM
Member	Forrest Gump

Fiverocks,

This is super interesting. What makes Lovell and Keepmoat contractors while Vistry has a "real" partnerships business?

One the one hand from the data points we could find it seems that Lovell and Keepmoat have lower margins (something like 10% and 5% operating) more in line with a contracting business to your point. However, on the other hand Countryside listed both in their 2016 CMD presentation as competitors along with United House. And if you look at the websites of these guys it all sounds very similar to Vistry. Keepmoat for example boast the number of houses they delivered for Homes England and that they are one of the largest partners. Would love to understand what exactly the difference in business model is because to my mind how easy it is for someone to compete away the 40% ROCE is the crux of the thesis.

Many thanks in advance for being generous with your time, Forrest

Subject	Re: How do I lose money?
Entry	12/14/2023 08:08 AM
Member	katana

You should be open to the possibility that you basically can't lose money on this idea over a longer term, apart from beta with a prolonged market-wide decline. I've concluded over 20 years of trading them that homebuilding stocks are especially well-suited to that conclusion when the demographics, starting supply/demand balance, and valuations are on your side. As they are here, turbocharged by the transformation and buybacks. That is why I made VTY my second largest position. VTY is a better risk/reward than my #1. I've owned the #1 for years, have huge unrealized capital gains on it, and can let it ride forever without paying the taxes, because it will always trade "too cheap" (i.e. good remaining long-term upside).

Subject	Re: Re: How do I lose money?
Entry	12/14/2023 08:43 AM
Member	Bismarck

whats #1?

Subject	Re: Re: How do I lose money?
Entry	12/14/2023 08:44 AM
Member	TBayesian

katana, do you mind sharing what your #1 is (or top 3 names)?...i'd love to know the name that you could let it ride forever. Greatly appreciate your sharing thoughts on this name and others. Thanks.

Subject	Re: Re: Re: How do I lose money?
Entry	12/14/2023 10:17 AM
Member	katana

I just told you that you should buy VTY and not the other stock. If the question is what else to buy, buy bitcoin. Still the best risk/reward on my board and a far larger position for me than my largest stock position.

Subject	Re: How do I lose money?
Entry	12/14/2023 11:47 AM
Member	fiverocks19

tps12-

The "how do I lose money" question is a good one. I'll share my quick thoughts here. I'll also post the "risks" section from my own letter on Vistry in a separate comment. Hopefully between the two, it will give you a bit to chew on.

First, **we could lose money if there is a significant step-down in the UK housing market**. Some doomsayers have been calling for large declines in UK house prices for the last couple years - these doomsayers could not have gotten it more wrong. House prices are down -1% yoy in the UK, and are slightly up three months in a row. There is clear positive momentum building with 5-year fixed rates not just below 5%, but likely soon to be close to 4%. Vistry's partnerships business is well-insulated from market cycles, but remember the company still needs to finish exiting Housebuilding, which should be done by H2 2024. So if there is a significant step-down in the UK housing market in the very near-term (i.e., like a 20-30% decline over the next six months), that would be bad for sentiment and bad for Vistry.

Second, **we could lose money if there's a real execution issue**. So much of partnerships is built on reputation. If Vistry/Countryside did something that impaired the brand or the company's reputation (remember - this has happened repeatedly for the volume builders who have dabbled in partnerships), that could potentially pose a risk to the investment.

Third, **we could lose money if there is a structural change to the UK housing system that reduces demand for affordable housing built through partnerships regeneration**. I would put this as by far the lowest likelihood, but also maybe the only way our capital could really be impaired. Let's say Labour wins the election. Could they set up a public national housebuilder to construct affordable housing, which would compete against Vistry? Could there be a move to dramatically increase residential building on greenfield land, making regenerations less attractive? Could there be another policy implemented that I'm not thinking of? I mean look - anything is possible. But Labour has moved hard to the center and its current housing platform has none of this. The former is impractical (what would the UK do...borrow a trillion dollars to build affordable housing? Good luck with that...). And Labour has actually come out in support of "Right to Buy", when getting rid of "Right to Buy" would be the first step towards large-scale public housebuilding. If they won't even take the first step, I find it implausible that Labour would jump to the much more difficult steps 2-10. The latter is politically really difficult, as the push is actually in the opposite direction to do more brownfield regeneration. Labour will do a nod to this via its "new towns" building plans, but the quantum of housing that can be built this way is relatively small, only a percentage of it is affordable, and some of these deals can actually be structured as partnerships deals (Countryside's very first partnerships development in 1993 was Great Notley Garden Village, which was effectively a "new town").

Of course it's possible to lose money in any investment. But for this one, you'd have to have a really negative view of either (1) the UK housing market, (2) Vistry's ability to execute, or (3) the likelihood of a really radical and unpopular overhaul of the UK housing system.

fiverocks

Subject	Risk Section From Our Vistry Letter
Entry	12/14/2023 11:56 AM
Member	fiverocks19

Per my post #38, here is the risks section from our letter on Vistry.

fiverocks

Risks

There is much to find compelling in a Vistry investment. But as always, there are risks to consider.

One risk is 2024 is an election year in the UK. Though anything can happen, the Conservatives are widely expected to lose to Labour. Housing is a winning issue in the UK: the two main parties try and outcompete each other for whose policies will best support the housing market. That said, as Labour has moved towards the center in a bid to return to power (and rolled out a series of pro-housing proposals), our sense is most UK housebuilding executives now prefer a Labour win. Regardless of outcome, we expect the next UK government to be pro-housing.

A second risk is Vistry's valuation multiple. We have made the case for Vistry trading at 15-20x EBIT. We could be wrong. We could also be early, as it may take longer than expected to re-rate. That said, given the low multiple today, we believe the up/down on where Vistry's multiple heads from here is favorable.

A third risk is the UK housing market, which has struggled over the last 18 months. This is worthy of discussion.

The first project of my professional investment career was a deep-dive into the UK housing market. The year was 2007, and I was tasked to see if UK housing would follow the path of US housing (which had peaked in 2006 and was rapidly headed toward disaster). My answer was an emphatic yes – UK housing was in trouble.

I remember traveling to Bingley, a town in the north of England, with my boss XXX. We were seeing UK mortgage lender Bradford & Bingley, then valued in the billions. En route from the train station, XXX and I were regaled by the cabbie – he had purchased three dozen “buy-to-let” rental properties, no money down, interest-only, using the rising value of one property to fund the next, all entirely on credit. It was a story straight out of a movie.

We arrived at the meeting. The CEO breathlessly told us he had terrific news to share. New European regulations called “Basel II” had just been decided, and Bradford & Bingley could now shrink the amount of capital it held in reserve against its mortgage loans (“buy-to-let” was more than 40% of its portfolio). In fact, Bradford & Bingley would be able to reduce its capital by as much as one-third – or said another way, increase its leverage by 50%.

XXX and I exchanged looks. We knew exactly where this was headed. Of the four UK mortgage lenders we shorted, three went bust (the fourth barely survived). Bradford & Bingley was one of the first to go.

I had a front-row seat to the 2008 UK housing bust. And to me, today's UK housing market looks nothing like that:

- UK mortgage lenders are well-capitalized. In 2008, it was hard to see how mortgage lenders had enough capital to make it to the other side. Today, UK mortgage lenders are overcapitalized.
- UK mortgage lenders have been prudent. In 2008, loan-to-value ratios of 100% were common. Today, the average loan-to-value across the UK mortgage market is 45% and on new mortgages it's under 80%. Buy-to-let was a significant category of lending in 2008, but today it is a minor category.
- UK mortgage rates remain low. A five-year fixed rate mortgage can be had for under 5%.
- Only 28% of dwellings in the UK even have a mortgage. Most properties in the UK are either owned outright or are social housing owned by the government or Housing Associations.
- UK housebuilders are in strong financial position. In 2008, UK housebuilders were heavily indebted going into the downturn, and were forced to issue billions of equity to survive. Today, UK housebuilders have billions of net cash and are buying back shares at attractive prices.
- The supply-demand balance is worse. The UK housing shortage is more critical today than ever before. Housing inventory for sale is 70% lower than in 2008.

With healthy lenders and a lack of supply, house prices in the UK are barely down year-on-year (just -1%) and are up three months running. Investors, fearing a repeat of 2008, have sold off UK housing stocks. We see this as misguided and believe the sector is cyclically attractive. Any recovery in sentiment would be positive for Vistry.

A fourth risk is execution. Two sell-side analysts recently flagged concern that Vistry must deliver 20,000+ homes to meet its mid-term operating profit target. The analysts noted no UK housebuilder has delivered more than 18,000 homes in a year. Our counter is (1) there's no magic to this figure, and in fact the largest US housebuilder sells over 80,000 homes per year, (2) the partnerships model delivers higher asset turns and more homes than a traditional housebuilder, (3) Vistry is already expected to produce nearly 17,000 homes in 2023, so it's not a meaningful leap to reach the target, and (4) Vistry's current operating footprint has capacity to deliver 25,000 homes per year at full output. That said, it is for Vistry to execute and prove the worries unfounded.

Subject	Countryside (Vistry) vs. "Partnerships" Peers
Entry	12/14/2023 01:52 PM
Member	fiverocks19

Forrest Gump-

Really good question on how Countryside (Vistry) compares to other "partnerships" businesses. Btw, Vistry is the name of the company, but the partnerships business (which will soon be 100% of the company) is branded as "Countryside", so I use the two interchangeably in my posts when discussing the partnerships business.

Countryside is a mixed-tenure partnerships regeneration developer. By "mixed-tenure", I mean it delivers a combination of private-for-sale housing, PRS housing (private rented sector), and affordable housing. Countryside does both the development (overseeing all design, planning, stakeholder management & relationships, etc.) as well as the construction (managing lots of sub-contractors as well). Countryside's projects almost always have some form of "regeneration", i.e., rehabilitating some land or buildings that had a prior use. In a minority of projects, it is entirely greenfield land (as opposed to brownfield land); outside of London, projects are often a mix of brownfield and greenfield.

Keepmoat is probably the most relevant peer of some scale. The company is PE-owned. Keepmoat delivers just shy of 4,000 homes per year (Countryside will soon be delivering 20,000+). The Keepmoat model is mixed-tenure, but it does not deliver PRS - the latest breakdown is 28% affordable and 72% private-for-sale. The ROCE on this business is about 30%. Keepmoat does not operate in London; its footprint is from the Midlands up to Scotland. So Keepmoat doesn't really compete with Countryside - one, it's not in London, which is Countryside's most important geography, and two it doesn't deliver PRS, so it's not really competitive on the regeneration projects Countryside bids on. Could Keepmoat do PRS? In theory it's possible, but PRS providers are looking to deploy huge sums into the UK...and Keepmoat's business is flat-to-shrinking, not growing. It would be like buying a stock knowing the liquidity was going to dry up. PRS providers are looking to partner with companies they can grow with, and Keepmoat is not one. So it's kind of a peer to Countryside, but doesn't really compete with Countryside.

Lovell is another partnerships business, owned by Morgan Sindall, which is a public company (MGNS LN). Lovell delivers just shy of 1,500 homes per year, and is mostly a "contracting" business. By this I mean it does not do development (the tough and complex value-add bit overseeing these projects), and really just gets hired to build X number of affordable homes as a contractor. Contracting is 61% of Lovell's revenue. The business earns about a 14% ROCE, and does not compete with Countryside for mixed-tenure regenerations. Lovell only operates in England. Morgan Sindall also owns a genuine comp to Countryside which is called **Muse** (<https://museplaces.com/>). Along with **Hill Group** (<https://www.hill.co.uk/>), Muse is probably the closest true comp to Countryside as it does "placemaking" (i.e., both development and construction) of mixed-tenure partnerships regeneration projects. Both Muse and Hill Group are a tiny fraction of the size of Countryside.

United Living, previously called United House, is also primarily a contracting business. However, United Living adds another element which is they do property management and services post-construction - so if (for example) a Housing Association contracted with United Living to build them 100 affordable homes, United Living could then do the property management and services for those 100 affordable homes thereafter. As you can see from the company's website, <https://unitedliving.co.uk/>, the company lacks focus and performs all kinds of other projects including having a large infrastructure division. United Living does a very small amount of regeneration and PRS / mixed-tenure, but it is not the focus of the business.

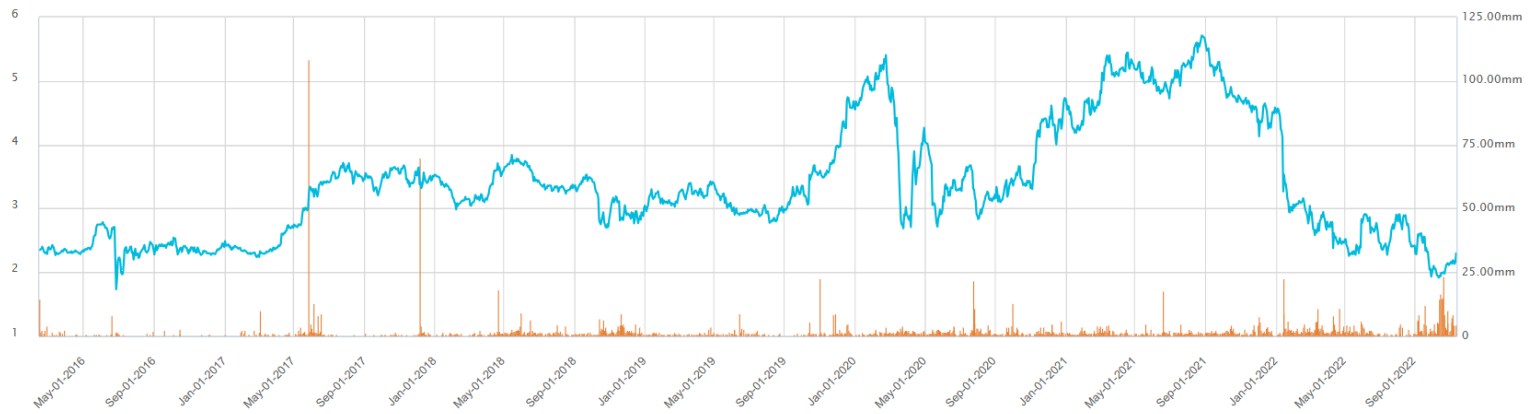
The two most recent partnerships transactions were Keepmoat and Galliford Try Partnerships, which each were acquired for 12-13x EBIT. My suggestion is Countryside is a much higher-quality business...it has far greater scale, it's growing (Keepmoat is actually shrinking), and it earns a better return-on-capital than either of those businesses. I think Countryside (Vistry) should command at least a 15-20x EBIT multiple.

Hopefully this is helpful. But I also hope this makes clear that there really isn't any competitor of even modest scale to what Countryside does, and the "partnerships" peers out there would have to add new skill sets and/or entirely change their business models to get there.

fiverocks

Subject	Re: Countryside (Vistry) vs. "Partnerships" Peers
Entry	12/14/2023 04:55 PM
Member	hbomb5

fiverocks/agentcooper/others - New to the story here. If you can please share the historic context of the Partnerships business (predominantly Countryside I suppose) before the Vistry acquisition, that will be helpful. I am trying to understand what changed after the acquisition considering the chart below of Countryside suggests that the underlying value of the Partnerships wasn't recognized by the investors as an independent entity. Curious if you have a view as to why it could work going forward. Thank you very much for excellent discussion below.



Subject Homebuilders, project risk, trustpilot
Entry 12/15/2023 04:41 AM
Member Griffin

Thanks for an interesting write-up and q&a. I'm also new to the story.

- 1- Fiverocks, you didn't mention project risk in your list of investment risks. Does Vistry not bear any project-related risks, such as cost overruns or delays?
- 2- You highlighted the distinctions between Countryside and other partnership businesses. Could you elaborate on how the partnership businesses of major construction companies (Barratt, TW, Persimmon) compare to Countryside?
- 3- I notice that Vistry, Bovis, and Linden Homes have low Trustpilot ratings. Is that a concern?

Subject History of Countryside
Entry 12/15/2023 10:28 AM
Member fiverocks19

hbomb5-

I've attached below the recap from our Vistry letter (slightly modified) which details Countryside's recent history. Hopefully this is helpful.

fiverocks

We first met Countryside in our offices in 2017, two years after its IPO on the London Stock Exchange.

At the time, Countryside operated both a partnerships business and a traditional housebuilder. This confused the market, as asset-light businesses (like partnerships) are valued on an **earnings** multiple, while asset-intensive businesses (like traditional housebuilders) are valued on a **book value** multiple. Investors had taken a cautious view and valued the entire company on book value – giving no credit for the higher-quality partnerships operation.

Countryside's CEO, Ian Sutcliffe, recognized the mispricing. He told us his goal was to create a pure-play partnerships business – he just needed time to get both segments to scale so they could be separated.

In November 2019, at Countryside's fiscal year-end results, Sutcliffe declared the two businesses were "in good shape" and "of scale"; there were no further structural barriers to separation. Unfortunately, at the same results, he announced his retirement to support his wife as she recovered from a life-threatening car accident.

The replacement CEO was an internal hire named Iain McPherson. McPherson, who lacked Sutcliffe's facility with strategy and capital markets, quickly back-tracked on a separation, drawing the ire of investors. In late-2020, Los Angeles-based fund manager **Browning West** disclosed a 9.4% stake and launched a public activist campaign in support of a pure-play partnerships model. Browning West and its Chief Investment Officer, Usman Nabi, were highly-regarded and fresh off a successful activist effort with London-listed Domino's Pizza Group plc.

Countryside's Board responded with inertia and half-measures. This lack of movement caused a second activist, Chicago-based **David Capital Partners**, to go public in April 2021. David Capital disclosed a 4.6% stake and called for significant change via an article in *The Times*, the UK's most-respected national publication.

The article had the desired effect. **Within 24 hours, Countryside's Chairman of the Board resigned.** Within three months, the Board announced a strategy shift to focus all its resources on its partnerships business. And within nine months, both CEO McPherson and the CFO were gone, and Pete Lee (a Browning West partner) was named a Non-Executive Director.

The activists then faced a curveball, as Countryside struggled to attract a great CEO. Top-tier CEO's wish to work with top-tier Boards, and the Countryside Board – which had failed in its last CEO selection and failed at strategy until pushed by activists – proved unappealing. As frustration grew, a third activist entered the fray when San Francisco-based **Inclusive Capital** bid for the company, forcing Countryside into a strategic alternatives review.

During the strategic review process, five fund managers (Browning West, David Capital, Inclusive Capital, Anson Funds, Abrams Capital) each executed an "**irrevocable undertaking**" to support a stock-for-stock merger of Countryside and Vistry. These fund managers collectively owned 39.3% of Countryside (the documents are publicly available on the Vistry website). Vistry had attempted to acquire Countryside twice before, only to be rebuffed by the Board. With this level of support, **the Countryside Board was checkmated** – and had little choice but to move forward with a transaction on Vistry's third try.

After the deal was announced, shareholders at both Vistry and Countryside voted to approve the transaction. We supported the stock-for-stock merger for three reasons:

- **Leadership.** Vistry's management team, including CEO Greg Fitzgerald and Partnerships CEO Stephen Teagle, was best-in-sector with an outstanding track record of operational excellence and value creation.
- **Strategic Logic.** Vistry was the only other listed housebuilder with a partnerships division.
- **Deal Terms.** The deal was stock-for-stock, allowing us to roll our position into the merged company. Countryside shareholders also received a deal premium. The day prior to the merger announcement, Vistry's market cap was 60% larger than Countryside's – but if all owners had taken their full allotment in stock (as we did), Countryside shareholders would have owned 52% of the combined entity.

The transaction completed in November 2022. Since then, the integration has gone well: Vistry has successfully brought together the two partnerships operations under the Countryside brand, and has raised synergy estimates.

But there was one more big announcement still to come.

In September 2023, Vistry unveiled a new strategy. The traditional housebuilding business would be exited, with housebuilding sites/land either sold or converted to partnerships. Over £1 billion of unlocked cash would be returned to shareholders via stock buybacks. **By H2 2024, Vistry would be a pure-play partnerships operator.**

It was a full-circle moment. The best-in-class Countryside partnerships business now had the right leadership, the right strategy, and the right capital allocation policy. The path was not linear, but the outcome was fantastic.

Subject
Entry
Member

Re: Homebuilders, project risk, trustpilot
12/15/2023 11:17 AM
fiverocks19

Griffin-

1) Correct. I would not view project risk as a major risk to the investment thesis. Countryside is well-diversified, and has in the neighborhood of 75 partnerships projects in motion. There is no single project, five projects, or ten projects that would pose systemic risk to the business if they all went wrong. Of course there is a range of outcomes on projects, with some missing the 40% ROCE target and others achieving 100% ROCE or more. But as a whole, projects go well. My understanding is that prior to the merger, there was only one Vistry Partnerships project not achieving a 40% ROCE, and it was in the 25% ROCE range with clear steps being taken to get it to 40%+ (I actually visited that site in person to better understand what they were doing to get it on track...the answer was they didn't have enough PRS on the site to keep invested capital low, and they were working to bring in an additional PRS partner).

With respect to cost overruns or delays, Countryside is well-protected. Countryside generally pre-sells at least 65% of a project and locks in labor and materials costs. There are standard penalties in the contracts with sub-contractors if they don't deliver on time, but those costs are fixed against the pre-sales. In addition, Countryside uses project phasing on nearly every project (only ones without would be a short project, like one that would deliver over a couple years). This allows Countryside to tweak the plans with its partners for every phase to ensure the company will hit its ROCE targets. For example, at Acton Gardens, they are now on phase 9 or 10, with 9a, 9b, 9c, etc., implying the project has now gone through ~30 phases. This sets guardrails around every project's economics. Honestly, the way a project goes wrong is when the up-front structuring gets screwed up. This is what Countryside is best at, and where traditional volume housebuilders struggle most.

2) Speaking of traditional volume housebuilders, they really don't have partnerships divisions. Or at least, they don't approach partnerships in an intentional, strategic way - they do partnerships opportunistically when it arises. Taylor Wimpey has a few partnerships projects that are <10% of revs. Whitehill & Bordon is one. Chobham Manor is another. TW actually partners with Countryside at Greenwich Millennium Village. It's a small ad-hoc business.

Same goes for Barratt, which stopped disclosing its partnerships numbers in 2018 - but at the time its partnerships business was in clear decline, falling in size by a third from 2014 to 2018. I'd also note the CFO of Barratt was the CFO of Countryside who saw the writing on the wall and departed in 2021 when the activists got involved. It took a long time to clean up the mess he left behind, and honestly it wasn't really fully cleaned up until Vistry took over. As one person I spoke with told me, "Barratt likes to talk the talk on partnerships, but they do no walking." As mentioned in another post, many volume housebuilders have had partnerships projects blow up on them in recent years (including really big projects go bad for both TW and Barratt), and they are gun-shy about investing too much in what are non-material businesses for them.

Persimmon probably has the most intentionality with its partnerships brand called Westbury Partnerships. This is 100% affordable and sells only to Housing Associations; it's not mixed-tenure. It doesn't compete against Countryside. This business has had flat growth over the last five years at 2,700 homes in 2017 and 2,700 homes in 2022.

3) I don't think so. Most of the Trustpilot reviews for Bovis/Linden/Countryside are unverified "organic" reviews. Bellway, TW, Barratt, and Persimmon all pay Trustpilot, have far more reviews despite delivering fewer homes (anywhere from 5K to 9K vs. Vistry total under 1K), and rely on verified reviews. The better way to evaluate build quality is the HBF score. The HBF score includes huge numbers of surveys of verified purchasers, and tracks build quality comprehensively and in real-time. Countryside is a 5-star builder...in fact, if you are listed and not a 5-star builder, you are doing something wrong with your builds...and I would be nervous if there was a threat to the company's 5-star rating. But there is no threat. Countryside builds highly-rated homes and this can be clearly seen in the data of the key HBF ratings source relied on by the industry.

fiverocks

Subject	Re: History of Countryside
Entry	12/15/2023 12:07 PM
Member	hbomb5

Thank you for sharing. Hope it works out for you. Good luck.

Subject	Re: Re: History of Countryside
Entry	12/15/2023 01:02 PM
Member	fiverocks19

Appreciate it.

I think the simple answer is there has never been a listed pure-play partnerships business before. Much less one as high-quality as Countryside (Vistry).

As Vistry gets there in 2024, I think you'll have a combination of higher profits, higher ROCE, and a valuation re-rating...all sped along by share buybacks that can retire half the shares outstanding at current prices. It's the kind of set-up we look for.

fiverocks

Subject	Increase in operating profit
Entry	12/16/2023 03:15 AM
Member	asafpol

There's something that puzzles me about the thesis here -

How does moving to the partnership model allows construction crews to build faster?

The shift to partnerships will result in lower margins. I understand the return of capital part of the thesis, but if the business was to increase operational profit (and ignoring the ability to hire more construction crews) that would mean that the same construction crews would need to build much faster, so to compensate for the reduced margins. How does that happen exactly? I assume the homes built at the partnership model are similar to the ones built in the traditional model.

Can anyone please help me bridge this gap?

Subject	Re: Increase in operating profit
Entry	12/17/2023 12:22 PM
Member	fiverocks19

Happy to help on this one. It's actually relatively straightforward.

The business model for the volume builders is to match build rates to sell rates. So if you are selling 2 homes/week at a site, you match your build schedule to construct 2 homes/week. If the sell rate drops to 1 home/week, you reduce your build schedule to construct 1 home/week. **The volume builders are ALWAYS building inefficiently** - they almost never run flat-out in their build schedules, and provide only modest visibility to sub-contractors. As a result, sub-contractors have to charge a little extra to compensate for the likelihood they will be furloughed or paused at various points along the project, and will need to find new less-profitable work last-minute to fill the gap.

The business model for partnerships is different. In a partnerships project, at least 65% of deliveries are pre-sold. But in practice it's more than that, as Countryside generally pre-sells its private-for-sale units by 6-9 months. So in many cases, you're looking at 75-80%+ of partnerships projects pre-sold. In addition, in the event there is some market turbulence, Countryside generally has flexibility to adjust its tenure profile to match market conditions (avoiding any need to slow down build schedules). What this means is that **Countryside can build flat-out, all the time**. There's no need to furlough, no need to pause, Countryside just keeps building.

Clearly this is a **more efficient** approach. But it's also a **more cost-effective** approach. With so much visibility, Countryside can go to its sub-contractors and say - hey, let's do a volume discount, I'll give you visibility on building all the way through the entire project, and you take 10% off your rate. For the subs, this is a great deal...instead of having to deal with furloughs (which can lead to zero business for stretches of time, or to business done at really low rates to plug the gap), the sub-contractors know they have guaranteed work and can plan accordingly. This lowers the costs for Countryside, leads to better profits for the sub-contractors, and leads to more efficiently built (better bang-for-buck homes) for Local Authorities. A win-win-win all around.

And this gets to the heart of the asset turn advantage of partnerships. Countryside wins on price...but in general, can deliver at 2x, 3x, even 4x the pace of traditional volume housebuilders.

Hope that answers your question

fiverocks

Subject	Why is sellside so bearish?
Entry	12/18/2023 12:11 PM
Member	erst1071

Thanks for a great writeup on an interesting situation. I think the current valuation and setup between sellside and buy-side here makes it even more interesting.

Specifically, I am referring to that sellside is categorically negative on the stock, despite it trading at 6.8x their estimated EBIT. On the other hand, I see someone has categorized this as "hedge fund Hotel". What is sellside missing here? Looks too good to be true..

Subject	Re: Why is sellside so bearish?
Entry	12/18/2023 12:20 PM
Member	Bismarck

I feel like this happens in a number of European names. European sellside thinks much differently than U.S. sellside and U.S. buy-side. When there is a dramatic under-appreciation of future growth prospects, you tend to see many U.S. based funds buy up shares (making the "HF hotel" moniker).

Subject	Re: Re: Why is sellside so bearish?
Entry	12/18/2023 01:04 PM
Member	fiverocks19

Agree with Bismarck.

I'm also not sure I'd say the sell-side is "categorically negative". The buys are Peel Hunt, HSBC, Liberum, Davy, Goodbody, Numis. Peel Hunt is probably the #1 sell-side bull on the name. The neutrals are Redburn, Jefferies, Berenberg, Citi, Investec. The sells are JPM, Barclays, RBC, UBS.

So it's 6 buys, 5 neutrals, 4 sells. Which I think is a nice set-up. There is a real bull thesis (hence 6 "buys") but also a lot of the sell-side sitting on the sidelines trying to better understand the partnerships model and whether it's really as good as we think it is (after years of my own due diligence - it's exactly as good as we think it is). My best guess is many of the neutral/sell folks are likely to jump to the buy camp as partnerships proves itself and the stock starts to work.

fiverocks

Subject	Re: Re: Re: Why is sellside so bearish?
Entry	12/18/2023 03:43 PM
Member	katana

I can address "hedge fund hotel." It's 180-degrees wrong to apply that phrase here. The phrase properly applies, negatively, when a stock has become popular in idea-sharing dinners, is going up, and is owned by a bunch of funds with a momentum bent who might bail more quickly. I see no negative implication in this case for a stock whose price is treading water well off its 3-year high being owned in size by a relatively small number of U.S. funds that are known value investors who won't sell until it's a multi-bagger.

Subject	Two questions
Entry	12/18/2023 09:38 PM
Member	compounders

1) What prevents someone like a Persimmon from focusing more on the partnerships business and competing directly with Vistry? I understand there are nuanced among the different partnership businesses from each housebuilder, but someone like Persimmon has the scale, experience with complex project delivers, and relationships with housing authorities. I use Persimmon as an example though to some extent the question applies to Barratt (some existing partnership business), Credit Nicholson (does 3k a year apparently in partnerships I have heard), and Bellway which is doing 3-4k a year in regeneration.

2) Does anyone know how to bridge from 425mm of current year EBIT to the 800mm LT term? What happens to the half of the EBIT that currently comes from housebuilding? Is the argument basically take half of current ebit away, get TNAV from the builder half in lot sale and half as a base for more partnerships?

Without being too in the weeds it's a little hard to understand beyond part of the land bank having value how the Vistry deal really accelerates the partnerships business. If it does accelerate it, it would mostly seem to follow that it would equally accelerate for a handful of other builders if they were so inclined / basically it's saying the talent and land is fungible to a large extent.

The questions from the RBC analyst about how one actually goes about delivering the # of partnership units per annum underpinning the 800mm ebit estimate seem appropriate, as well. It doesn't "feel" like a lot relative to the housing shortage but he seems to be correct in it being a very high # relative to what anyone else has previously managed.

Subject	Re: Two questions
Entry	12/19/2023 12:38 PM
Member	fiverocks19

compounders-

Happy to answer your two questions.

1) I've already addressed the competitive moat in other posts. Specifically, I'd refer you to posts #7, #13, #31, #40, and #44, which provide detailed analysis. I think the moat here is extremely wide, and none of the companies you listed would be able to compete in mixed-tenure partnerships regenerations projects for many, many years (if ever) even with a dedicated effort - and none have a dedicated effort in place today. In particular, the three housebuilders you've mentioned are especially unlikely candidates to become major competitors to Countryside due to internal issues. **Persimmon**, which was long considered the 2nd-highest quality housebuilder after Berkeley Group, overhauled its management team a few years ago and the new team appears badly in-over-its-head (they were brought in from outside housebuilding) and has been making a lot of basic mistakes (for example, how it handled cladding negotiations with the government - an absolute disaster, Persimmon ended up being the only housebuilder publicly reprimanded by the UK government). Persimmon is rapidly falling down the league table of quality, and is probably a relative short. **Crest Nicholson** is considered the lowest-quality of all the public housebuilders and trades at the lowest book value multiple; it also issued a profit warning a few months ago because it tried out a partnerships project and had to take significant write-downs on it. Last, as mentioned in post #44, **Barratt** has its own management issues (the old Countryside CFO under McPherson who left a mess is the current Barratt CFO...no thank you!) and history of partnerships blow-ups (see post #13 vis-a-vis Barratt and Enfield Council - after Barratt failed on this project, which is called Meridian Water, Countryside stepped in and is now Enfield Council's partner on this project. I actually visited it in-person earlier this year - it's going really well now that Countryside is leading it!).

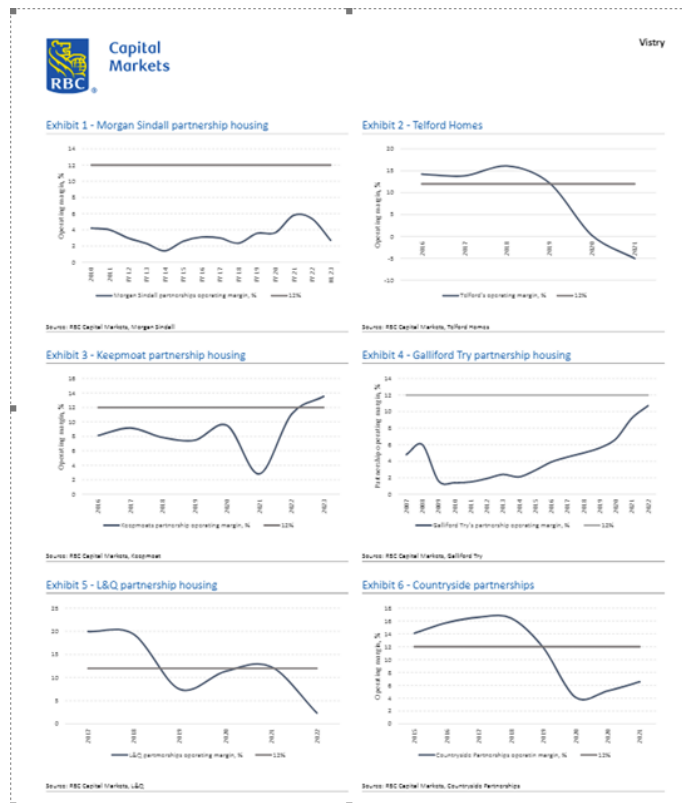
2) I think you have your numbers a bit wrong. Vistry's targeted profit-before-tax in 2023 is £410M. Interest expenses should be around £75M, so EBIT in 2023 should be about £485M (in your post, you said £425M, which is not correct). The interest expense number should go down a lot as the company pays its debt to zero as part of the capital release from exiting housebuilding. The company then has another £35M of cost synergies to realize in 2024 from the Countryside transaction, plus a further £25M cost synergies from the exit of housebuilding; both of these are "minimum" targets. So this broadly gets you to £550M EBIT. Then you have a number of Countryside projects either from (i) the Westleigh acquisition or (ii) negotiated under McPherson that are below the 40% ROCE target; as these complete/cycle off or are restructured, this should add at least £100M to EBIT, so now you are at £650M EBIT. Finally, there is the growth in the business which is targeted in the HSD but historically has been low-double-digits on the top-line, as new territories scale up and new partnerships projects hit full run-rate. 8% growth CAGR over three years from a £650M EBIT base gets you to £819M EBIT.

Another way to think about it is from an invested capital and ROCE perspective. The total invested capital in Vistry today is about £3 billion. About £1 billion will be returned to shareholders via buybacks, which leaves about **£2 billion of invested capital** in a pure-play partnerships business. At a **40% ROCE**, this is £800M EBIT. Over time, I believe partnerships can earn closer to a 45-50% ROCE (Countryside earned 70%+ ROCE's for a number of years in a row between 2015-2019), which would indicate that Vistry has a realistic path over the next five years to approach £1 billion EBIT.

fiverocks

Subject	Margin/stability for Partnership model
Entry	12/19/2023 01:00 PM
Member	crestone

Reading the RBC (sell-rated) research, and the one great point they make IMO is that for others and for Countryside, the partnership margins have been generally lower and much more volatile than Vistry's guidance/commentary implies. I get that scale and diversification should help Vistry, but can Vistry do that much better than other partnership business models, including its own?



Subject
Entry
Member

Re: Margin/stability for Partnership model
12/20/2023 12:00 PM
fiverocks19

crestone-

This set of graphs shows why the RBC analyst is such an insufferable lightweight. **This is like presenting Boeing, Tesla, United Airlines, Fed-Ex, Union Pacific, and Scorpio Tankers together and saying there's a read-through because they are all "transportation" companies.** It's misleading, has no collective informational value, and - much more likely - can lead you to inaccurate conclusions.

Let's have a look. The first business is a 4% operating margin contracting business (**Lovell**, owned by Morgan Sindall) and the last business is a 12% operating margin mixed-tenure partnerships regeneration business (**Countryside**). Wildly different operating models, business characteristics, incentive structures, etc. They are nothing alike. As the Brits say, this is comparing "chalk and cheese".

The second business presented is **Telford Homes**. I have no idea why it's included. It's a build-to-rent provider, not a partnerships business, and should be excluded. The third is **Keepmoat**, which is a non-PRS mixed-tenure partnerships business with 72% exposure to private sale (vs. only 30-35% for Countryside). The fourth is **Galliford Try Partnerships**, which transitioned over a 15-year period from a contracting model to a mixed-tenure model before merging with Countryside. The fifth is a Housing Association, which is a not-for-profit seeking to own and manage affordable housing. Critiquing **L&Q's** operating margin is like saying the Make-A-Wish Foundation is not successful unless it produces a profit from donations. That's not the goal of the organization - it's to make sick kids happy. Why are we including a not-for-profit in this analysis? It's ridiculous. There's no informational value when looking at these six disparate businesses side-by-side.

What this table does tell you, however, is **a story of the history of each individual business**. Telford homes was acquired by CBRE in 2019 - whoosh, its margins collapsed under new management (CBRE used Telford as a platform to boost profits at other subsidiaries). Galliford Try Partnerships slowly built up its mixed-tenure business over a decade, and was acquired by Vistry in 2019 to accelerate that process. This effort has been hugely successful, and you can see operating profit grew straight through the pandemic. **It's a great endorsement for the mixed-tenure business model and for Vistry's management team.** Conversely, you can look at Countryside and see what happened when McPherson took over in 2020 and 2021. The business remained profitable, and continued to grow the top-line, but there's a reason he was fired at the beginning of 2022.

I'd encourage you to look at **post #40** for a comparison of the different partnerships models. But I think the takeaway is there is a spectrum of margin profiles in partnerships. If you do the easy bit - just contracting - yes, you will earn operating margins of 4-5%. The more complexity that's added - doing mixed-tenure, doing regenerations, doing development not just contracting, etc. - you get paid for that, all the way up to a low-teens operating margin which is where Vistry (Countryside) shakes out. If you want 20% operating margins, then you can do traditional volume housebuilding; of course, this requires you to invest huge sums of your own money into each project, adding risk (illiquidity), cyclicality, and knocking down your return-on-capital from 40-50% to ~20%. I'll take Countryside's model all day, every day.

A last comment, which is **a word of caution on the RBC analyst**. In my own and my firm's investing, we care deeply about (1) doing our homework with careful attention-to-detail and (2) being intellectually honest and objective. You can see it in our Covid work and in our inflation work - I didn't come into either of those set-ups with a bias; I worked from first principles and let the evidence and facts lead me to the right conclusions, which was a good approach and helped our investment performance.

The RBC analyst takes the opposite approach. We spoke with him after he issued his initiation note, and it quickly became clear he'd done none of his own work - the call ended up being a two-hour "teach in" as he asked us over and over again to explain the partnerships model to him. This was AFTER he'd issued a 51-page note on the company. It was one of the most ridiculous conversations I've had with a sell-side analyst. He apparently just couldn't be bothered to actually get out there and do the research himself ahead of issuing the initiation.

And then there's the intellectual honesty bit. Before Jefferies parted ways with him about five years ago, he was a housing analyst there and made a short call on a company called Purplebricks, which was trying to disrupt the estate agent business (in the US, real estate brokers) through an online, fixed-fee model. The analyst wrote up a big short thesis on Purplebricks insinuating fraud and criticizing the company's disclosures. There was neither fraud nor inaccurate disclosures. But what did happen is the estate agents responded forcefully with different competitive approaches to undercut the Purplebricks model, it never scaled to profitability, and was eventually sold for one Pound. The RBC analyst regards this as a victory he is looking to replicate, and he's searching for anything he can find to do Purplebricks v2.0. (Though it's worth adding, just a few weeks before Purplebricks went "bust", he flipped and set up his own whistle-stop media tour to make the case for why Purplebricks would survive and not go under...the very definition of seizing defeat from the jaws of victory...the cognitive dissonance is rich).

Anyways, my word of caution is simply that he is trying for his next Purplebricks and sees Vistry through that lens. Everything he says has a bias, and how he presents data is frequently out-of-context and misleading. So just be careful and take his words and exhibits with serious grains-of-salt.

I'm writing this for the US audience here...the UK audience already gets it. The day he initiated with a 51-page "underperform" on Vistry, the stock went up. It's not that people disagree with him. They simply ignore him.

fiverocks

Subject
Entry
Member

REUTERS: Big UK inflation drop bolsters bets on Bank of England cuts early next year
12/20/2023 12:13 PM
fiverocks19

As has been the case across the developed world, inflation is rapidly coming down in the UK. The UK inflation print this morning was encouraging and significantly undershot expectations. In October, inflation was +4.6%. Consensus for November was +4.4%. The actual number came in at +3.9%.

<https://www.reuters.com/world/uk/uk-inflation-falls-far-more-than-expected-lowest-sept-2021-2023-12-20/>

This is fantastic for Vistry (and all the UK housebuilders), as swap rates come down and mortgage rates continue to fall in tandem. I now am seeing 5-year fixed mortgage rates in the UK as low as 4.49%. Mortgage rates should continue to come down in the days/weeks ahead. I think we're setting up for a strong spring selling season across the sector.

fiverocks

Subject	Re: Re: Margin/stability for Partnership model
Entry	12/20/2023 07:48 PM
Member	crestone

Really helpful and thorough answer- thank you.

Subject	that was quick - UK mortgage rates just fell below 4% (per The Times)
Entry	12/21/2023 12:20 PM
Member	fiverocks19

From The Times:

<https://www.thetimes.co.uk/article/uk-inflation-rate-falls-2023-bank-england-cpi-business-35p5w5nhp>

fiverocks

Cheaper mortgages to ease cost of living pain

Five-year deals fall below 4% as inflation drops to 3.9%, putting pressure on Bank of England to cut interest rates

More than a million homeowners will benefit from a fall in mortgage rates next year after lower-than-expected inflation pushed down the cost of borrowing.

For the first time in months the cost of a five-year fixed-term mortgage has fallen below 4 per cent, with analysts pricing in further falls in the new year.

This followed official figures showing that prices rose by 3.9 per cent in the year to November, the smallest increase since 2021 and easing the cost of living crisis. On a monthly basis, prices fell by 0.2 per cent between October and November.

Economists now expect the Bank of England to open the door to cutting interest rates as early as February and are pricing in a fall in borrowing costs from the present level of 5.25 per cent to below 4 per cent by the end of next year.

Any mortgage rate cuts will benefit both prospective homebuyers and the 1.6 million homeowners due to come off fixed-rate deals next year. Most had fixed their mortgages at rates below 2.5 per cent, so any reduction will take some of the sting out of their higher repayments. The falling cost of borrowing will also provide a boost to government finances, with experts predicting that Jeremy Hunt, the chancellor, could have about £15 billion of additional fiscal headroom for tax cuts at the budget, expected in March.

Senior government figures said that the falling debt interest payments would have a "material impact" on the chancellor's room for manoeuvre and give him "more options" to reduce taxation before the next election. "When we can, we want to bring down the tax burden so that people keep more of the money that they earn," Hunt said on Wednesday. He said the figures showed that the economy was "back on the path to healthy, sustainable growth".

In anticipation of falling interest rates the mortgage lender Generation Home released a 3.94 per cent five-year fixed deal on Wednesday, the first time that such rates had been on offer since May.

Experts said that they expected larger lenders to quickly follow suit. "The January sales are set to come early to the mortgage market given the fall in inflation," Andrew Montlake, managing director of the mortgage broker Coreco, said. "We have already seen one lender produce a rate starting with a three, and I suspect it will not be long before other lenders follow suit." Martin Stewart, founder of the mortgage broker London Money, said: "It is already looking a lot more positive than when we peered into 2023. Lenders are now fighting to be top of the best buy tables where once they were fighting to be bottom."

The fall in the annual inflation rate exceeded City analysts' expectations of a decline to 4.3 per cent from 4.6 per cent and means that inflation is at its lowest mark since October 2021. In further good news for the government the energy analyst Cornwall Insight said that it expected annual gas and electricity prices to fall from an average of £1,928 to £1,660 in April. It added that since last month wholesale prices had declined significantly after initial concerns over the impact of the crisis in the Middle East on energy costs failed to materialise.

Martin Beck, chief economic adviser to the EY Item Club, said that the Bank of England's rate-setting monetary policy committee (MPC) may shift from insisting that rates will stay high for longer to hinting at reductions in February. "The scale of November's undershoot calls into question the justification of the MPC's 'high for longer' rhetoric around interest rates," he said. Last week the MPC elected to keep the UK base rate unchanged for the third meeting in a row at a 15-year high of 5.25 per cent.

Subject	Re: Re: Two questions
Entry	12/21/2023 02:08 PM
Member	asafpol

I must have misunderstood, but in the bridge to 800M EBIT - doesn't the initial EBIT number (485M) include profit from the non-partnership business that will go into runoff or at least shift into lower-margin partnerships? Shouldn't this be accounted for?

Subject	Re: Re: Re: Two questions
Entry	12/21/2023 04:19 PM
Member	fiverocks19

asafpol-

This was already accounted for in the company's guidance. It was a £40M per year adjustment.

fiverocks

Subject	CEO ownership
Entry	12/26/2023 10:54 AM
Member	RaisingCapital

Where are you getting that CEO Greg Fitzgerald owns over 10% of Vistry's equity? Capital IQ shows 0.22%.

Subject	Re: CEO ownership
Entry	12/26/2023 12:28 PM
Member	AIFL

See message 15

Subject	Cyclicality
Entry	01/05/2024 12:00 PM
Member	Bud_Spencer

Fiverocks, thanks for all your answers and thanks Agent Cooper for the write up. We generally agree. I wanted to ask how do you think about the cyclicality of the business: I agree that the business delivers mostly independently from the cycle and that the capital cycle is much more efficient vs a traditional housebuilder.

However as they target 35% of units for private sales in their Partnership business (ex Housebuilding) and considering the ASP is higher for these, that's say 40% of revenues and, considering margins are double on private sales, don't these still represent almost 60% of operating profits? I understand the 35% is not a fixed number and that they flex deliveries and bulk sales etc. (which has benefits from a capital point of view but these would come at a discount) so that gives you a protection, but you still retain a cyclical element/exposure?

thanks

Bud

Subject	Re: Cyclicality
Entry	01/05/2024 04:15 PM
Member	fiverocks19

Hi Bud-

Great question. Let me take a crack at it.

First - **empirically, the Partnerships business has grown through market downturns**. During the GFC in 2008/09/10, Countryside Partnerships grew EBIT straight through. During Covid in 2020/21/22, Vistry Partnerships grew EBIT straight through (look at the middle right of the chart in post #55). Last year in 2023, during a market downturn that saw most housebuilders slash EBIT by 20-40%, Vistry's pro-forma partnerships business will see both revenues and EBIT up year-on-year. It's not conjecture that the partnerships business grows through market downturns, it's the data-driven reality based on past examples.

Second - **partnerships is not wholly immune from market downturns**. The partnerships business in 2023 will be up only modestly (single-digits). In a normal year, this business is up double-digits. So it is affected...just not enough to tip the business into negative EBIT growth, and nowhere close to the cyclicity of the volume housebuilders.

Now let's turn to why this is, in my next points.

Third - **partnerships has strong fundamental/structural demand drivers**. The need for regeneration projects in the UK is dire (4M council estate homes aged 50+). The demand for more affordable housing is insatiable (1.3M households / 4M people on the affordable housing waitlist, which is now 20+ years). The appetite for PRS is robust (industry observers project PRS funding to double over the next five years). Traditional volume housebuilders might grow around GDP. But a partnerships business is structurally a faster-growing business, probably well into the double-digits. As a result, it would take a much larger negative cycle to tip a partnerships business into decline than a volume housebuilder into decline, simply because the structural growth is a lot quicker.

Fourth - **the partnerships model is resilient and flexible**. In a partnerships project, 65%+ of units are pre-sold. On top of that, private-for-sale units are typically pre-sold by 6-9 months. Adding them together, as much as 75-80% of a partnerships project may be pre-sold, which provides visibility and resilience. In addition, partnerships deals are flexible - if one tenure of a home is more in demand than another (usually because private-for-sale are selling better or worse), Vistry can pivot to building whichever tenures are most in demand. Finally, remember how project phasing works. Because partnerships projects are split into numerous phases (30 and counting at Acton Gardens), Vistry can work with its partners to re-shape each phase to ensure it meets the company's ROCE targets. By having a new phase every 9-12 months, Vistry is able to quickly respond and adapt its economics to current market dynamics.

Fifth - **the volume housebuilding model is structurally pro-cyclical**. The volume housebuilders match build schedules to sales schedules. So as selling rates decline, build rates decline, leading to negative operating leverage and a business model that not only approximates the cycle, but exacerbates it. Vistry's partnerships business does not work like this at all. The company never speeds up or slows down building - it's always building at a steady/consistent pace (because Vistry has so much visibility), and will deliver whichever tenures are best for the market. There's not the same effect on operating leverage. In addition, Vistry is not nearly as exposed to changes in private-for-sale selling rates because of saturation. If BDEV does a 200-unit project in a neighborhood, it must sell 200 private-for-sale homes in this neighborhood. If VTY does the same 200-unit project, it must only sell 67 units private-for-sale (the rest are PRS or affordable). That's 1/3 the saturation, and much easier to deliver in a downturn, making for more resilient sales.

Sixth - **remember the partnerships model should be thought of holistically, not linearly**. This is probably the most important point. The math as you've laid it out in post #64 is great in theory, but not how partnerships works in practice. It's not that simple or clean, and it's tough to assign economics to one piece of a project over another. A partnerships project - by its very name - is working in "partnership" with others, which means re-shaping the project along the way to meet everyone's objectives. That's exactly how it works for Vistry. If the economics change for the worse...maybe only two playgrounds are built instead of three, or some other "nice to have" amenities get cut back so Vistry's ROCE can get back to level. In the other direction, if the economics of a deal are coming in more favorably than expected, on some projects Vistry actually shares a "priority profit" with its Local Authority partners or will build extra neighborhood amenities. There are all kinds of tweaks to be done along the way, that keep the ROCE in a 40-60%+ range. The key is that holistically, Vistry and its partners have numerous levers to pull to make sure the project works for all involved. The traditional volume housebuilders, in contrast, don't - and are subject much more to the vicissitudes of the market.

Hope that's helpful.

fiverocks

Subject	Re: Re: Cyclicity
Entry	01/06/2024 08:30 AM
Member	Bud_Spencer

Thanks fiverocks appreciate the answer(s)

Subject	Podcast
Entry	01/07/2024 02:04 PM
Member	Ray Palmer

A very handsome (and slightly broken) podcaster interviewed one of the big shareholders (Adam from David Capital) about VTY: <https://www.yetanothervalueblog.com/p/david-capital-partners-adam-patinkin>

From my completely unbiased point of view (COMPLETELY UNBIASED), I thought the podcast was great and Adam was really insightful addressing a lot of the risks and opportunities that have been discussed on this board (and some that haven't!)

Subject	Re: Podcast
Entry	01/08/2024 10:21 AM
Member	mpk391

Dude, I sincerely love your podcast, and also the '70s pornstar mustache, but you're not helping me out here as I'm trying to build a position. We're still within the 45-day not-available-to-the-public-yet window.

Subject	Re: Re: Podcast
Entry	01/08/2024 10:45 AM
Member	Bismarck

I'll sell you my stake for GBp 2,000 :)

Subject	Re: Re: Podcast
Entry	01/08/2024 12:14 PM
Member	Ray Palmer

"We're still within the 45-day not-available-to-the-public-yet window."

We had this podcast planned since before this write up was posted, and neither the guest nor host were the person who wrote this up on VIC.

Is the implication here that anyone with a VIC membership is precluded from ever mentioning a stock that's been written up on VIC within the 45 days it's exclusive to VIC?

Subject	Re: Re: Re: Podcast
Entry	01/09/2024 12:57 PM
Member	mpk391

I was just kidding about the mustache

Subject	Trading Update - Uptick in Forward Sales, Improvements in Board Members
Entry	01/12/2024 12:17 PM
Member	agentcooper2120

Vistry came out with a solid (though somewhat expectedly positive) trading update. Quickly hitting some of the high points:

Of note, they expect profit before tax for '23 to be inline with last year (GBp ~418M) this includes the GBp 40M downward adjustment from the housebuilding transition, slightly above the GBp 410M guide. We anticipated GBp 425M, so no real change. Full year results will be released on March 14.

Forward sales are up 12.4% year over year, GBp 4.5B, a step up in completions should be expected this year with solid demand from RPs (housing associations and the like) and LAs (local authorities). Price incentives for open market homes have come in from ~5% to ~2%, nice to see some firming there. With interest rates coming down a bit, the housebuilding wind down has less headwinds as they sell these on the open market, so its nice to see and helps shore up the release of capital that should go to buybacks.

The company completed 16,124 homes in '23, of which Partnerships comprised 9,442. Operationally, at the start of the year the business reorg is complete and the focus is on Partnerships. Vistry Works, reopened a facility and are ramping to manufacture 7K homes this year. Capacity for the entire company was cited at upwards of 23K completions per annum with no additional organization growth.

Vistry received another GBp 20M in grant money, taking in a total from Homes England of GBp 170M. They are the only private developer for Homes England, and appear to be accelerating their use of grant money.

The company is likely to pay down its remaining debt balance faster than expected, "...we are targeting getting to a net cash position at the end of '24 and confident that we are slightly ahead of expectations at the end of '23. So a better position to go into '24."

Importantly, on buybacks they stated, "So we'll announce the next set based on the year-end results we announced in March. You can expect that we'll announce the next bunch of buybacks. We're continuing with the buyback program of the GBP 55 million we announced in -- back in September last year." as well as "And the share price has obviously moved quite a lot in the last couple of months, but I think since we gave in September, we've continued to give the buybacks at the moment. It look compelling at our current share price."

At the Board level, CEO Greg Fitzgerald will now take the Chairman role along with his CEO position. Notably, Usman Nabi, MD and CIO of Browning West (8.5% ownership), will now be on the Board. Jeff Ubben stepped down. As noted before, we understand Inclusive Capital's position is locked up for another 4-5 years. Chris Browne stepped down, and the Board is looking for 2 replacement Non-Executive directors.

Subject	P/TBV -- mistake in the writeup?
Entry	01/15/2024 12:18 PM
Member	SamPR

Write-up states 0.7x P/TBV. Is this an error?

I see \$3.2B GBP of equity, of which \$1.3B is intangible.

P/TBV is ~1.7x today and 1.4x at the time of the writeup.

Let me know if I'm missing something.

Thanks!

Subject BLOOMBERG: UK Housing Market Heats Up With a Strong Jump in Asking Prices
Entry 01/15/2024 12:22 PM
Member fiverocks19

The price of UK homes coming to market jumped by the most in eight months in January after a post-Christmas stampede by potential buyers, according to Rightmove.

The online property portal said that the asking prices sought by sellers rose 1.3% to an average of £359,748 (\$458,77). It also recorded nine of its 10 busiest days for buyers securing an agreement in principle for a mortgage.

The figures suggest the market that defied forecasts for a crash last year is starting 2024 on a stronger footing as a price war in the mortgage market drives down interest rates for borrowers and speculation mounts that the Bank of England will cut its key lending rate.

<https://www.bloomberg.com/news/articles/2024-01-15/uk-housing-market-heats-up-with-a-strong-jump-in-asking-prices>

fiverocks

Subject Earnings bridge 2024
Entry 01/15/2024 01:00 PM
Member SamPR

Similar to esafpol, AIFL, and others, I'm trying to understand how Vistry bridges this transition from homebuilding to partnerships (and how that'll affect their 2024 and 2025 income statement).

From the Jan 12 trading update, partnerships completions were 9.4k in 2023 (below the 10.5k - 11k predicted on this thread in comment #24). Homebuilding delivered 6.7k units. I'm quite new to this company, but I'm assuming homebuilding is higher revenue per unit and higher EBIT margins. So I would think that upwards of 50% of 2023 EBIT might come from homebuilding.

This comes back to asafol's question in comment #60 -- should we expect an EBIT shortfall as homebuilding runs off and before partnerships has ramped up? In comment #61, fiverocks states that the homebuilding runoff is "a ~40M adjustment." I must admit I don't understand this \$40 figure.

Subject Re: P/TBV -- mistake in the writeup?
Entry 01/16/2024 06:48 AM
Member asafpol

I believe what you missed was the planned return of capital of 1B through buybacks.

Subject Timing
Entry 01/16/2024 06:57 AM
Member asafpol

Thanks again for the idea and the great Q&A.

There's obviously an execution risk of fully shifting to the partnership model (we can debate how significant is the risk - but the risk exists). It's also obvious that at least some of the sell side is in "show me" mode.

My question is about timing - when do you expect it will become visible that the transition has been successfully executed? What will be the leading indicators that demonstrate it is going well?

Subject Re: Re: P/TBV -- mistake in the writeup?
Entry 01/16/2024 07:36 AM
Member SamPR

asafpol writes: "I believe what you missed was the planned return of capital of 1B through buybacks".

No, I didn't miss that. \$1B in capital return could affect the market cap (lower share count) and would also deplete tangible book value. If they borrowed the \$1B to immediately buy-back the stock, P/TBV would go from 1.7x to 2.4x.

I might be wrong, but it seems the stock trades at a significant premium to book. It won't be a problem if Vistry achieves the 40% ROCE within a short few years, but it is relevant to me in terms of downside protection.

Subject Re: Earnings bridge 2024

Entry 01/16/2024 10:14 AM
Member Bud_Spencer

the £40m it's a company estimate: "impact of transitioning the Housebuilding business to Partnerships. As previously described, this impact is created by the re-evaluation of the full life margin of the Group's Housebuilding sites to reflect the increased pre-sale elements and the associated discount in price. We estimate the FY23 impact of the reduction in full year site margins to be in the region of £40m". (from the Q3 trading update)

Subject Re: Re: Earnings bridge 2024
Entry 01/16/2024 10:53 AM
Member SamPR

Thanks for that clarification Bud_Spencer!

It begs the question what the impact on earnings will be in 2024/2025 as homebuilding continues to ramp down.

Subject Re: Re: Re: Earnings bridge 2024
Entry 01/16/2024 10:58 AM
Member Bismarck

40mm is one time translation, will not repeat

Subject Bear case
Entry 01/16/2024 11:08 AM
Member SamPR

I don't have a dog in this fight. I admit that I find the bull case very compelling and well articulated. I want to participate, and yet I'm held back (maybe I'm secretly a European and unnecessarily caught in "show me" skepticism).

But here's my bear case:

1. Homebuilding (not partnerships) is still most of the EBIT (this may be empirically wrong, feel free to correct me). So earnings will decline significantly as homebuilding winds down.
2. The 40% ROCE / \$800B EBIT targets require going from 9.4k units to ~20k annual units in partnerships. Moreover the financial targets are conceptual because management has never operated at that scale so they cannot know it to be operationally possible.
3. The bulls say that the partnerships business is so complicated that other smaller players can't scale and match Vistry. On the other hand, they say that Vistry's scale-up and profitable execution on that scale is inevitable. Either condition may break (the business maybe simple enough so that competitors scale or complex enough that there are big bumps going from 9,000 -> 20,000 deliveries, and profits don't materialize in the medium term).

I'm not saying the bear case is likely. However I'm curious if others are thinking about this in similar or different ways. Also if there are any errors in my assumptions above.

Subject Re: Bear case
Entry 01/16/2024 11:20 AM
Member fiverocks19
 SamPR-

I think most/all of your "bear case" has already been addressed in this thread. That said, three quick comments:

- 1) partnerships is most of EBIT, and will be all of EBIT by year-end 2024.
- 2) the company gave a trading update this past Friday, guided to profits being higher in 2024 than 2023, and reiterated the 800M mid-term target. The idea that "earnings will decline significantly as homebuilding winds down" is simply not factual.
- 3) the company produced over 16,000 deliveries in 2023, so Vistry is going from 16-17k units to 20k units, not from 9k to 20k. The operator needs to built the unit whether it's under housebuilding or partnerships, so this is not a big leap.

fiverocks

Subject Re: Re: Bear case
Entry 01/16/2024 11:47 AM
Member Rtg123

I guess we'll see shortly if most the EBIT comes from partnerships but homebuilding did 7k of the 16k completions and carries double the margin so I'm skeptical.

I don't think the comparison of VTYs entire reported completion number of 16k should be compared to its partnership LT target of ~22k. Affordable housing demand in UK is 50k homes a year (yes yes I know all the stats VTY cited about how demand is millions upon millions of homes) but if we assume market doesn't grow much, that takes them from like 10% to almost half the market. For many reasons cited here, partnerships business is different from homebuilding so seems disingenuous to then blur the lines to support their biz plan targets. I think people are just rightfully skeptical that's gonna be so simple for them.

Like pretty much everyone else on this thread, I like the story conceptually. However, it's run a lot on rates and hedge fund pumping on unch numbers. I think execution risk is higher than most people think but could def be wrong. We'll see

Subject
Entry
Member
Rtg123-

Re: Re: Re: Bear case
01/16/2024 11:57 AM
fiverocks19

The stock price is lower than it was two years ago (mostly because the entire UK housebuilding sector was down -40%+ in 2022 due to rising rates). The stock still hasn't recovered to 2021/22 levels, even with inflation/interest rates/mortgage rates falling quickly, and not even considering the step-change improvement to business quality. And the shares trade at <4x run-rate EBIT (including capital returns) and <3x target EBIT (including capital returns).

Your comment that the stock has "run a lot on rates and hedge fund pumping" entirely misses the point. We're value investors. The stock is extremely cheap, especially relative to the quality of the business. Look at any sell-side comp sheet and this is the lowest EV/EBIT multiple in the sector, even before considering buybacks, for the highest quality business.

So maybe let's calm down and not bring in words like "pumping" that have a lot of negative connotations and implications, especially when every activist in the name has owned the shares for years (my firm has owned shares here for six years between Countryside and Vistry, so get out of here with that garbage) and when the stock price is flat-to-down over the last two years and trading at a low-single-digit multiple of EBIT.

fiverocks

Subject
Entry
Member

Re: Re: Re: Re: Bear case
01/16/2024 04:07 PM
katana

I don't understand the level of skepticism. Management just said that the current sales backlog is +12.4% YoY, "positioning us well to deliver a step-up in total completions in FY24." This is a highly credible management team that has a history of delivering on its hard and soft guidance. Do the people here worrying about the 2024 completions # think management is bullshitting on this one?

Given the margin differences, modestly higher 2024 completions could mean modestly lower 2024 EBIT -- if and only if they come close to fully completing the transition out of housebuilding by the end of 2024. Given everything else happening for VTY shareholders in 2024, and what likely follows after that, would a modest 2024 EBIT dip keep you from buying the stock now?

[Pro tip: It shouldn't.]

Subject
Entry
Member

Re: Re: Re: Bear case
01/17/2024 04:55 AM
Bud_Spencer

they target 35% of units to be sold to private buyers, so of that 22k, roughly 8k should go on the open market. of the remaining 65%, probably 35% will be affordable and 30% PRS. So that's 8k and 7k. Over 54k deliveries of affordable housing in 2021/2022 (which is arguably a base from which the market should grow), that's 15% market share, not "half the market".

Subject
Entry
Member

Re: Re: Re: Re: Bear case
01/17/2024 05:14 AM
bafana901

My biggest hesitation is that Vistry, unlike NVR, needs to deal with a regulation loving bureaucrat. This usually ends badly especially if a labour government wins the next election. Do you think I am overstating this concern? What are your thoughts on this risk?

Did I mention that I have had some bad experiences where the fate of the company lies in the hands of a bureaucrat. Just look at tencent or Baba for instance and its dance with the regulator. It's just not worth it.

Subject
Entry
Member

Re: Re: Re: Re: Re: Bear case
01/17/2024 05:58 AM
Bud_Spencer

my 2c: I don't think that a labour government makes a difference. Actually, they would probably support more affordable housing. Agree that the structure of the market is a bit opaque and layered with government, Homes England, registered providers, local councils and planning authorities ... Vistry is well plugged in the system though as mentioned in the write up and the board.

Bud

Subject
Entry
Member

question
01/17/2024 07:30 AM
Bud_Spencer

Quick one maybe for fiverocks: you know the company targets £800m of operating profit with 12% operating margin and 5-8% revenue growth in the next 3-5 years. If we take £800m as a reference, at 12% that implies £6.7bn of revenues, which is almost an 11% CAGR to 2028 from £4bn revenues in 2023, significantly above their mid term targets. If on the other hand I grow revenues at mid point of guidance for 5y (6.5%), I get to £5.5bn, 12% of that we get to £657m of operating profit. (now market cap is £3.2bn and we get buybacks of £1bn so still cheap if VTY rerates to, say, 10x that operating profit). But in terms of targets am I missing something?

thanks,

Bud

Subject FT big read
Entry 01/17/2024 10:50 AM
Member raffles378
<https://www.ft.com/content/07abecc4-f49c-4ed8-b6ca-28e46d9a9bf2>

Subject Re: question
Entry 01/17/2024 12:41 PM
Member fiverocks19
 Bud-

The transition from housebuilding to partnerships should lead to above-average top-line growth for a period of time.

Partnerships deliveries have lower ASP's, but the asset turns are 2-3x, so there will be a lot more units delivered at a modestly lower price per unit.

The 5-8% top-line target is over the long-run, and doesn't specifically apply to 2024-2026.

fiverocks

Subject Re: Re: Re: Re: Re: Bear case
Entry 01/17/2024 12:49 PM
Member fiverocks19
 bafana901-

Yes, I think you are overstating this concern.

It's not correct to think of this as you would a federal spending program in the US, where the SecDef changes and all of a sudden a new set of priorities are implemented where a new aircraft carrier gets cut or the F-35 joint strike fighter program gets overhauled, eliminating billions in spend with a stroke of a pen.

First - this is the UK. They love regulations. They pretty much invented bureaucracy. The whole UK housing market is inundated with regulations and bureaucracy. It's one reason the big have been getting bigger, because they know how to navigate what is a complex system.

Second - the UK housing system is very much not controlled by any one person. The UK Government has been trying to speed up the planning permission process for about a decade and a half...with absolutely nothing to show for it. Influence is well-distributed. This means that on the one hand it's an incredibly cumbersome system, but on the other hand it means it's unlikely to change very much based on the whims of any single individual.

This is not a contracting business. There's no one person or government policy that the thesis lives or dies on. Whether Labour or the Tories win or lose the election isn't going to make a huge difference here. And in fact, as mentioned previously, I'd bet most UK housebuilder execs will be voting for centrist Labour this time around.

fiverocks

Subject Re: Re: Re: Re: Re: Bear case
Entry 01/17/2024 12:50 PM
Member fiverocks19
 katana-

On the trading update call last week, management already guided to profit growth in 2024 vs. 2023.

fiverocks

Subject Re: Re: question
Entry 01/17/2024 01:14 PM
Member Bud_Spencer

makes sense, thank you

Bud

Subject Re: Re: Re: Re: Re: Re: Bear case
Entry 01/17/2024 01:25 PM
Member katana

LOL. My catching that could have shortened my comment by a lot.

But also: Hiding the profit guidance in the call after press-releasing the volume guidance is the first thing I've observed them do that's either squirrely or inept IR, take your pick.

Subject Re: Re: Re: Re: Re: Re: Bear case
Entry 01/17/2024 01:42 PM
Member fiverocks19
 katana-

At the beginning of the call, Vistry said they would not be giving profit guidance for 2024. And then during the call, the analysts kept pushing and the CFO eventually caved and said he "is comfortable" with analysts who have profits growing solidly in 2024 vs. 2023.

It wasn't formal guidance, but it definitely showed a lack of message discipline on IR, specifically from the CFO. Hopefully that gets cleaned up with Usman/Browning West on the Board.

fiverocks

Subject Baker Estates just sold its stake
Entry 01/18/2024 11:33 AM
Member Bud_Spencer

Baker Estates (the small housebuilder which is 40% owned by CEO Greg Fitzgerald) just sold the stake they had bought in October 2022. They had bought for £5m and just sold at £8.5m, so they made £3.5m. One of the reasons they bought (it seems) was that in October 2022 they had cash and instead of buying land they bought VTY's undervalued shares. Not sure what else to make of the sale ... not a great signal but there may be many reasons why they decided to sell.

Bud

Subject Re: Baker Estates just sold its stake
Entry 01/22/2024 02:22 PM
Member fiverocks19
 Bud-

Here is my understanding:

- Baker Estates is a small traditional volume housebuilder in the far southwest of England (Devon and Cornwall) that produces ~250 homes per year.
- Baker Estates was founded in 2015 after Greg Fitzgerald retired from Galliford Try. Greg is a minority owner of 40% of the business and is a director, but not the majority owner and he does not have any operating role.
- When Greg was persuaded to join Bovis Homes (now Vistry), part of his agreement was that he could maintain his ownership stake in Baker Estates (again, he does not operate the business) as it was not viewed as a competitor to Bovis/Vistry.
- In late-2022, with land prices elevated and Baker Estates sitting on extra cash, Greg persuaded his partners to buy 5M GBP of shares in Vistry in the 5's. This was the only time the company has ever deployed capital into shares or into anything other than land/housebuilding. The shares were always viewed as non-core to the Baker Estates business.
- As good land deals started popping up again starting in mid-2023, Greg's partners began pushing to exit the non-core Vistry shares in order to redeploy the capital into its core housebuilding business/land.
- Greg held off his partners for a number of months or quarters, but eventually relented and the shares were sold in January 2024.

Following the share sale from Baker Estates, Greg personally purchased 100,000 GBP of Vistry shares, in part to send a message to the market that the Baker Estates share sale was not his decision/preference, and to convey that nothing has changed with respect to his conviction or "skin in the game" on the Vistry thesis.

I view this as a non-event for the thesis. As Chairman and CEO and with a heavily equity-weighted comp plan and direct personal ownership of ~\$10M worth of Vistry shares, Greg is highly motivated to drive returns for Vistry. Happily, the Vistry share buyback continues to gather steam, and the company repurchased 200,000 shares yesterday, which is a new record one-day purchase since the share buyback was launched last month.

fiverocks

Subject Re: Re: Baker Estates just sold its stake
Entry 01/22/2024 02:59 PM
Member blaueskobalt

Totally logical and gives a neutral-to-positive read on shares.

No doubt we will see an avalanche of sell side notes about how the governance & management is unacceptable and the shares deserve a massive discount as a result...sigh...Europe!

Subject Why is the land donated value higher vs. land costs in your illustrative model?
Entry 01/24/2024 01:07 PM
Member PEguy101

Thank you for the write-up! Just a quick question - why is the Land Donated value under the partnership model higher than the Land Costs model under Traditional Model?

Illustrative Returns			
Traditional Model		Partnership Model	
Land Costs	£60,000	Land Donated	£160,000
Build Works	£150,000	Build Works	£50,000
Invested Capital	£210,000	Invested Capital	£50,000
Home Price	£300,000	Home Price	£250,000
Gross Margin	30%	Gross Margin	16%
Gross After-Tax Profit	£67,500	Gross After-Tax Profit	£30,000
Plot ROIC	32%	Plot ROIC	60%

Subject Re: Why is the land donated value higher vs. land costs in your illustrative model?
Entry 01/26/2024 06:39 PM
Member AAOI

I think you're overthinking this PEGuy. Don't want to speak for agentcooper, but the model's sole aim is to provide an overly simplified (but approximately correct) example of what the unit economics look like in two entirely different approaches to house building. The traditional housing example represents an empty plot to build on. So just land costs. The Partnerships example is representative of what a regeneration project looks like where there's existing buildings on the land being donated and where the value add/superior ROIC comes via densification and other levers. Hence the higher value.

To make same point through a slightly different frame, I'm sure you would never think about the value of a single plot of land in a new subdivision in Cincinnati like you would about the value of the land underneath an entire block in NYC. Of course the figures are different. Moreover, focusing on the relative difference in land values in the table misses the point of the illustrative model entirely. To be clear, I totally understand why someone new to the name might be confused, so just wanted to help clear it up.

In any case, all of the above is a long winded way of saying the only takeaway/comparison the table intends to make here relates to ROIC, not land values.

Make sense?

(Hopefully that helps.)

AAOI

Subject Another Large Partnerships Deal Announced
Entry 01/27/2024 09:01 AM
Member agentcooper2120

Vistry announced yet another big Partnerships deal, this time with the Greater London Authority (GLA) and Mayor's Office for Policing and Crime (MOPAC). GBP 276 million deal for 739 homes, of which 60% will be affordable. Work expected to start summer 2025 and conclude in 2030. Press release link below but we have further evidence of larger Partnerships deals coming into the pipeline.

<https://www.vistrygroup.co.uk/media-centre/press-releases/vistry-group-selected-preferred-developer-deliver-ps276m-scheme-739-new>

Subject Re: Re: Why is the land donated value higher vs. land costs in your illustrative model?
Entry 01/29/2024 11:04 AM
Member PEGuy101

Thanks, AAOI! That's very helpful. More than the accuracy of the figures, I just wanted to understand the reason behind the delta. Your response makes it abundantly clear: empty lots vs. pre-existing buildings donated for regeneration. Thanks again!

Subject Housing Today: Vistry set to announce more huge forward sale deals 'within weeks'
Entry 02/01/2024 11:35 AM
Member fiverocks19

A couple weeks old, but this seems a relevant article to some of the discussion on this board:

<https://www.housingtoday.co.uk/news/vistry-set-to-announce-more-huge-forward-sale-deals-within-weeks/5127235.article>

fiverocks

Subject	Re: Housing Today: Vistry set to announce more huge forward sale deals 'within weeks'
Entry	02/01/2024 05:10 PM
Member	ppcm
Based on this article, the company plans on getting to 20k homes by 2026, which equates to a CAGR of around 8%. In order for the company to get to 800m of operating profit by 2026 at a 12% margin, unit growth has to be meaningfully higher than 8%. How do you bridge that gap? Will it be through higher ASPs or margin increases? Thanks.	
Subject	Re: Re: Housing Today: Vistry set to announce more huge forward sale deals 'within weeks'
Entry	02/01/2024 06:06 PM
Member	Bismarck
their 800mm target isn't for 2026.	
Subject	Re: Re: Re: Housing Today: Vistry set to announce more huge forward sale deals 'within weeks'
Entry	02/01/2024 06:10 PM
Member	ppcm
Numerous bulls here have stated that revenue growth will exceed the target of 5-8% per year for the first couple years and that the medium term target of 800m should be achieved in 2-3 years. I understand the idea will still work if they can get to 700m of EBIT in the next 2-3 yrs, but am just trying to understand the upside a bit better.	
Subject	Re: Re: Re: Re: Housing Today: Vistry set to announce more huge forward sale deals 'within weeks'
Entry	02/01/2024 06:14 PM
Member	Bismarck
I can't speak for whomever else said that is a 2026 target, but management has been extremely clear their 800mm target is not for 2026, my sense is that it's 2027/202. I took their commentary on 20k in 2026 quite positively actually.	
Street EBIT estimates are like GBP 560mm in 2026 if I recall correctly.	
Subject	Re: Re: Re: Re: Re: Housing Today: Vistry set to announce more huge forward sale deals 'within weeks'
Entry	02/01/2024 06:25 PM
Member	ppcm
Understood, thanks.	
Subject	Re: Re: Re: Re: Re: Re: Housing Today: Vistry set to announce more huge forward sale deals 'within weeks'
Entry	02/02/2024 11:17 AM
Member	blaeskobalt
Assuming they get to that 800mn in 2027/28, how many homes does that mean, and what is the ASP?	
At 12% margins and 22k homes, that implies an ASP of 300k, which seems too high, given the product type. At a 250k ASP, they probably need more like 26-27k homes. Curious how people see it?	
Subject	Re: Re: Re: Re: Re: Re: Re: Housing Today: Vistry set to announce more huge forward sale deals 'within weeks'
Entry	02/02/2024 11:41 AM
Member	Bismarck
it's 16k partnerships growing to 22k for the medium term goal. Blended ASP of 300k.	
Subject	Re: Re: Re: Re: Re: Re: Re: Re: Housing Today: Vistry set to announce more huge forward sale deals 'within weeks'
Entry	02/02/2024 12:00 PM
Member	katana
This thread is in the middle of a classic Buffett metaphor, trying to decide whether the basketball player is 7'2" or 7'4". I'm content to know that he's really, really tall. Don't get me wrong, I'm very happy for you to publicly run numbers that help pressure-test the idea. It's helpful; please continue. Just don't lose sight of the forest: Qualitatively, this company should do very well in almost all reasonably likely scenarios. Quantitatively, it should have a much higher valuation in all of them.	
Subject	FY 24 Guidance
Entry	02/02/2024 12:18 PM
Member	ppcm
During the Q4 trading update, the company disclosed that operating margins would be 12% in FY 23 and then would fall to between 11% to 12% in FY 24. Assuming revenue is 4.5Bn, this translates to 518m of EBIT in FY 24. I think fiverocks posted previously that 60m of synergies plus sales growth would get the company to 600m of EBIT in FY 24 but this appears to be wildly optimistic. Am I missing something here. Yes, I know, we are debating whether someone is 7'4 vs 7'0, but just trying to get a handle on upside which can inform future trading decisions	

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Housing Today: Vistry set to announce more huge forward sale deals 'within weeks'

Entry 02/02/2024 12:37 PM

Member agentcooper2120

Was about to respond with almost the same quote - "don't need a scale to see a man is fat". Direction of travel regarding partnerships completions is more important than the exact time they reach their 20K target. Skepticism in the name is whether they can hit 20K at all, we think they can, easily. Given the valuation you could drive a truck through these assumptions and still come out ahead. Running the math, the NPV of a shift in run rate completions between a year or two doesn't change the result much. It's cheap. But the discourse here is fantastic and helpful.

We assumed the "near-term" guidance timing they gave was somewhere within a 3 year timeframe. So anywhere between a more aggressive assumption hitting a 20K run rate exiting '25, or what they're talking about is a '26 exit. Therefore going into '27 at a minimum 20K completion rate. Take your pick, outcome is the generally the same.

At this point in time it makes sense to talk down a fast transition. Should they fill their partnerships pipeline more quickly, we wouldn't be surprised if they move up their timeline.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Housing Today: Vistry set to announce more huge forward sale deals 'within weeks'

Entry 02/02/2024 06:23 PM

Member ppcm

All good points and agree that execution is more important in near term than figuring out the correct growth assumptions.

Subject Difficulty of Quick Transition to Partnerships

Entry 02/03/2024 12:32 PM

Member ppcm

I read that the sales cycle for bidding on a partnership deal typically lasts about 3 years, and then the planning phase adds another 2 years. If this is the case, how will Vistry be able to make such a quick transition to 100% partnerships? How are they able to replace the 7K units from the homebuilding division so quickly if the sales cycle stretches out multiple years?

Subject Re: Difficulty of Quick Transition to Partnerships

Entry 02/04/2024 12:36 PM

Member ppcm

Nvm, was able to figure out the answer. Looks like the recent Blackstone deal is for homes being developed on the traditional Housebuilding landbank. So, basically they are changing the method of sale of the homes on the Housebuilding landbank from private sale to presale.

Subject Re: Re: Difficulty of Quick Transition to Partnerships

Entry 02/04/2024 12:56 PM

Member Rtg123

Does that make you feel better or worse tho? Just means they making less money and same capital intensity right (given they already have the land).

Its a bit odd to me that everyone talks about how long the planning process is for partnerships and then in the next breath insist VTY can double the partnerships biz in 3-4 years, no problem!

Subject Re: Re: Re: Difficulty of Quick Transition to Partnerships

Entry 02/09/2024 06:09 PM

Member ppcm

They have around 28K lots in the Homebuilding landbank that they plan on rolling into Partnerships. Based on the Blackstone deal and their recent commentary that they have 3 additional large deals in the works, it looks like they are making good progress in monetizing their Homebuilding landbank. This should give them a runway of 3 years or so to buildup their pipeline of traditional Partnership deals and get to 22K+ annual completions. Not a sure thing that they will get there, but at 6x EBIT, the risk/reward setup is very favorable.

Subject Dramatic Slowdown in Affordable Homes Starts

Entry 02/11/2024 12:07 PM

Member ppcm

Do any of the bulls here have any thoughts on the recent Building.co.uk report on the recent, dramatic slowdown in new affordable homes starts. The article paints a pretty grim picture for the next several years for the affordable homes sector. In summary, the article states that 1) affordable home starts this year have fallen off a cliff (30%+ decline), 2) HAS are significantly squeezed for cash, 3) for profits and LAs won't be able to sufficiently bridge the gap, 4) the Labour party has indicated it won't put up any new funding to build more affordable homes, and 5) construction of new affordable homes will likely lag for several years.

I'm wondering how Vistry can meet their completion targets with these massive headwinds. A link to the report is below:

<https://www.building.co.uk/focus/the-figures-on-starts-are-terrifying-whats-really-happening-to-the-11bn-affordable-homes-programme/5127669.article>

Subject Re: Dramatic Slowdown in Affordable Homes Starts

Entry 02/11/2024 05:08 PM

Member ppcm

Correction, affordable home starts were down 60% overall in Q3 last year

I came into this idea with the understanding that affordable home completions would be flat to up over the next few years, but right now the trend is down and down massively.

On the flip side, Vistry has been signing a lot of deals so maybe the economics for regeneration somehow still work?

Subject Re: Re: Dramatic Slowdown in Affordable Homes Starts
Entry 02/12/2024 09:56 AM

Member blaueskobalt
If competitive supply is down, isn't that good for the guy who continues to bring supply to market?

I thought that was a key leg of the thesis, not a counterpoint?

Subject Re: Re: Re: Dramatic Slowdown in Affordable Homes Starts
Entry 02/12/2024 10:52 AM
Member ppcm

Yeah, the company continues to sign deals so seems like they are not affected, so maybe you are correct. Hat tip to fiverocks who spent some time this weekend to help me to understand this dynamic better.

Subject Re: Re: Re: Re: Dramatic Slowdown in Affordable Homes Starts
Entry 02/12/2024 06:50 PM
Member ArcataCapital

Would love to know what you learned from fiverocks that gave you more confidence that re-profiling of these programmes won't greatly impact the number of partnership deals that Vistry/Countryside does.

Also does anyone know why the fact that Vistry "blends section 106 provision with grant-funded units, and is also able to take on section 106 units itself as a bona-fide registered provider approved by the regulator" has allowed them to still see strong demand?

Subject Re: Re: Re: Re: Re: Dramatic Slowdown in Affordable Homes Starts
Entry 02/13/2024 01:02 PM
Member ppcm

To answer your question, Arcata, I would refer you to the company's Sept half year update presentation where it announced its transition to full Partnerships.

Specifically, during the Q&A session of the presentation, Partnerships head Stephen Teagle stated the following about the current environment for HAs/RPs - "Those pressures on HAs are particularly severe when you are looking at the London-based associations...it's weighing (the pressures) in an uneven way...there are other associations who don't have those liabilities, who are able to invest and continue to deliver new homes. So it remains very much a liquid sector. A lot of their funding is LT dated, something like 56% of their loan book is still 10-yr fixed. So they're not feeling the pressure of current interest rates coming through. So the HAs as a whole continue to invest in scale, and we need to make sure that we're working with partners who are keen to invest because it is not as even as before."

So, basically some HAs are struggling but many others are still fine. It is important to note that his comments came toward the end of Q3 last year, which coincides with the reported 62% decline in affordable home starts mentioned in the article. So, even though starts had reportedly fallen off a cliff, Vistry was not feeling the effects at all. This is confirmed by the numerous deals they signed in the back half of 2023. Furthermore, as you know, Vistry made the decision to convert to full Partnerships toward the end of Q3. Unless mgmt are completely incompetent, I don't think they would have converted to Partnerships if the HAs were in dire straits.

So, that is how I got comfort. Hope this is helpful.

Subject Berkeley Group gets funding for major regeneration project
Entry 02/14/2024 08:27 PM
Member ppcm

Any thoughts on this recent announcement? On one hand, it is good to see more affordable homes being funded. However, on the other hand, shows that maybe barriers to entry are not as big as thought. Will be interesting to see if Berkeley can execute.

<https://www.constructionenquirer.com/2024/02/14/berkeley-bags-125m-loan-to-speed-up-london-schemes/>

Subject Another huge forward sale agreement.
Entry 02/14/2024 10:19 PM
Member AAOI

14 February 2024

Vistry Group PLC**Vistry Group and Sigma Capital Group Sign Framework Agreement to Deliver
5,000 Build-to-Rent Homes Over Next Five Years**

Countryside Partnerships (part of Vistry Group, the UK's leading mixed-tenure developer), has entered into a new Framework Agreement with Sigma Capital Group to deliver 5,000 new homes for Sigma's BTR brand, Simple Life Homes. Sigma is the leading provider in the Build-to-Rent market focused on single family housing and one of Vistry Group's key partners in this sector.

The agreement builds on the well-established partnership between Vistry and Sigma, with Countryside Partnerships having been a framework partner on Sigma's Build-to-Rent delivery programme since 2014. It supports both organisations' ambitions for growth by clearly mapping out their expansion plans within a set framework and timeframe.

The 5,000 new homes will be delivered to Sigma across a number of UK regions over the next five years, and will complement Vistry's Partnerships model of delivering the right mix of housing tenures that communities require to build long-term and sustainable neighborhoods.

Greg Fitzgerald, CEO Vistry Group, said:

"This framework agreement with Sigma is another great example of how our Partnerships model can deliver at scale the mix of housing tenures that residents across the UK desperately need. High-quality build-to-rent homes continue to be an important offering for our mixed-tenure communities, and we are thrilled to be continuing our long-term partnership with Sigma."

Graham Barnett, CEO and Founder, Sigma Capital Group, said:

"We are delighted to be extending our long-term relationship with Vistry. They have been the foundation partner of our BTR single family housing model since 2014 where we have delivered over 8,500 new family homes across the UK with a delivery cost of £2.25bn to date. We currently have over 3,500 additional homes under construction across the UK and with a track record of 98% let or reserved at any given time, and above industry standard BTR customer review scores*, we're looking forward to delivering many more much needed BTR family housing over the next 5 years with our partner Vistry."

Vistry have been the majority delivery partner across our estate and define the concept of Partnership in both our complementary models to deliver high quality family homes for rent at scale."

**Based on Home Views Reporting Data, Dec 2023*

ENDS

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As a quick aside, it seems the snowball is rolling and clearly gaining momentum. Vistry has already announced three huge deals that have catapulted the company almost a third of the way to their 20K goal - and in what, like ~3 months? For clarity, at ~11K completions per annum, they need to increase by 9K to hit their goal. These three deals alone equate to an incremental 3K completions per annum (timeframes vary but it's close enough), so ~6K left to go. Honestly three or four more deals of the same size and you're there (the previous two are linked below).

https://www.dailymail.co.uk/money/markets/article-12719989/Vistry-Group-agrees-deal-build-3-000-homes.html?ns_mchannel=rss&ns_campaign=1490&ito=1490

https://www.dailymail.co.uk/money/markets/article-12995599/Vistry-named-preferred-developer-276m-homes-project.html?ns_mchannel=rss&ns_campaign=1490&ito=1490

On a related note, do the bears really believe the Vistry/Countryside management team would have moved so aggressively to acquire the infrastructure (and workers) necessary to rapidly scale up completion activity in its Partnerships business without the blessings of its partners in tow (easing regulatory burdens along the way)?

In any case, if Vistry were only working with just LC/HAs then the delivery of homes in 3-4 years along Vistry's guide still fits just fine.

Of course Partnerships isn't solely a local council or housing association endeavor. Consider the relaxation in property development regulations for UK REITs is opening up this customer base for Vistry as well. This is relatively new. PE is also getting involved here with Blackstone/Sage Homes, but there are plenty of others in the pool with the likes of GSAM and KKR. Critically, this customer base has shorter timeframes and they are doing much bigger deals, as we've seen from recent press releases with Sage Homes. Of course Sage and the like are still tied to delivering homes that satisfy communities, lest they run afoul of RSH (Regulator of Social Housing). So while there's a shorter planning period, Vistry's moat still holds as its skillset in multi-tenure development and community relations once again comes to the fore. Planning timeframes aren't the biggest part of Vistry's regulatory moat but they are absolutely real (to be fair). Estimates vary, but it should be noted there is over GBP 25 billion expected to be allocated to build homes for rent in the UK from these entities - and again, this is layered on top of the larger LC/HA opportunity.

As ppcm alludes to in a post #126, what's needed to hit targets are larger deals (check) with faster timeframes (check) along with a step up in the base

business from gathering more deals (ongoing). And as pointed out before, they have the workers and capacity for up to 30K completions a year and have been executing beautifully so far.

Remind me again where all the skepticism comes from?

Then there's Social Impact Funds that are expected to spend GBP 9 billion on affordable housing this year. If you were to just go off this small figure with the same metrics of the Sage deal, Vistry getting just GBP 3 billion in social impact capital spending gets you around 8K completions per annum. Add back in repeat business from Sage/Leaf, that's an increase of almost 10K completions per annum from this angle alone. To come to any other conclusion you'd have to assume these big deals are one off, which is crazy because in London alone there are over 1m plots out for tender. That's over 20x Vistry's medium-term guidance. By the way out for tender means there's already a process underway, if it takes the GLA 20 years to process these tenders, that's still over 50K plots per annum...It's a lot. I'm sure the board gets the point.

As far as the new Berkeley group deal announcement, there is clearly plenty of room for one or two other major players to do regeneration and Berkeley isn't a new player and has been around a long time. In other words, the thesis doesn't require Vistry to take all of the regeneration projects nor does Berkeley winning the deal impact its moat. The fact is the paucity of UK partnerships businesses that have the expertise and ability to ramp deliveries in step change fashion to solve a bottleneck so critical to the UK government's larger ambitions is nothing but a great thing for VTY. Just my two cents.

Good point about Berkeley. I think the Sigma deal only adds an incremental 150 units per year, since the Sigma partnership has delivered around 850 units per year since 2014 (8500 total units / 10 years). Am I looking at this the right way?

Subject	Re: Re: Another huge forward sale agreement.
Entry	02/15/2024 09:58 AM
Member	AAOI

Thanks! No idea about Berkeley's Sigma deal so I can't speak to the minutia there other than to say the PR clearly says 5k new homes and Sigma just lists its ongoing projects. It appears to be 5k net new homes though, at least that's what I'm gleaming from it based on a super quick read through of the press release you linked.

In any case, I'd just reiterate the far more salient point that the dominant market leader in Partnerships, Vistry - even at its medium-term target for completions - will be delivering affordable homes in any given year that **represent less than 1% of what's required to actually fix the problem**. For that reason alone this whole train of thought is just silly even if Vistry wasn't trading at a mouthwatering FCF yield on run rate/medium-term earnings power - or set to repurchase somewhere between a quarter to one third of the company's shares over the next few years. First because the magnitude and duration of Vistry's high return growth runway could not be more clear to anyone paying sufficient attention. And second, because the implicit charge that this impeccably run, pioneering company is lead by a bunch of stock promoting morons with no hope of delivering on their forward guidance like some 2020 vintage SPAC is just dumb. Full stop.

This isn't directed at you ppcm (or anyone in particular) - just some general thoughts I feel the need to get off my chest as my head might explode if I have to hear another skeptic wax idiotic on this particular topic. Probably been spending too much time on Twitter of late, lol.

AAOI

Subject	Re: Re: Another huge forward sale agreement.
Entry	02/15/2024 10:12 AM
Member	AAOI

Scratch my first comment above on the Sigma deal as I just realized I didn't understand what you were getting at. If I'm reading you correctly this time around, the PR clearly says 5k new homes and Sigma just lists its ongoing projects. So it appears to be 5k net new homes though over a five year horizon, so at least 1k in incremental completions per year to Vistry. Hopefully that helps. If not, let me know where I'm going wrong and I'll clarify as my morning Coffee is finally kicking in.

Subject	Re: Re: Re: Another huge forward sale agreement.
Entry	02/15/2024 10:37 AM
Member	ppcm

Thanks, all I meant was Sigma has purchased a total of 8500 new homes from Vistry over the past 10 years, so I'm wondering if the 5000 new homes targeted for the next 5 years merely "replaces" those 850 units a year and then adds another 150, or if it is an additional 1000 per year (1000 + 850).

Regardless, as you said, this discussion is relatively meaningless to the big picture

Subject	Re: Re: Re: Another huge forward sale agreement.
Entry	02/15/2024 11:16 AM
Member	Rtg123

I don't think its irrelevant at all. The release to me reads like you interpreted it (ie an incremental 150 homes per year). That seems immaterial and very pumpy for management to disclose it. The clear intent is to get people to just see they are doing 1k homes a year with Sigma and add that to their completion forecast.

Subject	Re: Re: Re: Another huge forward sale agreement.
Entry	02/15/2024 12:24 PM
Member	AAOI

Ahh, gotcha - apologies for being dense. It's all incremental to the existing base, so 1000 + 8500 in your example.

Subject Re: Re: Re: Re: Re: Another huge forward sale agreement.
Entry 02/15/2024 12:48 PM
Member Rtg123

Did IR tell you that? I asked them if the right read was "VTY was gaining 150 incremental homes a year" and got back "Yes, the framework would imply a greater delivery per annum." I took that to mean it was 150 incremental homes a year.

Subject Re: Another huge forward sale agreement.
Entry 02/15/2024 01:41 PM
Member katana

I frankly don't understand the extreme interpretations of this press release on either side. It pretty clearly says that the parties are continuing an ongoing relationship and publicly soft-committing to modestly higher volume targets than they've had the past. And because that's pretty clear, the press-release is not overly promotional. I wouldn't necessarily expect any management team to spell out "this represents an increase of 150 more homes per year" in such a press release.

Subject Re: Re: Re: Re: Re: Re: Another huge forward sale agreement.
Entry 02/15/2024 03:07 PM
Member AAOI

I'm waiting to hear back but I suspect I did misread the Sage announcement from yesterday so thank you both for the pushback! Upon further reflection, not only is the language of the announcement a bit more squirrel'y/less clear than the headline initially made it seem, but more importantly, if you go back to the 2020 announcement with Sage (see below) Vistry used similar language to yesterday's presser, which supports the 150 incremental homes POV over my 1k a year for the next 5 years take. In short, I now think my original view was wrong and that's on me for shooting from the hip like that (doh!)

<https://www.housingtoday.co.uk/news/countryside-in-new-5000-home-deal-with-sigma/5109634.article>

At any rate, the larger point still stands in that we are ~25%+ of the way to managements 20k/annum completion goal already - and this progress has taken place over a period measured in a few months rather than years. That is incredibly impressive no matter the spin. Moreover, I suspect we will see many more new forward sale agreements like the last two in the months ahead. From my perspective, the snowball has barely even begun to roll but time will tell as always.

Rtg123: As far IR tactics and the release itself being "pumpy", how else would you recommend the company manage the quick transition issue? No press releases at all? I mean if the transition is as difficult as you seem to believe, the absolute bare minimum they owe to their shareholders is steady communication regarding any and all progress towards the company's stated goals, no? I guess I'm just confused by the charge of being overly promotional as I have no idea how they could do it better in principle than something like what we've seen since the transition was announced for pretty much the exact same reasons Katana just noted.

AAOI

Subject Re: Re: Re: Re: Re: Re: Re: Re: Another huge forward sale agreement.
Entry 02/15/2024 03:21 PM
Member AAOI

Man I'm on a role today - Sage should read Sigma in the first sentence.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Another huge forward sale agreement.
Entry 02/15/2024 03:51 PM
Member Rtg123

Your read on the press release I think confirms it was a pumpy release right? Did they announce the initial frame agreement with Sigma? Have they announced much of any agreements on anything before the recent Sage blackstone deal? I just think you have a management team that is eager to feed deceptive positivity into its shareholder base who is very very very very very keen to tell everyone how insanely cheap the stock is.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Another huge forward sale agreement.
Entry 02/15/2024 04:57 PM
Member Bismarck

it's a press release. They issue lots of press releases, including much smaller deals, and much before their transition to partnerships was announced. Like the following one from early 2022. Would not read much into it, but feel free too. I wish they would not comment much and silently execute and repurchase stock obviously, just don't think this is nefarious.

<https://www.vistrygroup.co.uk/media-center/press-releases/vistry-group-to-build-300-homes-at-new-development-in-church-crookham>

I will say it is written somewhat confusingly, I originally thought it was 1k/year as well.

I met the CEO a few months ago and wouldn't say they are promotional at all. He seemed quite open to criticism / feedback. Maybe I had a unique experience, though.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Another huge forward sale agreement.
Entry 02/15/2024 09:58 PM
Member ppcm

To add some more pushback AAOI (im not trying to pick on you, I swear), I don't think we are 25% there to the 20k target because, in regards to the 9.5k Partnership completions in 2023, some of the projects behind those completions will amortize off, so new projects will have to "amortize on" to replace those that have amortized off. Not sure if I explained that clearly or not.

In regards to folks wondering why we are nitpicking stuff like this, I think it is important to always get an accurate view of where a company stands so that you can accurately gauge progress against your thesis. I'm not concerned that the Sigma deal is only for 150 incremental units, but I do think it is useful to know that the company is 150 closer to it's target rather than 1000 units.

Subject Bidding process & CMA starts investigation
Entry 02/26/2024 04:31 AM
Member sck4000

First of all: Thanks so much to agentcooper for this pitch and to everyone for this fantastic discussion! I'm new to analyzing the housing market, and so have a few questions that I believe have not been covered, yet. They are not meant to provoke anybody, as I see that even with only a few assumptions this name is (still) very cheap, with plenty of margin of safety. My questions are meant to help to understand the market itself a bit better, I'm just learning.

Let's start with one qu: **Bidding process/ why does vistry win?**

I understand the argument of the "reputational moat". However, even a loose scuttlebutt with sb who needs to decide where public money for housing goes brought up this simple statement: "I have to decide based on price. If the provider is not the cheapest, I can't decide for them, even though I know that cheapest company sucks." I can see, that vistry wins many projects, and that their scale gives them clear advantages. Therefore, I was surprised about how much of the discussion went towards their reputation. (I hope you don't get this qu wrong - of course, a good rep is better thna a bad one - but in a system that is not acting in a very transparent and rational way - sadly - this might not be what counts.)

In my experience, also, if a market is so opaque, it increases the likelihood of information sharing between actors that doesn't count as legal. Often, I tend to be overly pessimistic about things (Kassandra would be a shiny optimist compared to me)...but then the CMA published that it started investigations in that directions: <https://www.gov.uk/government/news/cma-finds-fundamental-concerns-in-housebuilding-market> (also covered by the FT this morning).

I have more questions, but let's start with this one - guess this will lead to some discussion. Will look into their report further.

Subject Re: Bidding process & CMA starts investigation
Entry 02/26/2024 06:25 AM
Member Bud_Spencer

just quoting from an old Countryside Properties filing:

"Partnerships projects are typically awarded through competitive public procurement processes, often based on the perception by an LA or housing association of a developer's expertise, design quality, reputation, price and value. For example, **non-financial criteria, such as planning and design capability, customer service record, past delivery of high-quality homes with minimal defects, delivery capacity and proposals to address social and economic sustainability issues, typically account for more than 50 per cent. of an applicant's score in public procurement processes.** As a result, the Group's reputation among, and relationships with, key LAs is critical to the success of the Partnerships division. In addition, LAs often have oversight and authority over multiple potential developments sites, and previous LA clients are thus an important source of referral and repeat business for the Partnerships division."

Subject Re: Bidding process & CMA starts investigation
Entry 02/26/2024 07:33 AM
Member eigenvalue

Government employees make decisions based on one criteria - what's best for me, and unless bribes are involved, it is to cover one's ass. I have yet to meet a government employee or any government project where the real goal was to save money for taxpayers.

Subject Re: Re: Bidding process & CMA starts investigation
Entry 02/26/2024 09:28 AM
Member katana

At least based on the accompanying press release, which is all I'm willing to read after going that far, the CMA report is like a self-parody of a regulator covering its ass with no-impact hand-waving in the midst of a genuine societal problem that it hasn't solved for years, while complaining about normal private-market operations and demanding more regulatory power. I didn't see anything suggesting an actual material change in what the government will do. And if the CMA gets its wish and the government moves the market more towards pre-planned sales and away from spec-built homes, nothing could be better for Vistry's competitive positioning.

Separately: The bit of the CMA report devoted to vague complaints about possible information-sharing among builders did not look concerning. There was nothing actually suggesting anyone rigged the bids in the public projects.

Subject Re: Re: Re: Bidding process & CMA starts investigation
Entry 02/26/2024 10:28 AM
Member blaueskobalt

This was a spectacular read. Let me summarize:

"One of the greatest problems facing our nation is the shortfall of housing, which we find has been caused by overly-complex and impenetrable governmental regulation and bureaucracy. To solve this problem, we recommend more regulation and bureaucracy."

Amazing!

Subject Re: Re: Re: Re: Bidding process & CMA starts investigation
Entry 02/26/2024 12:59 PM
Member sck4000

Agree with the „summary“/view on the bureaucracy part.

...but let's not forget it's only half the story: "Tom Smith, competition lawyer at Geradin Partners and former CMA legal director, said the investigation "could result in large fines and potential follow-on litigation" for the companies." (from today's FT coverage)

the last CMA fine in the construction space I'm aware of happened last year (60m GPD for a hand full of companies, ie nothing material). But that's not the max they theoretically could impose, so I wonder whether people here have (data backed) views.

Subject Re: Re: Re: Re: Re: Bidding process & CMA starts investigation
Entry 02/26/2024 02:38 PM
Member katana

The data backing the view is the language in the CMA statement, which is the weakest that I, an antitrust lawyer, have ever seen in such a statement. Emphasis added:

The CMA found evidence during the study which **indicated** some housebuilders **may** be sharing commercially sensitive information with their competitors, which **could be** influencing the build-out of sites and the prices of new homes. While the CMA **does not consider such sharing of information to be one of the main factors in the persistent under-delivery of homes**, the CMA is concerned that it may weaken competition in the market.

The CMA has therefore launched an investigation under the Competition Act 1998 into Barratt, Bellway, Berkeley, Bloor Homes, Persimmon, Redrow, Taylor Wimpey, and Vistry. **The CMA has not reached any conclusions at this stage as to whether or not competition law has been infringed.**

Subject Re: Re: Re: Re: Re: Re: Bidding process & CMA starts investigation
Entry 02/26/2024 04:41 PM
Member katana

I still can't get over the fact that the *Competition and Markets Authority* thinks one of the two primary problems with the UK's housing market is that, for a portion of that market, suppliers are free to figure out for themselves which products various segments of customers want to buy, build those products, and then compete to sell them. As most other industries do, and which model serves as the foundation of both UK and US competition law. In UK housebuilding, it's called "private speculative building." In the U.S., it's shortened to "building on spec."

Subject Re: Bidding process & CMA starts investigation
Entry 02/26/2024 11:31 PM
Member ppcm

After reading through the 22 page summary of the CMA investigation, the findings / suggestions seem very positive for Vistry.

In the report, the CMA is clear that stimulating the construction of affordable homes is one of its top priorities. To this end, they offered up a number of suggestions including having local authorities provide more development funding, pass legislation that requires more affordable homes per development site, etc.

Although the CMA was critical of spec building, they acknowledged that it does not make sense to try to reduce the profits of homebuilders because it could lead to a large decline in homes delivered. So, instead, the CMA believes the better path is to fix the broken / overly cumbersome planning permission process.

Finally, the discussion about anti competitive behavior appears to be based on weak evidence to this point, and the CMA even acknowledges that this potential anti competitive behavior, if it even exists, is at most a small contributor to the current housing crisis.

You can read the 22 page summary here:

https://assets.publishing.service.gov.uk/media/65d8badb6efa830011dcc5bc/_Summary_of_housebuilding_final_report_.pdf

Subject	More funding for UK affordable housing?
Entry	02/27/2024 01:21 PM
Member	fiverocks19

A couple interesting recent data points, that lead me to believe there is a real chance the UK government boosts funding for affordable housing.

First, the article referenced by ppcm in post #121. This article should not be read as "journalism" - it is an "advocacy" piece. If one reads it closely, while the affordable homes delivery target is expected to be missed (23k-27k per year vs. the 30k per year target), the article notes that for-profit providers (like Blackstone subsidiary Sage Homes, which did a deal late last year with Vistry) are making up most of the gap. So the shortfall might only be one or two thousand homes per year - if that - against total deliveries across the UK of 200,000+ homes per year. Hardly a crisis.

However, the headlines and quotes make it clear the industry is putting real pressure on the UK Government to up its affordable housing budget - and industry would not be doing this unless it felt it had a genuine chance for results.

Second, today the national Housing Federation and the CEBR released a white paper on the positive GDP impact of social housing. You can see it here: <https://www.housing.org.uk/globalassets/files/cebr-report-final.pdf>. Even the Financial Times picked it up, noting in its headline that "Spending on UK social housing will save taxpayers money in long term, study finds". Here is the link: <https://www.ft.com/content/f44bba97-fd52-4068-a370-3f3561219849>.

The combination of these articles looks to us like a well-structured industry push to get the UK Government to boost affordable housing spend, which would be a really nice positive for Vistry. Our view is the industry would not be putting significant resources behind this effort unless it felt the likelihood of success were high. The Shadow Labour Housing Secretary has been really receptive on this issue. I wonder if this is setting up for an upsizing of affordable housing spend under a Labour Government.

fiverocks

Subject	CMA
Entry	02/27/2024 01:36 PM
Member	fiverocks19

Hi All-

There has been some back-and-forth on yesterday's announcement from the CMA. Figured I'd add my quick thoughts.

First, the outcome from the CMA was pretty fantastic. It was close to (but not quite) a best-case result.

The purpose of the CMA review was to determine whether UK housebuilders were colluding to limit supply of housing and boost prices, including through "land-banking", i.e., holding land on balance sheet without developing it.

The CMA emphatically found the UK housebuilders not to be at fault. Instead, the CMA blamed structural issues with the planning permission process:

"We have found that the planning system is exerting a significant downward pressure on the overall number of planning permissions being granted across Great Britain. Over the long-term, the number of permissions being given has been insufficient to support housebuilding at the level required to meet government targets and measures of assessed need... We therefore conclude that the nature and operation of the planning systems is a key driver of the under-delivery of new housing."

The CMA then considered land-banking, and also emphatically found the UK housebuilders not at fault:

"Overall, we do not consider that competition in the land market, or the land banks held by different housebuilders individually or in aggregate either locally or nationally, is significantly distorting competition between housebuilders in delivering houses. While it is likely that the amount of land being held in housebuilders' land banks is above the level we would see in a well-functioning market, this is primarily a symptom of wider problems in the market, mainly driven by the time and uncertainty associated with obtaining planning permission."

These statements provide significant support, from an independent body, in favor of reforming the planning permission process. This is great for the UK housebuilders, including Vistry.

Second, why this fell just short of a best-case outcome. In addition to the above, the CMA disclosed it is launching an investigation of the eight largest UK housebuilders regarding whether there is sharing of non-public information on sales prices, incentives, and rates of sale. The list of eight includes Vistry. Based on our firm's 15+ year history in the UK housing market, we find genuine collusion to be highly unlikely - the public housebuilders disclose the listed information publicly on a frequent basis, at every results and trading update, so the gains from gaining more granular information would be de minimis. In addition, we know the leadership of the large public builders to be incredibly careful on this issue. As in all industries, perhaps one site-level broker discusses sales rates with another site-level broker, this is impossible to stamp out completely. But this comes nowhere close to meeting the definition of market abuse or systemic collusion.

We think the CMA looking to receive some payment to offset the resources poured into its review. Our expectation is for a slap-on-the-wrist for the eight largest UK housebuilders (regardless of whether they did something wrong or not), that will total perhaps single-digit millions for each of the eight builders. Please note the size of the fines is limited by law. In the context of a 3.5 billion pound market cap company like Vistry, a fine of this order-of-magnitude will be immaterial. But it will allow everyone to save face - the UK housebuilders have been cleared of any wrongdoing plus given massive ammunition to fight for improvements in the planning process, all at de minimis cost, while the CMA will look publicly like an effective independent government body.

fiverocks

Subject	Re: CMA
Entry	02/27/2024 04:19 PM
Member	katana

I have two words for you: Chicken processors. Low-odds events do occur in this subject area.

But, here's a big distinction: everyone watching chicken processors sat around for several years before the big reveal going "gee, how are industry margins staying so much higher than the historical range? Must be the recent consolidation." UK housebuilding has not been over-earning.

Subject	Re: Re: CMA
Entry	02/28/2024 04:01 AM
Member	sck4000

Thanks fiverocks for your good summary.

@katana: don't understand your comment. On the one hand, you say "low-odds events do occur" -> meaning, you now do think there could be fines? But at the other hand, you say "...they have not been overearning...", i.e. you don't see any reason for that could justify fines/reg. action?

Not clear to me.

Subject	Re: Re: Re: CMA
Entry	02/28/2024 10:03 AM
Member	katana

There is a low but non-zero risk that the housebuilders actually did something bad. I just didn't want fiverocks to say "highly unlikely" (which is true) but then mentally treat it as zero.

There is a much higher-odds risk (say, 30% instead of 5%) of some sort of immaterial slap-on-the-wrist fines. Such fines might or might not be justified on the merits; regulators get things wrong all the time, and here they have a strong incentive to "do something."

Subject calls
Entry 03/02/2024 11:00 AM
Member liverpoolstocks

Thoughts on price action over last two days, could this be a sign of a potential takeover or activist that wants to force a sale, as my biggest and highest conviction idea I'm considering buying some calls but would much rather this thing stays public for many years.

Subject UK Housing Market Color
Entry 03/06/2024 11:19 AM
Member fiverocks19

For those new to the UK Housing Market, one of the best barometers for current market trends is a listed UK company called LSL Property Services ("LSL").

LSL operates several businesses, all related to UK housing, including (1) property surveying (in the US, an appraiser), (2) estate agency (in the US, a real estate broker), and (3) mortgage brokerage. In other words, LSL is a great leading indicator for transaction volumes as a property survey needs to be done and a mortgage locked in before a property sale can complete.

LSL provided a trading update this morning. Here are a few quotes:

"Momentum has increased at the start of the new financial year with positive activity levels across the Group."

"At the end of February 2024, Group Underlying Operating Profit was materially ahead of the Board's previous expectations"

"From the middle of January there has been a material and sustained increase in valuation instructions"

"Across the first two months of the year, Surveying & Valuation income per day was 50% higher than the equivalent period in 2023 and in February was at its highest level since the market disruption that followed the mini budget in October 2022, and approaching the very strong performance recorded in Q1 2022."

"Consistent with the surveying valuation instructions, LSL mortgage applications over the first two months of the year are significantly ahead of expectations with February mortgage applications per day 23% higher than 2023 and 5% above the strong performance in 2022. The benefit of these applications will be seen in completions during the first half of the year."

"Early trading reaffirms the Board's confidence that profits in 2024 will be materially ahead of 2023. The earlier than expected recovery means that even at this stage of the year, the Board's expectations for the full year have increased."

Full RNS can be found here: https://otp.tools.investis.com/clients/uk/lsl_property_services/rns1/regulatory-story.aspx?cid=1016&newsid=1796378

fiverocks

Subject Re: Trading Update - Uptick in Forward Sales, Improvements in Board Members
Entry 03/11/2024 10:24 AM
Member sck4000

...so it seems Inclusive Capital reduced their stake today. I thought, their stake is locked up?

<https://www.vistrygroup.co.uk/investor-centre/regulatory-news>

Subject '23 full year results
Entry 03/14/2024 10:50 AM
Member Bismarck

Anyone here have a sense for why the Street thinks the update provided today does not equate to an uplift in 2024 EBIT? The completions are a good MSD above Street modeling. I'd think w/ the flow through and commentary on pricing, this is a ~10% upgrade to where Street is modeling for 2024. Perhaps that is reflected in the stock w/ the move - just odd how negative Street is and not sure if I'm missing something with respect to callbacks / something they said.

Subject small point re: FTSE 100 inclusion
Entry 03/14/2024 02:21 PM
Member mpk391

At the risk of oversimplifying, a UK equity basically has to reach the 90th-largest mkt cap to be added to the FTSE 100. Today, VTY would need to rise just 1.5% to beat out the current 90th largest, which is Persimmon <https://www.londonstockexchange.com/indices/ftse-100/constituents/table>

The index is rebalanced quarterly on the 3rd Friday in March, June, Sept, December. The measurement date for ranking market caps is the Tuesday before the first Friday in each of those months. So, the upcoming rebalance on March 18th was determined on Feb 27th, so I don't think VTY made the cut this time around. Next measurement date is June 4th.

Subject Re: '23 full year results
Entry 03/15/2024 04:03 PM
Member fiverocks19

Bismarck-

Your point is well-taken. I think the sell-side analysts are staying conservative and not moving up numbers (even with the strong guidance on units sold growth) until VTY issues its initial formal 2024 guidance in May. This creates a low bar for Vistry to walk up numbers throughout 2024.

By way of example, I see Peel Hunt is at £430.0M of profit-before-tax and Numis is at £430.8M. I think north of £450M is likely and my realistic case is more like £475M+.

I think this sets up a nice event path over the coming months:

- April 2024 - £100M buyback starts
- May 2024 - potential profit upgrades (AGM & Trading Update)
- June 2024 - potential FTSE100 Index inclusion
- July 2024 - potential profit upgrades (Trading Update)
- August/September 2024 - next tranche of buybacks
- September 2024 - potential profit upgrades (Half-Year Results)
- October 2024 - US non-deal roadshow

Vistry still trades at the lowest EV/EBIT in the sector for the highest-quality business in the sector (even before considering all the capital returns)...and at 3.5x medium-term EBIT (after considering the capital returns) when partnerships businesses have historically transacted for EBIT multiples well into the double-digits.

It also seems like the analysts are finally beginning to recognize that partnerships is a much less cyclical/more resilient business than housebuilding, which should command a premium multiple (look at some of the analyst notes...headlines like "No Surprises While Differentiation Begins To Build" and "Relative Resilience").

This is just the beginning, IMHO.

fiverocks

Subject	useful Interview/article about Greg Fitzgerald
Entry	03/19/2024 07:32 AM
Member	Pluto

<https://www.building.co.uk/focus/im-extremely-demanding-greg-fitzgerald-on-delivering-the-vistry-growth-plan/5128270.article>

Subject	RBC says it was very wrong about Vistry & raises price target 70%
Entry	03/19/2024 08:38 AM
Member	katana

From a press summary:

RBC Capital Markets upgraded its stance on **Vistry on** Tuesday as it took a fresh look at the house housebuilder following full-year results.

"We have come to see and understand the Vistry model more clearly since the announcement of its FY2023 results," the bank said.

"The model is radically different, and we have concluded that the UK's biggest housebuilder should be valued on a different basis to that of its traditional peers.

"Viewing Vistry through a new lens leads us to increase our price target significantly to 1,400p from 825p and our rating from 'underperform' to 'sector perform'."

RBC said it thought it understood the partnership model before, but it understands it "much better" now.

The bank said one of the main reservations it had was regarding the availability of large public sector sites available on a draw down basis. "We didn't think there were enough of them to deliver Vistry's target volumes," it said.

While it still does not believe there are enough large sites, RBC said it appreciates that the partnership model can also work on smaller sites "of which there is a plentiful supply".

"The key to success is putting the partners in place rather than the size if the site purchased," it said.

"A partnership model approach to buying land is very different to that of a traditional housebuilder, but by moving down the risk reward curve and trading margin to de-risk sales we believe that Vistry can compete on a level playing field, and the partners may sometimes tip the field in Vistry's favour."

Subject	Re: RBC says it was very wrong about Vistry & raises price target 70%
Entry	03/21/2024 08:45 AM
Member	sck4000

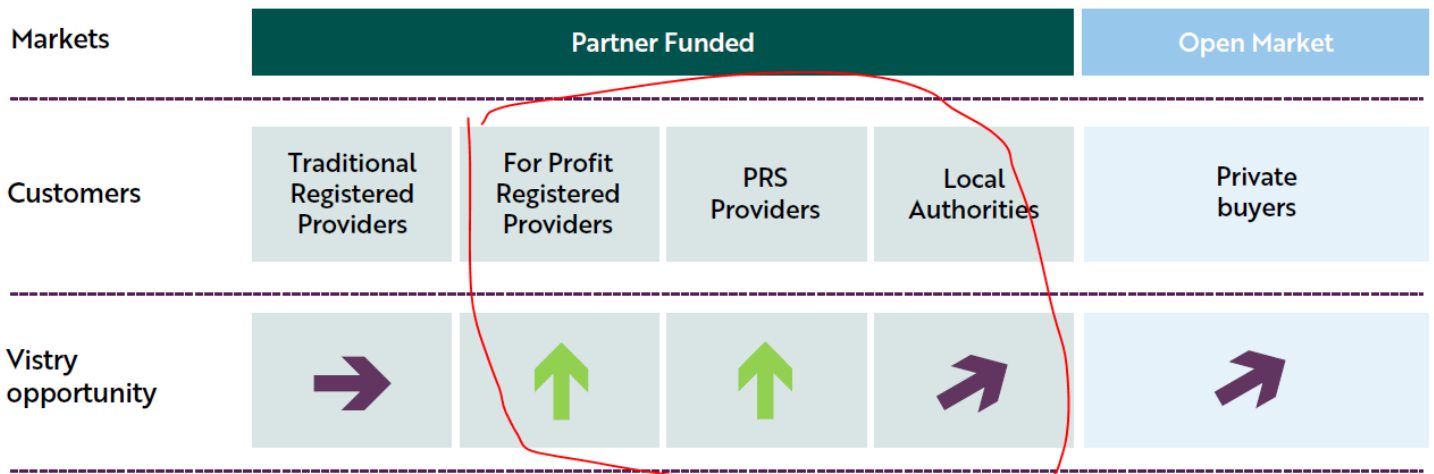
Thanks, I've seen this summary, but don't have access to the original source - did anybody read the original RBC report?

On a related note: I think their point on availability of "land supply" is actually interesting. As reported this morning here*, the newest wave of gov. reforms actually makes councils _overturn_ some already approved projects (which is crazy). In case you have no access, here's one example they cite: *"North Somerset council in the south-west of England, which is led by a Labour and Liberal Democrat coalition, scaled back plans for nearly 3,200 homes on greenbelt land that had been provisionally agreed in 2022, when the government indicated that councils "should not be compelled to release greenbelt to meet housing needs".*

If I understand this correctly, then this would reduce opportunities to work with Local Authorities - but that the newly emerging possibilities with PRs and For Profit reg. Providers should balance this out? Any thoughts on this?

(As per one of the slides of Vistry's FY deck):

CAPTURING GROWTH



*: <https://www.ft.com/content/37803a77-858b-4dc8-946c-b1f893ba5c0d>

Subject
Entry
Member

Re: Re: RBC says it was very wrong about Vistry & raises price target 70%
03/22/2024 10:01 AM
sck4000

Dear all,

my sincere appologies - there was already a detailed discussion on the RBC report further down in this threat even with some backgorund on the analyst himself (posts #55 & #56). Honestly, I'm not sure why I overlooked this - but I did.

Please ignore my last post.

Thanks for the great discussion,

sck

Subject Betaville Report - bid speculation
Entry 04/23/2024 12:00 PM
Member fiverocks19

DISCLAIMER - THIS IS A REPORT FROM BETAVILLE.CO.UK AND I AM ADDING IT TO THE THREAD AS THE REPORT HAS BEEN WIDELY DISSEMINATED AND THE STOCK REACTED ONCE IT WAS PUBLISHED. I HAVE NO FURTHER VIEW OR OPINION AS TO THE VERACITY OR LACK THEREOF OF THE REPORT. BETAVILLE GENERALLY HAS A GOOD TRACK RECORD, BUT I HAVE NO PARTICULAR INSIGHT INTO THIS SPECIFIC SITUATION.

UNCOOKED ALERT: Vistry Group said to ...

Vistry, the London-listed housebuilder, has come under the spotlight amid bid speculation.

People following the situation have rumours at least one US-based private equity firm has been studying the possibility of purchasing Vistry.

Some people following the situation said the private equity firm circling Vistry last year took a look at buying Mears, a London-listed company that repairs and maintains social homes in the United Kingdom.

However, the buy-out firm ultimately opted against pursuing Mears further after having an indicative offer of between 260p and 305p a share rebuffed and amid concerns about the optics of owning a social homes maintenance provider, said people following the situation.

To be clear, this story is UNCOOKED. I have pasted the definitions of UNCOOKED below in case you don't recall their definitions.

UNCOOKED: Market gossip as Betaville receives it.

fiverocks

Subject Re: Betaville Report - bid speculation
Entry 04/23/2024 12:52 PM
Member MrStingy

Why do people downvote fiverocks19 comments? I find fiverocks19's contributions extremely valuable, not only on this thread but others.

I don't know how betaville operates and I'm similarly not going to take a position on the veracity of their claims, but just to add an **anecdotal** data point -- a few years ago betaville published an "uncooked" report of an acquisition attempt of a portfolio company of mine. It turned out to have been true, and betaville got the offer price correct as well.

Subject Re: Re: Betaville Report - bid speculation
Entry 04/23/2024 01:39 PM
Member agentcooper2120

Thanks for sharing, fiverocks.

One would hope the company rejects a PE bid that would likely not have enough upside to what would come to shareholders over a 5-10 year period.

CSP shareholders have seen something like this before. Imagine they'll be quite vocal to management.

If anything this rumor highlights that others see the low valuation of VTY contrasted to its earning potential.

Can't speak for the exact reasons for downvoting but perhaps it's a "I don't like that. Why can't we have nice things in the public markets?" Kind of thing. That was certainly my first thought on the matter.

Subject Re: Re: Re: Betaville Report - bid speculation
Entry 04/23/2024 05:39 PM

Member

Bismarck

Is that the full text from betaville? Thank you.

Agreed, annoying if it gets taken out here. That said, I imagine a PE backer can pay the c-suite more as a pvt co than public in the UK. Them's could be the breaks.

Subject Re: Re: Re: Re: Betaville Report - bid speculation
Entry 04/23/2024 06:18 PM
Member AAOI

If this gets stolen by PE at some bullshit 50 to 100% premium just as we're approaching exit velocity (re Vistry's cash flow, general investor narrative, and capital return inflection points), I'll lose my mind. Already been through this bullshit with Inclusive once.

In any case, Fitzgerald strikes me as a guy that (a) wouldn't sell us out like that and (b) would prefer the street cred of creating and guiding the NVR of Europe in a public markets as the cherry on top of his long and illustrious career (and everything that comes with that re posterity), then the higher comp tradeoff you bring up, but who knows.

Subject Re: Re: Re: Re: Re: Betaville Report - bid speculation
Entry 04/23/2024 07:21 PM
Member AAOI

Fwiw, I haven't been able to find the Betaville speculation on the bid on its website, despite signing up this morning not long after Fiverock's update. Typing Vistry or Vistry Group into the Betaville website's search bar yielded nothing as well (Just checked again about 10 minutes ago...still nothing). Similar deal on Betaville's Twitter account.

Strange to see it get pulled is the point, especially given there is no retraction that I can find. The thought only came to mind because I recall hearing sometime in the past that Betaville was owned by the Financial Times (that's probably wrong). But why pull a rumor at all - presumably Betaville has plenty of rumors that didn't pan out still up on the site, no?

In any case, not exactly sure what to make of it so would appreciate anyone's thoughts if anything worthwhile comes to mind.

AAOI

Subject Re: Re: Re: Re: Re: Re: Betaville Report - bid speculation
Entry 04/23/2024 07:27 PM
Member katana

In response to post #171 from AAOI: *Who cares??* We all hope the rumor is false or gets rejected. Because, see posts #168-170.

Oh, wait, #170 is also from AAOI.

Subject Re: Re: Re: Re: Re: Re: Re: Betaville Report - bid speculation
Entry 04/23/2024 09:19 PM
Member AAOI

Ha, fair enough. I try and stay as "man on the mountain zen master" as the next guy when it comes to rumors on large positions, but may have lost my cool for a moment.

If I did, it's because a premium of 100% probably gets it done for a financial buyer (if only because a premium of that magnitude puts the board in an awkward position), hence my desire to know if they retracted it for being false. Add in Bismarck's thoughtful concern on comp and it seemed my "only the paranoid survive" line of questioning on Betaville was worthwhile as I'd certainly sleep a bit better knowing that was the case...hence response #171.

In the meantime, back to the top of the mountain; here's to hoping it's all a bunch of nonsense. Seems like we have good reasons to believe that's the case at the margin given the speculation appears to be retracted at this point. Just didn't have a take-under by PE on my bingo card so got a bit shook for a minute. LoL.

AAOI

Subject CEO Buys on open market
Entry 05/01/2024 02:57 AM
Member asafpol

CEO just filed for buying \$340k of equity in the market. Beyond just great to see, it probably put an end to the below bid speculation.

I don't think he would be allowed to buy shares with that kind of inside information.

Subject UK General Election Called - July 4 - Labour Win Likely
Entry 05/22/2024 01:38 PM
Member agentcooper2120

In a scene straight out of The Thick of It, with protestors blaring in the background D:REAMs hit "It Can Only Get Better" and no umbrellas in sight as rain started to pour, UK PM Rishi Sunak began his outdoor statement that a general election will occur on July 4. Labour is roughly 20 points ahead in the polls.

In the event of a Labour win, as stated in our thesis, Vistry could see some tailwinds in the form of increases in government funding for affordable homes.

Subject Re: UK General Election Called - July 4 - Labour Win Likely
Entry 05/22/2024 05:04 PM
Member katana

Yes but imagine how many houses Brits would buy if they were, instead, happy.



Subject VTY listed as an indicative add to the FTSE100 Index by FTSE Russell
Entry 05/28/2024 02:09 PM
Member fiverocks19

There is still time for this to change, as the official rank date is June 4.

But if VTY is indeed added to the FTSE100, it could have a significant impact on the share price. The UK is a "buy the news" market, not a "buy the rumor" market, so I don't think this is in the stock yet.

<https://www.bloomberg.com/news/articles/2024-05-28/darktrace-on-track-for-ftse-100-return-as-ocado-heads-for-exit>

fiverocks

Subject Re: VTY listed as an indicative add to the FTSE100 Index by FTSE Russell
Entry 05/28/2024 02:59 PM
Member HTC2012

Its very close between endeavor mining, darktrace, and Vistry. It will come down to the wire. I actually am not sure if Vistry will go up or down from here. I think some of the inclusion is already priced in but if endeavor takes the lead, i think there is a chance Vistry will sell off as it has been front run to some extent.

Of course none of this has anything to do with the fundamental case which I like a lot here.

Subject Re: Re: VTY listed as an indicative add to the FTSE100 Index by FTSE Russell
Entry 05/31/2024 08:09 AM
Member katana

For purposes of the next month, Vistry has an effectively infinite buyback authorization in place, and you think there's a risk its stock *might not make this cut*??? HA HA HA HA HA HA HA HA HA HA. Greg Fitzgerald is stone-cold killer.

Vistry can raise extra cash for buybacks by short-selling a ton of Endeavor stock. That would kill two birds with one of Greg's stones.

[NOTE: 50% joke. For the other 50%, see Vistry's daily buyback volumes lately compared to earlier weeks.]

Subject Another Large Deal (this one for £580M) Underpins The Partnerships Thesis
Entry 06/04/2024 10:07 AM
Member fiverocks19

This morning, Vistry announced [an agreement to sell 1,750 PRS homes over the next two years for £580M](#).

With every similar announcement, including [this one from less than two weeks ago](#), it becomes increasingly clear the transition to a pure-play Partnerships model is working. Customer demand is nearly insatiable, and Vistry is uniquely well-placed to deliver on the structural growth in PRS, affordable, and mixed-tenure overall.

I'm a value investor, so a brief update on valuation may be appropriate. The few Partnerships businesses sold in the last 10 years have transacted for 12-13x EBIT. Vistry, which owns the #1 Partnerships business by far with faster growth and higher returns on capital than those businesses, could easily command 15-20x EBIT.

At the moment, Vistry trades at just 8x EV/EBIT. Including the £1 billion share buyback (which is a return of excess capital), the implied valuation is less than 6x EV/EBIT. Should Vistry achieve its medium-term target of £800M EBIT within three years, the shares would be trading on just 4x EV/EBIT. We see an opportunity for a triple or quadruple from here to £50+ per share over a 3-year hold period, which would be billions of pounds of shareholder value created.

It's also worth noting that Vistry's CEO personally purchased £275,000 of shares in the market less than five weeks ago. Putting his money where his mouth is.

The rank date for the FTSE 100 is today at the close, hopefully more to come on this too.

fiverocks

Subject VTY Added To The FTSE 100 Index As Of June 24
Entry 06/06/2024 11:34 AM
Member fiverocks19

As anticipated, FTSE Russell announced yesterday after the close that Vistry Group plc will be added to the FTSE 100 Index as of June 24, 2024. [The full press release can be found here](#).

The net buy is expected to be over £100M. Far more important than any short-term move, however, is all the incremental eyeballs and capital that can look at Vistry now that it's in the top UK index.

fiverocks

Subject Re: VTY Added To The FTSE 100 Index As Of June 24
Entry 06/07/2024 08:27 AM
Member blaueskobalt

Hi fiverocks,

Is that the net buy or the gross buy? The color I have been getting is that the FTSE 250 sells will roughly offset the FTSE 100 buys, with some desks expecting net selling...

Subject Re: Re: VTY Added To The FTSE 100 Index As Of June 24
Entry 06/07/2024 10:34 AM
Member fiverocks19

Net buy. I've heard the same number from multiple different brokers. One said "8M shares". Another said "over £100M".

I have no idea how accurate their data is. I'd take these figures with large grains of salt.

My focus is less on the immediate impact of the uplisting, and more on the medium-term and longer-term impact of funds with significantly more capital being able to access Vistry now that it's in the FTSE 100 Index. That can move the needle over time.

fiverocks

Subject Re: Re: Re: VTY Added To The FTSE 100 Index As Of June 24
Entry 06/07/2024 11:26 AM
Member katana

So, like when bitcoin ETFs were approved, but with a valuation ceiling. :)

Subject Pace of buybacks -- anyone underwhelmed or just a timing issue?
Entry 06/10/2024 11:30 AM
Member SamPR

Over the past six months, the decline in share count has been -2.7%. That's not terrible, but also not close to the pace advertised by the write-up (330M - 500M in annual buybacks for the next 2-3 years).

Does anyone have updated insight into how management is thinking about the cash return and how transition to the "asset light" business model is going?

Thanks!

Subject Re: Pace of buybacks -- anyone underwhelmed or just a timing issue?
Entry 06/10/2024 02:21 PM
Member asafpol

I believe they are buying back ~\$2M per day which puts them on track. There was a period when there was no authorized buyback allocation so I guess this is what caused the gap.

Subject Re: Re: Pace of buybacks -- anyone underwhelmed or just a timing issue?
Entry 06/11/2024 04:55 PM
Member SamPR

"I believe they are buying back ~\$2M per day which puts them on track."

Can you cite a measurement period or evidence?

Last three days it's <\$400,000. That's only 20% of \$2M.

Over six months, it's 2.7% of the float.

Anyone else with thoughts on the pace of buybacks?

Subject Earnings estimates
Entry 06/18/2024 04:23 PM
Member erst1071
 Anyone know why earnings estimates for 2025 and 2026 has come down so much since the end of may? News from the company is only a new partnership of almost 2k new unts, should be positive...!?

Subject Q2 Results
Entry 07/09/2024 05:27 PM
Member HTC2012
 Any thoughts? Seems solid but net debt a bit higher and as a result, int expense a bit higher than expected. However also seems like rev and op income for year might offset that.

Labor gov should be positive if they end up actually doing something tanigble.

Subject Re: Q2 Results
Entry 07/10/2024 02:54 PM
Member erst1071
 What is your estimated rpt and adj net income for the year now? Last year had several exceptional charges that took down adj. net income from ~300m to only ~200m.

Subject Re: Re: Re: Pace of buybacks -- anyone underwhelmed or just a timing issue?
Entry 08/19/2024 04:39 AM
Member asafpol
 Over the past few weeks buyback velocity has increased to roughly 80,000 shares a day which is \$1.4M. Annualized, this is >\$300M or more than 5% of the market cap per year.

Subject Re: Re: Re: Re: Pace of buybacks -- anyone underwhelmed or just a timing issue?
Entry 08/19/2024 07:21 AM
Member Scorpio
 The company is currently returning c. £155M in ordinary capital distributions via buybacks annually. It will be interesting to see how much £ will come in the form of special distributions and whether this will in fact be via buybacks not dividends.
 Assuming the special dist amounts to £0 in buybacks, I am still projecting a decrease of 4-5% of shares outstanding for FY24. This pace seems fine (NVR was cancelling on avg 5% a year since 2000).
 I think Vistry is positioned to deliver solid returns today, but it has the potential to offer spectacular returns if management exercises the discipline to cannibalize their own stock over the next decade.

Subject Valuation
Entry 09/16/2024 04:55 PM
Member HTC2012

I'm curious how people are thinking about valuation and estimates from here.

Is there still upside to numbers for 2025 or has it mostly been priced at this point?

On valuation, I've seen sellside starting to say that this is expensive on a P/B basis. I don't follow that argument given the landbank is being liquidated and this is becoming an asset light business. So shouldn't we be looking at this purely on a earnings and FCF basis? Still far cheaper than Persimmon as a comp.

Subject Re: Valuation
Entry 09/17/2024 11:23 AM
Member fiverocks19

HTC2012-

I believe Vistry remains woefully undervalued, and is a 3-4x from here.

There have been two transactions with partnerships businesses in the last handful of years (Keepmoat and Galliford Try Partnerships). They both transacted for 12-13x EBIT. Vistry is a partnerships business with far greater scale (the dominant #1 in partnerships), is growing faster (Keepmoat was no growth), and earns higher returns-on-capital than either of those businesses. Vistry should trade for 15-20x EBIT. It's nonsense to value an asset-light business on P/B, and most of the UK sell-side has switched to valuing the company on earnings and gradually walking up the P/E or EV/EBIT valuation multiple ascribed.

15-20x EBIT on the company's 800M EBIT target, and giving credit for the 1B share buyback, gets you to a share price of 50+ vs. current share price <14.

Here's another way to think about it. I just pulled up the Stifel note on VTY LN issued on Sep 9 2024. On page 3, there is a table listing valuations for all the housebuilders. Vistry has the highest-quality business in the sector (fastest growth, resilient through downturns, capital-light, etc.) and the highest return-on-capital in the group, but according to Stifel trades for the lowest PE multiple in the entire sector on Stifel's 2025e numbers. Vistry also has the lowest market cap of any FTSE100 housebuilder despite having the highest projected EBIT (per Stifel) in 2025e. Vistry is trading nowhere close to fair value. I hope they keep scooping up shares through the buyback every day, as they have been.

fiverocks

Subject Entry Member	Re: Re: Valuation 09/25/2024 12:35 PM HTC2012
When do you think they get to that 800m of EBIT?	

Subject Entry Member	Vistry 10/08/2024 04:28 AM HTC2012
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Vistry had to issue a profit warning today related to a cost overrun in its South Division. Apparently 9 out of 46 developments had understated total full life costs by ~10% of build costs. Seems like they have fired the people responsible.

As a result, Vistry has taken down pre tax profits by 18% this year, 6% next year, and 1% in 2026. So in total a 25% reduction to profits, and after tax this is ~17% cumulatively. **The stock is down roughly 30% as we speak.**

Now my understanding is that the reason the pre tax impact is so big this year is because of % of completion accounting. Vistry has to reverse prior profits they have recognised associated with those units. However, they reaffirmed their net cash position by year end which implies this year's cash impact is minimal. Therefore, assuming cash is roughly in line what they've projected, the impact will only be on 2025/2026 when it comes to their net cash position.

Assuming their forecasts are correct, a 6% hit to profits next year is ~4% after tax and less than 1% in 2026. That means free cash flow will be roughly 4% lower next year. If this is accurate, this is a massive over reaction.

I think the bigger question is, are there other issues/overruns to come. That is a tougher question. It sounds like from the release they are very confident there is nothing to come in the South Division (where these issues occurred) as they have done a detailed audit of it. It also seems like they sound comfortable on the rest of the business. But that is the part that is clearly more uncertain.

The disconnect between the 30% share price move and the ~3-4% impact to future free cash flow is stark, however. So clearly people are freaked out by future problems or are just panic selling w/ no buyers. To me it seems like mass panic that is well in excess of what is being disclosed. Curious on other people's view.

Subject Entry Member	Re: Vistry 10/08/2024 05:49 AM liverpoolstocks
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Risk is that the South Division understated costs to meet ROCE goals due to 40% target ROCE along with growth in completions not being feasible. Don't know if this is true but raises the question of whether the thesis is 'too good to be true'. 30% does seem like an overreaction though.

Subject Entry Member	Re: Re: Vistry 10/08/2024 06:04 AM Bud_Spencer
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"growth in completions not being feasible" where is this coming from?

they confirmed guidance for 2024 and mid term in terms of completions.

Apart from the stated profit reduction, it's a hit to confidence on execution and controls.

Subject Entry Member	Re: Re: Re: Vistry 10/08/2024 06:49 AM liverpoolstocks
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I'm playing devil's advocate. If one division has to sacrifice margins/returns for more completions, suggests that 40% ROCE and 12% op margin may be less easy than expected. Agree it is likely just a hiccup but must take reaffirmed guidance with a pinch of salt.

Subject Re: Re: Re: Re: Vistry
Entry 10/08/2024 08:03 AM
Member Rtg123

Doesn't this just prove this partnership business is much riskier and hard to model than people thought? CSP was a perpetual disaster with execution issues. People blamed the CSP CEOs and now VTY (who has a good CEO) is having the same problems.

Subject Cash Flow?
Entry 10/08/2024 10:11 AM
Member zax382

So they reiterated net cash by the end of the year. What I am wondering is -- these adjustments have to flow through the cash flow line at some point right? I mean if they booked too much profit on earlier completions, doesn't that mean that later completions will have a lot less cash associated with them? Because if for some reason the only cash hit here is the reductions in 2025/2026 then this really is a massive over-reaction to what is mostly an accounting change. That said, cost overruns are real and so I would think they would hit cash? Just trying to get a better sense of the cash vs. accounting impact going forward -- thanks

Subject update
Entry 10/08/2024 10:29 AM
Member fiverocks19

I just spoke with management. Here are a few takeaways:

- The cost over-runs are entirely related to a handful of legacy housebuilding sites (Bovis/Galliford Try) in the South Division.
- There are zero issues with any partnerships business. There are zero issues with any Countryside business.
- Vistry is going through its annual budget process right now, and also implemented a series of enhanced controls across the business in recent months. These specific cost over-runs were caught as a result, followed by a complete forensic audit of the Division which is now done. CEO Greg is confident this is isolated as the entire company has gone through the same rigorous budgeting assessment under enhanced controls, and all else is on track.
- The cash hit is immaterial this year, but there will be a cash impact in the few tens of millions in 2025.
- The team believes it has its arms around this. The "contingency" included in the 115M GBP is substantial, likely in the tens of millions, because the team is emphatic there will not be another announcement along similar lines. This is it.
- The leadership of the business units affected have been dismissed. Oversight of the business units is now directly under COO Earl Sibley. The business units are likely to be merged into geographically neighboring business units that have not had any of these issues.
- The company is considering accelerating buybacks given the market cap down over 1B GBP for a profit hit of <0.1B GBP (excluding the contingency)
- Greg emphasized over and over this has nothing to do with the partnerships model, and partnerships units are performing well.
- CEO Greg also has put his money where his mouth is, purchased 200,000 GBP of shares a few minutes ago (there is an RNS out).

fiverocks

Subject Re: update
Entry 10/08/2024 10:50 AM
Member blaueskobalt

If this was outside of the partnerships business, why did the company not put that in the press release? Would have been easy to have said, "legacy projects, in wind-down," or something like that.

Subject Re: Re: update
Entry 10/08/2024 10:59 AM
Member fiverocks19

blaueskobalt-

We said the exact same thing.

The company is strongly considering scheduling an investor call to discuss in greater detail. The advice they received was to put out an announcement followed by 1x1 conversations with top-20 shareholders, but we have encouraged the company to do a public call in the near term.

fiverocks

Subject Re: Re: Re: update
Entry 10/08/2024 11:29 AM
Member Pluto

That would have been and probably still is a good idea.

On IR in general, Fiverocks and others who have Greg on direct access. A suggestion from us would be to beef up IR. You guys might not have to deal with IR much given the direct access/or you get a premium service, but we haven't had the best experience so far. Have others here had a similar experience?

Subject Re: Re: Re: Re: Re: Vistry
Entry 10/08/2024 01:33 PM
Member mpk391

Rtg123 - but didn't the second lan at CSP have other execution issues as well? that acquisition he did had problems. division heads were allowed to run around like a herd of cats, leaving their truss mfg facilities woefully underutilized, etc.

Subject	Re: Re: Re: Re: Re: Vistry
Entry	10/08/2024 03:09 PM
Member	bluewater12

Quick Question:

Are any of the longs here concerned about the 100m or so YoY increase in work in progress? I assume the cost overruns just disclosed contributed to this, but even then, I thought work in progress should have declined significantly YoY rather than increase, since partnership deals are paid as units are built.

I am worried that this increase in WIP could be a red flag that 1) further write downs could be possible or 2) ROCE targets of 40% are way too aggressive. To add to this point, ROCE this year is projected to be flat YoY which is somewhat disappointing and probably a big reason why the stock traded down after earnings.

Subject	Re: update
Entry	10/08/2024 10:10 PM
Member	Rialto95

Crazy but is it plausible they engineered this press release kerfuffle to repurchase more stock at a discount?

Subject	Re: Re: update
Entry	10/09/2024 08:34 AM
Member	Supernova

Anything is possible but just FYI that would be market manipulation and securities fraud. Seems unlikely.

Subject	Re: update
Entry	10/09/2024 09:31 AM
Member	Scorpio

Thanks for the update Fiverocks, it is much appreciated. If this really is a one and done then the current share price is an undeniable steal.

To play devil's advocate. They claim to have been working on internal controls for months, but their HY update was a month ago and they did not know about this issue?

If these were legacy housebuilding sites, it is entirely plausible that the local team was hoping to recover some of the cost overrun with higher house prices. How can Greg be sure that this is isolated and not a feature of any other legacy sites? If the South Division overruns were discovered on Friday, how could all the other legacy sites have undergone rigorous assessment by Tuesday?

Agree, a public call to address these market concerns would be a good idea.

Subject	Re: Re: update
Entry	10/09/2024 12:34 PM
Member	zax382

Some data from a large group call with investors that just concluded, hopefully incremental to what has already been shared here:

1) Even within the 9 projects, 4 of them were in one sub-unit. 1 project was 1/3 of the entire issue with under-reported costs going back to 2019

2) Of the 115m total hit to EBIT:

- ~35m is an impairment hitting 2024, for previously incurred profit at Homebuilding dating back even before the acquisition
- ~45m is taking down profit margin going forward in 2024.
- If I'm doing my math correctly, it sounded like 20-30m of the 2024 hit is contingency. That would mean of the 45m in reduced profit margin for 2024, more than half of it is contingency (?)
- The remaining hits in 2025/2026 are future profit margin adjustments on projects in wind-down mode
- 30-50m hit to cash in 2025. What I don't know is, if contingency isn't used, is cash hit also lower?

3) Cost overruns were not inflation. They were site specific, idiosyncratic issues that were hidden. He mentioned asbestos was found and remediation was covered up by higher tail end pricing assumptions, also some ground water work, new more expensive contractors, etc. Greg said these issues tend to come up but you address them at the time (for instance they would not have built on the asbestos land, saving a lot of money, if they had know). But the difference was in other divisions when these things come up they are dealt with at the time, whereas a huge backlog of these issues, and resulting bad decisions, had built up because of "management suppression" in that business unit

4) They have audited the rest of the divisions, do not think there are similar issues. Other management is "aghast" at what they found in the Southern unit. Leaders have been replaced and unit has been rolled into another division now. Have put in a contingency just in case they do find something

5) Have a detailed examination that is going to happen over the next month to triple check everything. Are optimistic they will not find further issues just because the processes/management are different in the other divisions and they have also not found any similar issues to date. Management of the other divisions had opportunity to bring forward any issues over the weekend but haven't seen anything meaningful. But have contingency in place just in case. Want to be in a position on November 8th to have finalized this audit and give maximum confidence to the market that issues are behind them.

My view:

Look, if you trust them, this looks like a no brainer as they will come to the market in November, give everyone the alls clear, and the cash hit just isn't that meaningful. And you are paying sub 4x mid-term EBIT for a transition that seems to be working and a net cash balance sheet. In the meantime they can buy back shares cheaply.

That said, they have only had a limited amount of time to get to the bottom of this and a second profit warning would be *painful.* I think Greg understands this but maybe there are things outside his control. I am happy he seems to have baked in serious contingency in the numbers.

Stepping back, unless they find new issues in the partnership sites, the thesis does seem intact. Anyone with insight into how the contingency plays into the 2024 numbers I'd be curious to hear.

Subject Re: Re: Re: update
Entry 10/09/2024 12:49 PM
Member bluewater12

Thanks for the additional color. Any concern over the meaningful step-down in EBIT and EBIT margin in 2H'24? Based on my calculations, 2H'24 EBIT will be 10m less than 2H'23 EBIT and EBIT margin will be almost 2% less. Is this just the natural volatility in performance that can occur as projects progress? The numbers don't look as bad on a full year basis - The full-year EBIT margin will be right around 11%, so essentially at the bottom end of the range that Tim Lawlor provided in January, but just want to make sure the margin decline in 2H'24 is not a trend.

Subject Re: Re: Re: update
Entry 10/10/2024 08:03 AM
Member onodacapital

I'm trying to be constructive but it doesn't make sense. Stock continues to bleed on high volume even though they are supposedly telling large investors this is not a huge deal. Is it all just a credibility issue? Why would their public disclosure be so much more concerning than private disclosures, but none of those investors are stepping in? What are others hearing that makes them disagree?

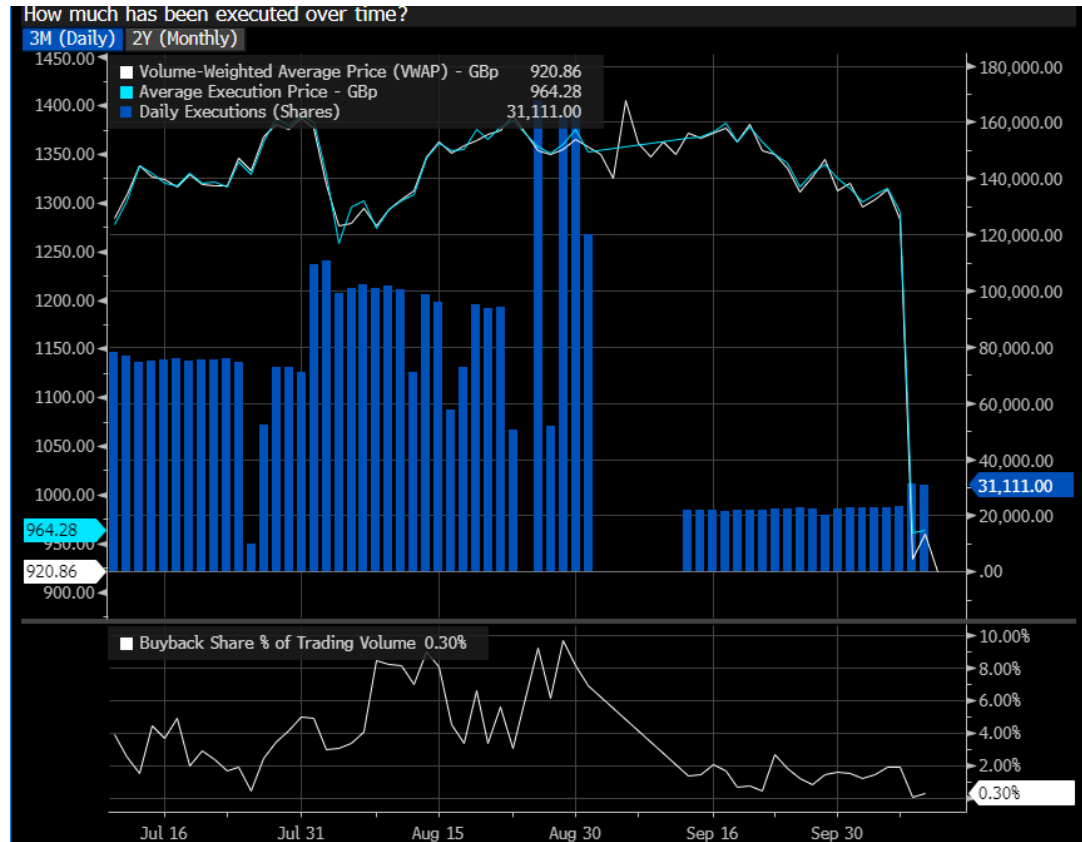
Subject Re: Re: Re: Re: update
Entry 10/10/2024 09:16 AM
Member katana

"High volume": Yesterday's trading volume was 1.7% of shares. Today's is on pace for 1.2%. No one is buying in size, but almost no one is selling either.

Subject Re: Re: Re: Re: Re: update
Entry 10/10/2024 09:32 AM
Member Rtg123

The stock was trading \$10mm a day for months and traded \$163mm, \$75mm and \$47mm (so far) the last three days. The business model was always a black box and now people are freaking out. I think its impossible to reassure because management allegedly just discovered this issue on Friday!

Also weak buyback doesnt signal much confidence



Subject Re: Re: Re: Re: Re: Re: update
Entry 10/10/2024 09:40 AM
Member HTC2012

The reason it's selling off is because it's tough to buy until management knows for sure there aren't any other issues. Management believes the issue is contained but needs to be sure. Once they do know (and if things are fine) I think things will work in the reverse direction as well. Tough for people to buy until that is taken care of and very easy for people to sell.

Subject Re: Re: Re: Re: Re: Re: Re: update
Entry 10/10/2024 10:51 AM
Member blaueskobalt

Bad IR is also playing a role, as noted by onodacapital and others.

I have left multiple vmails to the IR number and the bottom of the press release and gotten no callbacks.

If management held a public call and told the market what they told zax & fiverocks, the stock would be in a very different place.

Subject Insider Buying
Entry 10/10/2024 10:51 AM
Member fiverocks19

Browning West (#1 shareholder and with a board seat) just bought 800,000 shares in the market, worth \$10M.

Director Chris Browne just bought 75,000 GBP worth of shares. May not seem like a lot, but she has never owned shares before and this is more than she's historically made in annual compensation as a board member. My understanding is she's not independently wealthy. Seems like a clear statement that she's going in and spending this much to own shares.

Every signal we are getting is this is a massive overreaction.

fiverocks

Subject Investor Relations Contact(s)

Entry
Member
blaueskobalt-

10/10/2024 11:20 AM
fiverocks19

Apparently VIC does not allow posting e-mail address in message threads...

The Group Investor Relations Director is Susie Bell. The CFO is Tim Lawlor. The format for e-mail addresses at Vistry is firstname.lastname@vistry.co.uk. I am confident you can figure it out from there.

Susie's direct office number is +44 0 1732 494 716

fiverocks

Subject
Entry
Member
If I were Vistry's management/IR, why would I be in a hurry to say "we are totally sure that all is well"?

Game theory
10/10/2024 01:30 PM
katana

They probably are not 100% sure. My best guess is that they are 90% sure.

They already have a trading update scheduled for a month from now (November 8). Normally that would just be headline numbers for 3Q results, but they can say more if they want to.

If they keep their "all is well" powder dry until then, 10% odds they were wrong and they avoid undermining their credibility, and 90% odds they bear almost no costs *and* have time to buy back a few more shares more cheaply than otherwise.

For the tiny community of people paying attention to Vistry, November 8 is gonna be lit.

Subject
Entry
Member
Not to be a narc but FYI Zax, your meeting notes now have 4.6K views on twitter. Not sure if anyone actually cares, and I don't have a ton of seniority here, but seems it's not really in the spirit of VIC to be sharing others' edges on acutely volatile situations in real time, outside of the community. Pls let me know if I'm wrong here.

Twitter
10/11/2024 01:31 AM
MrStingy



Subject
Entry
Member
Hi, MrStingy --

Re: Twitter
10/11/2024 01:52 AM
bowd57

Regrettable. I have my goons dispatch similar offenders. In the absence of goons, I suggest public shaming and expulsion.

When you have a chance, do return to the SAVA thread to answer my stupid questions.

Yours,

Bowd

Subject
Entry
Member

Re: Twitter
10/11/2024 08:34 AM
zax382

I am not a fan of this. I certainly wasn't asked permission. There have been plenty of people on twitter sharing insights from management directly, and there were 30 other people in this meeting who could post directly on twitter. Second hand note sharing is not ok. This type of thing is definitely outside the spirit of VIC in my view. I would encourage the person who did this to take it down immediately and never do this again.

Subject	Re: Re: Twitter
Entry	10/11/2024 08:58 AM
Member	HTC2012

Zax was this a meeting for smaller investors or bigger investors? We are a bit surprised we weren't invited on it.

Subject	Re: Re: Re: Twitter
Entry	10/11/2024 09:16 AM
Member	zax382

I don't know how they chose participants. I wouldn't consider us a large investor but we are certainly institutional. There were 30+ participants, we just emailed IR and got included. Sorry I don't have more insight!

Subject	Re: Re: Twitter
Entry	10/11/2024 10:02 AM
Member	Harden

I agree with the general idea. But if I'm not mistaken this was copied from an unlocked comment on a company write-up over 3 months old. It was public anyway and could be viewed as welcoming further distribution?

Subject	Re: Re: Re: Twitter
Entry	10/11/2024 10:18 AM
Member	numc911

Messages are subject to 45-day delay indefinitely even after the idea can be seen by guests. It is (obviously) bad form to post <45-day messages in a public setting. While members can make messages private which means that they are never viewable by guests, in this case the public posting must have been by, or facilitated by, a member, so....

Subject	Re: Re: Re: Re: Twitter
Entry	10/11/2024 10:25 AM
Member	azia1621

He's doing this on other write-ups, too. "Bad form" is too generous.

<https://x.com/jaysyoon/status/1844468992083386628?s=46&t=gqAKUeu1hc1Astgrbm8zYw>

Subject	Re: Re: Re: Re: Re: Twitter
Entry	10/11/2024 10:45 AM
Member	Pluto

In regards to the Twitter issue. Luckily people who do this type of stuff shoot themselves in the foot, which should naturally keep it kind of rare, as long as it gets regularly called out here. It is a relatively small world we live in investing and I don't think many of us here think highly of that kind of behavior and pretty much everyone here has Twitter as well... so will he continue to do it? I doubt it.

There were actually over 60 people on that call, which I initially found surprising, but then again this stock has turned into quite a hedge fund hotel. ;-)

HTC2012, I think they invited people who reached out to the company asking them about this trading update. I am pretty sure they didn't check how small or big someone's stake was. In case you reached out to them, I guess you have one more reason to complain to IR :P

Subject	more insider buying
Entry	10/15/2024 09:23 AM
Member	fiverocks19

I doubt Board Directors would still be buying shares if the incremental news wasn't positive.

The latest RICS Survey showed another step-up in demand last week. Bellway raised volume guidance this morning. The UK housing market is clearly strengthening and will be a tailwind here.

fiverocks

Subject	Calling all Bears
Entry	10/15/2024 09:52 AM
Member	blaeskobalt

Hi Bluewater,

Can you please expand upon your theory(ies)? This is a business undergoing a huge transition; therefore, I would expect some "odd-appearing" movements in the accounts as they transition projects; accelerate some; liquidate others; etc. Given all the transition, combined with the fact that the company has already issued a profit warning, this is not the sort of situation where I would expect an incremental "gotcha" to surface in the accounts. But I know from your other work on VIC that you are very sharp on this sort of thing, so I'd be grateful to understand your concerns in more detail.

At a high level, the most concerning bear point in my mind two weeks ago was how smoothly this transition had been going. Given the M&A, management changes, and strategy/business model transition, I had been waiting several quarters for some sort of profit warning or write-down related to the transition; the fact that we hadn't yet had one was a red flag to me.

Now that we have had one - and a floodlight is being pointed at it - I think one of the biggest red flags has been removed (i.e., a de-risking event through the risk being realized!). Following that logic, a risk has been removed, and the price is much cheaper...

To others,

What is the bear thesis from here? Who on the sell-side is the most adamant bear, and who is the most thoughtful skeptic? The calls I have had with sell-side skeptics post profit warning have been surprisingly benign...

Subject	Re: Calling all Bears
Entry	10/15/2024 10:25 AM
Member	cnm3d

i wouldn't call myself a bear, per se, but i can explain why i don't own it. i'm not super close to VTY story, but i have followed housing and builders very closely for a long time, as i have posted on here.

NVR has to work their ass off to be ~1-2% of US housing starts and asset light, and their model has proven difficult for others to copy. VTY needs to do this at 10% of current UK housing starts, and that just seems pretty hard to me. if VTY can't transition to asset light as easily as thought, either the capital on balance sheet isn't freed up or future earnings projections are wrong, or both. it's also the type of thing where i would require a very deep knowledge of the UK housing market and partnership system, something i do not have and assume would require 100+ hours of work which i do not currently think is a good use of my time. i think you need the depth of knowledge one would need to invest in something like semicap equipment, and it does not simply translate from knowing about US builders, IMO. i am also worried that they could execute well for a year or two and then run into issues in year 3 or 4 and have to pivot back towards a more traditional model, which if they buyback/dividend out the "excess" capital but then need to acquire land to keep from earnings falling will put them in a very difficult position. the recent earnings news does not really fundamentally change the LT story, but it does hint at what i am worried at - for a variety of reasons, this will prove difficult to execute and management might be downplaying the difficulty.

having said all that, after selloff, it's not at a huge TBV premium, so the risk/reward certainly seems better. insider buying is promising. and i buy the UK housing bull case.

again, i'm not that close to it, but i thought it would be useful to add. i welcome any and all pushback. thanks.

Subject	Re: Re: Calling all Bears
Entry	10/15/2024 12:11 PM
Member	fiverocks19

cnm3d-

I think the main pushback here is that the write-down related to the housebuilding business (which is in wind-down), not to partnerships.

The partnerships business is still doing really well. And I simply disagree that the model may not be proven requiring a "pivot back"...partnerships projects have been operating since the mid-1990's. There is decades of track record here. It's a wonderful business, and the low-capital-intensity actually makes it more resilient and cash flowing through downturns (as opposed to traditional housebuilders with lots of capital locked up on balance sheet).

Vistry is probably 90%+ to a pure-play partnerships business. If anything, I think this highlights it was the right call to exit housebuilding and focus on the company's best business (partnerships). Should the company reach its medium-term targets (which were reiterated in the RNS), Vistry is now trading at just 2.5x EBIT.

fiverocks

Subject	Re: Re: Re: Calling all Bears
Entry	10/15/2024 12:17 PM
Member	Soprano14

I spoke with management and I do not think the write-down related to just the "house-building business." They said that some of the cost under-statement issue was from "formerly housebuilding" units, meaning they had at that point been converted to the partnerships model. They did not have proper controls in place to identify if key POC accounting was accurate. I do think the issue is contained to a limited degree, but I wouldn't characterize it as a housebuilding issue. This is a controls issue that exists in the partnership model, albeit one that should not be a major issue for them to fix. Did the Company tell you something different? Because that would almost be more concerning to me.

Subject Re: Re: Re: Re: Calling all Bears
Entry 10/15/2024 01:25 PM
Member blaueskobalt

Hi Soprano,

Thanks for flagging - this is absolutely an issue that management failed to communicate clearly, and hopefully they will clarify in the future.

What I heard from IR (and has either been supported or not-refuted by sell-side notes, a couple of sell-side conversations, and what I have seen on VIC) is that the issues were primarily related to older vintage, legacy homebuilding sites that were "converted" to partnerships earlier this year or late last year, as part of the decision to transition to pure-play partnerships. In this case, "converted" means that they thought these sites had characteristics that made sense to have a higher presale percentage (to a partner institution) than originally planned.

Per my prior post, I would have expected this "conversion" process to have led to some write-downs when they reported 2023 results...that just seems normal for any major business plan change. Such write-downs were not announced then, which was a red flag. It appears that, when that conversion process took place, some of the project managers concealed/understated the cost overruns, which is why the write-down was not taken at that time. And only discovered recently.

If that is the correct account of the events, I think it is fair to characterize the issues as related to the, "house-building business." But whether you like that *semantic* characterization or not, the *substance* is that these write-downs result from the *transition* and not from the *go-forward business*. I think that distinction has massive implications for how to value this business.

Pushback welcome...

Subject Re: Re: Re: Re: Re: Calling all Bears
Entry 10/15/2024 03:48 PM
Member Soprano14

Thanks for that perspective. My pushback would be this isn't a house-building write-off, it's an issue of controls. They had people actively concealing cost over-runs / not updating cost forecasts. These cost forecasts are part of the planning process, and because of the POC accounting, are how the Company records revenue. To me, it does not matter that these sites used to be housebuilding. This isn't to say it's an inherent issue with their partnership model. But they had an inherent issue with the controls they have over their partnership biz. The write-downs in no way have to do with the transition from housebuilding to partnership, they have to do with improper controls over their cost and value reconciliation process - in which several people were able to conceal cost over runs.

To be clear, we owned this stock earlier in the year and thankfully sold prior to this recent blow-up. I agree that this does not seem to be a big issue. But I disagree in characterizing it as an issue with the legacy biz. This is an issue of controls that very much directly relates to the partnership biz, the partnership biz has more upfront rev rec which makes these cost projection processes more important (not less important).

The issue, obviously, is if their controls could not catch this in the southern division, that it's likely there are issues elsewhere. The reason they caught it in the Southern division is most likely because a few of these projects were nearing the end of their life. It's much easier to identify concealment of costs near the end of a project's life because the annual budgeting process will show much higher costs than forecasted to close out the project for that year (this is indeed what happened here).

It could be that they had no other bad actors. IN fact, my convos with formers in their finance department suggest a great culture / not like ppl were stretching to hit numbers. That said, because this is a controls issue (and not just an issue with a "legacy housebuilding biz") it does mean there is risk to cost understatement within their other partnerships divisions. So we have reflected this risk in how we are thinking about whether to have a position.

I guess I'm not following why it matters that these sites were converted from house-building.

Pushback/feedback welcome.

Subject Re: Re: Re: Re: Re: Re: Calling all Bears
Entry 10/15/2024 04:55 PM
Member fiverocks19

Soprano14-

This is not consistent with my understanding.

Vistry implemented a set of enhanced controls ~6 months ago. The cost overruns in the housebuilding sites were caught as a result of the company's detailed annual budgeting process, with the enhanced controls. All ~300 other sites across the company passed the budgeting process without the same issues. So I do not think "it's likely there are more issues elsewhere", especially as (1) the Countryside business went through an exhaustive line-by-line review less than 24 months ago at the time of the acquisition and (2) the South Division has now gone through a full audit in addition to the budgeting review.

Of the 9 sites with issues, all of them were legacy housebuilding sites run by legacy housebuilding management teams, and most are in wind-down.

fiverocks

Subject	Re: Re: Re: Re: Re: Re: Re: Calling all Bears
Entry	10/15/2024 05:49 PM
Member	Soprano14

Yeah I totally hear you on that perspective. We are obviously all trying to veer into something with limited details, so not trying to say my way is right. But my concern is precisely that these were only caught because they were in wind-down. I.e. my big fat highlighter is on the fact that these were in wind-down, near the end of their life. This makes me more concerned, not less concerned. It is projects near the end of the life that are a lot easier to catch "issues" with in an annual budgeting process.

The issue is that these folks under estimated future costs. So you would not know they are doing this until you get the **final** cost estimate, i.e. the final year's budget. This seems to be what happened in this instance, right? So I would be concerned that when projects near their final year in other divisions that there could be the same issues. This is what a former in the finance department flagged to me at least.

Now, this doesn't mean there has to be issues. #1 reason there shouldn't be is I think the culture at the firm is quite good, #2 there seems to be specific issues with oversight at just the southern division (division head not attending regional CVR meetings), and #3 if this was super widespread there would probably be more glaring signs in the cash flow statement.

But I am not assuaged of these concerns because they are formally plots designated for traditional housebuilding, I think this point is not relevant. I think the point they were in wind down is very relevant as it otherwise portends issues elsewhere when they near completion. This doesn't mean there will be issues elsewhere, though, and probability wise I think it's right that it's a low % (just a q of r/r and severity IMO).

You are way smarter than me on this name so can take my concerns with a grain of salt, but I'd love to understand your thinking here better and how you are able to minimize the concerns here. You have been very helpful on the comment thread, so I'm thankful to you in any event for your past work.

Subject	Hueristics for analyzing what we know
Entry	10/15/2024 06:54 PM
Member	katana

On one hand: Every bit of hard data we know suggests that the cost issue is confined to the 9 sites.

On the other hand: That doesn't mean at all that we should put 100% odds on the issue being confined to the 9 sites. There could be more cockroaches that are still hidden. And not simply because of the lazy highest-level heuristic of "there is never only one cockroach."

First, sometimes you have a management team that is quick to give you all the bullish facts and, even if not consciously withholding bearish facts, slower to find them and not telling you about their doubts. So: How much is management spinning? Probably not much. We know this team.

But even with a fair-and-honest management team: It's worth considering, very specifically and tangibly, how might the revealed problem also apply more broadly? What would be the precise way in which the problem could be more widespread? Soprano is doing a great job of that.

As Soprano says, Fiverocks is super-knowledgable about the hard data, not only for the last several years of Vistry/Countryside, but this week, and his sharing so many of them nearly real-time is gold. The hard facts are on his side. Yet the risks remain.

When I think about the potential negative inferences in light of the facts, I'm sticking with the number I gave before: 90% odds that the issue is contained. The remaining 10% risk is, as we say, "not zero" and shouldn't be treated as zero.

Subject	Re: Re: Re: Re: Re: Re: Re: Calling all Bears
Entry	10/15/2024 08:58 PM
Member	blaueskobalt

Soprano,

Many thanks - your point about the assets being near the end of their life cycle is a strong point (perhaps the strongest I have heard yet).

I want to make one clarification on my prior point, then sanity check a related hypothetical with you. To me, the fact that these were legacy homebuilding sites is not the mitigant; the fact that they were *transitioning from one business plan to another* is the mitigant. I think this is true as a general business point, but let present an illustrative hypothetical.

If we assume, as a homebuilding site, the average home was expected to be sold in two years at then-market price. Further assume it was budgeted and accounted for accordingly. If you are the manager for that site and your costs are running a bit ahead of plan, you might think you have time & opportunity to make this up over the life of the project (on the cost side, revenue side, or both; "why not - you have done this for 20 years and seen this half-a-dozen times!"). Suddenly the plan changes: the homes will be sold in one year instead of two and at a 7% discount to current market to Blackstone. The wiggle room you thought you had is now gone, and materials you thought you would buy 12 months from now at a 10% discount you need to buy immediately at a 20% surge premium.

So, is the problem due to: (a) the accounting method; (b) the fact that the project is nearing end-of-life; (c) a weak project manager; or (d) the change in business plan. The obvious answer is (e) - all of the above, but I tend to weight (d) the heaviest because there is a world - perhaps even a likely world - in which, absent the change, the hypothetical project could have been brought back to target margin & returns. What do you think?

Subject Re: Re: Re: Re: Re: Re: Re: Re: Calling all Bears
Entry 10/16/2024 05:40 AM
Member Bud_Spencer

I think the point that these were formerly housebuilding sites has more to do with divisional/site management than the transition per se: I spoke to management last week and they mentioned it was also an issue of simple incompetence (and bad communication), as traditional housebuilding is a simpler business, compared to more refined budgeting/forecasting implied with the partnerships model. And these site managers came from a traditional housebuilding background.

Subject Buyback
Entry 10/19/2024 03:45 PM
Member Rtg123

Is there a reason VTY hasnt stepped up the buyback since announcing the cost overruns? Presumably if the CEO and Browning West were able to make purchases, the Company could have increased their buyback.

Subject Re: Buyback
Entry 10/20/2024 11:28 AM
Member fiverocks19
 Rtg123-

Vistry historically has matched share repurchases to cash flow. Seasonally, cash flows really start to pick up in the back half of October and into November, with the highest level of cash inflows in December. This represents 6-7 months after the "spring selling season" of April/May/June. Contracts are exchanged in the spring, but delivery of the keys and movement of cash only happens 6-7 months later. As a result, I expect share buybacks to naturally increase over the next 10 weeks...and to be very strong into year end.

Given sales rates continued to be healthy into the summer months (July/Aug/Sep), I wouldn't be surprised to see cash flow maintain a good pace into Q1.

The number of shares purchased per day has increased, but the value has remained consistent. If there is a step-up in the buyback pace outside of normal seasonality, I would expect that to be announced at the next scheduled trading update on Nov 8.

fiverocks

Subject Any updates?
Entry 10/31/2024 11:11 AM
Member erst1071

Any updates on the situation? The stock has been sliding despite mgmt communicating with investors.. what am I missing?

Subject Re: Any updates?
Entry 10/31/2024 11:15 AM
Member HTC2012

whole sector is down on details in the UK budget related to new taxes on investors buying homes in the UK.

Subject Re: Re: Any updates?
Entry 10/31/2024 02:38 PM
Member fiverocks19

HTC2012-

I think the sector sold off on market worries about higher inflation in the UK, given the expansionary fiscal budget just presented by Labour.

The budget was actually quite supportive of UK housing in general, and of Vistry in particular (large boosts to spending on affordable housing, etc.).

fiverocks

Subject Entry Member	Re: Re: Re: Any updates? 10/31/2024 03:02 PM HTC2012
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(Bloomberg) -- A series of tax increases proposed by Chancellor Rachel Reeves is set to deal a blow to the top end of the UK's property market, with some analysts warning that the measures could cause a slew of agreed deals to collapse. The first budget presented by a Labour government in 14 years on Wednesday proposed a surprise two percentage point hike to stamp duty for landlords and second-home owners. The extra levy, coming into effect Thursday, will further damp demand from investors and landlords who have been selling up in droves, according to Peter Stimson, head of product at MPowered Mortgages.

"Buy-to-let landlords and second home owners were expecting another tax squeeze from the chancellor," Stimson said. "But what they got was a whack with a hammer," he added, warning of the danger that thousands of planned purchases could now be abandoned.

The measure — the latest in a succession of tax increases designed to deter investors in favor of first-time home buyers — was consistent with the wider tone of a budget that seeks to place the burden of higher public spending on businesses and investors while protecting working people. Other changes include a return to higher stamp duty bills from April, meaning home buyers will pay 2% on the portion of the property valued between £125,001 (\$162,540) and £250,000. First-time buyers will only be able to claim relief on homes with a maximum value of £300,000.

Rental Market

These will have an impact on the rental market as well, according to Lucian Cook, head of residential research at broker Savills Plc.

"The risk is that it further constrains the supply of private rented accommodation, keeping upward pressure on rents," Cook said. "New buy-to-let investors will be very thin on the ground, and even existing larger, wealthier, landlords, will think very carefully about whether they continue investing."

Read more: Labor Shortage to Thwart UK's 1.5 Million Homes Goal, RBC Warns

Shares of homebuilders including Barratt Redrow Plc, Vistry Group Plc, Taylor Wimpey Plc and Persimmon Plc gave up most of the early gains they saw immediately after Reeves' speech, mirroring gyrations in the gilts market.

Reeves, the first female chancellor to deliver a budget, also increased the rate of capital gains tax, a move that was widely trailed, but exempted gains on second-home purchases.

"Any relief buy-to-let landlords and second homeowners may have felt from seeing their exposure to capital gains tax

unchanged will have been very short-lived given an increase in the stamp duty land-tax surcharge,” Cook said.

The changes to stamp duty may create a rush of buyers seeking to beat the deadline, followed by a lull, according to a Bloomberg Intelligence report.

Fiscal Plan

Reeves’ budget broadly revealed tens of billions of pounds worth of tax hikes and spending cuts in her fiscal plan. She wants to use the funds to cover a £22 billion shortfall she said she inherited from the previous Conservative administration, while also spending more on the National Health Service and ensuring no government department faces real-terms cuts to their funding.

Read more: Reeves Lifts UK Taxes by £40 Billion in Post-Election Budget

In a blow to the ultra-rich, Reeves confirmed plans to abolish the non-doms tax regime, instead introducing a new plan based on residency. Speculation about the proposal had already spooked many non-doms, prompting some of them to finalize or even carry out plans to leave Britain. She also increased the tax on carried interest for private equity managers starting April 2025.

The increase in stamp duty is likely to hit London and the south east the hardest, according to Zoopla Ltd.’s head of research Richard Donnell. The top end of the capital’s housing market is also likely to be the most vulnerable to higher taxes on non-domiciled workers and private equity executives.

In her budget speech, Reeves said she will reform inheritance tax on agricultural and business property so that assets over £1 million will be subject to an effective tax rate of 50% starting April 2026. Still, the chancellor pledged to keep the £325,000 threshold in which inheritance tax is payable until at least 2030, and did not raise the headline rate from the current 40% despite fears of a hike.

Affordable Housing

At the same time, Reeves committed £3 billion to boost the supply of homes and support small developers, while vowing to boost the availability of affordable housing. The chancellor also committed to reducing so-called “Right-to-Buy” discounts for Britons who purchase their council house with the aim of reinvesting the extra money into housing delivery, as well as ensuring above inflation social housing remits for the next five years to encourage development.

Still, landlords were spared another blow after years of surging costs, as a highly speculated increase to the capital gains tax charged for higher-rate taxpayers selling a second home was not included in the budget. Former Chancellor Jeremy Hunt reduced the higher rate to 24% from 28% earlier this year in a bid to encourage existing holiday home owners to sell, freeing up more stock for local buyers.

Measures already announced by Labour to help first-time buyers — such as mortgage guarantees for prospective owners unable to save for a large deposit — may have little effect,

with rate cuts more likely to offer greater relief, according to BI. What's more, analysts have warned that government plans to ban no-fault evictions and tighten green requirements in the lettings market could make matters worse for cash-strapped tenants as landlords are forced to raise costs or sell up.

Subject Re: Re: Re: Re: Any updates?
Entry 11/01/2024 10:58 AM
Member fiverocks19
 HTC2012-

That's exactly what I said in post #246.

From the article you pasted:

Shares of homebuilders including Barratt Redrow Plc, Vistry Group Plc, Taylor Wimpey Plc and Persimmon Plc gave up most of the early gains they saw immediately after Reeves' speech, mirroring gyrations in the gilts market.

The policy changes, both positive (and there were positives, such as the UK Govt agreeing to pay an extra billion pounds to remediate cladding issues, which is great for Vistry) and negative, were well-telegraphed ahead of time. There is also almost no impact to Vistry from the stamp tax changes, as Vistry's avg price point is well below the levels affected and Vistry sells few second homes. The stocks moved on worries over inflation and interest rates (i.e., the Gilts market), exactly as I wrote.

fiverocks

Subject Re: Re: Re: Re: Re: Any updates?
Entry 11/01/2024 02:15 PM
Member blaueskobalt

It would be nice to see a western government realize that the only way to fix a housing crisis is to flood the market with supply. A new rental adds to supply just as much as a new owned unit does.

It's just like the obsession with affordable housing...if you flood the market with unaffordable housing, you will be surprised as how much affordable housing is "magically" created.

Subject Re: Re: Re: Re: Re: Re: Any updates?
Entry 11/03/2024 12:10 PM
Member erst1071

Thanks for the additional information.

What do people make of the news? Is the stock reaction justified, or will it only have minimal impact on Vistry's business given its exposure to lower ASPs and affordable housing sold to associations?

Subject Re: Re: Re: Re: Re: Re: Re: Any updates?
Entry 11/03/2024 04:38 PM
Member Rtg123

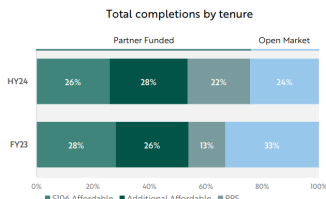
I think its hard to buy VTY. I do not believe this transformation has at all been playing out as bulls were forecasting (even before the news on cost overruns). Bulls at start of 2024 thought £420M in 2024 PBT could grow ~£60mm in 2024 from cost synergies (CSP+strategy change) and then some organic growth in the business to something close to £500M. What happened? They realized all their cost synergies in 2024, yet guidance, even before the recent guide down, was for only modest growth in PBT (consensus was around £430M pre guide down) and now its £350M.

From 1H24 Earnings Call

A - Tim Lawlor (BIO 19264022 <GO>)

So I think, so what we've seen is the synergies being realized. We said when we did the Countryside acquisition, we'd get GBP60 million of run rate savings from that. That's delivered. It's in the numbers for this year. We said we'd get a further GBP25 million from the strategic change last year, most of that is in '24 as well. So actually not only have we delivered the synergies, we've delivered them faster than expected. And that's the primary driver.

The ROCE has also not improved Y/Y despite a pivot to Partnerships (and they guiding to flat ROCE Y/Y ex the October guide down and despite a supposed faster draw down in NWC in 2H24). Its very weird because today they are actually above their LT target mix of partnership completions (target mix is 65% partner funded). Their landbank today is 75k plots and they've said that is about what they need LT (closer to 80k by end of 2028). So, it doesn't appear you getting large NWC unwinds drive ROCE meaningfully higher in later years. Maybe they have some big homebuilding land plots that are getting liquidated but I didnt get that sense from the call.



Then you get this issue with their southern division which I think just amplifies the general sense that this transformation is not what is promised. You have seen no transformation play out in the numbers nor is there any obvious reason the future will look much different. They already did their huge business pivot.

The stock trades like crap driven by 1) Labor seems unwilling now to seriously fund affordable housing growth (listen to Greg on last earnings call talking about growing from 18k to >30k completions driven in serious part by significant government support) and 2) an ominous sense that something is going wrong on transformation as numbers weren't really that great even pre-this guide down. So today you have a stock trading at 9x fwd earnings which is obviously outright cheap but is at its LT average multiple is at fwd 9x and its ROCE unchanged Y/Y and risk that there are more shoes to drop (even if they claim its all clear in a few weeks).

Subject

Entry

Member

Re: Re: Re: Re: Re: Re: Re: Re: Any updates?
11/04/2024 11:55 AM
fiverocks19

I was going to wave at post #251, but I guess I'll bite.

First, the poster comments that ROCE will not be boosted by reductions in capital employed (specifically, in NWC). This is entirely wrong. The company has guided to a reduction in capital employed from 2.7 billion to under 2.0 billion over the next 2-3 years. This has a material effect on ROCE.

Second, the poster believes the transformation has not "been playing out as bulls were forecasting". In 2023, the average listed volume housebuilder saw EBIT reductions of anywhere from 30-50%. In 2024, volume housebuilder EBIT has fallen further. In contrast, Vistry's partnerships EBIT has grown solidly both years. The outperformance is massive, and highlights the value of the partnerships model.

Vistry is now largely done with the integration, and is shifting its focus to growth and to driving further profits out of existing sites as they reach scale and significant production. The company reiterated its 800M EBIT medium-term target as there has been no change to the earnings power or trajectory of its partnerships business. Vistry is seeing both relative outperformance and absolute outperformance with its partnerships targets fully on track.

Obviously we will see what news there is at the next scheduled update on Nov 8. But I do not believe the poster's assertion that "something is going wrong" with the strategy to move to a pure-play partnerships business - when the hiccup was in housebuilding! - has any basis in reality or fact.

fiverocks

Subject

Entry

Member

Re: Re: Re: Re: Re: Re: Re: Re: Any updates?
11/04/2024 12:07 PM
Rtg123

You are correct on their capital employed target; they have guided to that. Capital employed is also up ~£100mm when you compare 1H24 to 1H23. Doesn't make much sense to me why capital employed would be UP in the first full year post their transformation to an asset light builder.

On the numbers, I guess we can agree to disagree. As you say, 2023 was a tough year so an easy base to grow off of. They (pre October trading update) were barely forecasting any PBT growth despite realizing all the synergies of their pivot to asset light and CSP.

What i see if lots of bulls just anchoring to their 3 year targets as if they came down from heaven above. They are very hard to granularly underwrite so all we have is 1 year of the pivot and since that pivot, capital employed is up and PBT is flattish (ex the cost overruns).

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Any updates?
Entry 11/04/2024 01:42 PM
Member fiverocks19
 Rtq123-

Capital employed is up in the half-year numbers. Capital employed will be significantly lower in the full year. It's important to consider the seasonality in the business.

fiverocks

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Any updates?
Entry 11/04/2024 02:06 PM
Member Rtq123

Yes, I agree with you. That's why i was comparing 1H24 to 1H23. They guided pre-October to flat ROCE for full year 2024 vs 2023 so I'd imagine despite the seasonal NWC draw in 2H, you wont see much of a Y/Y improvement in capital employed in 2H24 either.

CAPITAL EMPLOYED

£m	30 June 24	31 Dec 23	£m	30 June 23	31 Dec 22
Work in progress	1,366.4	1,219.0	Investment in joint ventures	253.1	253.7
Land	1,845.6	1,881.7	Amounts due from joint ventures	372.0	391.4
Land creditors	(605.4)	(662.2)	WIP and Stock	1,143.1	968.5
Net investment in inventories	2,606.6	2,438.5	Land	2,049.1	1,869.7
Investments & amounts due from JVs	612.2	562.7	Land creditors	(696.8)	(667.4)
Other assets	864.7	732.6	Other assets	679.8	560.7
Other liabilities	(1,399.4)	(1,308.4)	Other liabilities	(1,293.5)	(1,230.9)
Capital employed	2,691.2	2,425.2	Capital employed	2,569.0	2,145.7
Fire safety provision	(280.7)	(289.0)	Fire safety provision	(311.5)	(309.2)
Retirement benefit asset	34.7	34.2	Retired benefit asset	34.2	34.3
Tangible net asset value	2,445.2	2,170.4	TNAV	2,292.3	1,870.8
Goodwill	827.6	827.6	Goodwill	827.6	804.7
Intangible assets	389.8	409.3	Intangible assets	433.3	456.0
Net debt	(321.0)	(88.8)	Net (debt) / cash	(328.7)	(118.2)
Net assets	3,340.6	3,318.5	Net assets	3,224.5	3,249.7

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Any updates?
Entry 11/04/2024 02:21 PM
Member mpk391
 Rtq, why do you say "Labor seems unwilling now to seriously fund affordable housing growth"? TIA

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Any updates?
Entry 11/04/2024 02:58 PM
Member Rtq123

Generally uninspiring budget. Labor is now dying in polls to conservatives again. Seems like labor (like the conservatives) doesn't understand the need to raise housing supply. That all being said that is like 1% of my problem with VTY. The real issue is the numbers aren't coming together at all.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Any updates?
Entry 11/04/2024 04:28 PM
Member liverpoolstocks

I'd add that they're guiding to a ~5% increase in land bank by 2028 with an increase in PBT forecasted to be materially greater than 5% so ROCE should benefit but by how much remains to be seen.

What data/ info are people seeing that makes them think labour isn't good for housebuilding and Vistry's partnership model.

Subject i'm the boy who cried wolf
Entry 11/08/2024 05:15 AM
Member fiverocks19

In Vistry's trading update this morning, the company announced it has completed a full forensic audit of the entire business...all six divisions and all 300 sites.

And the partnerships business - which will be 100% of the company by the end of 2025 - was entirely cleared of any issues.

As I'd hoped/expected, the write-down remains isolated to the South Division and to Housebuilding. An extra 25M one-time provision was added, along with another 25M extra cushion as the South Division is going to pause its growth for 6-12 months to make sure everything is working right (and to reflect a short-term market slow-down ahead of the Oct 30 budget, that may already be reversing).

Everything else is on track. The medium-term targets have been reiterated. The share buyback remains in place. I expect to see share repurchases accelerate from 300K GBP per day to over 1M GBP per day in the near term with the scheduled trading update now behind us. The CEO used the phrase "hockey stick" to describe Vistry's profit trajectory as the housebuilding projects wrap up over the next 12 months and are replaced with much-higher ROCE partnerships projects.

And yet...the stock is getting hammered, once again, as UK analysts and long-only's focus on the one-time profit hit - and not on the fact that the business has now been dissected line-by-line so the risk to forecasts is as low as ever, while the profit growth trajectory is every bit intact.

So I dunno. I guess I'm the boy who cried wolf. But I think this share price of 7/share or wherever it is when you read this will be considered an unimaginable buying opportunity when we look back in a year or two.

Partnerships is a fantastic business. The shares are currently pricing that business at <2x medium-term EBIT.

If Vistry can retire a bunch of shares at these prices - and continue to execute on its core partnerships business while putting the legacy housebuilding issues behind it - this stock will be massively higher in the not distant future.

fiverocks

Subject	Re: i'm the boy who cried wolf
Entry	11/08/2024 05:35 AM
Member	Rtg123

Respectfully, I think your take is very glass half full when management has done nothing to deserve it. After insisting to investors that the problems were almost certainly behind them post October, they rug pulled again. No KPIs were going right before the October trading statement and now the company appears to just be a mess.

1. Agree they took a 50M provision driven by the south. However, they cut their full year 2024 numbers by 50M which included 25M South (in the 50M provision), 8M from other issues outside the South and remainder from worse completions due to softer market conditions.
2. While they reiterated their long term guidance, they said the timing of achieving that guidance is unknown (ie I think its crazy to anchor to those numbers now)
3. They are also reviewing their build safety provision (ie there could be more downgrades)
4. Now guiding to net debt by FY year end.
5. Similar to PSN, noted build cost inflation (ie numbers for 2025 will be worse than expected)

Subject	Re: Re: i'm the boy who cried wolf
Entry	11/08/2024 05:46 AM
Member	fiverocks19

Respectfully, this management team is the best in the sector. Greg Fitzgerald's track record at Galliford Try and then at Bovis (where he came out of retirement to literally save the company) is as good as it gets. This is the first blemish I've seen in 30 years of success. Saying "management has done nothing to deserve it" is absurd.

In your list, several of your points are overblown.

The build safety provision is a net neutral. There should be no impact on numbers, which the company was clear about on the call. Remember also that the Govt has added 1 billion in support for cladding. No, there will not be any downgrades from this.

The build cost inflation is small - the company guided to 0% in 2024 and 3% in 2025, with half of the inflation coming from the increase in national insurance costs. Not a surprise and actually I think analysts will take comfort in this number.

I've been awake through the night evaluating these earnings and on the call. But it really feels like you're reaching here with some kind of axe to grind. I am anchored to the quality of the partnerships business and that I see no reason to doubt its earnings power or opportunity. As the one-time housebuilding issues fall away, this business will prove to be exemplary (and deeply undervalued).

fiverocks

Subject	Re: Re: Re: i'm the boy who cried wolf
Entry	11/08/2024 05:47 AM
Member	Rtg123

I dont think I'm the one reaching but best of luck.

Subject	Re: Re: Re: Re: i'm the boy who cried wolf
Entry	11/08/2024 07:38 AM
Member	Soprano14

Yes, it seems indeed there was a controls issue. Almost always if there is a controls issue there is not just one issue. I could see this continuing to be an issue for them. I like the long-term biz, still. We are not involved given the hair.

Subject	Re: Re: Re: i'm the boy who cried wolf
Entry	11/08/2024 08:03 AM
Member	moneytr33

fiverocks, thanks for all your posts on this thread. I think both you and Rtg are making interesting points today.

But how do you get over this line from your October management discussion update: "The team is emphatic there will not be another announcement along similar lines. This is it."

If they explicitly said that to you four weeks ago, that's kinda bad for their credibility?

Subject	Re: Re: Re: Re: i'm the boy who cried wolf
Entry	11/08/2024 10:26 AM
Member	fiverocks19

moneytr33-

Obviously you are correct. The company took a £115m provision, of which 30% was contingency as a margin of safety. That contingency wasn't enough and the full one-time write-down was increased to £165m. That rightly impacts credibility.

I think, though, you have to look at the whole picture. Vistry just did an exhaustive line-by-line forensic review of its business - all 300 sites. And they hired a top-tier third-party audit firm to provide an independent view in addition to the in-house view.

That audit firm had every incentive to show every single issue it could possibly find, which is exactly what it did. On the call, CEO Greg mused that many of the line-item costs identified were "just normal course of business" - every project sees some line-items come in a little high or a little low, and they broadly net out. But in the forensic audit, these normal business costs were pulled out as extraordinary one-time costs...because that was the auditor's incentive.

So what was the true extra hit here from the audit review, if you and I had perfect information and were taking a more balanced/arms-length view and really just looking at what should truly be considered extraordinary one-time costs? I bet the number would be quite small.

The initial review - due to UK regulatory rules that force companies to immediately report any material changes to profit forecasts - lasted from a Friday to a Monday (4 days). And then after an exhaustive month-long forensic review, a fire-breathing audit found maybe a couple or a few tens of millions of extra one-time costs, in a business with a £5 billion forward sales position?

Ultimately, that gives me a lot of comfort. This whole business has just gone through the ringer. All the go-forward forecasts are well-underpinned. The one-time costs wash through over the next 9-12 months...and then are gone. And now the stock is trading at <2x medium term EBIT. It's barely trading above book, for a business that in 18 months should be doing close to 40% ROCE! That's silly to me. I think the market will figure out this is simply the wrong price for what is a wonderful business - even the foaming-at-the-mouth auditors couldn't find anything wrong with the partnerships business! This is a heck of an opportunity, in my humble (and humbled) view.

fiverocks

Subject	insider buys
Entry	11/08/2024 12:57 PM
Member	fiverocks19

CEO Greg Fitzgerald buys \$3M today

#1 Shareholder and Board Director Browning West buys \$5M today

https://otp.tools.investis.com/clients/uk/bovis_homes2/rns/regulatory-story.aspx?cid=1525&newsid=1883481

https://otp.tools.investis.com/clients/uk/bovis_homes2/rns/regulatory-story.aspx?cid=1525&newsid=1883480

fiverocks

Subject	Browning West exited?
Entry	11/12/2024 03:29 PM
Member	abra399

Has BW largely exited their VTY stake? I only see ownership of 800k shares on Bloomberg...I know they were at 8% this summer but wondering where their stake went.

Thanks.

Subject	Re: Browning West exited?
Entry	11/12/2024 03:47 PM

Member

Rtg123

I think bloomberg is messing it up....but on another note....weak buyback activity.

Holder Name	Portfolio Name	Source	Opt	Position	% Out	Latest Chg	File Dt
BROWNING		All	All				
1. Browning West LP	Multiple Portfolios	REG		800,000	0.24	800,000	10/11/24
2. Browning West LP	Browning West Master Fund LP	REG		17,632,058	5.30	0	10/11/24
3. Browning West LP	Browning West Cayman Spv 2 LP	REG		11,819,930	3.55	0	10/11/24



Subject: Shorts
Entry: 11/12/2024 03:54 PM
Member: Soprano14

Anyone have a view on the large short positions of Man Group / Kintbury? i.e. what is the short / bear thesis now? Again, we aren't involved here, but curious that these short sellers got in the stock after it has already come down

Subject: Re: Re: Browning West exited?
Entry: 11/12/2024 04:19 PM
Member: erst1071

What do you mean weak buyback? The company has repurchased ~40,000 shares per day since the launch of the new program

Subject: Re: Re: Re: Browning West exited?
Entry: 11/12/2024 04:21 PM
Member: Rtg123

Yes, I agree. Weak

Subject: Re: Re: Re: Re: Browning West exited?
Entry: 11/12/2024 05:32 PM
Member: fiverocks19

VTY	GB	1713.5	-42.0	L713.5	714.0	L353	29
A	11:3	Vo 3,129,	C 745.	L 747.	Va 2.24		
VTY LN Equity	Export	Settings	Security Ownership				
VISTRY GROUP PLC	ISIN	GB0001859296					
Current	Historical	Matrix	Ownership Summary	Insider Transactions	Options	Issuer Debt	
Search Name	Default - No Search Selected	Save Search	Delete Search	Refine Search			
Text Search	Holder Group	All Holders	Investment Manager View				
Color Legend	Shrs Out 332.5M	% Out 108.79	Float/Shrs Out 98.66	SI % Out N.A.	Edit Columns		
Holder Name	Portfolio Name	Source	Opt	Position	% Out Latest	File Dt	
1. Browning West LP	Multiple Portfolios	REG		30,251,988	9.10 800,000	10/11/24	
2. Abrams Capital Management LP		ULT-AGG		28,983,523	8.72 0	10/11/24	
3. FMR LLC		ULT-AGG		25,619,365	7.71 -1,547,...	10/11/24	
4. Vanguard Group Inc/The		ULT-AGG		20,307,011	6.11 4,288,3...	11/07/24	
5. Blackrock Inc		ULT-AGG		18,770,385	5.65 -855,570	11/11/24	
6. Dimensional Fund Advisors LP	Multiple Portfolios	ULT-AGG		16,552,993	4.98 148,938	11/11/24	
7. Inclusive Capital Partners LP		RNS-MAJ		14,749,583	4.44 -5,282,...	03/06/24	
8. Wellington Management Group LLP	Multiple Portfolios	Multi		11,836,107	3.56 51,233	10/11/24	
9. Principal Financial Group Inc		ULT-AGG		11,689,486	3.52 -480,885	10/11/24	
10. David Capital Partners LLC	Multiple Portfolios	ULT-AGG		9,717,000	2.92 0	10/11/24	
11. Artemis Investment Management LLP	Multiple Portfolios	ULT-AGG		7,609,908	2.29 2,909	10/11/24	
12. Interactive Brokers LLC		ULT-AGG		6,450,160	1.85 646,742	10/11/24	

fiverocks

Subject Re: Shorts
Entry 11/12/2024 11:53 PM
Member asafpol

I would love to be corrected as I could be wrong in interpreting this, but a \$25M short from a fund with \$27.5B in AUM doesn't strike me as a high conviction call. The market didn't agree with me as shares dropped 5% yesterday...

That being said, I would also be very interested to understand the short thesis post the price drop.

Subject Re: Re: Re: Re: Browning West exited?
Entry 11/13/2024 02:27 AM
Member erst1071

Correct me if I am wrong, but to me it looks like the program is structured via a bank to buy about 40k shares per day. Meaning the company does not have the same flexibility in changing it from day to day..

Subject Re: Re: Re: Re: Re: Browning West exited?
Entry 11/13/2024 09:16 AM
Member SamPR

Sure, the program is an automated share buyback program of some kind, but the company can surely alter it, and they haven't. That's disappointing.

The level itself is also disappointing relative to the expectations laid out in the bull thesis, which called for 300 - 400M GBP in buybacks annually. 40K per year comes out to 73M GBP per year, so ~20% of what bulls were expecting (and we're nearly one year since the thesis was published).

And the slow buybacks are related to the fact that Vistry doesn't seem to be reducing capital employed. The trailing-twelve-month invested capital increased by 120M GBP into 1H 2024, so VTY doesn't have hundreds of millions per year for buybacks. Part of the bull thesis was that the business model transformation will reduce invested capital by 1,000M GBP. 12 months of reporting has passed, and invested capital increased.

Fiverocks protested in comment #254 that 1H is a seasonally-high period for invested capital. However we're comparing 1H to 1H, so it's apples to apples, and we haven't seen **any** "asset light" progress in the numbers. If we want to compare YE 2023 to YE 2022, we also see growth in invested capital. And if we take buybacks as an indication of 2H results, we also don't see evidence that cash is being freed up. In comment #243, Fiverocks wrote: "Seasonally, cash flows really start to pick up in the back half of October and into November, with the highest level of cash inflows in December." Again, that's a nice thought, but it would be nice to see buybacks accelerating by ~5x to prove that the "asset light" transition is happening.

Maybe the divestiture of the legacy homebuilding projects is lumpy and will accelerate? Or maybe this pitch had the wrong expectations on the timing of the "asset light" transition, and it'll happen, just later than we thought? If bulls (who are all certainly more knowledgeable than I on this issue) wants to chime in, please do so. Maybe buying today at 1.3x P/TBV is a great deal.

Subject Re: Re: Re: Re: Re: Browning West exited?
Entry 11/14/2024 02:37 PM
Member Bud_Spencer

"Maybe the divestiture of the legacy homebuilding projects is lumpy and will accelerate?" that's correct. Also, the new strategy was presented at the HY2023 results, in September 2023, so FY2023 is kind of early to judge vs FY2022. It's a mid term plan and in the medium term, we should see capital employed come down as they realize housebuilding assets.

On the other hand, on buybacks, the debt position is not at target yet. So I guess we should see an acceleration when they're more comfortable with that.

Bud

Subject	Re: Re: Shorts
Entry	11/14/2024 02:42 PM
Member	Bud_Spencer

the bears on the sell side point to higher average leverage than what YE numbers seem to suggest, weakness in demand from traditional registered providers, execution risk with punchy targets and recent missteps which reinforce execution risk

Subject	Sunday Times articles
Entry	11/17/2024 02:03 AM
Member	Novana

<https://www.thetimes.com/business-money/companies/article/vistrys-greg-fitzgerald-faces-questions-over-conflict-of-interest-j8mb1fvr>

Subject	Re: Sunday Times articles
Entry	11/17/2024 12:21 PM
Member	asafpol

It's behind a paywall - can you please summarize?

Subject	Re: Re: Sunday Times articles
Entry	11/17/2024 01:03 PM
Member	MrStingy

For some reason I'm able to read it:

Vistry's Greg Fitzgerald faces questions over 'conflict of interest'

Monopoly is a high-risk game. The housebuilder's executive chairman has raked in millions from related companies, raising concerns about corporate governance



ILLUSTRATION BY PETE BAKER

For a man who once dismissed housebuilding as a job "for pansies" Greg Fitzgerald has ended up doing an awful lot of it. The wheeler-dealer's 40-year journey from tea boy at Exeter-based minnow Midas Construction to hard-charging boss of the housebuilder Vistry – formerly Bovis Homes – has been characterised by bold deals that have paid off handsomely.

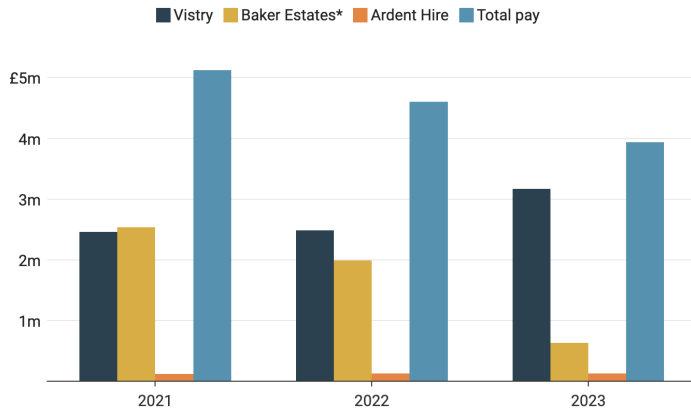
That enviable track record has afforded Fitzgerald, 60, latitude that other housebuilding bosses can only dream of. But now, with Vistry suddenly on the back foot after two big profit warnings in quick succession, scrutiny of Fitzgerald's unusual and lucrative business dealings – and apparent disregard for good corporate governance – is intensifying.

Vistry is on course to become the country's biggest housebuilder. The FTSE 100 company, which owns more than 75,000 residential plots, expects to deliver 17,500 homes this year. Its developments, which span the entire country, from Redcar in the North East down to Exeter in the South West, include everything from small starter homes to six-bedroom houses.

Fitzgerald serves as Vistry's executive chairman — an all-powerful role that makes many investors uncomfortable because it means he runs the board as well as the company. Generally, such an arrangement is frowned upon in the UK, although it is more common in the US. Combining the roles of chief executive and chairman, Fitzgerald has a big job on his hands. But that doesn't stop the straight-talking property tycoon fulfilling other roles that top up the £3.2 million pay he received from his day job last year.

Greg Fitzgerald's pay packet

Vistry's boss tops up his multimillion-pound earnings with roles at another housebuilder and a supplier



In the past three years, Fitzgerald has banked £5.2 million from Baker Estates, a Devon-based developer in which he owns a 40 per cent stake. Baker Estates, where Fitzgerald is chairman, has even been making a handsome profit trading Vistry shares.

And it doesn't stop there. Fitzgerald also owns shares in Ardent Hire, which supplies forklift trucks to Vistry. Ardent, where Fitzgerald also chairs the board, has benefited from a fivefold increase in sales to Vistry since Fitzgerald was appointed in 2017.

Fitzgerald's unconventional style — he freely admits he is not a "plc guy" — has made him a "Marmite character" with shareholders, according to one former colleague. "Half of them think he is fantastic, and half of them don't trust what he says because he has a propensity to be positive about absolutely everything."

Now cracks are appearing in Vistry's foundations, with a brace of major profit warnings caused by underestimating its build costs. Will the man with the biggest job in housebuilding be forced to change his ways?

Fitzgerald is a self-made man. He left school in Torquay with three O-levels and took a job washing dishes at the Dart Marina hotel in Dartmouth. After joining Midas Construction, the founder backed Fitzgerald to set up a housebuilding division when he was still in his twenties. Five years later, in 1997, he sold it to Galliford Try for £5 million.

He went on to lead Galliford's housebuilding division and was promoted to chief executive in 2005. Fitzgerald's tenure-defining bet came in 2009 with a gutsy £244 million takeover of rival Linden Homes when the housing market was on its knees. Fitzgerald may not be an especially modern chief executive — he claimed he sent his first email only in 2012 — but few could argue with the results. By the time he left Galliford, in 2015, shareholders were sitting on a fivefold return.

Fitzgerald became embroiled in his first boardroom rumpus towards the end of his time at Galliford. He resigned as chief executive in 2014 amid a fallout with the board. Then, only a month later, Fitzgerald pulled off a stunning counter coup. With the backing of shareholders, he was reinstated in the all-powerful executive chairman role.

After Fitzgerald finally left Galliford for good, in 2016, he began setting himself up for retirement. He was appointed chairman of Ardent Hire Solutions, backed by private equity firm Duke Street Capital, and also of Baker Estates, run by veteran housebuilder Ian Baker, 54, with whom he had worked at Midas and Galliford. Then, Fitzgerald made an unexpected return to executive life when he was appointed to turn around Bovis Homes, which would later become Vistry. He took the job without relinquishing his other roles.

Since Fitzgerald's appointment, in 2017, Vistry's annual spending with Ardent has increased more than fivefold to £7.9 million last year. That equates to about 11 per cent of Ardent's total sales. The increase, a source close to the company said, is explained by the growth in Vistry's overall business and its acquisitions of other companies that were customers of Ardent.

Fitzgerald pockets fees of £130,000 a year for his role at Ardent. However, Vistry has not disclosed that he holds both ordinary and preference shares in the

company, as documented in Ardent's own filings at Companies House. A source close to the company said Vistry is not required to do so.

"Greg Fitzgerald's multiple roles and significant stakes in related companies raise serious corporate governance concerns," said Sarah Wilson, boss of advisory firm Minerva Analytics. "The potential conflicts of interest and inadequate disclosures by Vistry undermine shareholder trust and call for immediate scrutiny and transparency. Investors deserve clarity on whether decisions are driven by strategy or self-interest." Fitzgerald and Vistry declined to comment.

Fitzgerald, who lives in Devon, knows the property market in the South West as well as anybody. He owns a 40 per cent stake in Baker Estates, a housebuilder with £61 million in annual sales and nine active developments in Devon.

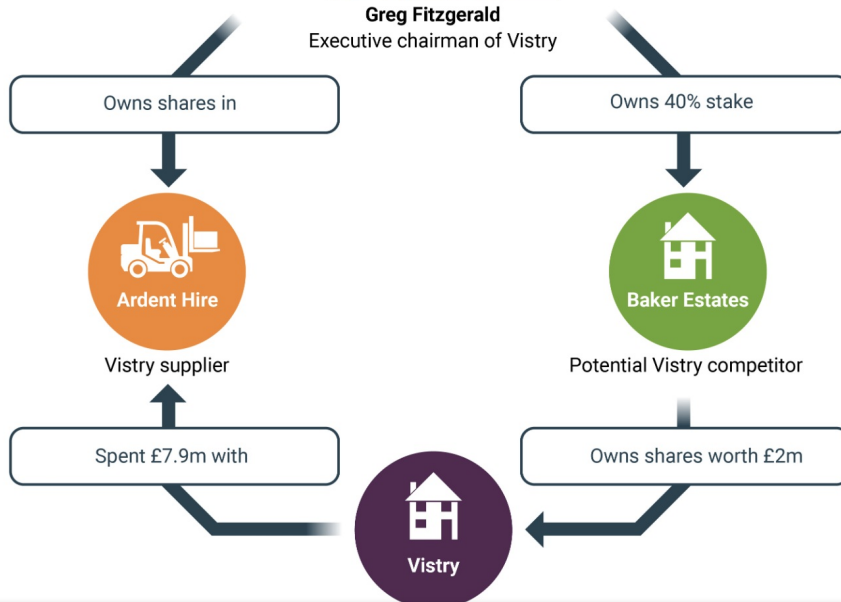
Over the past three years, Fitzgerald has raked in £5.2 million from Baker Estates in dividends, fees and interest payments on loans. In 2021, Fitzgerald's earnings from Baker Estates exceeded the £2.4 million he pocketed from his Vistry day job. Vistry disclosed Fitzgerald's role with Baker Estates when he joined.

Both firms work with housing providers, such as Sovereign Network Group, and operate across the same region of the country, giving rise to concerns they will compete for the same plots of land. A source close to Vistry said the two firms do not compete with one another and that Baker Estates was a smaller, more bespoke, higher-end housebuilder.

The intrigue doesn't end there. In a highly unorthodox move, Baker Estates began building a stake in Vistry's shares in October 2022, forcing Vistry to disclose that Fitzgerald was also a shareholder in Baker Estates. It sold its entire holding for £8.6 million in January, crystallising a stellar return of 76 per cent on its investment. Vistry's shares have fallen by 26.2 per cent to 699p since Baker Estates sold out.

The Weird World of Greg Fitzgerald

Fitzgerald chairs three companies with overlapping interests



This month, after a sharp decline in Vistry's shares, Baker Estates returned to the market, buying £2 million worth of shares. Fitzgerald obtained permission for the share trading from Vistry's former chairman, Ralph Findlay.

Since joining Bovis, for what was meant to be a short and sharp turnaround, Fitzgerald has transformed the company. In 2020, he bought Galliford's housing business, Linden Homes, in a £1.1 billion deal and renamed the combined group Vistry. He followed that up with a £1.3 billion takeover of Countryside, a housebuilder that partners with housing associations and local authorities. Last year, Vistry's sales jumped by 29.8 per cent to £4 billion. The housebuilder made a pre-tax profit of £419.1 million.

Controversially, Fitzgerald turned to old colleague Ian Baker to conduct site assessments on both of Vistry's landmark takeovers. Baker's consultancy work for Vistry — for which he was paid a total of £76,000 over two years, according to Vistry's annual reports — caused some disquiet in the boardroom, albeit the sums were small in the context of the overall advisory fees it paid out on the deals. Sources said a debate over whether Vistry should have sought advice from an independent consultant instead was shut down by Findlay, the former chair.

That was not the only disagreement in Vistry's boardroom of late. Last year, a group of aggressive US shareholders pushed Vistry to implement a new pay scheme that would have seen Fitzgerald trouser a £60 million bonus if Vistry's shares hit £18 within three years. One source said Fitzgerald welcomed the US shareholders "with open arms".

"They were telling Greg he was the best CEO they had ever seen and he should be paid three times as much as he was. And he believed them," the insider said. "I mean, where do you stop? How much money does one man need?" Fitzgerald eventually turned down the huge pay deal, but not before three board directors had resigned over the issue.

Now, Vistry is suffering serious indigestion from its deal binge. Last month, it revealed it had understated the build costs of nine developments in the south of England by about 10 per cent. Initially, Vistry estimated the issue would reduce its pre-tax profits by £115 million over the next three years. The profit hit was this month revised upwards to £165 million. The company's shares have fallen by 45 per cent from £12.73 to 695p since it revealed the problem.

An independent review highlighted that "pressure being felt from organisational change" was a key driver of the issues in Vistry's south division. The Times reported this month that Fitzgerald offered to resign over the misstep. The board rejected Fitzgerald's proposal.

With City analysts fearful that cost inflation could force Vistry into a third profit warning in the coming months, the pain may not be over.

Many investors tend to turn a blind eye to weak corporate governance when the going is good. But with Vistry's breakneck growth now under threat, there will be greater onus on Fitzgerald to justify his many money-making endeavours.

Subject	Re: Re: Re: Sunday Times articles
Entry	11/18/2024 08:33 AM
Member	xds68

In scheme of things strikes me as pretty small dollar, certainly compared with the much larger dollar transactions at DHI (ie is that all they've got?):

(DR Horton) "has a strategic relationship with Ryan Horton and Reagan Horton and entities controlled by them (collectively, referred to herein as "R&R") where R&R has served as a land seller and a land banker to the Company. Ryan and Reagan Horton are the adult sons of Donald R. Horton, the Company's Chairman, and Martha Elizabeth Horton. Donald R. Horton and Martha Elizabeth Horton are referred to herein as the "Hortons." The relationship between the Company and R&R provides an advantage to the Company compared to other relationships with third-party land sellers, lot developers and land bankers. R&R has the capital capacity and has demonstrated the willingness and ability to purchase and hold large tracts of unentitled land or land that does not currently meet the Company's investment criteria, to a greater extent than many of the Company's other relationships with third-party land sellers, land developers and land bankers. The Company typically enters into a contract with R&R to purchase the land in phases on a defined future schedule after the land has been entitled and on terms that meet the Company's investment criteria."

Subject	Re: Re: Re: Re: Sunday Times articles
Entry	11/18/2024 09:22 AM
Member	katana

I don't think I have ever seen a substantively-weaker hit job by a major publication. I assume that some of the 18% of shareholders who opposed Fitzgerald's package and dual role spoon-fed their complaints to the Times reporters, and the reporters "bit." Once you strip away the usual hit-job packaging and get to the factual assertions: They are all true, and as a shareholder, I barely care.

- Dual CEO/board chairman - normal in US, probably a net positive for Vistry given the background of UK-investing sludge that needed cutting through
- Pay package - definitely positive
- Chairman/big owner in Baker Estates - modest negative
- Paid a friend 76k for consulting work that was probably good work - neutral
- Vistry buys forklifts from the other business whose board he chairs - tiny negative. Is Vistry overpaying for the forklifts? Probably not. How much is Vistry spending on the forklifts per year, against 4B of revenue? Meh.

At a high level, this is a tiny version of complaining about Elon Musk's pay package and board lackeys and conflicts of interest with SolarCity, SpaceX, Twitter/X, xAI, Boring, etc. Elon's issues are clearly much worse. Tesla investors say: LOL, OK.

Subject	Re: Re: Re: Re: Re: Sunday Times articles
Entry	11/18/2024 03:38 PM
Member	fiverocks19

katana and xds68-

I fully agree with you both. If you consider this a "hit piece", it was really weak. There's nothing new or that wasn't already disclosed, and the supposed conflicts of interest are minor (and some ought not to be even considered conflicts).

That said, I'd encourage looking at the article in The Times, and a similar article in The Economist, from another perspective.

<https://www.economist.com/britain/2024/11/14/britains-star-builder-hits-trouble>

In reality, these are not "hit pieces" on Vistry, they are "hit pieces" on Labour. The angle taken in the Economist article is explicit - naming Labour in the sub-header and the first paragraph. It is implicit in The Times piece...but everyone in the UK reading this would know exactly the point.

Fitzgerald - a life-long Tory - endorsed Labour ahead of this election for the first time in his life because he felt the Conservatives, instead of being pro-business, had flipped to being anti-business by making it difficult to build anything in the UK...whether housing, energy, infrastructure, etc. A new Labour government promised to "Get Britain Building Again", and Greg was here for it.

The writers at these papers have long memories. You will notice how the right-leaning Times and right-leaning Economist immediately jumped on Vistry's issues. Not a peep, in contrast, from the left-leaning Guardian.

I don't think "there's any there there" in these articles. But I do think it's worth considering these articles are written with politics in mind, not fair business analysis, which should color the way you read them.

fiverocks

Subject	UK Government Support
Entry	11/19/2024 05:49 PM
Member	fiverocks19

<https://x.com/mhclg/status/1858912712157167896>

"We're injecting cash into councils across England to prepare brownfield land for housing.

The funding will pave the way for thousands of new homes"

Lots more to come, this is just the beginning.

fiverocks

Subject	COO oust
Entry	11/20/2024 07:03 AM
Member	asafpol

Does anyone have any insight into the COO leaving?

Was he responsible for the issues in the south division so was sat aside?

Or - is this a sign the south division wasn't the whole story?

Subject	Re: COO oust
Entry	11/20/2024 07:12 AM
Member	Soprano14

Smells bad.

Subject	Re: Re: COO oust
Entry	11/20/2024 11:44 AM
Member	erst1071

Why does this smell bad?

the CEO said during the results call that he will streamline management and take out a layer so that he can be closer to the operations.

i truly don't get the market reaction to this news today... but maybe it's just a falling knife that no one wants to touch

Subject	Re: Re: Re: COO oust
Entry	11/20/2024 12:18 PM
Member	Soprano14

They are having operational issues correct? Does not seem to be the best time to get rid of your COO. The CEO can still be closer to the operations while having a COO. I could be wrong. But to answer your question, that's why I said it smells bad.

Subject	Re: Re: Re: Re: COO oust
Entry	11/20/2024 12:29 PM
Member	Rtg123

Earl has also been a huge part of the VTY team. Been with Bovis as finance director since April 2017 and was formerly VTY CFO who was very investor facing. Its a horrible sign.

Subject
Entry
Member
Rtg123-

Re: Re: Re: Re: Re: COO oust
11/20/2024 01:59 PM
fiverocks19

That is factually incorrect. Earl joined Bovis in April 2015, not in April 2017. He was Group Finance Director when Bovis imploded in 2015/2016 and had its five-star rating cut to a two-star rating. Greg then joined the company and got the company back up to a five-star rating within 9 months...and he kept Earl on in his finance role, eventually moving him over to COO less than two years ago at the time of the Countryside merger. Not the first time a move from a financial role to an operating role didn't work out.

I don't see this at all as a "horrible sign". Did you think no heads would roll as a result of a 100M+ write-down, even if it were in a legacy business? The entire business has just been through a forensic audit, which is a de-risking event if anything. This seems like a natural move to make (it both flattens the org chart and demonstrates accountability for a real mis-step) as Vistry puts this episode behind it.

fiverocks

Subject
Entry
Member

Re: Re: Re: Re: Re: Re: COO oust
11/20/2024 03:14 PM
Scorpio

Will need to wait for further insight to confirm, but I agree with erst1071 and fiverocks - this looks like a case of reducing layers of management as per Gregs ambition to get "closer to the coalface". I do not interpret this as negative at all.

- Vistry is notably one of the only listed builders to even maintain a COO role in recent times. If you have a highly capable and operationally adept CEO (which Vistry does), I see little sense in overlapping that responsibility and effectively slowing down decision making.
- In this industry, I am always sceptical when a finance guy steps into the COO role. Optically, Earl appeared to lack the operational experience (project management skills) required to manage construction complexities effectively. A COO with a finance background may naturally overfocus on financial metrics and cost forecasting (while ignoring operational nuances) inadvertently creating pressure on divisional heads to hit numbers. Could this have contributed to a breakdown in culture within the South Division, and potentially more broadly? Probably not, but it's possible.
- "They are having operational issues correct? Does not seem to be the best time to get rid of your COO." I would say now is a great time to ditch the COO role, which gives Greg a straight shot at fixing these issues without the middle management buffer. Recent commentary suggests that's exactly what he is doing, and if anyone's got the pedigree, it's him.

Subject
Entry
Member

Re: Re: Re: Re: Re: Re: Re: COO oust
11/21/2024 04:20 PM
mpk391

"Earl has elected to leave the Company due to the removal of his current role of Chief Operating Officer. ... This change reduces the length of reporting lines and ensures closer proximity of the CEO to the business."

I agree with erst1071, this is just part of the de-layering that Fitzgerald talked about. It's right there in the press release. First paragraph.

Subject
Entry
Member

Financial shenanigans?
11/26/2024 03:47 PM
nha855

I wonder if this is all just a game of smoke and mirrors. When queried, the company says that the key to reducing capital employed is to purchase the land later instead of upfront. This means that instead of having land financed by debt on the company's balance sheet, there is land financed by a different line item called "land creditors." But what exactly is the difference between debt and land creditors? Maybe not much. Either way, the land ends up as an asset on the balance sheet. And land creditors are obligations of the company to pay (i.e. they are not options) and they carry interest expense and the interest can be avoided by paying earlier.

But it's not debt! So why not? Well, maybe because the company's self-defined non-gaap/non-ifrs definition of capital employed includes debt but does not include land creditors! A conspiracy theorist might call this all a bunch of BS ginned up by some US shareholders who wanted to sell people a dream that a UK homebuilder could be turned into NVR but you can't actually option enough land like that in the UK so... they just changed the definition of capital employed! and - of course - ROCE uses adj EBIT (another non-gaap/non-ifrs number) in the numerator, which is... wait for it... before interest expense (which of course includes interest expense from the certainly not debt land creditors). So the conspiracy theory is that if you buy enough of the company and are stuck, you can always just go and strong arm the company into making up financial metrics based on questionable definitions.

But I'm no conspiracy theorist. Or am I?

Subject
Entry
Member

Re: Financial shenanigans?
11/27/2024 01:58 AM
Bud_Spencer

Land creditors however get reduced above the GP line as land is part of cogs and, especially with a partnerships business, you buy land and then when you sell to a partner you get a bunch of payments from the moment you sign, not just at completion like a "normal" house builder would do. Also, it's common practice in the industry.

Subject Re: Re: Financial shenanigans?
Entry 11/27/2024 07:42 AM
Member asafpol

I may be off, but isn't the whole point of the partnership business is for the partner to provide the land in some/most cases?

Is this not the case?

Subject Re: Re: Financial shenanigans?
Entry 11/27/2024 08:35 AM
Member Bud_Spencer

Also, let's see what the impact is if we include land creditors for 2023:

Company reported

£m	2023	2022
Work in progress	1,219.0	1,016.4
Land	1,881.7	1,821.7
Land creditors	-662.2	-667.4
Net investment in inventories	2,438.5	2,170.7
Investments in joint ventures	562.7	552.4
Other assets	732.6	653.4
Other liabilities	-1,308.6	-1,230.8
Capital employed	2,425.2	2,145.7
Fire safety provision	-289.0	-309.2
Retirement benefit asset	34.2	34.3
Tangible net assets	2,170.4	1,870.8
Goodwill	827.6	804.7
Intangible assets	409.3	456.0
Net (debt)/cash	-88.8	118.2
Net assets	3,318.5	3,249.7

Average Capital Employed	2,285.5
Adjusted Operating Profit	487.9
ROCE	21.3%

If we include land creditors in CE, ROCE goes to 16.5%:

Adjusting for Land Creditors

£m	2023	2022
Work in progress	1,219.0	1,016.4
Land	1,881.7	1,821.7
Net investment in inventories	3,100.7	2,838.1
Investments in joint ventures	562.7	552.4
Other assets	732.6	653.4
Other liabilities	-1,308.6	-1,230.8
Capital employed	3,087.4	2,813.1
Fire safety provision	-289.0	-309.2
Retirement benefit asset	34.2	34.3
Tangible net assets	2,170.4	1,870.8
Goodwill	827.6	804.7
Intangible assets	409.3	456.0
Net (debt)/cash	-88.8	118.2
Net assets	3,318.5	3,249.7

Average Capital Employed	2,950.3
Adjusted Operating Profit	487.9
Adjusted ROCE	16.5%

Looking at mid term targets:

Target Adj Operating Profit	800
Target ROCE	40%
Target implied Cap Empl	2,000
Let's add £600m of Land cred	2,600
Implied ROCE over CE incl Land Cred	31%
let's haircut target adj OP by 20%	640
Implied ROCE over CE incl Land Cred	25%

Clearly 25% is not 40% but not a bad ROCE either.

Subject Re: Re: Re: Financial shenanigans?

Entry
Member

11/27/2024 08:45 AM
Bud_Spencer

some cases yes but not all of them, the company still targets to retain <4y of landbank years (this is from their last presentation):

	30 June 2024	Medium term
Land bank years	4.7	<4.0
Land investment	£1,846m	c. £1.9bn

- Partner funded model supports shorter land bank than traditional housebuilding
 - Pre-sold units delivered at pace
 - Lower proportion of open market sales reduces life span of development
- Partnerships model offers greater opportunity for controlled land
 - Land held either via an exchanged contract or under a development agreement
 - Controlled is not held on balance sheet – negligible capital investment until converted to owned status

Subject
Entry
Member

Re: Re: Re: Re: Financial shenanigans?
11/27/2024 04:13 PM
Supersny

Hey thread crew! Sorry just came across this story and spent the last few hours reviewing this thread and the commentary. Very helpful. Good work across the board.

Apologies but its not clear....if they transitioned to Partnership model as expected why is capital employed up by and not down by ~1bn as they targeted?

How does Labor party intend to accelerate the # of affordable housing units if its just being held by local bureaucrats that won't approve the projects?

Subject
Entry
Member

Re: Financial shenanigans?
11/27/2024 04:35 PM
fiverocks19

What a marvelous "conspiracy theory" you've come up with, nha855. I love a good conspiracy theory!

Unfortunately, this one is all hat and no cattle.

First, the partnerships model is not something "dreamed up" by American shareholders. The partnerships model has been around for decades. Over that time, it has repeatedly demonstrated outperformance vs. traditional housebuilding. Countryside's partnerships business grew profits through the 2008 financial crisis when half the sector went BK or near enough. From the time of Countryside's IPO to when Countryside merged with Vistry, its partnerships business grew EBIT by 5x in 8 years - massive outperformance. Vistry's partnerships business then grew profits through COVID when every other British housebuilder saw earnings sharply decline. The quality of the partnerships model was recognized years ago at roughly the same time by US investors, by British investors, and by British executives...I know, because I was there. The idea that partnerships is something "ginned up" by US investors is both ahistorical and factually wrong. It's utter nonsense.

Second, that's cute you figured out what a "land creditor" is. Let me share a bit more info to help you get up the curve. Using land creditors is a common practice across the UK housebuilding industry. It is not something particular to partnerships. In fact, it's a more common practice for housebuilders than for partnerships businesses. In 2023, for example, if we compare each public UK housebuilder's balance of land creditors at year-end to its revenues - a way to gauge the impact of land creditors on the P&L, which of course flows directly to ROCE - you will see the sector average was a ratio of 18.3% land creditors/revenue. Vistry's figure in 2023 was just 16.4%. In other words, land creditors are LESS important to Vistry's business, not more important, than for a typical housebuilder. If the use of land creditors was such a distinguishing feature helping a partnerships business look better than it really is, the opposite would be true. As with the first point on American investors, this one too is complete rubbish.

For those of us dealing in reality and facts, Vistry's partnerships business can and will achieve outsized ROCE's for three reasons. First, in most partnerships projects, some of the land (generally outside the M-25) or all of the land (generally inside the M-25) reside off balance sheet as it is contributed and retained by Local Authorities (regional governments in the UK). Second, Vistry receives cash up-front from PRS (private rented sector) buyers for rental housing, and receives cash guaranteed upon completion for affordable housing (generally from Local Authorities or not-for-profit Housing Associations), so cash inflows come quicker than if Vistry had to wait to market and sell the homes like a traditional volume housebuilder. Third, Vistry's asset turns are roughly 3x that of a traditional volume housebuilder, as with 65-80% of projects pre-sold, Vistry can build at pace without stopping - whereas traditional volume housebuilders start/stop their build programs based on the rate of open market sales. The visibility from forward sales also helps Vistry build at lower costs, as sub-contractors trade more attractive pricing for more guaranteed work.

There's no mystery here why the partnerships model achieves higher ROCE's. It's due to these three factors. It's certainly NOT due to "land creditors".

As above, I'm all for a good conspiracy theory. Every now and then they do indeed prove true ("lockdowns are bad" and "inflation will decline" are two recent ones that come to mind). But for a good conspiracy theory to prove true, it must be a story based on facts and on evidence. In this instance, you're trying to twist the facts and evidence to fit a story that is nothing more than make-believe.

fiverocks

Subject	PE Bid Interest
Entry	11/27/2024 04:40 PM
Member	fiverocks19

<https://x.com/walshdominic/status/1861741637044425029>

Obviously we would oppose a bid anywhere remotely close to 10-11 GBP/share. The stock spiked +5% today when this came out.

fiverocks

Subject	Valuation if business model transition fails
Entry	11/27/2024 07:54 PM
Member	Sam van Noort

Thanks for the great write-up and discussion.

This is currently trading at a LTM P/BV of 0.69 and a LTM P/TBV of 1.09 according to TIKR.

When is this cheap even if the transition to the partnership model fails and it remains an ordinary builder? How to think about valuation in that case?

Subject	Re: Valuation if business model transition fails
Entry	12/03/2024 11:20 AM
Member	fiverocks19

Sam van Noort-

The transition to a partnerships business is nearly done. So I'm not sure how the transition would "fail"...that conceptually doesn't really make sense to me.

At the time of the Countryside/Vistry merger, roughly 55% of EBIT came from Partnerships. In 2024, roughly 75% of EBIT will come from Partnerships, and I'd guess run-rate Vistry is about 85% Partnerships today. By the end of 2025, Vistry will be close to 100% Partnerships (98%?).

So I don't think this is a question of whether the transition happens. It's not only happening, it's almost done. And clearly it was the right decision - all the issues have been in Housebuilding, not in Partnerships.

I think in 9-12 months' time, Vistry will be doing £550M+ EBIT (maybe £600M) as a "pure-play" Partnerships business. Partnerships businesses have historically transacted at 12-13x EBIT and 5-7x Book. Right now, Vistry is trading at 2x EBIT (counting the full capital return from exiting Housebuilding) and 1x Book. If you liquidated the entire business, you'd get your money back right now. That's a heck of a margin of safety, in my view, for a business this profitable and that should be earning 40%+ ROCE in the not-distant future.

fiverocks

Subject Re: Re: Re: Re: Re: Financial shenanigans?
Entry 12/03/2024 11:26 AM
Member fiverocks19
 Supersny-

Responding to your questions:

1) There is seasonality in the business. Big cash inflows happen in calendar Q4, as described previously in this thread. Capital employed will step down as of year-end 2024, and step-down again as of year-end 2025. Vistry has been clear that its capital employed will fall from £2.7 Billion to £1.9 Billion over a couple years, before normalizing back to ~£2 Billion.

2) Labour has brought back housing delivery mandates on Local Authorities while also (a) hiring more planning professionals to help expedite approvals and (b) taking a wide range of policy steps to accelerate building (for example, defining the "grey belt" as a new area for construction, New Cities, etc.). It's not about money spent, it's about policy. Labour is targeting 1.5M home deliveries over its 5 years in power, up from a run-rate of about 220K right now. I kind of doubt Labour gets all the way to 1.5M total over its term, because that implies roughly 350K deliveries in year-5, to make up for the lower numbers in years 1/2 as the machine gets turned on. But regardless, it should be a significant increase in the coming years, and perhaps as much as +50% per annum rise from today to the end of the government.

fiverocks

Subject Re: Re: Valuation if business model transition fails
Entry 12/03/2024 12:09 PM
Member Sam van Noort
 Hi fiverocks,

Thanks for your response, and all the other very helpful comments.

Apologies, I now realize that my writing wasn't clear.

My question is whether you agree with the following statement: at the current price—given the growth opportunity and management quality—the stock is undervalued even if the ROCE remains that of a well-managed but nonetheless "ordinary" UK homebuilder rather than the 40%+ we are expecting.

Subject Re: Re: Re: Valuation if business model transition fails
Entry 12/03/2024 01:40 PM
Member fiverocks19
 Sam van Noort-

Yes, that is a fair way to think about it.

Over the last 20 years, the average Price/Book multiple for traditional volume housebuilders is 1.6x. The current Price/Book multiple for traditional volume housebuilders is about 1.1x. Vistry is trading for 1.0x Price/Book. So even if you were to say it were considered an "ordinary" UK housebuilder (which of course it is not!), even on that basis I would think Vistry is trading below fair value.

fiverocks

Subject Re: Re: Valuation if business model transition fails
Entry 12/03/2024 03:35 PM
Member erst1071

Can you help us get some comfort on the £550M+ EBIT estimate in 9-12mts time? This is way above our expectations and what it seems mgmt is guiding. how do we get there?

Subject Re: Re: Re: Valuation if business model transition fails
Entry 12/03/2024 06:49 PM
Member fiverocks19

erst1071-

Prior to the latest trading update, I see consensus EBIT was £513M in 2025 and £589M in 2026.

In 9-12 months' time, pretty much all the one-time hit (related to housebuilding) will be in the rearview mirror, Vistry will be a pure-play partnerships business, and the company should be run-rating something in the neighborhood of £550M to £600M...all as of Q4/year-end 2025.

fiverocks

Subject	Re: Re: Valuation if business model transition fails
Entry	12/04/2024 03:58 AM
Member	sck4000

Replying to post #302: fiverocks, where are you taking those splits for partnership business for 2024 from?

- Having a look at the last HY report, I see that partnership *completions* will be 76% of all (e.g. their presentation, p. 8). So shouldn't the lower op. margin and price/unit mean that EBIT of the P-business is much lower? (Note: VTY said they expect a similar split for FY24; this was before the profit warnings, but since they mainly concerned the legacy business all this does in my eyes is that fraction of P-business might go up a bit as % of total, but shouldn't be enough to arrive at 75% *EBIT* from P-bus.)

- Also they have stated already they actually expect the business to rebalance more towards 65% completions from partner funded. Doesn't that "endanger" this high % EBIT from P-bus further?

- Finally, some time earlier (post 83) you even assumed that "[...] partnerships is most of EBIT, and will be all of EBIT by year-end 2024." Why did you change this 100% ebit from p-bus. to 75%? Does that mean you have become less confident in the transition? I'm not trying to pick on you, on contrary I have followed your commentary with great interest and you strike me as sb. who takes due dilligence very seriously, so that is why I'm a bit puzzled about these differing statements given within a rel. short time frame, and I'm trying to understand.

Thanks

sck

Subject	Re: Re: Re: Valuation if business model transition fails
Entry	12/04/2024 12:41 PM
Member	fiverocks19

sck4000-

Appreciate the questions, and the kind words.

The answer to your first two questions is straightforward, which is that you are mixing up apples and oranges.

A typical Partnerships project is "mixed tenure", i.e. it delivers (1) affordable housing, (2) PRS housing, and (3) private-for-sale housing. Vistry refers to the first two buckets as "partner funded", while the third bucket represents "open market" sales. In the past, I have referred to the mix as 1/3, 1/3, 1/3 across the three tenures. However, Vistry refers to its long-term model as 65% "partner funded" and 35% "open market". It's essentially identical to how I talk about it.

So "partner funded" DOES NOT equal "percentage of the company that is Partnerships". They are two totally separate metrics. They're apples and oranges. The percentage of completions that were partner funded in FY23 or in H124 don't tell you anything about how far along Vistry is in its transition to Partnerships.

With respect to your third question, I was wrong and Vistry will not be 100% Partnerships by year-end 2024. The company does not disclose a specific number in terms of what % of the business is Partnerships, so I made an educated guess. However, with tens of millions of costs related to Housebuilding coming through in 2025, it's clear Vistry still has some Housebuilding left. "When the facts change, I change my mind. What do you do, sir?" My best guess is 75% of EBIT in 2024 (excluding the write-down) is from Partnerships, that at current run-rate Partnerships is 85% of the business today, and by year-end 2025, Vistry will be close enough to 100% Partnerships that we can confidently call it a pure-play.

Hope that's helpful.

fiverocks

Subject	Some very basic questions
Entry	12/05/2024 08:36 AM
Member	FuzzyLogic

I apologise for asking some pretty basic questions here on an idea thread with more than 300 messages, but I've gone through it all and a couple things still aren't clear to me. I'd really appreciate some insight from the very knowledgeable people here (agentcooper, fiverocks, katana, bud_spencer, etc.) especially because the value-investor in me sees potential opportunity in the recent price decline since, as Sam van Noord points out, perhaps the downside is almost all gone now. So my questions:

1. What is the incentive of the local authorities and housing associations to build more houses? My (perhaps flawed) understanding was that they are staffed with local people that often own their homes and are therefore not incentivised to build more houses as their personal wealth (from home equity) drives their decisions. So they drag their feet on approvals ie. NIMBY. And since the approvals are localised, central government changes are unlikely to move this forward meaningfully. Its been this way for many many years so it seems difficult to move things meaningfully away from the status quo. The recent deals for Vistry seem to have been PE-backed and not LA / HA backed.

2. If indeed the LAs / HAs are motivated to buy more homes, is there enough land for them to contribute as their share of equity? I'm not talking about one or two examples of where this has been done, but across the UK... is there enough land in the hands of the LAs / HAs to fund their share of an affordable housing boom? Or is this totally dependent on central government funding increases which, although higher, don't strike me as substantially higher relative to the last 10 - 20 years. That might be completely wrong but I remember reading a comment here about similar funding levels in the 2000s that didn't shift the status quo.

3. Is the expectation that this all doesn't matter that much since there is more than enough PE-backed funding to bridge any gaps? In that case how are the approval processes actually sped up since the LAs / HAs would still need to approve projects but don't seem to benefit directly themselves?

As you can see I'm just struggling to complete the demand picture in my head (and I'm sure it's just lack of knowledge on the subject). There is no doubt that there are too few houses, but that's hardly a new problem. So even if Vistry has the capacity (which they seem to have) to deal with all these LAs / HAs, why are things so different now?

Thanks in advance.

Fuzzy

Subject	Re: Re: Re: Re: Valuation if business model transition fails
Entry	12/05/2024 11:13 AM
Member	sck4000

fiverocks - thanks for the prompt reply, much appreciated!

This makes some things clearer as I had misunderstood their terminology. But what I'm still struggling with is your thought process on determining how far in we are in the transition. From your answer it seems there really is no official metric published by vty (? which I find a bit weird given that this is *the* essential aspect of valuing this business) that would serve this. So a bit more colour on your thought process / how you arrived at the ~75% EBIT from partnerships would be much appreciated. (Note: I also think many debates we have/had on this board are bc. others are struggling to gauge exactly this progress - see the many exchanges we had here on ROCE).

Prio 2 questions (for me):

- on the PRS part - I guess what confuses me is the "mechanics" of the sales part/how much is paid upfront and how the ROCE works out for these sales. I take from your answer though that ROCE is also in the high(er) range, i.e. much higher than that of trad. homebuilding, achieved e.g. through pfront payments?

- on the "...facts change, then I change my opinion..." - of course! But I had mis-phrased, let me please correct: Compared to earlier estimates on the speed of the transition, is there 1-2 core assumptions that have not come through as expected by you, or is it more a mix if things? And why are you confident on your current assumptions?

Thanks again

sck

Subject	Keir Starmer in The Times: "We Will Launch A Golden Era Of Building"
Entry	12/06/2024 10:22 AM
Member	fiverocks19

"The prime minister says ending the housing crisis is the key to improving the country's prosperity"

<https://www.thetimes.com/uk/politics/article/keir-starmer-we-will-launch-a-golden-era-of-building-80308np6k>

fiverocks

Subject
Entry
Member

Re: Keir Starmer in The Times: "We Will Launch A Golden Era Of Building"
12/06/2024 11:51 AM
blaeskobalt

Sounds great. I hope he succeeds.

But I doubt it. You can't fix a regulation- and bureaucracy-driven problem with more regulation & bureaucracy.

My guess is that Sir Starmer leaves office with a worse housing crisis than the one he inherited. And it will probably be before his full term.

Subject
Entry
Member

Re: Keir Starmer in The Times: "We Will Launch A Golden Era Of Building"
12/06/2024 01:25 PM
Sam van Noort

The problem with this is that I don't really see anything written about HOW they plan to do all this.

What can the central government actually do about the local planning system? Can they change the rules? Or do they at least have a way to apply pressure on local planning boards within the current rules?

Subject
Entry
Member

UK Planning System - Already Improving
12/07/2024 09:19 PM
fiverocks19

There seems to be a lot of hand-wringing on this thread about how the planning system in the UK gets unstuck.

In my view, such concerns have little merit or basis in reality. You are not speaking with people on the ground.

Local planning authorities are highly influenced by the central government. No one is trying to solve this with "more regulation and bureaucracy". It's actually quite the opposite. That kind of framing is nonsensical and doesn't reflect the facts of the current situation.

It was not long ago that the UK was building 300k homes/year. Currently the figure is 220k. What happened in the interim? The removal of mandatory housing targets. Staff shortages at planning authorities. The burden of proof shifted to the "builders" and away from the "blockers", to use the phrasing from Labour.

This is all reversing. Mandatory targets have been reimposed. Planning authorities are getting staffed up. A whole new paradigm is already in motion.

Don't believe me? We're already seeing things get better. This is the kind of LinkedIn post I haven't seen in years:

https://www.linkedin.com/posts/phil-mchugh-37980812a_partnerships-teamwork-housing-activity-7270528644618321920-uBXr/

And this is just the beginning. I'm not sure whether Labour will reach its 1.5m home target (which would require c. 350k homes/year by year 5), but I am extremely confident the annual build number will grow materially in the coming years from the current 220k level.

fiverocks

Subject
Entry
Member

sck4000
12/08/2024 11:31 AM
fiverocks19

sck4000-

I believe you have three questions for me. Let's see if I can answer them.

1) Measuring the transition to a pure-play Partnerships business can be done in different ways. Are you measuring by revenue? By EBIT? By units? How about by capital employed? Each will get you a slightly different answer. And what about Housebuilding projects that are converting to Partnerships - let's say you've brought in an affordable housing partner, but not yet a PRS partner...how does that count in the transition? There are undoubtedly errors bars in measuring the transition.

That said, I think a lot is knowable. At the time of the Vistry/Countryside merger, 55% of EBIT came from Partnerships. For the last 18 months, 100% of new projects are Partnerships - and the volume of new projects getting announced and scaling up is incredible (hint: follow Vistry on [LinkedIn](#)). Housebuilding is in run-off. There have been a series of major (i.e., valued in the hundreds of millions of Pounds) announcements with PRS partners, as other sites transition from Housebuilding to Partnerships.

So how can we quantify it? I use EBIT. Based on our tracking of individual sites, plus commentary from management, I think the transition is well-advanced and nearing conclusion. The write-downs in the South Division show there's still a bit of Housebuilding left, but it's rapidly coming off the balance sheet. In a year's time, I think capital employed in the business will be in the £2 Billion range, and Partnerships will be substantially all of the company (other than a few odds and ends).

2) You can't measure ROCE separately for affordable vs. PRS vs. private-for-sale. It's all rolled up into one, with each tenure playing a role in the success of the overall project. PRS buyers pay up-front in full. Affordable buyers pay upon completion. Private-for-sale buyers pay when a sale has been transacted and closed.

3) I don't think there is a particular core assumption that has proved incorrect. Clearly there is a bit of Housebuilding left (as can be seen in the write-downs related to Housebuilding). I am simply acknowledging that fact.

To sum up - Vistry is not 55% Partnerships and it is not 100% Partnerships. A huge amount of progress has been made in transitioning the business to a pure-play Partnerships model. Where are we exactly? Hard for anyone to know for sure. But I'd bet we're much closer to the end and than the beginning - maybe call it the 8th inning of the transition, with the closer warming up in the bullpen.

fiverocks

Subject	FuzzyLogic
Entry	12/08/2024 12:08 PM
Member	fiverocks19

FuzzyLogic-

Happy to answer your questions. It's fine if they are basic. The UK housing market is peculiar and strange in a lot of ways, so it takes a bit of time to get familiar with how it all works.

Before I do, a definitional point. Local Authorities (LA's) and Housing Associations (HA's) are quite different kinds of entities. It's important to distinguish them.

Local Authorities are regional governments (like mini-US States). There are ~371 of them in the UK. They do lots of things...providing public and affordable housing is just one of them. They are accountable to their communities. Like in the US, some are run well, some are run terribly, and all are constantly worried about budget.

Housing Associations are not-for-profit entities that focus exclusively on providing affordable housing. They do just one thing...provide affordable housing. They purchase additional affordable housing out of their cash flows. They are not accountable to their communities, as they are charities. The primary driver for HA's is not budget, it's doing the most good they can by providing affordable housing to people who need it.

1) Neither LA's nor HA's are building houses. They outsource that bit. For HA's, their entire model revolves around managing and adding more affordable housing, so they are always in the market to continue doing so (albeit, they are constrained by cash flows and donations).

For LA's, there is tremendous need and demand. Remember LA's are local governments. They are under pressure from citizens to revitalize downtrodden communities and projects. They are desperate for cash. So when Countryside (Vistry) comes in and says hey - you provide the land, and we will regenerate your falling-apart public housing over here, and there will be no out of pocket cash cost for you, AND actually you will receive cash from the regeneration if it goes well, AND your tax base will go up, AND your borrowing capacity will increase as the land you own underneath will double or triple in value, AND the project will modernize schools and fix up parks and local roads, AND crime will go down and investment in your community will go up, AND look at how we've done this hundreds of times already in communities all across the UK and politicians have been rewarded for it...is there any wonder why they go for it?

Bluntly, there is absolutely no shortage of demand for these projects from LA's. It's overwhelming.

Just as one example, in Acton Gardens (one of Countryside's flagship projects in London), I think the LA's land value has gone up by over £1 Billion since the project started in 2010. And it's not even done. The positive impact on borrowing capacity, tax base, etc. for these LA's is extraordinary.

I think you are confusing things a bit with your PE comment. There can be lots of different partners in these projects. Leaf Living (backed by Blackstone), for example, is a PRS provider that signed a major agreement with Vistry. So a typical project might involve a Local Authority (the government) PLUS an entity like Leaf Living as a PRS buyer PLUS an affordable housing buyer like a Housing Association. Vistry's deals include all three tenures, not just one or two.

2) Yes, there is plenty of land to do Partnerships deals. This is not a limiting factor on the Vistry thesis. Remember that many of Vistry's sites are "regenerations" of existing communities (many might be called "projects" in the US). There were 7M homes built in the 25 years following the end of WWII. Many of these homes are now falling apart and in desperate need of replacing - the number is certainly in the millions. Vistry is set to build what - 20,000 homes next year, of which only 1/3 will be affordable? It will take a couple centuries (!) for Vistry to update all the homes that need updating. On top of that, add all the other land that's fit for Partnerships projects - brownfield, "grey belt", New Cities, greenfield, government land (Homes England is the #5 landowner in the UK, with the sole purpose of developing government-owned land), transportation hubs (Kier Group is a partner of Vistry, and Kier Group is responsible for helping redevelop land held by Network Rail...which owns even more land than Homes England!). None of this is reliant on government funding. The amount of land available to Vistry is astonishing.

3) I think your question misunderstands the model. Demand is not the issue. There are millions of post-war public housing units in need of regeneration - with motivated owners (LA's) who wish to regenerate them. The waitlist for affordable housing in the UK reached a staggering 1.2 million last year. PRS investment is expected to double over the next 5 years. The housing shortage more generally in the UK is as acute as it's ever been. Structural demand for what Vistry produces is staggering.

Let's sum this one up. You ask the question "why are things so different now"? I don't get this. The answer is, things are not different. Which is fantastic and should give investors in Vistry a lot of comfort.

When Vistry IPO'd nine years ago, its Partnerships EBIT was £40M. At the time of the Vistry/Countryside merger in 2022, its Partnerships EBIT was £200M. In 2025, its Partnerships EBIT will be north of £500M. By 2028, its Partnerships EBIT will be £800M.

Vistry's Partnerships business is terrific. This is a business with an enviable long-term track record of substantial profit growth trading at a shockingly value price. Nothing has to change for Vistry to continue doing well. The fact that Labour is "unblocking" the planning permission process to get Britain building again is undoubtedly helpful. It will accelerate things for Vistry. But it's not necessary for Vistry's Partnerships business to continue to thrive as it has done.

fiverocks

Subject Re: UK Planning System - Already Improving
Entry 12/09/2024 07:43 AM
Member Scorpio
[New UK planning rules will bypass councils to fast-track housebuilding](#)

Subject Re: Re: UK Planning System - Already Improving
Entry 12/09/2024 09:30 AM
Member MrStingy

Any Brits here who have an idea whether these proposals have a realistic chance at getting through? I haven't the slightest idea.

Subject Re: Re: Re: UK Planning System - Already Improving
Entry 12/09/2024 11:22 AM
Member fiverocks19
 MrStingy-

Your question is confusing.

The UK effectively has a unicameral legislature, which in turn controls the executive. You may be projecting an American view of a bicameral legislature and separate legislative, executive, and judicial branches onto the UK government. That's not how it works.

If Labour leadership wishes to implement a policy, they don't need approval from anyone else. They have the votes, by definition (unless there is a rebellion within their own party, which there will not be on housing issues). The mandatory housebuilding targets, the planning system reforms, etc. are done deals.

fiverocks

Subject Re: FuzzyLogic
Entry 12/09/2024 11:58 AM
Member liverpoolstocks

You mention the 7mn homes built during WWII. How do you feel comfortable about the regeneration economics on these when you consider these projects can take many years and often require compensating residents for doing development on where they live and forcing them to move? What portion of land donated comes from regeneration as opposed to undeveloped land?

Subject Re: Re: Re: Re: UK Planning System - Already Improving
Entry 12/09/2024 12:00 PM
Member MrStingy

Hey fiverocks, I think my question was confusing because I was confused, and am not terribly familiar with the UK governing system. I appreciate for your explanation, thank you.

Subject Macro macro macro
Entry 12/09/2024 09:06 PM
Member katana

When I started posting precisely a year ago, I had a number of high-ish level reasons to be very bullish, #1 of which was "UK homebuilding macro"; I saw a huge housing deficit and foresaw a coming homebuilding boom, spurred by government policy change. The stock price then was 800p, and the sell-side hated the stock.

I was a whole lot less bullish with the stock at 1300-1400p and the sell-side analysts capitulating against their will.

Now the stock is 700p, the sell-side is back to barfing all over it, *and the government-driven homebuilding boom is about to start*. Little else that's material has changed vs. expectations.

Back to very bullish.

Subject Re: Macro macro macro
Entry 12/10/2024 01:44 PM
Member SamPR

Katana writes "Little else that's material has changed vs. expectations".

* I'll put aside the cost over-runs and write-downs (with the COO fired) because that issue seems to be a neutral/positive for some (now everything is scrubbed) and a negative for others ("never just one cockroach"; "calls to question operations"). That's been well hashed out here, and each can judge differently. *

With that asterix out of the way, one very important thing has changed vs. expectations (as articulated in the write-up): there wasn't much cash flow generation in the trailing-twelve months of disclosed financials (i.e. from 1H 2023 - 1H 2024). The trailing-twelve-month invested capital increased by 120M GBP into 1H 2024. This is not progress toward the estimated 1,000M reduction in invested capital called for by the write-up.

Related to the *increase* in invested capital vs. the *decrease* proposed in the writeup, buybacks have been underwhelming. The write-up called for 55M GBP in share repurchases in Q4 2023 alone and ~400M GBP in annual buybacks. One year after the writeup, the buybacks are trending at 70M per year (18M per quarter, a fraction of where we were supposed to be in Q4 2023). The weak cash flow and weak buybacks are not signs of a transition to asset-light business model.

I know this point has been made a number of times on this thread, but it doesn't seem like it's been adequately addressed by the bulls, who simply say "cash flow is seasonal and strong in Q4." This misses the point that we are comparing 1H to 1H, and we are also looking at December share repurchase data, which could have inflected upward if the company were generating tons of cash during 2H 2024.

I can accept that major cash generation may be just around the corner; however the evidence from audited financials (which are currently lagging by 5 months) and share buybacks (which are updated weekly) doesn't support that the company is freeing up capital. In my opinion, that is new (and negative) information vs. last year.

Subject
Entry
Member

Re: Re: Macro macro macro
12/10/2024 02:40 PM
Bud_Spencer

Sam, I think cash generation and WIP and leverage management are key issues which are front and center. 1H23 is when the company announced the change in strategy and it's not necessarily a good reference point. However, I can see that the question is "isn't the whole point about releasing capital and so ... where is the cash?!" So, inventories were roughly at the same level in 1h23 vs 1h24 by £20m. But 1H24 also increased vs FY23 by £111m.

	H124	FY23	Δ	H123	Δ
WIP + Land	3,212.0	3,100.7	111.3	3192.1	19.9
Land Creditors	-605.4	-662.2	56.8	-694.8	89.4

£m	H1 24	H1 23
Opening	(88.8)	118.2
Adjusted profit before tax	186.2	174.0
Investment in land and work in progress	(111.3)	(377.5)
Movement in land creditors	(56.8)	26.1
Investment in other working capital	(74.7)	(48.7)
Investment in joint ventures	(40.3)	(49.2)
Exceptional fire safety spend	(12.2)	(10.9)
Other exceptional costs	(7.1)	(33.9)
Taxation	(16.0)	(16.3)
Shareholder distributions	(101.0)	(110.4)
Net outflow	(233.2)	(446.8)
Closing	(322.0)	(328.6)

The second bit is because of seasonality but also because, as management has said in recent calls, market environment hasn't helped both on the release of legacy assets or the monetization of WIP of private units.

"What we saw in the first half year was a seasonal build-up and with higher WIP in particular driving the capital employed up in the first half of the year. Still targeting GBP2 billion in 2028. What we expect to see is the land comes down before it starts to go back up again, particularly as we work through the former housebuilding land bank. So we should see land come down, the land bank years come down, and we'll see greater control of WIP particularly as the private market picks up and we have less stock and less invested in private."

Remember also that private units carry larger profitability. Also the company signalled they received cash for £40m from a single receivable in August. So, WIP and leverage are a little higher vs expectations but not significantly so. The deals announced so far are still in buildout phase so are releasing cash (and as we can see above the company has also been paying land creditors: i.e. I the nominal amount I get from the partner, that we see in announcements, sometimes gets used right away) and will be substituted by partners funded deals.

Just the fact that the company has guided for lower debt vs last year, including buy backs should show that cash conversion is at least in line with profits: £170m+ of buybacks + let's say £40m of net debt reduction, we're at £210m vs net profits of roughly £200m net of taxes and exceptionals. Directionally we'll see monetization of legacy assets and the company should normalize its private WIP which should release cash. But that's not independent from market conditions.

Bud

Subject
Entry
Member

Re: Re: Re: Macro macro macro
12/10/2024 06:35 PM
Rtg123



Subject
Entry

Re: Macro macro macro
12/10/2024 07:20 PM

Member

katana

I am making big-picture hand-wavey points, and the replies are making down-in-the-weeds numbers-backed points, and they are right as far as they go, and I am pretty confident that my hand-wavey points are going to win out on a 2-year basis.

Subject

Margin Protection

Entry

12/11/2024 08:28 AM

Member

singletrack

After getting lost in the 327 messages, I was rereading the original thesis. I'm curious if bulls/bear still agree/disagree with this part of the thesis. We've spoken to formers who suggest the cost/margin exposure isn't as tight as suggested below.

"Vistry receives a priority profit for each project via a final balancing land payment to the local authorities at the end of each project. This allows the value of the final project to be changed so the company can meet its agreed-upon margin targets even in the event of unforeseen cost inflation.

Given the shorter timeframe of this style of housing development, cost inflation adjustments for small projects are minimal. Contracts for larger developments can have phased viability assessments on non-private home sales that mitigate the impact of inflation via contracted pass-through mechanisms that ensure a base return largely irrespective of increases in building costs and/or land values.

Essentially this is a cost-plus model where margins are negotiated first based on a home price that is in a range of affordability set by the local council/housing association. Price changes to the home afterwards are essentially immaterial as adjustments are focused on maintaining Vistry's modest margins, even including inflation.

The only risk to margins is from the sale of homes to private homeowners, which comprise less than 25% of Vistry's home completions and are subject to traditional housing market forces. Here the private homes are sold at a higher margin than the pre-sold units, and thus provide only a minimal uplift to margins in the best of times. In a tougher market, they're sold to match margin levels of the homes pre-sold to partners."

Subject

Re: Re: Re: Macro macro macro

Entry

12/11/2024 08:54 AM

Member

SamPR

Bud, I appreciate your rather extensive reply and discussion of inventory.

Just a point of clarification: where are you getting 170M GBP of 2024 share repurchases? I'm coming to a lower number.

Katana writes: "I am making big-picture hand-wavey points, and the replies are making down-in-the-weeds numbers-backed points, and they are right as far as they go, and I am pretty confident that my hand-wavey points are going to win out on a 2-year basis."

The big picture question that the cash flow informs is: "how much do we trust management in harvesting \$1B of cash from working capital?" That's fundamental to this thesis. If it seems like a done deal (maybe Katana believes that), then you shouldn't care about one year of cash flow. But if you think there's a chance that this story may not be executed as pitched, then tracking cash is fundamental.

Subject

Re: Margin Protection

Entry

12/11/2024 03:37 PM

Member

mpk391

If you don't mind, what did those formers say?

Subject

Re: Re: Margin Protection

Entry

12/11/2024 04:47 PM

Member

singletrack

In short that revenues are fixed and costs are not.

Even though the partnership phases tend to be shorter-term in nature, with 8-10% inflation, "you can imagine what the does to margins over 3-4 years".

Subject

Re: Re: Re: Re: Macro macro macro

Entry

12/11/2024 06:12 PM

Member

fiverocks19

SamPR-

Since the start of Vistry's share buyback program on Dec 11, 2023 (exactly one year ago today), Vistry has repurchased £173.8M worth of shares.

A £55M buyback plus a £100M buyback plus £18.8M so far under the current £130M buyback.

fiverocks

Subject

Re: Re: Re: Margin Protection

Entry

12/11/2024 06:23 PM

Member

fiverocks19

singletrack-

Cost overruns rarely happen to a material degree in Partnerships programs, and frequently happen in housebuilding (as we have just seen with the South Division).

The reasons are many. But a couple quickly come to mind. First, a typical phase in a Partnerships project is shorter-duration with clear visibility on both sales and costs, which are each largely locked in. Second, to the extent returns don't come in as anticipated, there is flexibility to work with partners to catch up on profits in the next phase or to re-orient the project to achieve the target IRR. Importantly, there is often alignment with Local Authorities who receive cash payments if a project achieves its target IRR, so there is incentive for partners to revise projects along the way to meet the targets.

Housebuilding, of course, has neither of these advantages. Projects tend to be extremely long duration, and often turn into bets on land value. There are no partners to work with, so housebuilders are at the mercy of the price they can sell a house for relative to the input costs of building that house. This is not the case in a Partnerships project, where the tenure mix can be tweaked or the number of homes built adjusted to manage to a ROCE target.

So to directly address post #327, I would not say it is a true cost-plus model, but it does have many of the characteristics of a cost-plus model that does allow Vistry to consistently reach its ROCE targets. For just one point of reference, at the time of the Vistry/Countryside merger, every single Partnerships project under Vistry was earning above a 40% ROCE with the exception of one development which was in the mid-20's. This would never be the case for a traditional volume housebuilder, where the dispersion and range of outcomes would be far wider and include many losers along with some big winners, all depending on vintage and swings in the market along the way.

fiverocks

Subject	Re: Re: Re: Margin Protection
Entry	12/11/2024 06:30 PM
Member	fiverocks19

singletrack-

Just looking at comment #331. These "formers" are wrong and confused, on both points.

The idea that "revenues are fixed and costs are not" is total nonsense. On the revenue side, PRS and affordable prices are fixed, but private-for-sale depend on the market. But setting that aside, that misses the point - if partnerships projects come up short on ROCE, the tenure mix or absolute number of deliveries can be adjusted, which can have a significant effect on revenues. On the cost side, Vistry has tremendous visibility on costs. For each phase of a Partnerships project, most costs are locked in with subcontractors, materials, etc. The vast majority of revenues and costs are "back-to-backed" which provides strong visibility on margins. It's also worth noting that in the contracts with subs, the subs are on the hook to deliver on schedule and on budget, and any delays or cost overruns come out of the pockets of the subs.

Finally, for what it's worth, last year Vistry had negative cost inflation. In 2025, Vistry is guiding to 3% cost inflation, with half coming from the step up in National Insurance. This is not a business experiencing 8-10% annual cost inflation, and certainly not over any period in the data.

fiverocks

Subject	Re: Re: Re: Re: Macro macro macro
Entry	12/12/2024 02:20 AM
Member	FuzzyLogic

Hi SamPR

Just for the sake of clarity here, I believe that 50% of the \$1bn cash return to shareholders will come from earnings and the other half will come from working capital. Thought I'd point this out as the burden on reducing working capital lessens. (Slide 45 of September 2023 strategy presentation)

Fuzzy

Subject	Re: FuzzyLogic
Entry	12/12/2024 02:30 AM
Member	FuzzyLogic

Hi fiverocks. Thank you for such a thorough reply and entertaining my questions. It has neatly cleared up much of my confusion. You do great work.

If I may just push my luck and ask a summary question on this topic: If there is a) excess funding / demand (desperate LAs with ample land to contribute, motivated HAs whose budgets are becoming less constrained by government's push, ample private funding from PRS providers, a UK population that is clamouring for homes), b) Vistry says that they have excess capacity with their 26 business units that can each do 900 units, and c) enough liquidity for Vistry, especially if they do new homes under the partnerships model instead of homebuilding... then why are they not already doing 23k homes a year?

Thanks again

Fuzzy

Subject	Re: Re: Re: Re: Macro macro macro
Entry	12/12/2024 04:14 AM
Member	Bud_Spencer

Sam I just use the daily buyback amounts from the RNS. Bloomberg has a shortcut function for the last 175 days of buybacks. If you use that to cross check, and the HY statement: at 31/6 they had spent £101m in buybacks, and from the 30/6 they bought back an additional £70m

Bud

Subject Re: Re: FuzzyLogic
Entry 12/12/2024 10:41 AM
Member fiverocks19
 Fuzzy-

Why is Vistry not doing 23k homes/year already? Because it takes time to scale up projects.

For larger Partnerships projects, it takes a couple years of behind-the-scenes work before the project is announced, a couple years from announcement until a lead partner (Countryside) is selected, and then it can take another year after that before revenues start kicking in, with scale-up to follow over a multi-year period. Obviously there are plenty of projects with shorter bang-to-burst. But these are often complex and long duration projects - it's not flipping a switch.

Why am I confident in the 23-24k homes target? It's because the number is already pretty much locked. Vistry's pipeline of Partnerships projects that have already been won or are in scale-up is huge. The 23-24k homes is already clearly visible looking 3 years ahead. Again extolling the virtue of following Vistry Group on LinkedIn, you can see a steady stream of project wins coming through (like [this](#) and [this](#) and [this](#) and [this](#), all in the last week) - the pace of which should only accelerate as Labour [unblocks the planning process](#).

fiverocks

Subject Re: Re: FuzzyLogic
Entry 12/12/2024 10:54 AM
Member sck4000
 Hi Fuzzy - let me take a stab on this since I believe your question is making the same base assumption I had made for some time and which is wrong (or at least incomplete) and neglects exactly why this business has such a moat.

We can see why by reversing your question: Let's assume all it takes for scaling a p.-bus would be your points a)-c), i.e. only plenty of liquidity + the ability to churn out the "stuff" it takes to put on some land, and - e voila! - we have a Partnership business! What would be the consequence? Answer: You and I could get together to form a business, and we call some PE guys to give us capital, well, because "ROCE >40%!" and "Look at the demand! That's amazing!!", etc. But...we would fail miserably because of two points we do not have (and cannot create from zero so quickly):

- **Scaling Operations:** While Vistry currently might have the capacity to build around 25,000 homes annually (and while we might be able to set up operations for that too), scaling up operations to fully utilize this capacity takes time and careful planning. In particular: We need to work very hard to gain the trust and local relationships with LAs that is required, and that takes time. Even VTY from my understanding has not even close to a 100% coverage of the 317 LAs in the UK - but (from the number stated e.g. in the thesis) is more in contact with >60 of them. So there are many pockets of "untapped potential" that VTY has not scaled into yet, and where simply having the manufacturing capacity is not sufficient to be fully scaled.
- **Labor Constraints:** Let's say our little shop has somehow and miraculously achieved trustful relationships in a short timeframe with a meaningful number of LAs. Hurray! But - we're still screwed! Because we do not have nearly the number of people we would need who are actually skilled to *execute a partnership project*. That concerns not only how to manage and plan such a project but includes the technical skills it requires to do a regen. Project. In fact, there are many previous examples where other homebuilders have tried doing exactly that and have blown up spectacularly! (A couple of them mentioned in this thread, see e.g. post #13).

So all in all precisely what makes this business so "moaty" in my eyes is the reason why your points a)-c) are necessary for scaling - but not sufficient.

Hope that helps a little bit - anyone else of yourse, feel free to add/modify.
 sck

Subject Re: Re: Re: FuzzyLogic
Entry 12/13/2024 03:58 AM
Member sck4000

Re: "Labour constraints": Just today, the FT published a deep dive on ths skill shortages and how that possibly affects Labour's ambitions for housebuilding:

Does the UK have enough workers to 'get Britain building'?

<https://www.ft.com/content/ca441a61-6feb-4d94-970a-b83b75b8dcd0>

Vistry isn't mentioned, this is more a macro article for further background.

Subject New profit warning
Entry 12/24/2024 05:35 AM
Member erst1071

How is it possible to have so many profit warnings in such a short period of time? This is not a tech company with an inexperienced management team.... But it behaves like one

Subject Re: New profit warning
Entry 12/24/2024 07:35 AM
Member VC2020

Sounds like its mainly due to a miss on completions (not really margin driven), which looking at the other UK homebuilders doesn't seem like a surprise? So I think my take from this is more so a question on management and their public attitude vs. issues with the business model?

Subject Maybe its a long now?
Entry 12/24/2024 09:58 AM
Member Rtg123

Trading at .8x TNAV. What more can go wrong? Minimal commentary on VIC thread (even on xmas eve I thought there would be at least 15 posts by now). CEO prbly needs to be fired (i hear he spends most his time on vacation) but its getting cheap.

Subject Re: Maybe its a long now?
Entry 12/24/2024 10:23 AM
Member differentiatedfractal31415

Tourist here as dislocation screens brought this to my attention. How should one think about the potential downside from here for the uninitiated? Like with dislocated names, the fear is valuation digestion closer to a previous bottom but thinking the business model has changed dramatically from then. thx

Subject Re: Re: Maybe its a long now?
Entry 12/24/2024 10:57 AM
Member SODAI

Starting to look interesting to me too. However I don't understand the balance sheet. Wondering if there is any risk with land creditor obligations or JV debt/obligations...

Subject call w/ CEO
Entry 12/24/2024 12:45 PM
Member fiverocks19

- NOTES
- South Division
 - No more cost issues
 - New leadership
 - In a good place going forward
- Profit Deferment
 - This is not 50M profit gone, it's deferred to 2025
 - Part is from land sales (of housebuilding sites), counterparties have tried to "chip" us going into year-end and we made the decision to walk away from deals to demonstrate we are not forced sellers
 - We can develop these sites ourselves / convert to partnerships sites
 - Or still think can sell many of these sites in 2025 at reasonable prices
 - Part is we had some completions slip from the end of December into the beginning of January, primarily a couple of large HA's
 - HA's are now on holiday
 - Deferred not gone
 - Can complete in 2025
- Partnerships
 - Pipeline very strong
 - Continuing to enter into new deals, including at scale
 - Every HA is either working with us or wants to work with us
 - Countryside/Vistry continues to be seen as the partner of choice for these projects
 - We just didn't get a couple of deals over the line for this fiscal year, will get done next fiscal year
- Market reaction
 - Did not think shares would be down as much as they are
 - We need to communicate better
 - Once get to new year, pressure is off and can "breathe" a little better
 - Can consider accelerating buybacks
- People
 - For the first time, our entire executive leadership team is 100% Partnerships people
 - All legacy housebuilding execs gone
 - We have been trading and buying land on the basis of being a Partnerships business for almost 18 months now
 - Rapidly transitioning to a pure-play Partnerships business
 - We are done with internal re-org, promoted top talent, now can focus on running hard in 2025

fiverocks

Subject Re: call w/ CEO
Entry 12/24/2024 01:15 PM
Member churchill

thanks Fiverocks

did he explain why this was not known one month ago when they gave the latest guidance?

also, did he explain why they chose this day of all days to issue a profit warning?

Subject Intellectual honesty
Entry 12/24/2024 04:09 PM
Member rii136

This has to be one of the more fascinating threads in Vic history. I'm not sure I can recall this level of bullishness turning to this level of bearishness and the original poster basically staying Uber bullish all the way through.

fiverocks, taking a step back, would love to hear what if anything you think you got wrong and why you trust anything management tells you at this point.

Subject	Re: Intellectual honesty
Entry	12/24/2024 04:43 PM
Member	fiverocks19

My thesis has three parts.

One - Partnerships is a valuable, high return on capital, crown jewel of a business.

Two - Vistry will become a pure-play Partnerships operator.

Three - Vistry will repurchase a lot of shares at valuations well below the fair value of Partnerships, using excess capital from exiting Housebuilding.

I think I have been absolutely clear on these three points.

The fact that Vistry had a one-off write-down in its Housebuilding business does not change my view of any of these core tenets of my thesis. Neither does the company deciding, for example, to defer a handful of land sales (of Housebuilding sites) from 2024 to 2025. The market has gotten extremely bearish over things that don't actually matter to the thesis.

Obviously we all sometimes get investments wrong. There are plenty of things I don't do well. But one thing I think I'm pretty good at is staying focused on what's actually important - the crux of the investment thesis.

The negativity here has nothing to do with that crux. I will change my mind if (1) there is reason to believe Partnerships is not a great business, or (2) if Vistry decides not to be a pure-play Partnerships operator, or (3) if Vistry is not buying back shares.

The evidence, in my view, does not remotely support that any of this has changed. Partnerships is terrific. The problems in Housebuilding only underline how much better a business Partnerships is. Vistry is racing to be a pure-play Partnerships operator and has just cleaned out the last of its former Housebuilding executives. Vistry continues to repurchase shares daily, with reason to believe the buybacks could (hopefully?) pick up in the new year.

I'm not the original poster - and will let agentcooper2120 speak for himself or herself - and I wholeheartedly agree the thesis is clearly not as clean as it was (the CEO who had a 30-year unblemished track record of massive outperformance now has a blemish due to the stumble during the wind-down of Housebuilding, and the capital markets communication here has been far from perfect). But when you simplify the thesis to its three core yes/no questions, I think they are all still valid and have even progressed, while the shares are trading at a lower / more attractive price.

Since you asked, that's my intellectual framework for evaluating the position.

fiverocks

Subject	fiverocks19 + RayPalmer
Entry	12/24/2024 04:59 PM
Member	MrStingy

Fiverocks - on this thread, and in your other posts (LFCR specifically), I would agree that you're good at staying focused on what actually matters to the thesis. I also think your analysis is deep, and well-reasoned.

I (and I assume others) would enjoy listening to your thoughts on Vistry on an episode of YAVP if that's something you're interested in doing. Just throwing the idea out there!

Subject	Re: Re: Intellectual honesty
Entry	12/25/2024 05:35 AM
Member	sck4000

This reply got longer than expected: TLDR: Most important question how this could happen only a few weeks after the "most thorough business review" is unanswered, and hard data that indicates trustworthiness of Greg/management says is getting thinner. Recent sell-off in my eyes is an expression of this increasing mistrust, and a feeling of "there might be even more to come". That Greg doesn't understand that is even more worrying.

fiverocks -thanks for your answer(s). Even though I disagree with you on these recent points (see below), I much appreciate your time.

After these recent notes, unfortunately I'm now more rather than less worried than before. Your thesis forgets an essential forth ingredient: Do we have a trustworthy and able management? I hear the preaching about Greg's trackrecord, but the recent action has made me wonder whether he has completely lost touch, and the "hard data" (=numbers, official documents and investor calls) make me more inclined to answer that question above with a "don't know any more" or a "no".

Churchill already has pointed out **the most obvious and important questions of all to which neither the official statement nor your notes have had anything to say**. On Nov 8th, they discussed "...the most thorough internal review that [Greg] has seen in [his] 40-year-old career," and in essence assuring investors that this was it - just to come out a mere few weeks later with yet another correction? And he is surprised about the market's reaction? Is he serious?

Also from that call: "...We are performing well on our critical operational metrics such as on-time delivery..." - which now has turned into another correction due to "delays to expected year-end transactions and completions".

Or "...and anticipate finishing the year with a small amount of debt and indeed, lower than the debt we had at the end of 2023" - which (again only a mere weeks later) has turned into a net debt of GBP of 200 million vs. GBP of 89 million as of YE 2023, a miss of 110+ million....! Again, no explanation on this in the official statement or your notes, and again management's statements have proven to be unreliable.

I've read and re-read your notes on the call several times now - and fail to see what is in there that can be substantiated based on official data (rather than just "management says so" - well, we have seen what that is worth...). I couldn't find anything (and am happy to be corrected). I do see their sales announcements - but they are marketing statements, and so I think should not be taken at face value. I don't think they are wrong, but surely they have no official obligation to be complete for example?

The market correction is not a further discount because of another profit warning - it is in my eyes the markets expressing a massive uncertainty (if not mistrust) of this management team's honesty, and a feeling of "there might be way more to come still". That Greg in all seriousness says he doesn't understand this reaction for me is even more worrying because I think he still has not reached the point where he starts to honestly reflect.

Let me finish - again - by expressing my appreciation for your time. My statements are coming from being very worried about Greg's recent actions and statements, and I unfortunately wonder whether you have become so close to this situation that you might start to overlook warning signs.

Best
sck

Subject	Re: Re: Re: Intellectual honesty
Entry	12/25/2024 10:51 AM
Member	SamPR

SCK is emphasizing management credibility. I'll emphasize the problem that the financial guidance presents:

By my math, new guidance suggests 2024 FY FCF is about 60m (triangulating between BoP net debt, guidance for EoP net debt, and ~170m in 2024 share repurchases). If I had to guess, 60m GBP might end up being a high estimate of 2024 FCF, but it won't be off by a large amount either way.

The partnerships transition was announced 1.5 years ago. We now know that FCF is not materializing yet.

FCF should be higher 1) because partnerships business is profitable and 2) because working capital should be unlocked (>1B according to this writeup!).

The question for FiveRocks (and other bulls) is: at what point would a lack of FCF call to question this thesis? Based on the thesis, we should expect >300m in 2025 FCF (and again in 2026 and 2027). Would lack of 2025 FCF make you rethink the whole thing?

Disclosure: I was convinced by FiveRocks, Bud_Spencer, and my own reasoning to build a position some months ago, so I'm long (regretfully now). The lack of 2024 FCF is very worrying to me, but I'm also unwilling to sell (currently) at 0.8x P/B, so for now I have a position.

Subject	Re: Re: Re: Re: Intellectual honesty
Entry	12/25/2024 11:12 AM
Member	SamPR

Fun fact in case anyone cares: the key thing that convinced me to build a position recently was someone on this thread pointing out that annual share repurchases are 170m, and net debt was guided to decrease on FY basis. So I'm thinking: FCF is ~200m -- how bad can things be?

Oops.

Subject	Partnership model economics
Entry	12/25/2024 12:35 PM
Member	NPCComplete

How does land price go up from 50K to 150K when switching to the partnership model? and why do you assume construction cost goes down from 160k to 50k? I would think that the low income council homes would be slightly smaller (on the same lot size) resulting in, perhaps, a 20% reduction in construction cost. The ROIC math is very different if you assume that the constriction cost declines from 160K to 130K.

Subject Dented Halo
Entry 12/25/2024 05:37 PM
Member bowd57
 Hi, all –

A couple of points:

1: I like saying "dented halo".

2: I started saying "dented halo" about NOA, which, as my writeup shows, I was very very excited about. Unfortunately, before the pixels on my write up were even dry, their Canadian business went off a cliff, and only massive outperformance from their recent Australian acquisition saved me and any suckers I talked into buying it from complete disaster. Was this foreseeable? Could management have given us a heads up? I don't know. I still own and like the stock, but – dented halo.

I'm just driving by here because of the very active conversation. I know nothing of the company or the investment merits other than the discussion in the last 10 messages or so. But if what I think is going on is actually going on, and that doesn't move the needle for you, then maybe your needle is stuck.

Yours,

Bowd

Subject Re: fiverocks19 + RayPalmer
Entry 12/26/2024 08:49 AM
Member Ray Palmer

I believe I speak for a very handsome podcaster when I say fiverocks is welcome anytime (judging by the thumbs up on this comment, it seems the masses agree)

Subject Re: Re: fiverocks19 + RayPalmer
Entry 12/26/2024 10:12 AM
Member katana

at this point i want a podcast cage match between fiverocks and bowd

know-every-detail optimism vs surface-pattern-recognition wisdom/skepticism packaged in hide-the-ball ("i think I know the answer, but i'm not revealing the thought")

beat the secret thought out of bowd and let each of them frame & reframe all those details

Subject "Do we have a trustworthy and able management?"
Entry 12/26/2024 05:06 PM
Member fiverocks19

sck4000-

I think your question is important and highly relevant..."do we have a trustworthy and able management?"

I'll share my views. I could be wrong. I've been wrong before - as we all have - on management teams. I meet with a lot of C-Suite execs (300-400 company meetings per year, and ~5,000 company meetings since starting my investment firm), and have seen the full spectrum of operators. Which means I have all the cynicism you'd expect of a long-tenured VIC member.

In other words, I'm not perfect...but I also think I'm not a terrible judge of character either.

There are plenty of bullshit artists out there. You know who was a huge bullshit artist? The Chairman of the Board of Countryside who we got rid of by facilitating the Vistry/Countryside merger. Felt like I had to take a shower after every time I met or spoke with him.

That's not Greg (Fitzgerald, the CEO of Vistry). Greg is a straight-shooter to a fault. Brits often prefer to dance around touchy subjects. Greg plows right through them. He's direct and - in my years of observing and then working directly with him - he's never lied to me. He says what he thinks, and does what he promises. The guy is a workaholic and leads by example (due to his directness, Brits often refer to him as "marmite" - you either love him or hate him - but the guys who love him and work for him REALLY love the guy and will run through walls for him).

That's also not to say I haven't had disagreements with Greg. I have. On one occasion, we had a pretty good dust-up which is a heckuva story itself. So I'm not some starry-eyed analyst thinking he walks on water. I respect the guy because he shoots straight, works his ass off, has never lied to me, and has an awful lot of skin in the game. And when he f**ks up, he knows I'll be the first to call him out on it.

With that prologue out of the way, here's what I think happened - and why he hasn't lost my confidence.

The first profit warning was a f**k-up. Vistry's leadership team was following the 80/20 rule, and spending nearly all its time on Partnerships as that's the future of the company. The Housebuilding business is in wind-down, and they took their eye off the ball. That's on Greg. He has taken responsibility, and then went into overdrive to fix it. It's also exactly what I'd want any CEO to do with whom I'm invested - be transparent and report an issue immediately when it comes up, and then put full muscle into resolving it.

The second profit warning, in my view, was not a Greg issue. The company called in a fire-breathing third-party audit firm to pull apart every line-item of the business, and their incentive was to miss nothing...so every normal business expense was suddenly "an exceptional" and the write-down figure exceeded the original estimate. It sucks. But I also don't think there was any further deterioration to the Housebuilding business, nor did the company lie or anything else. The second profit warning was the result of the auditor's misaligned incentives which created an accounting adjustment that had to be reported.

The third profit warning was something totally different. It was not something that happened to Vistry - it was a choice made by Greg and the management team to defer some profits from 2024 to 2025 to get a better outcome. It wasn't "these guys have no control or visibility of what's happening in the business", it was "these guys know if they wait an extra six weeks they'll make an extra 10 million here and 20 million there, so they said f it we are waiting the extra six weeks even if we look stupid doing so." I would hope any management team with whom I've entrusted my capital would make the same choice.

Has the capital markets communication been awful? Yes. Vistry should have been crystal clear in the RNS that the profits were deferred, not lost. They should have done a conference call to address questions head-on (even on Christmas Eve), and should have been unflinching in their advocacy for the Partnerships business.

But, in my judgment, have I lost confidence in Greg? My answer is no. His 30-year track record is first-rate. No one did better in the sector through the GFC. He handled this situation (the Housebuilding cost overrun) as I would have wanted him to do - he attacked the write-down head-on, didn't hide anything, devoted full energy to fixing it. He then did the right thing for the business, even at the risk of a further personal reputational hit, by deferring land sales/profits from 2024 to 2025. These things inspire more confidence, not less.

I dunno. Take what I say with a grain of salt. Maybe a big grain of salt. I could be a bag-holder here. I could be wrong.

But I don't think so. Vistry's Partnerships business remains a jewel, and Greg is a killer. I think this company will do exceptionally well in the months and years ahead.

And what's nice is there's a scoreboard - so we'll know. Let's see where the stock is in 12 months' time, and 24 months' time. My bet is an awful lot higher than 547p. We will find out soon enough.

fiverocks

Subject
Entry
Member

Re: fiverocks19 + RayPalmer
12/26/2024 05:32 PM
bowd57

Hi, all –

Katana:> at this point i want a podcast cage match between fiverocks and bowd

I'm afraid I must respectfully decline.

I'm surprised at some of the reactions here because I don't think I said anything in the least bit controversial. Fiverocks, the "needle may be stuck" wasn't intended as a dig or slight; I often say things just because I like the way they sound.

In theory you start the day with the optimal allocation, using whatever combination of Kelly Criterion, MVO, fractals and haruspicy it is that you use. As new information comes in, you update your allocation. Even if absolutely nothing is going on, you've still got price movements to consider. XCo is up 1%, YCo down 1%, time to sell a bit of XCo and buy a bit of YCo, or vice versa if you put weight on momentum. Nobody actually does this – although legend has it that Yale rebalanced their publics daily – but that's the theory.

Since I'm not deep in the weeds over here, I'm going to go back to boring the club by talking about NOA to explain what I'm getting at. The company ran into some problems. One of their subs was mismanaged to point where it required some restructuring. A major customer shifted their priorities disadvantageously – perhaps short-sightedly so, but there you go nonetheless. These things happen. Probably just a short term noise, a bump in the road.

BUT – things happened. Bad things. I don't know. One of the reasons I was so high on the stock is because of the great historical track record. But maybe this is actually a business where bad things can happen, but if you run off 6-7 years in a row without bad things happening, you'll wind up with a great track record? There are flat out financial impacts. They're not making as much money as I'd hoped. Thus, debt & risk are higher. Another thing I thought was that there was real room for multiple expansion. They made a +50%-to-footprint acquisition which, although not free, they took on substantial debt, was no money down, and if things had gone according to plan, in a couple of years it would have *looked* like it was free. And at that point you've got this phenomenal 10 year track record, maybe it's time to start talking about a quality company premium. The bump in the road has at best bumped that down the road too.

I don't know. Say your SO lies to you. Maybe it's a white lie intended to cover up doing something he/she thought you'd disapprove of, but which you actually don't have a problem with. These things happen. It's probably not a big deal. Still, there are now questions where there were none before.

Yours,

Bowd

Subject	Re: Re: fiverocks19 + RayPalmer
Entry	12/26/2024 06:11 PM
Member	katana

My "cage match" ploy already worked! And also, I liked the way it sounded.

And for bonus points, I did it on Boxing Day.

Y'all are welcome.

Subject	Well, *that's* interesting!
Entry	12/27/2024 02:26 AM
Member	bowd57

Hi, all –

I didn't even know that you can tag messages. It turns out you can, and as a result, I've discovered that I have a fan. A couple of thoughts occur to me:

1: Kisses to you to, anon!

2: Anon, I'm not hurt. You'll doubtless find it easy to believe that I have a pretty thick skin. But I am disappointed in you. VIC is an invitation-only private club. It's large and diverse, so it's not be expected that everyone will be best buddies. But I think it important that we maintain some standards of civility, which you've fallen far short of. Have you considered that you might find 4Chan more congenial and better suited to your talents?

Yours,

Bowd

Subject	Private vs. Public Land
Entry	12/27/2024 09:45 AM
Member	compounders

For those involved, how do you weigh the competitive advantage of the business for projects using private land vs. public land? Vistry having an advantage in securing public land-sourced partnership projects makes sense to me given their track record and reference-ability. According to company materials, I believe this accounts for 40-45% of their land (and perhaps this is different by sold home value?). What is the competitive advantage other than vertical integration on the 55 - 60% of the privately sourced land? That aspect of the business feels closer to a traditional optioned homebuilder where other builders could equally go capital light / choose a different financing route?

Subject	Report tomorrow
Entry	01/14/2025 08:28 AM

Member erst1071

Has anyone booked meeting with mgmt tomorrow?

Subject Re: Report tomorrow
Entry 01/15/2025 04:08 PM
Member erst1071

200 on the call but no one here--?

Subject Re: Re: Report tomorrow
Entry 01/15/2025 04:33 PM
Member katana

We have a complaint that no one has contributed to this board today from a person who has contributed the following over the life of the board:

Has anyone booked meeting with mgmt tomorrow?

How is it possible to have so many profit warnings in such a short period of time? This is not a tech company with an inexperienced management team.... But it behaves like one

Can you help us get some comfort on the £550M+ EBIT estimate in 9-12mts time? This is way above our expectations and what it seems mgmt is guiding. how do we get there?

Why does this smell bad? the CEO said during the results call that he will streamline management and take out a layer so that he can be closer to the operations. i truly don't get the market reaction to this news today... but maybe it's just a falling knife that no one wants to touch

Correct me if I am wrong, but to me it looks like the program is structured via a bank to buy about 40k shares per day. Meaning the company does not have the same flexibility in changing it from day to day.

What do you mean weak buyback? The company has repurchased ~40,000 shares per day since the launch of the new program

Thanks for the additional information. What do people make of the news? Is the stock reaction justified, or will it only have minimal impact on Vistry's business given its exposure to lower ASPs and affordable housing sold to associations?

Any updates on the situation? The stock has been sliding despite mgmt communicating with investors.. what am I missing?

Anyone know why earnings estimates for 2025 and 2026 has come down so much since the end of may? News from the company is only a new partnership of almost 2k new units, should be positive...!?

Subject Re: Re: Re: Report tomorrow
Entry 01/16/2025 01:42 AM
Member erst1071

Good point Katana, but it was never meant as a complaint. It was more a surprise and noting an observation. I find the contributions on this board good and was therefore expecting that people would be discussing the announcement.

Subject Re: Re: Re: Re: Report tomorrow
Entry 01/16/2025 09:01 AM
Member Rtg123

Stock was higher because they didnt have a fourth (I think fourth, but i've lost count) guide down but I found no reason to get excited after the call. They don't expect completion growth in 2025 and margin outlook ex the 1x issues from south division look challenging. Interestingly, TW this morning guided to completion growth in 2025, albeit is seeing margin issues as well in 2025.

Subject The Times - "Mortgage Rules Could Be Eased In Quest For Growth"
Entry 01/17/2025 08:46 AM
Member fiverocks19

This would directly benefit first-time buyers, a key buyer cohort for Vistry. Labour is pulling all kinds of levers to support the UK housing market.

<https://www.thetimes.com/uk/politics/article/mortgage-borrowing-loan-cost-labour-6tddhvvqqn>

fiverocks

Subject Re: The Times - "Mortgage Rules Could Be Eased In Quest For Growth"
Entry 01/17/2025 09:23 AM
Member katana

Effect on homebuilders: THUMBS UP

Policy critique: Government responds to high home prices by goosing *demand*, via encouraging consumers to take on more debt and encouraging banks to increase the riskiness of their loan books. FACE PALM

Subject Numbers don't add up
Entry 01/21/2025 11:25 AM
Member Novana

I've started doing a bit of work on this one but I'm struggling as numbers don't seem to make much sense. The whole bullish thesis is predicated (today) on the fact that partnership is an amazing business and the problems are entirely related to the housebuilding segment. In fact, many comments on this thread highlight how the South Division issues prove that the transition to 100% partnership is the right move. The quality of the partnership business is unaffected by those issues.

However, the math does not add up. Looking at Fiverocks comment #317, as late as a month ago, the general understanding was that "At the time of the Vistry/Countryside merger in 2022, its Partnerships EBIT was £200M. In 2025, its Partnerships EBIT will be north of £500M". This is clearly not happening. Company did not guide for 2025 yet but based on the various building blocks given on the call we can probably guesstimate a FY25 EBIT in the £350-400M range. If the partnership is really going to deliver £500M in EBIT in 2025, it means the housebuilding will be losing £100-150m in EBIT. That makes zero sense. With all cost inflation and issues affecting the industry, Bellway is expected to deliver EBIT margins above 10% in 2025 and Persimmon in the low teens. It just doesn't add up. The Partnership EBIT is therefore generating an EBIT closer to £300-350m than to £500m. The partnership business model doesn't seem as resilient as originally envisaged, unless I'm missing something big here. How do we explain the reduction in estimated partnership profits from £500m to c. £300-350m in a little over a year? Am I missing something here? Thanks

Subject	Re: Numbers don't add up
Entry	01/21/2025 11:37 AM
Member	fiverocks19
Novana-	

Let's say the combined Vistry/Countryside Partnerships business was doing around £275-300M EBIT at the beginning of 2023, after the merger closed.

In 2025, I would guess Vistry guides to PBT of £300-350M, i.e. a number the company absolutely will not miss, and walks it up during the year. I wouldn't be surprised if 2025 EBIT ends up in the range of £425-450M.

Included in that number is £50M of one-time losses in Housebuilding related to last year's profit warning. The Housebuilding business is small - I have estimated it's just 15% of the company - which means it's absolutely possible the Housebuilding business is losing money in 2025 (inclusive of the write-down), break-even, or only modestly profitable.

That implies Partnerships EBIT is somewhere between 30-50% higher since the beginning of 2023. That is massive outperformance vs. every other company in the sector.

Partnerships is a great business. It is a crown jewel asset. As Vistry gets to being a pure-play Partnerships operator, this will only become more and more evident over time.

fiverocks

Subject	Re: Re: Numbers don't add up
Entry	01/22/2025 07:29 AM
Member	armchaircontrarian

This is financial misdirection as, whilst the sites on which the losses have arisen may have been (largely) acquired for Housebuilding purposes, these are not "Housebuilding losses", but losses in the Partnerships business.

The investment case is predicated upon Vistry's future returns looking nothing like their historic ones and a wholly unjustified belief that Greg Fitzgerald is some kind of godlike genius. As such it's built on sand.

The notion that Vistry is a capital light quality compounder along the lines of, say, Visa, Meta or Costco, and thereafter worth 20x EBIT is frankly laughable. It's a housebuilder FFS.

Subject	Re: Re: Re: Numbers don't add up
Entry	01/22/2025 10:19 AM
Member	mpk391

What are you talking about? They're traditional housebuilding losses, aside from 8m flagged by the accounting firm.

Subject	Re: Re: Re: Re: Numbers don't add up
Entry	01/22/2025 10:55 AM
Member	mpk391

are you suggesting that management is being dishonest?

Subject	Re: Re: Re: Re: Numbers don't add up
Entry	01/22/2025 11:57 AM
Member	armchaircontrarian

That's just flat-out wrong

Subject	Re: Re: Re: Re: Re: Numbers don't add up
Entry	01/22/2025 11:58 AM
Member	armchaircontrarian

Not exactly, but I *am* suggesting that fiverocks is being something less than entirely accurate. The problematic sites had been converted into partnerships, therefore they are no longer housebuilding sites but part of the partnerships business.

The whole thing smacks of very poor financial controls and seems unlikely to be the end of the problems.

Subject Re: Re: Re: Re: Re: Re: Numbers don't add up
Entry 01/22/2025 01:19 PM
Member fiverocks19
 armchaircontrarian-

Your comment #376 is simply incorrect.

Nearly all affected sites (with just one or two exceptions) are housebuilding sites in wind-down. They are not sites being converted to Partnerships.

fiverocks

Subject Re: Numbers don't add up
Entry 01/22/2025 01:29 PM
Member Bud_Spencer

Novana, the market is nowhere close to £500m for 2025. I don't think that your estimate of £350-£400m is particularly unrealistic. Consensus had £500m for 2025 *before* the profit warnings, before the announcement of the South Division issues. That, the following announcements, together with skepticism over execution and, lately, higher rates prompted reviews, but you're not too far from current market expectations. But you also don't need £500m or even £425-450m from current levels to be bullish. You need to believe that the model is not broken, that they're going to be able to grow without growing capital employed and return cash to shareholders in the mid term.

Bud

Subject Re: Re: Re: Re: Re: Re: Re: Numbers don't add up
Entry 01/22/2025 01:32 PM
Member armchaircontrarian

Transcript of Trading Statement Call of 8-11-2024 reads as follows (right at the end):

Gregory Paul Fitzgerald
CEO & Executive Chairman

Okay. Thanks, everyone, and thanks for listening. Good questions. I'll just finish by saying the vast majority of the reduction in profit comes from our South division, which have 4 – made up 4 housebuilding businesses converted into partnerships.

How do you parse that?

Subject Re: Re: Re: Re: Re: Re: Re: Re: Numbers don't add up
Entry 01/22/2025 02:09 PM
Member fiverocks19
 armchaircontrarian-

Wow man. Delete your account.

Go to the call. Literally the very next sentence Greg says is: "The change has nothing to do with converting into partnerships, it's to do with nine large housebuilding sites that had their build costs wrong by 10-12%."

For those who wish to listen to it themselves, go to the 52-minute mark here: <https://www.vistrygroup.co.uk/sites/vistrygroup/files/2024-11/vistry-trading-update-conference-call.mp3>

Look, there is always room to disagree about reasonable subjects. But don't willfully cherry-pick your quotes while gaslighting others on this thread.

fiverocks

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Numbers don't add up
Entry 01/22/2025 02:22 PM
Member mimval
<https://getyarn.io/yarn-clip/544e9e35-2a9f-4916-aab8-3ec69feaa578>

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Numbers don't add up
Entry 01/22/2025 03:44 PM
Member mpk391

armchair-

I think you're technically right. Thanks for clarifying this. it says "The changes has got nothing to do with **them** really converting into partnerships." [emphasis mine] These are former housebuilding businesses that converted into partnerships, and they were all run by former housebuilding guys.

But I don't think it really matters. On the January 15th call, Greg clarifies,

when we originally announced the strategy in September '23, where we've been caught out on in '24 is -- and I'll continue to say it, if we hadn't changed the strategy, every single loss that we've reported through '24 would have come through. It might have been a week later, a week earlier, but they were all in housebuilding and they'd all been around for some time. Nothing whatsoever to do with the strategy.

and later in the call...

*This is cost issues historically on ex housebuilding sites [that had been converted into partnerships], somewhere between 10 and 15 sites. So take it from me, if you went to 23 of our 26 business units, they would all go, "Greg, why are you having to go with us? What's the problem?" So there is no issue. It is to do with 12 jobs, big jobs and the price has been wrong for years. **The cost has been wrong for years.*** [emphasis mine]

I think their partnerships biz is doing fine. Open market sales aren't great for anyone right now. Hopefully get some BoE rate reductions. Hopefully Labour will allocate >11.5 billion to the new affordable housing program, and maybe bring spending forward a bit. Think Vistry will be find and P<TB makes no sense.

Subject
Entry
Member

Re: Re: Numbers don't add up
01/23/2025 03:24 AM
Novana

Bud_Spencer,

I don't think you understood my comment. I'm not saying the market is at £500m for total EBIT 2025. I'm saying that as late as December 2024, Fiverocks expected Partnership EBIT of £500m in 2025 notwithstanding the profit warnings. The January call seems to have significantly rebased expectations for EBIT in 2025, but if Fiverocks is correct in that Partnership is totally unaffected by South Division and delayed completion issues, then the whole 2025 downside is down to Homebuilding. This is mathematically difficult to accept. If we take the mid point of the £350-£400m range discussed which you agreed is not unrealistic, it would turn out that Homebuilding is going to be £125m of negative EBIT in 2025, or negative £75m before the South Division issues, which makes zero sense, all UK Homebuilders are profitable in 2025, why, South Division issues aside, would Vistry be massively unprofitable?

Put it in a very simple way, which I've tried to illustrate below, 2025 EBIT expectations came down by c. £200m from £575m to £375m. £50m is down to South Division. Where is the other £150m coming from?

Expectations pre Profit warning	2022	H1-23	H2-23	2023	2024	2025	2028
Partnership EBIT	200	109	160	269	350	500	800
Homebuilding EBIT	251	97	122	218	150	75	-
Total EBIT	451	206	282	488	500	575	-
Profit warning impact	2022	H1-23	H2-23	2023	2024	2025	2028
Partnership EBIT	-	-	-	-	(8)	-	-
Homebuilding EBIT	-	-	-	-	(165)	(50)	-
Total EBIT	418	206	245	419	(173)	(50)	-
Theoretical EBIT today	2022	H1-23	H2-23	2023	2024	2025	2028
Partnership EBIT	200	109	160	269	342	500	800
Homebuilding EBIT	251	97	122	218	(15)	25	?
Total EBIT	451	206	282	488	327	525	?
<u>Actual EBIT expectations</u>						375	
<i>Delta</i>						(150)	

There are basically 2 possible explanations here:

1. Bulls would say that Partnership is a phenomenal business with no issues whatsoever and it will still deliver £500m in EBIT in 2025 as per original expectations. It's just that they completely dropped the ball on Homebuilding during the transition and instead of doing £75m in EBIT as originally planned, it will be c. £125m negative. Of the £200m downward revision, £50m comes from South Division and the rest is probably a combination of a) delayed completions affecting 2025, b) tough market conditions and, c) wrong expectation to begin with. This is quite hard to believe because it would imply a business generating something like -10% margins before any South Division issues
2. Bears would say that the Partnership business is not as resilient and reliable as originally thought. Homebuilding will be breakeven, which means sub 10% margin adjusted for South Division issues, making it one of the worst homebuilders in the UK, but still making profits in normal times, and Partnership is a good business that will deliver c. £375m in EBIT in 2025, which is OK but significantly lower than originally expected. This last point significantly weakens the bull case. Why did Partnership EBIT expectations drop from £500m to £375m? We were either overly bullish to begin with or market conditions did materially affect the business. Most probably, it's a combination of both. The point here is that it would make it highly unlikely to expect Vistry partnership EBIT to get to £800m by 2028 if they can't deliver half that in 2025

Again, I've tried to illustrate the point below

EBIT split today - bulls	2022	H1-23	H2-23	2023	2024	2025	2028
Partnership EBIT	200	109	160	269	342	500	800
Homebuilding EBIT	251	97	122	218	(15)	(125)	-
Total EBIT	451	206	282	488	327	375	800
EBIT split today - bears	2022	H1-23	H2-23	2023	2024	2025	2028
Partnership EBIT	200	109	160	269	342	375	?
Homebuilding EBIT	251	97	122	218	(15)	-	-
Total EBIT	451	206	282	488	327	375	?

Yours,

Terence Hill

Subject
Entry
Member

Re: Re: Numbers don't add up
01/23/2025 03:59 AM
Novana

Thanks Fiverocks. Just to be clear - what is your current expectation for Total and Partnership EBIT 2025?

Also, and please take his as genuine constructive question, it's not in any way sarcastic, isn't it a bit disingenuous to say: "That implies Partnerships EBIT is somewhere between 30-50% higher since the beginning of 2023. That is massive outperformance vs. every other company in the sector"? The company is actively converting homebuilding sites to partnership sites, it's not that partnership is organically growing 30-50% here. They are "moving" profits from one bucket to another, so it's also important to look at consolidated profits here. Absent the legacy homebuilding sites, they would not have been able to grow 30-50% as you say, so it's important here to differentiate between "organic" growth versus "conversion impact". In fact, as I write this, it would be interesting to understand how much sales, EBIT and completions were generated in 2024 from conversions from Homebuilding to Partnership. Any ideas?

On that note (importance of looking at consolidated accounts), even adding back the one-off South Division £50m issues in 2025, overall operating profits will be lower this year than the £488m generated in 2023 which, again, makes it hard to accept the notion that Partnership has grown 30-50%.

Thanks

Subject Entry Member Novana/Terence,	Re: Re: Re: Numbers don't add up 01/23/2025 05:38 AM Bud_Spencer
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thanks, I get your comment but there's no breakdown now. It's all partnerships: even if there are some legacy housebuilding assets going through conversion. Which in essence means that some of the houses being built in those ex housebuilding sites will be sold to partners, which then (often) implies a land transfer, and payments for wip at completion of milestones. And which also requires a change in accounting. In those sites, some of the houses will still be sold to private buyers, with revenues being accounted at point in time while partners sales will be recognized over time. And costs, for both private and partner sales, are recognized based on the *individual sites margin* expected to be generated over the remaining life of the site. Which requires Vistry to make assumptions on the estimated costs to complete the site and also on future sales prices. Which also explains the big impact from the cost revisions.

I guess one could make a distinction between old housebuilding assets and sites originally bought as pure play partnerships, and management would say that all the hit comes from the ex housebuilding sites. And one has the independent review to lean on to get some comfort around that.

Also if you believe that the model is not broken, I don't think you need £800m in 2028 either to be bullish.

all the best,

Bud

Subject Entry Member Bud,	Re: Re: Re: Re: Numbers don't add up 01/23/2025 06:20 AM Novana
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I 100% agree you don't need 800m in EBIT 2028 to be bullish. I don't believe in the 800m in 2028 and I still want to be bullish here. I just want to understand where did the 200m in lower EBIT in 2025 Vs. expectations a few months ago come from. South Division cost revisions only make up a quarter of this. Where is the rest coming from? Some of it is lower completions for sure. Not sure what was completions expectations for 2025 before the last profit warning, let's say 19,000-19,500. Let's say current expectations is for c. 17,500 completions so we have maybe 1,500-2,000 lower completions. That's maybe £400m in lower sales, tops. At 20% gross margins it would explain only half of the remaining profit shortfall. Where is the rest coming from?

Furthermore, even on this lower completions number, are these all in Housebuilding or also in Partnership? Why do they struggle to sell / complete those Partnership homes?

There is something missing here

tx

Subject Entry Member	Easy with that Kool-Aid, Eugene... 01/23/2025 07:43 AM armchaircontrarian
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fiverocks

I'm not the one who's drunk deeply of the management Kool-Aid.

Greg, like you, is *always* accentuating the positive and so wants us all to write this off as a legacy "Housebuilding" issue and therefore of historic interest only. The quote I "cherrypicked" is the one time I think he was telling the truth, rather than downplaying what is an appalling failure in management control that seems likely to have on-going relevance.

TBH I like the partnerships business, but very much unlike you, I don't like the management. Greg is *way* too promotional, everything is always for the best in all possible worlds with him. And he talks about himself in the third person, never a great sign that.

Is Mr Fitzgerald a "hard-charging" CEO or a bully? Is he the kind of CEO from whom subordinates might want to hide bad news? And are we quite sure that there's no more such news to come?

And corporate governance is horrible; Fitzgerald holds a highly significant and controlling stake in a competing housebuilding business (how does he find the time?) and against UK convention is also Chairman. Yes, I know US investors think this is just dandy, I do not.

Other red flags, or at least reasons to believe risks are elevated include:

- Revolving door policy in the boardroom, with many of the departures apparently driven by disquiet over Fitzgerald's proposed monster pay deal (£60m if hit £18 within 3 years), which didn't ultimately pass.
- Lots of M&A - easy to hide nasties and/or obfuscate the true economics of the underlying business
- Strategic change (it's a sensible change, but a major change so still a risk)
- Weakest balance sheet in the sector, but *still* buying back shares in what appears to be ill-judged management machismo

Just out of interest, when would you be likely to admit (even to yourself) that you've called this one horribly wrong or do you still have faith in your Base Case valuation of 4,850p/share?

Does the targeted strategy of very high ROCE, predicated as it is on thin capital employed (much aided by prior writedowns), really merit a sector premium?

AC

Subject	Re: Easy with that Kool-Aid, Eugene...
Entry	01/23/2025 09:18 AM
Member	agentcooper2120

So I'll chime in here as the author of the write up, not fiverocks. He doesn't have to defend anything I've written. Is he the most knowledgeable on this name? Yes, and honestly anything I would say to any of these replies pales in comparison to what he could say. So fire away fiverocks when you feel so inclined.

Now has there been a screw up in the business? Yes. Is it on Greg? Yes. Is it a problem for the future of the partnerships business? Want to say no but can't say entirely for sure. But highly probable to not be a problem. Do you have to believe them? Yes for now with proof coming with execution. Are there other concerns? Yes if you don't believe they've fixed them. Is the price today a reflection of that? Yes. Do we think there's a solid double digits IRR from here if they hit lower estimates from the original thesis like say £350M EBIT this year and even £500-£600M in a couple of years and repair even a bit of their reputation? Yes.

Subject	Re: Re: Easy with that Kool-Aid, Eugene...
Entry	01/23/2025 10:17 AM
Member	armchaircontrarian

A measured response, with which I largely agree. Where we part company is on whether management have remotely earned the right to be trusted which, for the reasons previously outlined, I just don't see how they remotely have.

My comments were essentially all addressed to fiverocks, who is positively Pollyanna-ish on the stock, so it was an error on my part to cite your target price from your OP.

I think the UK HB sector looks very interesting in general and suspect there may be better, less idiosyncratically risky ways to play it than VTY.

Cheers

AC

Subject	Re: Re: Re: Easy with that Kool-Aid, Eugene...
Entry	01/23/2025 11:34 AM
Member	fiverocks19

AC-

Everything you've brought up is either old news, or has already been addressed in the thread. I'm responding because you have directly asked me to.

1) for my views on management, please see post #358.

2) for my views on whether the thesis is busted, or when/why I would change my mind, please see post #349

3) corporate governance has been well-explored on this thread already. please see (for example) post #282

Regarding changes to the board over the last year or two, welcome to the UK. British corporate governance is horrendous. Board directors are underpaid (leading to low-quality directors), CEO's are underpaid (so the best public CEO's work for private companies or for multi-nationals), and the incentives are misaligned (a focus on "check-box governance" over value creation).

I've met most of the directors at Vistry who were kicked out, and can confidently say Steve Jobs was not among them. There are many reasons why GDP-per-capita is 60% higher today in the US than in the UK, whereas fifteen years ago GDP-per-capita was actually slightly higher in the UK than the US. But one reason is undoubtedly how businesses are run in the UK. I'm extremely glad to be invested in those very few British companies who get it right by focusing on value creation, like Vistry and Trustpilot Group plc (see my separate write-up), and I think these businesses will massively outperform over time.

Regarding the balance sheet, Vistry ended 2024 with £180M of net debt and should do £400-500M EBIT in 2025. I see no issue with the balance sheet. A Partnerships model (which is much more resilient, less cyclical, has 3x the asset turns, and produces far more cash flow than a traditional housebuilder) should easily be able to lever 1-2x on EBIT. If anything, Vistry is underlevered and should be buying back shares quicker.

fiverocks

Subject	Re: Re: Re: Easy with that Kool-Aid, Eugene...
Entry	01/23/2025 11:35 AM
Member	blaueskobalt

Hi Armchair,

Is your view of management purely a result of the past year, or do you have further insights to bear? And is it just Greg, or do you have well-formed views of other NEO & Directors?

When I asked around 6+ months ago, the feedback on Greg, the team, and the finance culture was very positive (the main "negative" was that Greg is extremely tough and demanding, which I viewed as itself a positive). Even after the first profit warning, I spoke to the three most negative sell side analysts I had access to, and all three of them were extremely complementary towards Greg.

IMHO, the most likely explanation for this conflicting information would be that Greg has been acting more as an executive Chairman/semi-retired executive, rather than the 24/7/365 workaholic he had been in previous jobs - in other words, he hasn't been that close to the day-to-day, and he's been intimidating & inaccessible to persons that may have brought issues to him earlier.

But curious if you have any other insights beyond speculation?

Subject	Re: Re: Re: Re: Easy with that Kool-Aid, Eugene...
Entry	01/25/2025 09:07 AM
Member	armchaircontrarian

Hi blaueskobalt

My view of management is based entirely on the disconnect between words and deeds. Lots of big promises and rather less delivery. I know that doing gazillions of management meetings is a revered shibboleth of fundamental investors, but I have not met Vistry's management and have always put little or no weight on meeting management as part of the investment process. It's rare for someone to ascend to the position of CEO without their being a more than decent salesman, most especially of themselves, so in meetings CEOs are almost always fluent and articulate. Management meetings can be useful for gleaning information, but as a way of judging management they can be worse than useless, as what you are often really taking away are impressions of how eloquent and persuasive management are. These are not at all good proxies for how good they are as managers.

What we *do* know about Greg Fitzgerald is that he is a very promotional or "salesy" CEO, which is a decided red flag for me. In addition we also know that he has little regard for corporate governance norms, continuing to hold substantial and financially meaningful stakes in a rival housebuilder and in another company that supplies Vistry, which is decidedly smelly behaviour. In addition, he serves as both CEO *and* Chairman of Vistry, which is highly unusual in the UK and deeply frowned upon, as he well knows.

Fitzgerald may or may not be a decent operator, but there's no overwhelming evidence in the numbers that he is, so given the corporate governance misgivings, management are *at best* a neutral factor here, not a building block for the bull case that others seem to think.

Cheers

Subject	Re: Re: Re: Re: Easy with that Kool-Aid, Eugene...
Entry	01/25/2025 09:36 AM
Member	armchaircontrarian

FR

Hardly know where to start with this one, but...

Are you seriously arguing that UK corporate governance is *worse* than that in the US, where supine boards rubber stamp whatever it is the all-powerful CEO wants, for fear of no longer having their mouths filled with gold? See Tesla's comically awful board for details...

US corporate governance is frequently laughable. This is the country that brought us greenmailing, no pre-emption rights and the proliferation of share classes with differential voting rights. All appalling and either outlawed or highly unusual in the UK. For now at least.

Your GDP figs are obvs massively misleading. Whilst the UK has undeniably performed horribly over the last 15 years or so, and has clearly underperformed the US, the vast majority of what you describe is attributable to FX movements, specifically the weakness of the pound (and its relative strength pre-GFC). Do you *really* think that UK GDP per capita was actually higher than that of the US in 2007, as this (and you) suggests:

<https://data.worldbank.org/indicator/NY.GDP.PCAP.CD?locations=GB-US-JP>

Or is it more likely to be an artefact of currency fluctuations? Recall that GBPUSD was over \$2 at the time.

The PPP version is clearly more useful and this shows that UK GDP per capita was 72% that of the US, whereas in 2007 it was....74%. Does that not sound more plausible?

<https://data.worldbank.org/indicator/NY.GDP.PCAP.PP.CD?locations=GB-US>

As for the balance sheet, the year-end net debt figure is obvs hugely flattering and as you should know is not remotely representative of the through-the-year actuality. Average net debt (measured daily) was c. £800 last year and this is before we allow for land creditors, which should really be counted as part of the group's debt, as practised by most sector analysts.

Adding land creditors of c. £750m and JV net debt of another £100m takes the group's actual net debt figure to >£1.6bn or c. 4x EBITDA of £400m or so. Barring any further mishaps this should be OK, but it's a very different level of gearing to that suggested by the simple and simplistic use of reported year-end net debt.

Cheers

Armchair

Subject	Re: Re: Re: Re: Re: Easy with that Kool-Aid, Eugene...
Entry	01/25/2025 11:55 AM
Member	utah1009

This is an interesting topic I've given a lot of thought to in recent months.

If I were to look at my Top 10 most profitable investments ever, and more generally the ones that make me feel like I actually know what I'm doing for a change, I think 8-9 of them I had literally zero relationship with management. Alternatively, of my Top 10 worst investments, I think probably 7-8 of them I had a relationship, sometimes close one with management. Also, when I look at friends in the biz who have had some real blowups, I reckon almost every single one has been extremely close with management, and of those I would tell you that they probably would've been otherwise unscathed if not for being close to management and relying on them to shape their opinion. The reality is that for almost all public companies there's enough in the public domain to form an accurate and unbiased opinion of them.

When I think of all the process changes I've made over the years, this might be the biggest one and I've really come to embrace it. Even the few management teams I get to personally know nowadays, I tell them that at most they'll hear from me once a year and ideally only every couple years, and even then I'll only need 30 minutes...I make a big effort to keep a distance.

Subject	Re: Re: Re: Re: Re: Re: Easy with that Kool-Aid, Eugene...
Entry	01/25/2025 12:29 PM
Member	utah1009

One follow-up observation to this. I can only recall like once or twice I've seen investors mistakenly characterize some great founder/CEO as being a total dipshit when in fact he's awesome. The only two that come to mind are Bezos and Musk. Even then, a lot of people respected them but just didn't like the stocks, and obviously I think by now those negative opinions have been thoroughly debunked. On the other hand, there have been a kajillion times I've seen people mistakenly believe some loser CEO was great, or good enough to create value, or just not realizing more generally that they're a loser and to run away. The risk virtually every time seems to be overestimating these folks. At least with the former it's just an omission.

Subject	Re: Re: Re: Re: Re: Easy with that Kool-Aid, Eugene...
Entry	01/25/2025 12:29 PM
Member	sck4000

AC, I think you make points that (again...) have been discussed before.

1) Role of land creditors, if that should be included in the debt position, role in ROCE: see e.g. posts #13, #296, #299

2) Your statement of "....My view of management is based entirely on the disconnect between words and deeds. Lots of big promises and rather less delivery. " is at minimum a distortion of facts of GF's long track record, also smth. discussed many times over on this threat, incl. the writeup. You can hold the opinion that he has lost his touch - but stating outright he kind of never delivered is simply factually wrong.

I think most people here appreciate being an *ahem* armchaircontrarian, since that is what we all strive to be. But at least for me that means you show people you have studied what has been said before, and point specifically to where you disagree & why that is so. A simple keywordsearch on the threat (after you have expanded all messages) gets you there.

Best

sck

Subject	Re: Re: Re: Re: Re: Re: Easy with that Kool-Aid, Eugene...
Entry	01/25/2025 12:43 PM
Member	juice835

I 100% agree with this. The CEO's job is to pump the stock in investor meetings. Like literally, they serve no other purpose- it's not like companies raise equity via the people they meet at conferences/speak to after earnings. If companies didn't think these meetings helped get the stock price up, they wouldn't do them. And really, most people on the other side of the table are there to confirm what they want to believe full stop. I fully did when i used to do these meetings.

My anecdotal experience over a long period is that good returns are inversely correlated with mgmt access or even any real attention to a subjective measure of "how good" some mgmt team is. The bill parcells line that "you are what the numbers say you are" is most instructive.

Subject	Re: Re: Re: Re: Re: Re: Easy with that Kool-Aid, Eugene...
Entry	01/25/2025 07:36 PM
Member	finn520

Utah, I couldn't agree more. A corollary to this is that when you see investors referring to a CEO by their first name, particularly of a small-cap, look out below. Not the case on VTY, but relevant to the larger point of being cozy with management. It's amazing how often this holds, most recent example is the TINY guy, Andrew Wilkinson. I don't think it's an accident either.

From an old post on SFIX in 2021.

"I have a completely subjective rule that if a company/investors/posters constantly refer to a CEO by their first name, and that person isn't a) one of the 10 richest people in the world and b) hasn't been either on at least 50 magazine covers or Time person of the year, then I get real nervous. If the stock is up 3x in the last year, even more so. Those companies seem to flame out with some frequency. Examples off the top of my head include Robin (EBIX), Mike (VRX), and Chad (FTP.TO)"

Subject	Re: Re: Re: Re: Re: Re: Easy with that Kool-Aid, Eugene...
Entry	01/26/2025 12:44 PM
Member	fiverocks19

Utah - I think there are lots of different ways to get to heaven in investing.

I've seen plenty of successful growth investors, momentum investors, business quality investors, activist investors, real estate investors, PE investors, VC investors, and of course value investors. I don't think there's a one-size-fits-all. Investing is a deeply personal journey, and each investor needs to figure out what works for him/her.

In my experience - and we've done a lot of data analytics on my firm's returns over a decade-plus - we have found that our returns are better when we are more involved and hands-on. It's not always the case, but that's what the data shows. I'm glad having minimal contact with CEO's works for you - that's fantastic. But I don't think it's a universal rule, and at least for my firm it's not supported by our data.

sck4000 - I agree with you. If Greg is so "promotional", why has he only done one non-deal roadshow to the US in the last 2.5 years since the Countryside/Vistry merger, even with so many US shareholders? And why has Vistry not done an Investor Day since then either? Investors are pushing for him to get out there more, not less. This is not some pump-the-stock CEO who is meeting with investors every six weeks. He's in the business every day running things.

And if you take a step back and say let's just look at his track record...OK, let's just look at his track record. He came from a blue-collar background. Built a housebuilding business from almost nothing (Midas Homes) and sold it for millions. Then he took over Galliford Try and had by far the best returns in the sector over a decade-plus period including the GFC. He was then called out of retirement with Bovis on the brink of bankruptcy, took it from a 2-star builder to a 5-star builder in 12 months, and saved the company. More recently, Vistry has been the star performer in the sector as it transformed into a pure-play Partnerships business, until the stumble in the last 90 days in legacy housebuilding. The guy has a 30-year track record of crushing it (whether you are on a first name basis with him or not). Calling out some make-believe "disconnect between words and deeds" is just silly. The track record is best-in-class. The "deeds" are terrific.

At the end of the day...I see the stumble as a one-off that's getting fixed. Others can see it differently. It's what makes a market. And I'm good with that. Per my post #358, let's see where the stock is in 12 months' time and 24 months' time. I'm glad there's a scoreboard to show us the outcome.

fiverocks

Subject	Celebrating 400 comments on VTY
Entry	02/02/2025 02:54 PM
Member	MrStingy

I fed o1-pro this writeup, all 399 comments, the profit warning PRs, and most recent trading update. I asked it if it sides with the bears or the bulls. I won't bore you with its long-form response, but here's the bottom line in case anyone is curious to see it. If you disagree, don't yell at me, yell at o1-pro.

Bottom line:

Despite a painful 2024, the *underlying Partnerships ramp is intact*. If one has a multi-year horizon and accepts that the Housebuilding overhang took longer to flush out, the bullish case on Vistry still *essentially stands*. Near-term, however, the repeated shortfalls and spike in net debt are more consistent with the *bears'* near-term concerns on execution and management credibility.

Most longer-horizon investors who remain convinced by Partnerships' superior unit economics still side with the bulls—but they now acknowledge that the timeline is ~1–2 years behind schedule and management's credibility took a hit. Short-term watchers (or those who require immediate results) might be in the bear camp. On balance, the Partnerships engine does appear to be working, just overshadowed by the remnants of Housebuilding. Accordingly, if forced to choose, **I still lean bullish—with the caveat that a fresh “show-me” period is underway after three profit warnings.**

Subject	Re: Celebrating 400 comments on VTY
Entry	02/02/2025 03:45 PM
Member	ahnuld

I mean LLMs take what you feed it as truth. So bias in bias out.

Subject	The problem with this thread - no numbers
Entry	02/03/2025 07:49 AM
Member	Novana

Disclaimer - I am long in small size, because it's cheap even as an "old school home-builder" and because it's so hated today that almost anything should lift the stock from here. I'm not trolling anyone here. BUT

What's so incredibly frustrating here, not only from the company but also on this thread, is the complete inability to link the narrative to actual numbers. It starts with the company giving a "long term" EBIT guidance of GBp800m and 40% in "the medium term" which at first was to be understood 2027, then 2028 and now it may be retracted or maybe just "delayed", and zero goal posts given on the progression to get there.

The author himself speak of "£500-£600M in a couple of years", which is a big range for a very vague timeline. Fiverocks, which has always been very responsive and helpful on this thread, suggests "£400-500M EBIT in 2025". The range is just too wide for a business that is supposed to be predictable and resilient. It makes it impossible to track progress against the thesis. This vagueness, this lack of financial details is what causes 400+ messages on this thread..."yes, the thesis is valid, a 200m EBIT miss means nothing, because I never had it in my model to begin with so who cares" or the other side "these guys are fraudsters, they said X and did Y".

Until the company comes clean in terms of what exactly they are looking to deliver and when, there are no goal posts to check the original thesis against progress made and we'll continue to have empty philosophical debates about the true nature of the partnership business.

Subject	My 2 cents
Entry	02/03/2025 04:32 PM
Member	Rulon Gardner

Some VIC members absolutely hate my ideas/comments and some VIC members think I know a thing or two about hard asset investing. Anyway, I spent the bulk of my career investing in REITs, MPCs, and hard assets in general. I have been pitched Vistry a few times and lots of my friends own this name including the frequent posters in this name. I have also conducted a few expert calls on "what exactly is the partnership business model"

This is my 2 cents. Vistry will never be a NVR, but Vistry is a better model than the traditional home builder. Vistry inherently builds in a market with higher density. NVR builds in markets that typically has flat land with no existing structures where Vistry sometimes involves knocking down existing structures, displacing people, and building higher density. If you think of building as baking. You're inherently working with different ingredients and added complexity. NVR is like baking bread. Where Vistry is kind of like making dessert with decoration on it. There is inherently more things that could go wrong with Vistry. But both models are kind of like commercial baking that have orders in hand. Unlike commercial baking, both NVR and Vistry earns much higher return on capital.

It will not have as smooth of an earnings stream as NVR. But it doesn't mean it's a bad investment at this price. It's trading at around tangible book value. It clearly earns a decent return, but I doubt it will ever earn 40% ROE. That's totally fine with me. At today's price, you're probably set up to earn 12% IRR as in a bear case. In a bull case, we'll earn 30-40% IRRs if the company actually does anything close to the publicly stated goals. These IRRs are over a long holding period. My cost basis is about 600. Some fund managers are being made fun of for owning Vistry on Twitter.

From a sentiment and vibe perspective, we're probably somewhere near bottom. Is there a 2% chance that this whole thing blows up? I won't say it's 0%. I think that's sufficient enough for this oaf to take a small position.

My 2 cents

Subject	Re: My 2 cents
Entry	02/04/2025 01:24 PM
Member	fiverocks19

Rulon-

Why do you "doubt it will ever earn a 40% ROCE"?

Countryside partnerships earned a ROCE above 70% every year from 2015 to 2019.

Vistry partnerships earned a ROCE above 40% in 2021 and 2022 (the ROCE was closer to 50% in 2022).

Keepmoat's ROCE is consistently in the mid-30%'s, and that is a worse business than Vistry partnerships (less scale and it doesn't do PRS).

There is ample evidence that 40% ROCE in partnerships is not only achievable, but has been achieved again and again over time.

So if I may, what is the evidence you have that you don't think this will "ever" happen again? I am curious to hear any research you've done or if you can point to any specifics as to why this is not "ever" possible again as the housebuilding business disappears and Vistry becomes a pure-play partnerships business at scale.

fiverocks

Subject	Re: Re: My 2 cents
Entry	02/04/2025 01:43 PM
Member	finn520

Fiverocks,

I'm a tourist here, and looking at this glass half-full prompted by your Countryside comment about its high ROCE, I think, "Okay, this trades below tangible book with a little bit of leverage, maybe it just muddles along and does okay in a downside case, and if the partnerships thing really gets straightened out and works, then maybe it goes to the moon."

But then I pull up the Countryside financials and chart and I see the stock at 235p in early 2016 and then acquired at 213p in late 2022, with no FCF over that period. So what gives? That seems to contradict the claim that Countryside was a great business.

Thanks.

Subject	Re: Re: Re: My 2 cents
Entry	02/04/2025 01:52 PM
Member	fiverocks19

finn520-

It's a longer story, but essentially has four parts to it.

1) Countryside had both a housebuilder and a partnerships business. So when you look at Countryside, the overall results are not that of a pure-play partnerships business. Countryside's partnerships business earned operating profit of £40M at the time of its IPO and seven years later earned adjusted operating profit of close to £200M at the time of the merger. Partnerships has a terrific track record.

2) In 2019, Countryside's CEO stepped away from the business as his wife had been in a bad car accident and his time was required to care for her. His replacement as CEO was Iain McPherson, who was a terrible choice. McPherson (who came from housebuilding) was a poor operator and tried to centralize what is a naturally de-centralized business. As a result, he loaded up the company with extra costs while slowing down the business as he tried to get every decision made at HQ. He was fired in early-2022 and Countryside was recovering at the time of the merger.

3) It's important to include dividends, and not just look at stock prices, as housebuilders have historically been significant dividend payers.

4) Valuations across the sector declined sharply in 2021/2022.

I think a careful review of the evidence leads to a conclusion that this partnerships operation is a wonderful business. The key for Vistry is to complete the exit of housebuilding so the underlying strength of partnerships can be clearly visible to investors. Past partnerships transactions have happened at 5-7x book and Vistry is currently trading for below book.

fiverocks

Subject	Re: Re: Re: Re: My 2 cents
Entry	02/04/2025 02:02 PM
Member	finn520

Thanks.

Dividends don't change the story much, 174m total over that period and they sold for \$1.24b.

If what you say above is true, then why did Countryside sell at 6x Adj EBIT on partnerships and 1.27x book value? It looks like they had minimal leverage. Why would they sell a wonderful business at a bargain price?

Subject	Re: Re: My 2 cents
Entry	02/04/2025 03:00 PM
Member	Ray Palmer

Evidence? Bro it's 2025. Investing is all about the vibes baby. Instead of asking if there's evidence it can or cannot do 40% ROCE, we should be asking if it's got the vibes of a 40% ROCE earner.

If you'll excuse me, I'm going to go take shot gun a white claw and buy some MSTR at 3x NAV.

Subject	Re: Re: Re: Re: Re: My 2 cents
Entry	02/04/2025 03:18 PM
Member	fiverocks19

finn520-

It wasn't a sale.

It was a stock-for-stock merger. I rolled 100% of my stock into the new combined company.

Vistry already had a partnerships business, so this combined the #1 and #2 partnerships businesses. Vistry also had what I judged to be the best-in-sector management team. This was attractive to me.

What mattered was not the absolute price, but the relative price between the companies and what the value of the combined firm would be, as I wasn't taking any chips off the table.

fiverocks

Subject Re: Re: Re: Re: Re: Re: My 2 cents
Entry 02/04/2025 07:04 PM
Member finn520

Thank you, I appreciate it. Looks like acquisition was 300m GBP cash, 837m value in shares, so 26% cash, 74% stock.

Where do you get the 200m Adj EBIT for Countryside Partnerships? From their financials, I see Partnerships Adj EBIT 88m for TTM 6/22 (last filing I see prior to acquisition), and consolidated 135m Adj EBIT for 6/22 TTM, with annual Partnership Adj EBIT peaking in 2019 at 128m.

Subject Re: Re: Re: Re: Re: Re: Re: My 2 cents
Entry 02/04/2025 09:43 PM
Member mpk391
 finn520,

You're right - Countryside adj EBIT peaked at 128m in 2019. I believe that together with the Galliford Try Partnerships business, the two were runrating around 200m EBIT when Countryside was purchased. Maybe a wee bit more. Countryside prob runrating in the ballpark of 100m when it was bought 11/11/22. Can't recall what their net debt or remaining homebuilding assets amounted to.

Rulon - the 40% return figure is ROCE, not ROE. It excludes net debt/cash and the NPV of remaining fire safety work, and it's pre-tax. Fiverocks is right - the historic returns were fantastic. Even with Covid and Ian McPherson, Countryside never went below 10-20%. Also, the regeneration projects don't displace anybody.

Subject Re: Re: My 2 cents
Entry 02/05/2025 01:07 AM
Member Rulon Gardner
 Fiverock,

First, I think at today's valuation, it will be totally fine if it never hits those ROCE numbers.

Second, can you show us how you get to a Vistry partnership ROCE over 40% in 2021 and 2022?

Is it intellectually lazy to say "I want to see clean numbers before I believe management?" Vistry is a company that made a huge acquisition which has execution and major integration risk. There is a business model transformation happening in real time. I would love to see your numerator and denominator for Countryside's 70% ROCE from 2015 to 2019.

Isn't the whole point of having these high ROCE figures that it translates into book value per share growth eventually? The whole point is allowing shareholders to put some dollars in our pocket, eventually.

I can sympathize as I am a long suffering shareholder of HHH where they have some of the best development economics of any company, private or public. But GAAP accounting dictates that book value to go down over time due to depreciation which is likely why I still have a job because the market is inefficient like that. I digress, but I am making a point.

I don't see a lot of value of holding onto a 40% or 70% ROCE figure. For now, this is trading around tangible book value. Just simply not having a negative surprise rocketted the shares up 15%.

Last point, the whole point of having these incredible asset light homebuilding business models is that you DONT get these "one time" events. I also understand that there has been a lot of acquisitions, integration, and biz model transformation.

Someone wrote a great article that in the US, NVR operates in a capitalistic model. In the UK, the govt is your partner. I am kind of joking, but it is also a fact that we have a lot of Yankee shareholders that owns a homebuilding company with a quasi public/private model to supply housing to UK homebuyers. NVR's market share is small in the US. Although market shares are likely hyper local for homebuilding. But I can see a headline where the newspaper says "Fat Yankees Gets Rich of Broke UK Blokes"

Perhaps there was a period where Countryside did hit those ROCE figures (still would love for you to show those figures). But we haven't seen it in a while, so I think the proof is on the company. Also, there's the whole "don't skate to where the puck is, skate where it will go to"

I lurked on this thread for years like a large predatory cat in the grass and I kind of took a bite at this name after what I observed as "capitulation." In investing, sometimes the money is made not by the guys who has the sharpest pencil, but by the guys who bought after the stock has capitulated and now the stock rises on mediocre or even bad news. I think we're somewhere close to it.

If you want a recent example, look at Vornado (NYC Office), it got smoked in what I think was a bear raid in early 2023. Then it came roaring back. Cap rates got close to 10% for class A office. This is the kind of stuff that people tell stories about. But I followed Vornado for years and had "too much emotional baggage by then" to have a meaningful position as I thought it was desine for the bargain bin forever.

I am going to do a bad Monish Pabrai impression, I think "head I don't lose much, tails I win alot" I try not to get too cute. I'm gonna size it at a resonable size and let the compounding/earnings size it itself over time.

Sorry that I couldn't give you better feedback.

Subject
Entry
Member
mpk391,

Re: Re: Re: Re: Re: Re: Re: Re: My 2 cents
02/05/2025 11:43 AM
Rulon Gardner

What are you using for your denominator in your ROCE calculation? Sorry to be bothering you.

Based on my expert calls, regeneration projects do displace people, at least temporarily. It's basic, you knock down an old building to add density to the site. People have to live somewhere in the meantime. Perhaps, we differ on temp vs permanent. I agree that it doesn't displace ppl on a permanent basis. But I'm trying to understand reality and the real world is messy when it comes to regenerating housing in dense areas. Just trying to point out that this isn't building on flat outskirt frontiers in markets like Richmond, VA or Rochester NY. Given UK's longer history, it inherently has more density.

Speaking of fire safety. That's been spoken about very lightly on this thread. I am not sure how much variance there is in those numbers to fix the cladding issue (if that's what you're referring to).

To clarify, I still think this could be a multibagger. But I'll believe when I see it and when the company do report those figures. For now, my mental model is that we'll get a 50% re-rate at some point. If this turns into a juggernaut of a high ROCE machine trading with the projected EBIT numbers, I'll be laughing all the way to the bank!

Subject
Entry
Member

Average ROCE
02/05/2025 11:51 AM
Rulon Gardner

More musing on my end. What is the correct average ROCE? My brother is a developer. I am glad that I pick stock for a living and I get to debate on a forum like this. In the messy real world, you're going to get negative surprises. The zoning boards are usually idiotic. Look at how long it's taken HHH to get that parking lot approved for construction, something like 5, 6, 7 years now? Hiccups are part of the business.

What these asset light models does is to remove the "death traps" of owning a lot of land that forced some of the biggest homebuilders into BK during the GFC. That is the critical function. Lastly, 1/3 of the partnership model is selling to market rate buyers which I have heard that there isn't a shortage of in the UK. What's really under supplied is the affordable units.

I'm trying to model reality. Anyone who manage OPM knows what happens to our track record when we have + 20, +15, +18, followed by a - 6%. Perhaps the appropriate ROCE is the blended average over time.

I think FiveRock does great work. If anything, I have gained tremendous understanding of this business model through his active sharing/detailed analysis. I just think that I going to get paid because I happen to be most "emotionally opportunistic" rather than having the "sharpest pencil."

Subject
Entry
Member

Re: Re: Re: Re: Re: Re: Re: Re: Re: My 2 cents
02/05/2025 02:18 PM
mpk391

Vistry isn't the only one doing regen projects, and I don't know how a Barratt, etc. might do it, but with Vistry, I believe they build new homes roughly adjacent to the old structures, move people in, then remove the old structures. No gentrification. The last thing the UK needs is a reduction in affordable housing. Work on Acton Gardens etc. continues, but I don't think we'll see a ton of new deals in London until the HAs get the fire safety stuff mostly out of the way.

"I am not sure how much variance there is in those numbers to fix the cladding issue" Yes, I'm referring to replacing the cladding, and also the requirement to build a second staircase in buildings above a certain height. I'm not sure what you mean by "variance." They've estimated the total cost and NPV'd it. That NPV gets reduced as the work gets done.

Capital Employed = investment in JVs, amounts due from JVs, Work In Progress and stock, land, land creditors, and other assets & liabilities. Take EBIT and divide by avg CE

Countrywide FY Ended	FY13 Sep-13	FY14 Sep-14	FY15 Sep-15	FY16 Sep-16	FY17 Sep-17	FY18 Sep-18	FY19 Sep-19	FY20 Sep-20	FY21 Sep-21	CY22 Dec-22	6 mo Jun-22	6 mo Jun-23
								(restated FY21)			Owned by Vistry	
Private	409	479	634	628	825	1,137	1,336	985	1,649			
Affordable	201	468	508	393	461	1,073	1,760	1,428	1,887			
PRS			461	738	721	809	1,329	884	857			
Design & build contracts	426	401	108	115	185							
Completions	1,036	1,348	1,711	1,874	2,192	3,019	4,425	3,297	4,393	4,520	1,925	2,167
yoy change		30%	27%	10%	17%	38%	47%	-25%	33%			13%
Private						336.7	355.2	251.7	449.2			
Affordable						122.2	243.1	197.6	274.9			
PRS						94.5	167.1	116.5	141.5			
Other						36.9	26.9	24.7	36.7			
Group revenue	132.4	199.8	268.7	313.2	418.8	590.3	792.3	590.5	902.3			
Group revenue	132.4	199.8	268.7	313.2	418.8	590.3	792.3	590.5	902.3			
Share of JV revenue	21.4	11.5	16.4	36.7	57.9	44.5	44.8	78.7	130.9			
Revenues	153.8	211.3	285.1	349.9	476.7	634.8	837.1	669.2	1,033.2	1,068.0	464.5	497.9
yoy change		37%	35%	23%	36%	33%	32%	-20%	54%			7%
Group EBIT	18.4	21.8	33.8	49.8	68.7	101.1	107.1	15.0	34.4			
Share of JV EBIT	2.9	(0.0)	3.1	7.0	10.7	9.5	13.3	14.2	28.9			
Non-underlying items	0.0	0.0	2.7	0.0	0.0	0.0	7.4	8.3	44.4			
EBIT	21.2	21.7	39.6	56.8	79.4	110.6	127.8	37.5	107.7		47.2	
EBIT margin	13.8%	10.3%	13.9%	16.2%	16.7%	17.4%	15.3%	5.6%	10.4%		10.2%	
Capital Employed	21.2	60.0	54.2	103.3	101.7	149.5	176.8	327.5				
ROCE	101%	54%	69%	72%	77%	88%	78%	13%				
ROCE							272.5	466.6	610.2	Capital Employed (restated FY21)		
								10%	20%			

Subject
Entry
Member
ROCE Vs. ROIC
02/06/2025 12:26 AM
bowd57

Hi, MPK --

> Capital Employed = investment in JVs, amounts due from JVs, Work In Progress and stock, land, land creditors, and other assets & liabilities.

This isn't purely semantic. I would take ROCE to mean, "Return on Common Equity". In your usage, it's "Return on Capital Employed". From the snippet above, I'd take that to be roughly equivalent to what I'd call "Return on Invested Capital", which gets acronymed as ROIC. Which is all good, let's not quibble about usage here.

The reasons this comes up is -- You've got a row in there labelled "ROCE" that looks to average around 60-70%. Those would be phenomenal ROE #s. But I think what you mean by ROCE is what I'd call "unlevered returns". Is that right? Could you help me out here? Because if that's the claim, I can easily understand the excitement and skepticism here.

No position, not likely to ever have one, I have done no work on the company, I'm involved in the conversation solely because it's hard to ignore.

Yours,

Bowd

Subject
Entry
Member
Re: ROCE Vs. ROIC
02/06/2025 01:22 PM
mpk391

Yes, it's an unlevered return - excludes net debt/cash to try to get at the underlying attractiveness of the business. It's also pretax - corp tax rate is 25%, plus there's an extra 4% for housebuilders for the next 8-9 years, so total of 29%.

Subject
Entry
Member
MPK,

Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: My 2 cents
02/06/2025 01:30 PM
Rulon Gardner

Just want to say thank you for providing these tables and I'll dig into it. You're a gentleman.

Rulon

P.S. When are we drinking beer at my beach house again?

Subject
Entry
Member

Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: My 2 cents
02/07/2025 01:33 PM
mpk391

re: beers, sooner the better. In the meantime, here's another table for you. FY20-21 results suggest that Countryside's lower returns during Covid were more about the lousy former CEO than they were about Covid. Contracting (aka partner-delivery) revenue is just constructing housing for HAs - there's no development involved. They're literally just showing up and building the stuff the HA wants to build. So it's much lower margin, thus gross margins rise as contracting becomes smaller part of the mix. It does help them build relationships with HAs, however. I gotta think Vistry is still doing roughly 2k/year of such units - numbers don't make sense otherwise. I've emailed the CFO and IR on this, but no reply yet.

GT Partnerships	FY12	FY13	FY14	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23
FY Ended	Jun-12	Jun-13	Jun-14	Jun-15	Jun-16	Jun-17	Jun-18	Jun-19	Jun-20	Jun-21	Jun-22	Jun-23
	Owned by Vistry											
Private			55	188	247	373	551	646	na			
Affordable			165	220	379	221	200	532	na			
Mixed tenure completions		126	220	408	626	594	751	1,178	1,073	1,885	2,299	2,385
			75%	85%	53%	-5%	26%	57%	-9%	76%	22%	4%
Contracting - equivalent units	600	1,500	1,700	1,600	1,600	2,000	2,100	2,726	2,843	2,195	2,082	
Mixed tenure	126	220	408	526	594	751	1,178	1,073	1,885	2,299	2,385	
Completions		726	1,720	2,108	2,126	2,194	2,751	3,278	3,799	4,728	4,494	4,467
Contracting			221.0	273.3	233.9	248.0	351.0	431.0	492.0	493.5	446.0	
Mixed tenure			22.0	56.1	66.7	82.0	124.0	192.0	189.0	314.0	451.0	
Revenue	90.4	100.0	243.0	329.4	300.6	330.0	475.0	623.0	681.0	807.5	897.0	962.5
yoy chg Revenue	-27%	11%	143%	36%	-9%	10%	44%	31%	9%	19%	11%	7%
Gross profit	8.6	8.6	14.6	25.0	28.0	34.7	50.8	69.2	67.6	115.2	149.6	
Gross margin	9.5%	8.6%	6.0%	7.6%	9.3%	10.5%	10.7%	11.1%	9.9%	14.3%	16.6%	
% mixed tenure revenue		20%	9%	17%	22%	25%	26%	31%	28%	39%	50%	
EBIT	1.7	2.2	5.0	9.4	11.7	14.9	23.6	34.8	24.6	74.7	84.8	
margin	1.9%	2.2%	2.1%	2.9%	3.9%	4.5%	5.0%	5.6%	3.6%	9.3%	9.4%	
Capital employed			6.4	40.9	42.2	65.7	62.7	64.1	65.9	106.2		
ROCE				49%	36%	44%	54%	39%	115%	99%		

Subject
Entry
Member
mpk -

Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: My 2 cents
02/07/2025 02:04 PM
VC2020

Can you elaborate on what numbers don't make sense if they aren't doing 2k/year in strict contracting? Are you talking recent gross margins?

VC

Subject
Entry
Member

Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: My 2 cents
02/10/2025 12:19 PM
mpk391

They're disclosing % of total completions that are partner-funded, and the % that isn't partner funded is currently just under 30%. I believe these "contracting" aka "partner-delivery" units are considered to be partner-funded. If there were no contracting units being built, the only way you get to <30% of units being sold in the open market would be if the company was entirely mixed-tenure partnerships, and housebuilding unit sales were completely done. But we know they're not.

Please someone correct me if I'm looking at this wrong.

Subject UK Govt Increases Affordable Housing Budget
Entry 02/12/2025 11:37 AM
Member fiverocks19
<https://www.housingtoday.co.uk/news/further-300m-top-up-announced-for-affordable-homes-programme/5134326.article>

fiverocks

Subject responses
Entry 02/12/2025 11:51 AM
Member fiverocks19

finn520 #410 - the Vistry/Countryside merger offered Countryside shareholders the option to take cash, stock, or a mix. We took 100% stock. For us (and most other shareholders), the absolute price did not matter, all that mattered was the relative value between Vistry shares and Countryside shares.

mpk391 #411 - your numbers are not correct on Adjusted EBIT at the time of the merger. Countryside never reported full-year 2023 results as the merger happened prior to the merger, but Countryside's partnerships business was on track for Adjusted EBIT of 175-200M. Vistry partnerships did something like 80M EBIT in 2023.

Rulon #412 - you say "the whole point of having these incredible asset light housebuilding business models is that you DONT get these "one time" events". I know. That is the point. That's why Vistry's "one time" event was in its legacy housebuilding business, not in its asset light partnerships business. The partnerships business continues to grow and perform well, as one would expect.

Rulon #413 - regeneration projects DO NOT necessarily displace people, even temporarily. The community being regenerated often has low density. Vistry can come in, construct two buildings in parking lots, move residents from distressed buildings into the new buildings, knock down the old buildings and construct new ones in their place, rinse, wash, repeat.

fiverocks

Subject Abrams Capital Ups Their Stake
Entry 02/13/2025 09:44 AM
Member agentcooper2120
This morning, Abrams Capital filed that is has increased its stake in Vistry from 8.2% to 10.2%. The filing is here: https://otp.tools.investis.com/clients/uk/bovis_homes2/rns/regulatory-story.aspx?cid=1525&newsid=1908999

Abrams is a Boston-based fund manager led by legendary investor David Abrams. Abrams is also very close with Browning West. It's hard to see how Abrams would have made this purchase without first getting a "thumbs up" from Browning West.

Carry on.

Subject Re: Re: Valuation
Entry 02/19/2025 11:40 AM
Member WSCapital
Fiverocks -

Will you please explain how you're arriving at Keepmoat and Galliford Try Partnerships being sold at a 12-13x EBIT Multiples? My quick math on the sales prices and adjusted EBIT is coming out closer to 6-9x.

Keepmoat was sold for 700M in October of 2021 and they did 77.7M of Adjusted EBIT in the year ending 10/31/2021, so a 9x multiple.

Galliford Try was acquired by Vistry (then called Bovis) for 1.075B in a deal announced in November 2019 and the housing business of Galliford Try (Linden Homes + Partnerships & Regeneration) did 195M of pre-exceptional profit in the year ending June 30th 2019. Even if we burden this will all the overhead, it's 188M of Adjusted EBIT, or a 5.7x multiple.

Are there some assumptions that you're making to isolate the "pure partnerships" piece of each business?

Subject PBT bridge to 2025?
Entry 03/26/2025 11:48 AM

Member

zax382

Hi – I feel like touching a hot stove a bit in re-igniting this thread, but have a lot of interest here and wanted to get thoughts on today's results. As more of a tourist there are a lot of moving pieces and I'm trying to get a sense of what is possible in 2025. I know some of the bullish takes were that they would guide 300m+ or so on adj. PBT and then beat/raise all year, although going through the call I'm getting the sense they are guiding somewhat below 300m, and I am trying to figure out what levers they have to pull to really raise that number throughout the year.

So, if we take 2024's Adj PBT of 264 (to their credit slightly above prior expectations). Then I can bridge the South Division PBT drag, which should be +38.5m in 2025, I get to ~302m of Adj PBT all else equal for 2025. Their guide is to "grow" Adj PBT, so just above 264. Seems like sell side will take numbers down modestly and be in the 280ish range after this report.

Then there are the following moving pieces I'm struggling to size:

- 2024 financing expenses are higher than expected which people are flowing into 2025. I don't understand why this is worse y/y as they are supposed to be generating more cash especially in 1H, but this is the excuse being talked about to bring numbers down so I'm missing something here
- Continued transition to partnerships should mean lower margin, so on flat # of homes with more mix to partnerships you'd expect a negative mix impact
- LSD cost increases for open market vs ASP? Are ASP's going to be able to offset?
- Seems like generally slow partnership activity to start the year
- Fewer sales sites given efficiency push, which maybe weighs in some way (but perhaps reflected in flat homes delivered guidance)

On the positive side, we should have:

- They should have pushed out some PBT from 4Q into 1Q, although the commentary on the soft first half does not lend a lot of confidence here. This was the primary reason for the third profit warning last year but no real idea how big this impact could be, maybe entirely offset by macro in 1H?
- Streamlined operations / reduced operating costs
- Opportunity for more partnership activity with very recent 2bn gov't support program, unclear how much of this is in guidance if much at all
- Shouldn't the partnerships business be....growing? Underneath it all? Setting guidance/expectations aside shouldn't they be able to generate more PBT than just flat from 2024 after adjusting for the disaster in the South division?

I would love the view on where areas of upside could be for this year. I think there's an idea that Greg was going to sandbag, and maybe he has as the bar does seem low, I just can't figure out how that is manifesting given commentary on the call and in the slides, especially with respect to the softer 1H commentary. But I'm curious how people who are closer to this view the call/guide. Thanks

Subject Net Debt bridge to 2025?
Entry 03/26/2025 12:44 PM
Member Novana

To echo zax382, I also struggled with lots of the moving parts. Another one which I cannot reconcile is the expect Net Debt by year end. They said on the call that it'll be "better than 2023" which was £89m, so call it £75m. That means only c. £200m in FCF before buyback. I don't understand how they'd generate so little cash in 2025 if they get to release the £200m in working capital / WIP as per CEO comments.

Net Debt 2025 bridge		Notes
Opening net debt '25	(181)	
WC unwind	200	£200m according to CEO
PBT '25	280	Guided as "improvement over '24"
Net fire safety spend	(65)	Guided £60-70m
Cash taxes	(35)	Assumption, was £39m in 2023 on higher PBT
Remaining buyback	(92)	From current authorisation, assume all in 2025
Plug number / other	(182)	Can someone explain this?
Closing net debt '25	(75)	Guided as "better than '23", which was £89m

Subject Re: Net Debt bridge to 2025?
Entry 03/26/2025 03:43 PM
Member Bud_Spencer

Novana, this is *the* key issue I agree. I have similar numbers. If we exclude the WC unwind we're roughly there, but the whole point of the strategy was to grow and release cash in the meantime. So the gap remains. Not clear. Maybe it's some specific WIP release on one side and since they cite "Housebuilding landbank release slower than anticipated due to market conditions and issues encountered in the South Division" it could mean that the £200m is not a *net* effect: i.e. they are releasing certain WIP but not releasing other WIP that they were expecting to release. (which would be bad/misleading communication).

Subject Re: Net Debt bridge to 2025?
Entry 03/27/2025 07:50 AM
Member FuzzyLogic

And just to add to this question, is no allowance being made for the roll-off of the former Housebuilding landbank in FY25? They spoke about looking for bulk deals or further sales... it's clearly a focus but doesn't seem to be in the cash guidance. They state in the earnings release "The roll-off of the former Housebuilding landbank will be a key driver of the improvement in the Group ROCE."

Subject Re: Re: Net Debt bridge to 2025?
Entry 03/27/2025 10:09 AM
Member Novana

I think that's included in the £200m guided WC unwind but I'm not sure. Otherwise the FCF gap to explain is even larger

Subject Re: Net Debt bridge to 2025?
Entry 03/27/2025 02:17 PM
Member WSCapital

I just got off an 40 person post-results investor call and we got a little more color on this. The first piece of this is that cash taxes will be much higher this year because the Fire Safety provision was shielding taxes in prior years that is largely used up. They threw out £70M for cash taxes in 2025. The next piece is that the £200M is just on piece of working capital/capital employed that will be released (seems like Greg cherry picked this as a positive datapoint to disclose). It sounded like there will be some offsetting working capital build in other places (they were vague and not specific) as well as more investments in JVs. Finally, they said that they're guiding to DD net debt and "better than 23" which made me think they might have something a little better than 75M in mind, perhaps more like 50M of net debt in mind. Below is my bridge.

Opening net debt '25	(181)	
PBT	280	
Cash Taxes	(70)	Guided on investor call back
Fire Safety	(65)	Guided £60-70m
Buyback	(70)	Seems likely they will be below the 92M max
WIP Release	200	
Other NWC/JV Investment	(120)	Assumption by me
1x items/restructuring	(30)	Assumption by me
Closing Net Debt	(56)	Guiding DD and better than '23

Taking a step back, one issue for this stock is that they now seem to be far less enthusiastic about buying back stock following the profit warnings. I think their customers and/or banks have been spooked by the profit warnings and now they seem very focused on reducing net debt. It didn't sound like they plan on completing the 92M of buyback this year and they also are shifting their targets for debt reduction, now talking about bringing down average daily net debt to somewhere between 500M and 150M (which would be a 550M of debt reduction vs. 2024 levels at the low end). This change, unfortunately, is blowing up some of the super accretive buyback math I had but it makes sense. On paper, it seems like they should just sell all their private housebuilding land at a discount ("chipped" prices) and use all that cash to kill their share count, but in practice that seems like it has little chance of materializing.

Subject Re: PBT bridge to 2025?
Entry 04/01/2025 12:35 AM
Member fiverocks19

zax382-

I wanted to respond to the question at the end of your post #426. I think it's important and has not yet been addressed on this thread.

I would love the view on where areas of upside could be for this year. I think there's an idea that Greg was going to sandbag, and maybe he has as the bar does seem low, I just can't figure out how that is manifesting given commentary on the call and in the slides, especially with respect to the softer 1H commentary. But I'm curious how people who are closer to this view the call/guide. Thanks

It seems to me that a lot of the concern around Vistry is a lack of visibility. The company said its results are H2 weighted in 2025, as a lot of legacy lower-margin projects are rolling off to be replaced by higher-margin partnerships projects. In addition, while Vistry said sales rates have picked up in the last six weeks, they were still uninspiring. Bellway disclosed a yoy increase in sales/outlet from 0.43 to 0.51. Persimmon is at 0.67 vs. 0.59 last year. Vistry's sales rate is 0.59 YTD and actually went backwards year-on-year.

My differentiated view is that the market does not appreciate just how low the bar is set, and that Vistry's sales rates are about to meaningfully pick up leading to upside vs. consensus and the company's guidance in 2025.

The catalyst is affordable housing funding. Vistry disclosed on the earnings call and on the group call (mentioned in another post) that PRS sales are up strongly year-on-year and open market private sales are up in-line with peers. The reason for the sales/outlet underperformance at Vistry is coming solely from affordable. Why? Because the government has a 5-year affordable housing plan, and we are now in year 5. Almost all the funding has been used up, creating a bit of an air pocket ahead of the next 5-year plan.

The Labour Government, however, has just moved to fill the air pocket. Affordable funding was 2.6B/year. Labour added 500M. Then they added 300M. And then - literally 18 hours before Vistry reported - Labour announced it's dumping 2B of extra affordable housing funding into the market. It was too quick for Vistry to adjust its budgets or its forecasts, so none of Vistry's numbers include this funding.

It's only been five days since the announcement, but I'm hearing from all angles in my channel checks that the Government is pushing to get this funding out NOW. They are not waiting. And the funding can be levered 3:1. Everything shovel-ready is getting funded. This is a massive bolus of money that should drive affordable sales in the weeks and months ahead, in the only demand category that's been soft for Vistry. I think that's about to change entirely. And I wouldn't be surprised if this much funding all at once leads to not just better volumes, but also higher ASP's.

Let's see how it plays out. But this could easily lead to a series of beats and raises - which means the net debt levels could come down quicker, the buybacks could be accelerated, and the transition to pure-play partnerships could happen sooner than anyone is modeling.

These results should have been positive for the stock. No more issues in the South Division. No change to the medium-term earnings power of partnerships, which is the whole thesis. As Greg said on the earnings call, Vistry has done more to transition to partnerships in the last three months than the prior fifteen months combined. The key concern now is about the momentum in the business. And I think that's about to get a lot better.

For those interested, the UK Government announcement is here: <https://tinyurl.com/mttd4e3c>

fiverocks

Subject	CEO just bought 500,000 GBP at 5.69/share
Entry	04/01/2025 10:48 AM
Member	fiverocks19

Large insider buy from the CEO.

fiverocks

Subject	Dispersion Between US and UK Housebuilders
Entry	04/04/2025 11:10 AM
Member	fiverocks19

Lower interest rates lead to lower mortgage rates. A significant tailwind for housebuilding companies.

US housebuilders are up solidly across the board today - NVR, LEN, DHI.

UK housebuilders are down solidly across the board today. Vistry most of all.

I think lower rates is a good thing for these businesses, not a bad thing. The UK market is puking, and the UK housebuilders are the baby tossed out with the bathwater. Demand for homes in the UK will go up. The UK housebuilders should be trading like the US housebuilders, not the opposite.

fiverocks

Subject	Re: Dispersion Between US and UK Housebuilders
Entry	04/04/2025 02:19 PM
Member	Rulon Gardner

Lower rates are obviously good for homebuilders and anything real estate related

I think US homebuilders are up today due to pod shops perhaps shorting US homebuilders going into 2025.

Most REITs are down and they benefit a great deal from lower interest rates but homebuilders are up

I'll start a new topic on why any name is up today

Subject Re: Re: Dispersion Between US and UK Housebuilders
Entry 04/05/2025 01:05 AM
Member MrStingy

Rulon/fiverocks - question for you as you both know a lot more about RE than I do. To what extent are home builders hurt by a trade war, insofar as they import building materials/capital equipment?

I presume that they are not exporting their homes! ;)

TIA

Subject Partnership dynamic
Entry 04/05/2025 07:47 PM
Member greenshoes93

One of the nuances of the partnership model that piqued my interest after a call with a former at Countryside was the dynamic between the municipality, Vistry and the labor government. I was told these local municipalities are essentially totally bankrupt but land rich though they can't actually monetize the land since there are no outright buyers. But partnering with Vistry allows them to access government funding, contribute the land and monetize the land through home sales at discounted pricing where there is significant demand from all the under-housed. I'm not telling anyone here anything new but what I hadn't appreciated was the sheer number of bankrupt municipalities out there, the elegant structure to monetize their land and that they are all lining up to execute on this model, just fwiw though clearly there are plenty of experts on this name here and I am not one of them.

Subject how partnerships works
Entry 04/08/2025 08:45 AM
Member fiverocks19

This is a great real-world example of how the partnerships model works: <https://x.com/BuildingNews/status/1909583653623283746>

A project originally scheduled for 401 units in the final phase gets reset for 723 units in order to deliver the ROCE needed for Vistry. Housebuilders are subject to the whims of the market. Partnerships projects can be redesigned along the way to ensure return on capital and profit targets are met, making them far less risky and more predictable.

fiverocks

Subject UK Mortgage Rates Reach New Two Year Low
Entry 04/09/2025 08:52 AM
Member fiverocks19

Not all bond rates are tied to the US 10-year. In the UK, the two-year Gilt (what most UK mortgages are based off) is hitting fresh lows. Mortgage rates are declining sharply in response and are now at multi-year lows.

<https://www.bloomberg.com/news/articles/2025-04-09/uk-mortgage-rates-near-two-year-low-as-bets-rise-on-big-boe-cut>

<https://www.ftadviser.com/trump-tariffs/2025/4/9/uk-mortgage-lenders-cut-rates-following-trump-tariffs/>

This is good for the UK housebuilders, not bad. Another tailwind to demand. Should be a "tariff winner".

fiverocks

Subject Re: UK Mortgage Rates Reach New Two Year Low
Entry 04/10/2025 05:21 AM
Member FuzzyLogic

Mind expanding on "tariff winner"?

Subject Variable Compensation Changes
Entry 04/16/2025 09:05 AM
Member komrade.kapital

- Vistry made some small tweaks to its variable compensation (2025 Annual Bonus and LTIP) both of which I find frustrating given recent business performance and Greg's combined CEO- Chairman role.
- Stock performance matters more, while ROCE continues to be deemphasized and is targeted at only 17% for 2025. YE25 net debt has become a key driver, as such I anticipate share buybacks remaining well below my initial expectations (WSCapital did a good job of summarizing this dynamic in post #431). I'm also salty at what appears to be a handpicking \$200m W/C inflow gross of other outflows.
- I am the only one confused by the newly introduced Gross Profit KPI? *"The gross profit shortfall for FY26 metric has been introduced to ensure that profit and cash delivery in FY25 is not at the expense of future years. The metric shall be measured as achievement of final FY26 budgeted profit before tax versus FY26 consensus, post FY24 results"*
- We also now have a Board Member resigning after ~18 months on the job.

The 2025 performance measures and weightings are described below:

Measure	Weighting 2025 (as % of max)	Weighting 2024 (as % of max)
FINANCIAL		
Adjusted profit before tax	60	60
FY net debt	30	
Average month end net debt		15
Capital employed		20
Gross profit shortfall	10	
NON-FINANCIAL		
ESG ¹ – Affordable housing and people metrics		5

PERFORMANCE MEASURES AND TARGETS FOR 2025 LTIP AWARDS

The performance measures for all 2025 awards will be TSR (40%), adjusted EPS (30%), ROCE (25%), and carbon reduction (5%). The TSR measure will be split for 2025 between the current comparator group (25%) and FTSE 250 (15%). The threshold vesting will be set at 25% for each measure. Vesting will be on straight line basis between threshold and maximum.

Performance Condition	Weighting %	Threshold	Maximum
TSR against FTSE 250 (excluding investment trusts)	15	Annualised median of index	Annualised upper quartile of index
TSR against comparator group of housebuilder companies	25	Annualised median of index	Annualised upper quartile of index
Adjusted EPS	30	60p	77.5p
ROCE	25	17%	21%
Carbon reduction - reduction of absolute Scope 1 and 2 (operational) GHG emissions	5	22% reduction against 2022 baseline	29% reduction against 2022 baseline

PERFORMANCE MEASURES AND TARGETS FOR 2024 LTIP AWARDS

The performance measures for all 2024 awards will be TSR (30%), adjusted EPS (30%), ROCE (30%), and carbon reduction (10%). The TSR measure will be split for 2024 between the current comparator group (20%) and FTSE 250 (10%). The threshold vesting will be set at 25% for each measure. Vesting will be on straight line basis between threshold and maximum.

Performance Condition	Weighting %	Threshold	Maximum
TSR against FTSE 250 (excluding investment trusts)	10	Annualised median of index	Annualised upper quartile of index
TSR against comparator group of housebuilder companies	20	Annualised median of index	Annualised upper quartile of index
Adjusted EPS	30	107p	119p
ROCE	30	28%	32%
Carbon reduction - reduction of absolute Scope 1 and 2 (operational) GHG emissions	10	13% reduction against 2022 baseline	25% reduction against 2022 baseline

Subject Entry Member	Vistry stock +16% over last two trading days, as UK government announces massive increase to affordable housing budget 06/11/2025 12:47 PM fiverocks19
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I believe the shares are up for two fundamental reasons:

First, **the UK Labour Government announced a major spending program in support of affordable housing**. The previous government spent £11.8B over five years from 2021-2026. The updated program will spend £39B over ten years from 2026-2036, which is a +65% boost to the annual budget for affordable housing. Vistry is, by far, the largest private sector beneficiary of this spend – which should prove a significant tailwind to the business in the months and years ahead. An article in The Guardian detailing the program can be found here: <https://www.theguardian.com/politics/2025/jun/10/rachel-reeves-to-unveil-39bn-housing-boost-in-spending-review-shake-up>

Second, **the listed UK housebuilder Bellway reported strong results and encouraging market trends** which led to profit upgrades for both the company and across the housing sector. An article in The Times detailing Bellway's results can be found here: <https://www.thetimes.com/business-money/companies/article/bellway-sales-ease-concern-over-housebuilders-sc2wxkmh6>

With Vistry nearing the completion of its shift to a pure-play Partnerships model, significant tailwinds from the market (falling interest rates, record shortages of housing vs. population), massive government support, share buybacks going every day, the company pivoting from "exiting housebuilding" to "growing partnerships", and the shares trading at just 1x book value (vs. past Partnerships transactions done at 5-7x book), I continue to see significant upside in the shares. As the company continues to build momentum in its business, I think it's just a matter of time before shareholders are strongly rewarded for our patience.

fiverocks

Subject	Re: Vistry stock +16% over last two trading days, as UK government announces massive increase to affordable housing budget
Entry	06/12/2025 02:53 PM
Member	zax382

Hi – thank you for the update.

Curious about the timeline of the government spending programs. I know there has been concerns about an air pocket of sorts as the older program rolls off and new one rolls on. Would love to understand:

- 1) Current state of play with respect to government support – what money is available today and any color on how it is going out the door?
- 2) Cadence for the newly announced program – Are more approvals necessary before its finalized? How quickly could Vistry start planning with respect to these new programs? Etc.

Thanks again

Subject	Homes England deal and UK Macro
Entry	09/08/2025 02:10 PM
Member	zax382

Curious any thoughts on the JV announced today - Doesn't look huge in terms of dollars, and I don't really know what purpose a JV serves at this point - but certainly demonstrating close collaboration with government partners.

Also wondering if there are any thoughts about UK macro, with yields in long dated gilts hitting new highs and public unrest around the Starmer government – thoughts on macro risk for funding, housing demand in general. Thanks in advance.

Subject	Inflection Point
Entry	09/16/2025 02:34 PM
Member	fiverocks19

Vistry reported its H1 2025 financial results this past Wednesday 9/10. The numbers were previously disclosed in a Trading Update on 7/10. As a result, the focus was on forward-looking guidance and management commentary.

The guidance and commentary were unabashedly bullish. The company expects to grow operating profit high-teens in H2 2025, above +20% in 2026, and accelerate to even faster profit growth in 2027.

While the one-time issues in Q4 2024 in Vistry's legacy housebuilding business were frustrating and temporarily delayed the investment thesis, those issues are now in the rearview mirror, Vistry's operating performance is back on track, and the profit inflection is at hand.

Context

Ahead of Vistry's H1 2025 financial results, a handful of data points provided confidence in Vistry's business trajectory:

- On 6/11, the UK government announced it would allocate £39 Billion over 10 years to affordable housing. This is a step-up of +65% per annum compared to the prior £11.8 Billion plan over 5 years. Vistry is the #1 builder of affordable homes in the UK, roughly 4-5x larger than the #2, so no company is set to benefit as much from this program as Vistry. From Vistry's earnings call: *"This is an unprecedented environment for us to be working. And we've seen an unprecedented government commitment to delivering homes. Yes, somebody said it's a bazooka. It's an absolutely huge impact on the marketplace."*
- On 6/16, the UK government announced in a letter sent to social housing providers that the government would be implementing two major policies related to affordable housing: (1) "rent settlement" which permits social housing rents to rise by CPI + 1% each year for ten years starting in April 2026 and (2) "rent convergence" which permits underpriced social housing rents to step up at an even quicker pace to converge with current social rent levels. These two policies provide significant incremental cash flow as well as policy certainty for affordable housing providers (i.e., Vistry's customers). From Vistry's earnings call: *"The £39 Billion is great. The CPI plus 1% for ten years is great. But rent convergence when you've*

got really significant historically different rents makes a huge difference."

- On 8/6, Vistry disclosed that its CEO had personally purchased £500,000 worth of shares on the open market. There's an old adage on Wall Street – "there are many reasons to sell a stock, but only one reason to buy – it's because you think the stock will go up."
- On 9/8, Vistry announced a joint venture with Homes England, the UK government's housing and regeneration agency, to be called Hestia and to be backed by £150 Million of invested capital. Hestia's focus is the development of large strategic sites ranging from 400 to 3,000 homes. The invested capital can be leveraged *"significantly"*, per Vistry's CEO, and Homes England can contribute land to the joint venture. From Vistry's earnings call: *"We will not make a more important announcement than the Hestia JV in the next five years."*
- On 9/12, after Vistry's results, the new UK Housing Secretary Steve Reed put out a statement regarding his policy agenda. *"I want us to build, baby, build, so we can put the key to a decent home into the hands of every single family that needs it. We are doubling down on our plans to unleash one of the biggest eras of building in our country's history and we are backing the builders all the way."* In his statement, Secretary Reed further announced an upcoming *"blitz of new measures expected to be announced in the coming weeks and months"* that would be further supportive of the housing sector.

H1 Results

- For the fifth consecutive trading update or results announcement (1/15, 3/26, 5/14, 7/10, 9/10), there were no further issues in the legacy housebuilding business. This issue is now tied-off and clearly in the rearview mirror.
- Vistry's guidance is for +19% year-over-year operating profit growth in H2 2025, *"over 20%"* operating profit growth in 2026, before *"the real step up...in 2027 as we start seeing this funding program starting to materialize, which is right in front of our eyes at the moment."* In other words, profit growth is not only inflecting, it will accelerate in the years ahead.
- Vistry's management team made a clear case for why its expectations are underpinned. From the CEO: *"We are very confident, as you'll see as we go through the presentation that we are on track to deliver the increase in profits for 2025 over and above 2024, and a good testament to that is the serious share buying I've done in the first six months of the year."* Various members of the management team would go on to reiterate the words *"very confident"* throughout the call. Why the confidence? Management noted 88% of this year's sales are already agreed, with over 100% of forecast sales in the late-stage pipeline. From the CFO on the earnings call: *"We are managing it very closely. We have much greater visibility on what needs to happen between now and the end of the year than we had at the same time last year, and we're managing it extremely tightly. So that gives us confidence that we're going to deliver those numbers by the end of the year."*
- Vistry also noted legacy low-margin sites continue to complete and roll off the books. 50% of these low-margin sites will complete by year-end 2026 and 80% will complete by year-end 2027. This provides a strong, persistent tailwind for margin and profit expansion in the months and years ahead.
- The mix of homes is now expected to be closer to 75% partner funded, up from 65% partner funded. This reduces risk (less reliance on open market sales) while Vistry is able to maintain its return-on-capital and margin targets as margins on affordable housing have been increasing due to strong demand for these homes.
- From the earnings call: *"Without doubt, we have a clear market leading position. We're five times bigger than any of our competitors and can scale up on that with, for instance, our timber frame and now brick capability. We are seeing unprecedented government commitments to housing funding. Stephen and I have been around for over 40 years in this industry, and we've never seen anything like it. And don't underestimate the pressure that government is putting on housing associations – saying we've given you what you want with your rent settlement, your convergence, your access to the building safety fund, you best be getting on with giving us what we want, and that is getting on with building homes, particularly for affordable rent. And that is all actually happening right in front of us."*
- A final quote to sum it up from the CEO: *"If you go back to September 2023, when we announced our new strategy, if somebody would have said the new government is going to come in and announce £39 Billion, bring forward £2 Billion, you're going to be signing a joint venture with Homes England – basically the government – I would have said no, I'm not that bullish. And that's exactly what's come through."*

Conclusion

At the end of Vistry's earnings call, Vistry's CEO concluded by saying he *"hoped everyone got the tone of what we're saying."*

Message received. Vistry has reached the long-awaited inflection in its business.

But none of this is currently reflected in Vistry's stock. The shares trade for below book value, 4.5x 2026 EBIT, and 2.5x medium-term EBIT. Historically, partnerships businesses like Vistry have transacted for 5-7x book value and 12-14x EBIT.

It remains my view that as Vistry delivers what is right in front of the company, that shareholders will be significantly rewarded. The legacy housebuilding issues are in the rearview mirror, Vistry is more of a "pure play" partnerships business than ever before, the profit inflection is at hand, the stock trades at a steep discount to historical multiples, and Vistry continues to buy back shares every day. The set-up is as good as I've seen it.

In the US, investors tend to move stock prices 9-12 months in advance of business performance. In the UK, investors tend to wait until the results are actually reported on the page. As Vistry's numbers are printed, I see every bit the upside originally envisioned – to £20-£40+/share, vs. a current share price of £6/share – as markets come to grips with the clear value in Vistry shares.

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Subject Re: Inflection Point
Entry 09/16/2025 03:09 PM
Member mpk391
 Thank you for this update. Still long.

Subject Any updated view anyone?
Entry 01/14/2026 04:54 PM
Member rii136
 Not close to this but am self-interested given our exposure in the space.

Subject Re: Any updated view anyone?
Entry 01/15/2026 09:40 AM
Member fiverocks19

Yesterday morning, Vistry Group plc ("Vistry") issued its January trading update and provided preliminary guidance for 2026.

Both the results and the guidance were positive. It appears 2026 will be a major inflection year for the company.

First, let's look at 2025.

The company achieved each of its financial targets in 2025, including: (1) improved year-over-year Profit Before Tax, (2) high-teens year-over-year growth in Operating Profit in H2 2025, and (3) a reduction in year-end Net Debt.

In addition, the company made meaningful strategic progress as Vistry today is more "pure-play" Partnerships than ever, with a "clean" land bank entering 2026, and no further issues in the legacy housebuilding South Division.

Now on to 2026:

- Volume growth is expected to be "at least 10%".
- Operating Margin is expected to see "further progression" from 8.4% to 9%+, on the way towards the company's mid-term target of 12%+.
- Vistry expects to be in a Net Cash position by year-end 2026.
- An expanded Capital Return program is to be announced in the spring.

Doing the math, Operating Profit is expected to grow c. +20% in 2026, an acceleration from +16% in H2 2025. The combination of lower net debt (resulting in lower interest expense) and continued share buybacks should boost EPS growth to +30%.

Importantly, the pace of share buybacks has stepped up from £300,000 per day in 2025 to £500,000 per day so far in 2026, and the company indicated that pace should accelerate further following year-end results this spring. At the time of the Countryside/Vistry merger, total share count was c. 350m shares; today there are 319m shares outstanding and we expect to see c. 295m shares by year-end, a 7-8% reduction.

The macroeconomic environment is also supportive. Interest rates are coming down, the UK Government is aggressively backing the UK housing market and especially affordable housing (Vistry is the clear market leader in affordable), and recent data points such as web traffic on housing transaction websites (from Rightmove) and the respected RICS survey show improving sentiment since the UK Budget announcement at the end of November. Vistry's business has significant structural and cyclical macro tailwinds entering 2026.

Vistry's stock does not reflect this set-up. The shares currently trade for below book value, at a mid-single-digit forward earnings multiple, and for just 2.5x medium-term EBIT. For reference, Partnerships businesses have historically transacted for 5-7x book value and 12-14x EBIT. The opportunity to purchase shares at these valuations with +20% EBIT growth and +30% EPS growth is rare.

Finally, our sense is sentiment on the sell-side is beginning to shift around Vistry. In the past, the focus was on legacy housebuilding issues or gaining a basic understanding of the model. Over the last 48 hours, analysts have instead focused on growth expectations and momentum in the business. We see significant re-rating potential on top of best-in-class profit growth in 2026 and beyond.

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Subject	Re: Re: Any updated view anyone?
Entry	01/20/2026 12:28 PM
Member	FuzzyLogic

Nice update, but I'd like to enquire a little more on the topic of margins. How does one bridge the margin from current levels to 12%? If we add back this year's South Division knock of £40m then we're still below 10%. So I wanted to understand what exactly gets them closer to 12%? I know they said that they were cycling through lower margin homes. Where were those from and why will they now cease? I suspect some of this may lie in less PRS business in favour of affordable homes, but not sure on that point.

fuzzy

Subject	Re: Re: Re: Any updated view anyone?
Entry	01/20/2026 02:28 PM
Member	fiverocks19

fuzzy-

It's two triggers: (1) the exit of housebuilding / legacy South Division and (2) cycling off low-margin projects from the Iain McPherson years.

On the latter, Countryside had a brief period with a CEO named Iain McPherson in charge during 2019-2020. He was, as the British would say, "not great". He didn't have appropriate operational controls in place and then panicked during Covid and signed a bunch of partnerships projects that emphasized near-term cash over long-term profitability. Those projects are cycling off and being replaced with partnerships deals that meet the company's 40% ROCE and 12% EBIT margin targets.

FWIW, Countryside earned 12%+ EBIT margins pre-McPherson, and Vistry Partnerships earned 12%+ EBIT margins pre-Countryside merger. On the most recent earnings call, management said projects signed up since the merger are solidly ahead of the 12% target. The company can absolutely return to that kind of margin profile over the next 2-3 years.

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Subject Re: Re: Any updated view anyone?
Entry 01/21/2026 08:24 AM
Member erst1071

I have a few questions regarding your outlook..

How do you get to >20% growth in 2026? The company in Q/A emphasised that the volume growth was closer to 10% than 5%, but that open market should be roughly flat and rest coming from affordable. We dont have the split and ASPs for 2025, but for 2024 the ASP for partnerships was 236 vs open market at 385, meaning a significant negative drag from mix for 2026.

The company indicates it will have margin progression in 2026 from 2025, which it simply will have from the costs related to the south division being ~35m lower in 2025 (~1% margin improvement).

How do you think about quality of earnings? The company had ~120m adjustments to get to its Adj. PBT number, and noted on the call it will continue to see ~80m of cash outflow related to the fire safety.

Subject Re: Re: Re: Any updated view anyone?
Entry 01/21/2026 11:42 AM
Member fiverocks19
 erst1071-

I'd encourage you to re-listen to the call. Management did not say volume growth growth would be "closer to 10% than 5%" - the CEO explicitly said it would be "over 10%".

There was no guidance on ASP's. There are countervailing trends - house prices are likely to be up a few percent overall, private market may be a touch lower as a percentage of sales, and there may be a mix shift from PRS to Affordable. We are modeling that Affordable ASP's should be notably higher in 2026 vs. 2025 due to meaningful incremental demand. Overall, I would not be surprised to see ASP's flat-to-up.

Then there is the margin comment. If operating margins go up 100bps as you suggest (remember, the South Division is only one piece as there is also a mix shift towards more profitable Partnerships projects), that alone is a 12% boost to Operating Profit (9.4% margin in 2026 vs. 8.4% margin in 2025).

So volume "up over 10%" plus ASP's likely flat-to-up plus Operating Margin up +12%, that gets you to EBIT growth of maybe +23-24%.

Regarding Q of E, I have found Vistry's add-backs historically to be reasonable. They are not pushing the envelope (as many companies do) with aggressive add-backs. The fire safety costs are well understood and one-time, and the company is making good progress getting those taken care of.

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Subject Good Interview on Vistry Partnerships
Entry 01/23/2026 12:11 PM
Member fiverocks19

Interview with Stephen Teagle who runs Vistry's partnerships business:

<https://peelhunthousebuilders.gallery/video/260123>

fiverocks

Subject Re: Re: Re: Re: Any updated view anyone?
Entry 01/24/2026 12:50 AM
Member erst1071

Just following up on quality of earnings, and the underlying profit growth for 2025, that you and mgmt is very excited about.

For 2024, the adj. PBT was 264m after having incurred a loss of 92m in the south division. This was not adjusted out. For 2025, the company expects Adj. PBT of 270m after having uncurrred ~45m of losses in the South division. Meaning underlying PBT ex South impact, went from 355m in 2024 to 315m in 2025?

Subject Re: Re: Re: Re: Re: Any updated view anyone?
Entry 01/24/2026 06:06 PM
Member Shoe

I like the UK homebuilder trade, but prefer the others.

VTY's negatives include: 1) hedge fund hotel; 2) elevated / unachievable guidance partly due to it being a HF hotel; 3) bad/ not as good balance sheet; 4) bad execution.

It's all the same macro trade; so just pay up a bit more for the others, and have less London exposure (e.g. Taylor Wimpey)

Subject Re: Re: Re: Re: Re: Re: Any updated view anyone?
Entry 01/24/2026 06:29 PM
Member Rtg123
 Shoe, which is your favorite builder?

Subject Re: Any updated view anyone?
Entry 01/24/2026 06:47 PM
Member alli718
 What do you prefer in UK house building?

Subject Re: Re: Any updated view anyone?
Entry 01/28/2026 05:35 PM
Member Shoe
 Persimmon is best I think. More exposure in the north (better geographies), better ROEs, lower ASPs. Best at executing. Yea it trades richest, but that's well deserved.

Bellway I prefer among the cheaper ones

Subject news flow this week
Entry 01/29/2026 11:56 AM
Member fiverocks19
 A lot has happened this week for Vistry - specifically confirmation of "rent convergence" by the government, setting an interest rate of 0.1% for a 2.5B lending facility for Housing Associations, plus a big uplift in tendering for the Affordable Homes Programme.

Comments below from Panmure Liberum...

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Vistry (BUY) - Government providing increased clarity on funding structures for the construction of new Affordable Housing, positive for Vistry

This week we have seen the Government providing further clarity on the funding structures for the construction of new Affordable Housing. The MHCLG has confirmed that social and affordable rents that currently fall below benchmark can be initially raised by £1 per week and then by £2 per week (from Apr-28). This is in addition to the CPI+1% increase being put in place. Meanwhile, we are seeing progress on tendering for the next iteration of the Affordable Homes Programme. This will increase annual funding to £3.9bn, up from £2.3bn currently. A large proportion of this funding stream will be allocated by the summer. We believe these measures will be sufficient to increase social housing new build volumes by >50%. In addition to these measures, the Government has this week confirmed that the interest rate on its proposed £2.5bn loan facility for Housing Associations will be 0.1% pa. Effectively this is free money. We estimate this facility, which will be deployed relatively quickly, will be sufficient to deliver c15,400 dwellings. This assumes an average build cost of £162k per plot – a figure based upon Persimmon's social housing delivery data. Currently, total annual affordable housing delivery is running at 63,000 units pa. Therefore, this uplift represents a material opportunity for the industry. In addition to these public sector initiatives, we are seeing growing private capital flows into the sector. Within this context, towards the tail end of 2025 Lloyds Bank restructured its specialist lending and is already deploying funds. For example, early in January it renewed an existing £120m facility and provided £75m of new finance to Orbit. Elsewhere, Santander has announced that in 2026 it plans to increase lending to Housing Associations by 50%. This will provide an additional £1.0bn of private sector funding. Vistry (BUY) stands out as a clear beneficiary: its recent designation as a Homes England "Strategic Partner-Plus" reflects its leading position in the provision of Affordable Housing and will ensure it captures a high share of incremental funding and volumes relative to peers. Therefore, we view the growing funding news flow as structurally positive for Affordable Housing (generally) and Vistry (specifically). Vistry is set to announce its next set of results on 4 March 2026.

Subject Re: news flow this week
Entry 01/29/2026 08:28 PM
Member Sam van Noort

@ Fiverocks: what is your take on the other UK housebuilders? Are you also taking a basket approach? Or do you prefer VTY specifically over others? And if so, why?

Thanks again for all the info you have shared on this thread.

Subject Re: Re: news flow this week
Entry 02/11/2026 11:31 AM
Member fiverocks19

Sam van Noort-

We only own Vistry. Due to the Partnerships model, it is the best-in-class housebuilding business by some distance, but trades as if it's just another asset-intensive housebuilder.

I remember when the hotel C-Corps like Marriott, Hyatt, etc., traded at the same multiple as the hotel REITs around 15x EBITDA. We went short the hotel REITs. Over time, the (asset light) C-Corps traded into the high-teens EBITDA multiples and the (asset heavy) hotel REITs traded down to around 10x EBITDA. Eventually the market will make the same distinction here and Vistry should trade at a notable premium to the asset-heavy traditional UK housebuilders.

fiverocks

Subject help to buy
Entry 02/11/2026 11:32 AM
Member fiverocks19
<https://www.telegraph.co.uk/money/property/buying-selling/labour-considers-new-help-to-buy-scheme/>

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Subject 2026 Guide + Greg
Entry 03/04/2026 09:20 AM
Member zax382
 Would love any thoughts. Greg out (in a year?), guidance lower mostly on margin. Stock obviously down a lot.

Seems to fly in the face of both all the recent commentary from the company but also the various government programs we've all seen. Very hard to understand what is going on here, and I think that is the reason for the stock reaction. Does seem like throwing the towel on the whole thesis as this was, finally, supposed to be the year.

All that said, the numbers themselves were not that bad. Some actual sales momentum seems to be building for the first time in a while. But Greg out seems to indicate perhaps the shift to partnerships is dying or dead? Certainly in insane deep value territory here. Any thoughts very welcome.

Subject Re: 2026 Guide + Greg
Entry 03/04/2026 09:52 AM
Member VC2020
 I'm struggling to understand the margin guidance in the context of everything else. They were very clear there is going to be a lot of discounting this year. I'm not sure why that is so necessary – Bellway and Persimmon for example are guiding for completions growth at higher / stable margins vs. the prior year, and they are just regular old homebuilders.

Subject Re: Re: 2026 Guide + Greg
Entry 03/04/2026 10:11 AM
Member FuzzyLogic
 Agree that the margin knock is clear as mud. Its just on open market sales and in a bid to reduce WIP / capital employed, so is the focus then perhaps on legacy housebuilding sites as opposed to newer sites in order to clean up the balance sheet? That would make some sense, but I don't think they said that. They've really communicated incredibly poorly here... basically every analyst question was around the discounting with little clarity from the answers. Also, it actually wasn't clear (to me anyway) whether total margins for the year are expected to be higher or lower... if they're going to ramp completions back to 17k resulting in operating leverage, and have less impact from the South division than in 2024 / 25, then the discounts have to be pretty large on just 25% of completions (open market) to result in a total margin decrease for the year.

On Greg leaving, it's definitely from left-field. He's 61 so presumably has some years left. He's recently bought a fair amount of stock. And the whole environment is heating up in terms of affordable homes funding so wouldn't he want to benefit from some of that? Obviously can't fault anyone for retiring at 61, but timing doesn't add up. Is he perhaps seeing trouble coming (despite his positive demeanour on calls) or was he asked to step down? It's odd for sure. This being said, a price-to-book in the 70s after the selloff seems a bit extreme given the results were in line with the guide from January.

Subject Re: Re: Re: 2026 Guide + Greg
Entry 03/04/2026 10:30 AM
Member VC2020

I think this is the main comment re: margin:

"So we expect to deliver – even with all of the discounting, we expect to deliver an increased profit on 2026. The margin will be lowered because of the sales incentives, as we said."

I don't know whether that is on an adjusted basis or not (sounds like maybe its not as they are just referring to profit?), but it seems to me that they expect margins lower this year vs. last year?

Subject Re: Re: Re: Re: 2026 Guide + Greg
Entry 03/04/2026 01:03 PM
Member churchill

they said margins would be lower as they want to incentivize sales reps to clear inventory and wind down their legacy business. they say this is working with open market sales up 40% ytd. nothing new or surprising here I believe.

Subject	Vistry Group plc - FY 2025 Results + Update
Entry	03/06/2026 10:28 AM
Member	fiverocks19
Hi All-	

This has been a frustrating week for Vistry Group plc ("Vistry"), as the company's share price fell below 500p/share following the company's FY 2025 Results announcement on Wednesday, March 4.

While macroeconomic conditions already had the markets on edge due to the Iran War and worries over energy inflation, interest rates, etc., the decline in the share price had more to do with three Vistry-specific updates:

(1) the announcement that Chairman/CEO Greg Fitzgerald will be retiring, first stepping down as Chairman in May and then stepping down as CEO by March 2027;

(2) a tactical decision to trade off price for volume in the company's private-sale units and particularly on Housebuilding sites; and

(3) a capital allocation decision to pay down debt more aggressively in the near-term while continuing share buybacks at a relatively low level, before potentially accelerating buybacks in the back-half of the year.

In this note, we take each of these updates in-turn and then share our concluding views.

CEO Retirement

Greg Fitzgerald's retirement came as a surprise to the market.

While his performance more recently – especially the profit warnings in Q4 2024 – have been a clear blemish on his track record, his 45 years in the industry have overall been a success with repeat examples of significant value creation.

Greg disclosed that his retirement was well-telegraphed to the Board of Directors, that the company is within 2-3 weeks of selecting a new Chairman, and that a search is already well underway for a new CEO.

Importantly, we understand that Vistry Board Director Usman Nabi, who leads Los Angeles-based activist investor Browning West and whose investment approach is predicated on attracting and backing top-rate leadership at their portfolio companies, is "heavily-involved" in the search and selection of both the Chair and CEO.

We expect Vistry will soon have in place a strong Chair and a strong CEO, each vetted and hand-picked by Usman. In the meantime, however, the market is treating the uncertainty around the company's leadership as a negative.

Price-for-Volume Trade-Off

Our investment thesis for Vistry has three legs (1) Partnerships is a crown jewel business that should command a premium valuation, (2) Vistry is exiting legacy Housebuilding to become a pure-play Partnerships company, and (3) Vistry will use the proceeds from Housebuilding to repurchase significant shares.

The company has fully embraced all three legs to our value creation thesis. That said, the implementation of the second leg has not been done as we would have preferred. In situations like this, we think a "clean break" is best – Vistry should have sold its entire legacy Housebuilding business in one go. Instead, the company decided to exit the Housebuilding business over time; converting some sites and employees to the Partnerships side of the business, and exiting via (a) natural attrition as sites are sold down and not replaced, plus (b) bulk home sales (generally done at a 10-15% discount), and (c) land sales.

With the UK housing market sluggish over the last few years, the pace of exiting Housebuilding has been slower than expected. Six weeks ago, Vistry's management decided – rightly, in our opinion – that the time has come to "rip the band-aid off" and exit Housebuilding in a more muscular way. Vistry instructed its business units to employ discounting of 5-7% on many private-sale units - overwhelmingly on legacy Housebuilding sites - to get on with the exit of Housebuilding and convert assets to cash.

The strategy appears to be working. Vistry disclosed this spring selling season is an all-time record for sales. The company now has a record forward-order book and is already forward-sold on 67% of its target for 2026...and we are only two months into the year. Through February, Vistry's unit sales are +40% year-over-year – and as the decision to be more aggressive was made at the beginning of February, the more recent pace appears to be +60-80%.

Importantly, operating margins on Housebuilding units are generally in the teens, so discounting 5-7% still leaves a nice profit for the company. And it's far better than selling via bulk sales at a 10-15% haircut. Bluntly, Vistry should have been doing this 2.5 years ago when the strategy shift to Partnerships was first announced. But better late than never – we see the transition to a pure-play Partnerships business shifting up several gears and being brought forward, paired with a meaningful cash release.

As the strategy has only recently been implemented, Vistry did not provide guidance around volume but did say the company expects operating margins to be flat year-over-year in 2026. As a result, the sell-side did not put through volume increases into their models, but did reduce margin expectations and lower profit forecasts. The market treated this as a negative, and because it was not explained well that this is a "realization of value" almost entirely in legacy Housebuilding, it led some to question the Partnerships model itself.

We don't see it as a negative – we see this as the right strategy that the company should have been implementing all along, with a margin impact that is temporary not permanent.

Capital Allocation

Vistry ended 2025 with EBITDA of 428mm set against net debt of 144mm.

That year-end net debt number, however, understates Vistry's practical financial position, as selling homes is a seasonal business with many homes sold in the spring and closed in the fall. As a result, the low ebb for Vistry's cash position is at year-end (after contracts close and Vistry receives cash) and highest in the late-summer/early-fall.

Vistry has disclosed that "average daily net debt" in 2025 was just over 700mm. The company has borrowing capacity of 1,130mm. This means that at the moment of maximum balance sheet pressure, Vistry likely only has 100-200mm of cushion against its borrowing facilities.

Over time, this will be largely solved by the shift to Partnerships, which is a far less capital intensive business. But in the meantime, Vistry has made the decision to reduce its average daily net debt position to below 500mm, which implies a bigger cushion of 300-400mm at the seasonal peak.

Given the recent pace of sales, Vistry expects this relief to come in the near-term due to the monetization of Housebuilding assets. However, until this debt level is achieved, the company's buyback program will continue to run at about 100,000 GBP per day with no new or accelerated buyback program announced this week. The company intends to update the market on a new potential buyback program at H1 Results. In the meantime, however, the market took it as a negative that the company has not implemented a new and/or more muscular buyback program especially with the shares below 500p.

Concluding Views

We are surprised Greg is retiring as CEO. At the same time, we are optimistic Usman will make sure his replacement(s) are of top quality.

We think it is the right strategy to more aggressively exit Housebuilding and convert Vistry into a pure-play Partnerships business. We are more than ready for Vistry's balance sheet to get to a sensible place so the buyback program can be up-sized and return in force.

So long as Usman delivers on management, it is hard to point to anywhere our views have changed. The Partnerships business remains a terrific operation, we are pleased to see an accelerated exit of Housebuilding, and once the balance sheet clean-up is done (which may be in a matter of weeks or months), we anticipate every incremental dollar of excess cash flow will go to buybacks. The share count has already fallen from 450m to 419m, and we expect there is a lot more to go.

This leaves an interesting set-up. The stock is trading at record-cheap levels – 0.6x book value, 7x earnings, and just 4x EBITDA, with profit expected to more than double to reach the company's mid-term targets (expected by 2029-2030, as guided on this week's earnings call by Greg). Profit will go up again in 2026 vs. 2025. And we have an attractive cocktail of catalysts right in front of us: (1) resolving the leadership vacuum, (2) finishing the transition to a pure-play Partnerships business, (3) the kick-off of massive governmental stimulus into UK affordable housing which is expected in the next 1-2 quarters, and (4) a more aggressive share buyback program once the balance sheet is in the right place. At least #1, #2, and #4 should be 2026 events, and #3 should see material progress this year.

Vistry has been a frustrating investment. It has required the Patience of Job. That said, the thesis has not changed, and if anything it has been brought forward with this week's announcements. We continue to believe our patience will be meaningfully rewarded, especially from today's share price.

fiverocks

Subject	Re: Vistry Group plc - FY 2025 Results + Update
Entry	03/06/2026 01:35 PM
Member	zax382

Thanks for the update. I wanted to get your thoughts more on Greg's exit. My view (could be wrong) is that the majority of the move down in the stock was due to Greg's surprise exit announcement. As the architect of the strategy and constant promoter of Vistry, it was pretty shocking to see him "retire" with the stock at its lows and, ostensibly, a huge amount of cash from the UK government on the way.

I'd love your thoughts but I have three explanations here:

1) Greg was somewhat ceremoniously fired: As a longtime Vistry investor I do not think Greg has even done a passable job here. His combination of heavy promotion and lack of execution, as well as confusing communication (this call with respect to margins is yet another exhibit) – it has not been good. If I were a board member I would have pushed for new leadership regardless of his historical reputation and would not be surprised if this drove his ouster. Honestly I'm looking forward to someone else running this business. The risk with this of course is that a new leader will come in, lower the decks further, abandon the now comically aspirational goals, etc. But we are probably beyond priced for this. I don't actually think this is what happened, but its possible.

2) Greg is retiring for personal reasons: He's only 61, but perhaps the stress of this job, health issues, an angry spouse, or one of a million reasons means he just wants to try and hand the job over to someone else. He may still see all the amazing upside he's spoken about but think that someone else might do a better or equally good job of delivering it while he fades into the sunset and holds his stock. Seems plausible to me but hard to know.

3) Greg sees the writing on the wall: Something is wrong here. Maybe the UK government permitting process for partnerships is just never going to work. Maybe he's built up some animus with someone important in the government. Maybe Vistry's product is bad and that will become clear in 12 months. Maybe Greg has destroyed too many relationships and its no longer recoverable. In this scenario something we can't see, but Greg can see, has led him to believe this isn't worth his time and effort anymore, this transition is a lost cause, and he should move on. I'm sure many in the marketplace ascribe to this view, and it also seems plausible. The conflict between the highly promotional language on recent calls and retirement does point to something changing, or that it was all smoke and mirrors to begin with. I think this is why the stock was down so much.

I'd be curious if you have any more intelligence as to which of these three scenarios it could be. It is just that, at his age, after all that he's said and done, leaving the company makes very little sense. It is very easy to think he is abandoning a sinking ship. Many of the investors were involved because of his commitment to this business model transition.

Now, he's sticking around for a year, which may mute some of this. But I think this is the primary red flag that drove most of the stock selloff to these now deep value levels.

Subject	Re: Vistry Group plc - FY 2025 Results + Update
Entry	03/07/2026 01:46 AM
Member	FuzzyLogic

Hi fiverocks, thanks for the detail you've provided which is obviously not required but appreciated.

I just want to drill down into the discounted sales since, if these sales are on the newer sites, it could call into question the new operating model. How do you know that it's mostly legacy housebuilding sites being discounted? And do you know what "mostly" means? Was this said to you by management directly or on a separate analyst call? Because I've listened to the main earnings call twice now and that is not clear from what was said. It makes sense to clean out the legacy stock at a lower price if that's what they're doing. Also you've said margins for the year will be flat... is that also what they said? Again not clear from the call.

Thanks

Fuzzy

Subject	Re: Re: Vistry Group plc - FY 2025 Results + Update
Entry	03/09/2026 11:42 AM
Member	fiverocks19

Fuzzy - management communicated this directly to me and on a separate group investor call that I attended late last week. Almost all the incentives are related to moving Housebuilding off the balance sheet. To zax382's point, the company should have made this much clearer on the earnings call itself.

zax382 - agree with everything you said. Will come back to you once I have a strong view. CEO has been repeating that it's #2 and notes that his wife is 8 years older than him and has been pushing for him to stop working for a while.

fiverocks

Subject	Re: Re: Re: Vistry Group plc - FY 2025 Results + Update
Entry	03/10/2026 11:18 AM
Member	HTC2012

I'm concerned about a few things. First, the going concern language in the report has been changed and is far more extensive than it was previously. Not a good sign. Similarly today's news about the FCA investigation, while in regards to 2023/2024, is also not a good sign.

This company could be one crisis away from moving towards a bankruptcy.

Subject	Re: Re: Re: Re: Vistry Group plc - FY 2025 Results + Update
Entry	03/10/2026 08:50 PM
Member	fiverocks19

The "FCA Investigation" is a non-issue. It is related to two former Vistry employees in their personal capacities, and there is no investigation of Vistry.

"The matter is limited to these two individuals and, as the Financial Reporting Council has stated, the opening of an investigation does not indicate that the FRC has made, or will make, any findings of misconduct in relation to the individuals concerned."

I also think "one crisis away from moving towards bankruptcy" is alarmist and irresponsible language. The company is generating huge sums of cash (as it liquidates its housebuilding assets) and EBIT is over 400mm. Average daily net debt last year was 734mm, and it will soon be below 500mm. Net debt to EBIT of under 2x, soon falling to close to 1x, is a conservative financial position.

fiverocks

Subject Entry Member zax382-	Re: Re: Vistry Group plc - FY 2025 Results + Update 03/10/2026 09:02 PM fiverocks19
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I've done my digging. I think the answer is #2...with a shade of #1.

Greg wasn't fired; it was his choice and he's genuinely ready to stop working after a career spent driving housebuilding businesses hard for 45 years since the age of 18. In the UK, executives often retire in their 50's...Greg is past 60, and the pressure on him to stand down from his wife (and himself) was real. That said, I do think given recent underperformance (especially during Q4 2024), there wasn't as much effort to retain him once he declared he was ready to retire as there may have been in the past. My sense is a new leadership voice may be welcome, and probably is good for the company.

I have a short-list in mind for the new CEO, and am confident my short-list is not dissimilar from who will be considered.

fiverocks

Subject Entry Member	Re: Re: Re: Re: Vistry Group plc - FY 2025 Results + Update 03/11/2026 06:46 AM HTC2012
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From a Barclays note this morning below. Again, I'm not saying the Company is going BK. I am saying that there is a risk of it if things get worse operationally.

Scrutinising the latest going concern note scenarios We take a closer look at the assumptions underpinning the group's latest going concern note. The implications of potentially higher rates for price/cost and demand mean we're increasingly worried about liquidity. We estimate adjusted "all in" net debt / EBITDA is c.5.3x

Sustaining +40% LFL appears key to staying within its facilities. We worry that will be increasingly hard to achieve: We downgraded the stock to Underweight last week, because we are concerned the new strategy of attempting to drive volume at the expense of margin told us that the group was now aggressively focused on cash collection. We worried that this may tell us that Vistry could be struggling to operate within the limits of its £1.1bn banking facilities. A closer look at the going concern note in last week's results has only added to our concern. The continuation of the recent 40% improvement in sales rates constitutes one of the assumptions underpinning management's base case, in which it stays within its committed borrowing facilities and covenants. Given last week's move in swap rates, and likely resulting increase in mortgage rates, we worry that demand may actually wane, even with deep discounts to price.

We worry that effects similar those to the company details in its 'downside scenario' in which it exceeds its facilities is increasingly "plausible": The company's going concern note lays out a 'severe but plausible' downside scenario in which, in the absence of mitigating actions, the group could exceed its committed borrowing facilities and "breach certain covenants". This would involve sales slowing to 2025 levels from May onwards, a further 3% reduction in prices, seven-week delays to all Partner funded contracts generating £7.5m+ up to June, a 5% increase in Partner cancellations and 5% build cost inflation. We have three key concerns: 1) We view lower prices and sales rates, and higher build costs as an increasingly plausible scenario. All are linked to higher inflation and mortgage rates. Even if in a flat market, we would worry that recent discounts may prove hard to reverse. 2) We do not see this as an exhaustive list of risks (particularly given the execution issues we saw in 2024). 3) Although the company's note sets out potential mitigations, we think those measures would likely have a meaningfully negative impact on profit and cash flows in future periods (reduced WIP and land investment, higher land sales and reduced overheads). Rather than truly mitigating problems, we believe the company's proposed "mitigating actions" in its downside case scenario may just result in a small business with a still relatively high level of debt.

We estimate adjusted net debt / EBITDA is c5.3x: We remain concerned that average net debt, and implicitly peak net debt, is very high. Traditional average net debt is >£770m in Q1 vs £1.1bn of total facilities. Factoring in land creditors, fire safety provisions, JV debt and leases, we estimate that "all in" adjusted average net debt stands at c£2bn, which is c.5.3x EBITDA (2026E) (see Figure 1). If the group did reach the limits of its current facilities, and we saw just a 10% EBITDA downgrade, we estimate that this metric would reach 6.9x.

Subject Entry Member	Re: Re: Re: Re: Re: Vistry Group plc - FY 2025 Results + Update 03/11/2026 09:37 AM zax382
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Fiverocks – thank you for all your helpful commentary here. Our work is coming out in the same place. I think it will be important that the new Board Chair take a strong role here when appointed, endorse the numbers, and provide some continuity to tell people the transition to partnerships is still the plan. Bottom line, they just need to hit/beat numbers going forward.

In terms of credit – HTC – please explain this to me. This company's debt effectively goes to zero at the end of the year as they close on homes that they sold during the spring selling season. Given the debt balance is *entirely* working capital, are you saying they will just build themselves off a cliff? Has that ever happened? Given they are raising cash by moving more homes off the balance sheet I think one might argue that default risk now is actually lower than it ever has been? Seems like this type of misunderstanding is worth taking advantage of. Finally, by my math, a bankruptcy filing is probably positive for the equity as you'd liquidate everything and come out well above the current share price, so I guess go for it guys.

Subject Re: Re: Re: Re: Re: Re: Vistry Group plc - FY 2025 Results + Update
Entry 03/12/2026 06:03 AM
Member FuzzyLogic

So I don't want to speak for HTC, but in the interest of keeping the conversation going here is what I understand:

Yes I think they could theoretically build themselves off a cliff. Since you start building today, hope to sell in Spring (peak demand time) and then get the money 4 months later, you could build homes that sell slower and not have the cash to finish them, in which case they can't be sold since they're unfinished stock. This would require a sudden slowdown in demand (despite last year's rate cuts starting to come through) combined with slower partnership deals than anticipated (which are largely divorced from the general market sentiment for buying homes and are being pushed by government). But we only know average net debt (GBP 734m in 2025) not peak net debt so don't know how close they get to their GBP 1.13bn liquidity.

Yesterday the mortgage rates spiked off the back of inflation fears fuelled by the war in Iran... a bunch of articles saying the rate went from just under 5% to 5.09% in a matter of days which is a very big one-day move. This speaks to two of the factors mentioned in Vistry's plausible downside scenario: inflation + lower potential demand. That said, I don't think Barclays is being fair in saying they need to maintain their 40% higher sales rate or they run out of liquidity - that is not how I read their Going Concern note which admittedly is very much expanded from last year.

I take comfort from the fact that they a) have started sales strongly, early in the year, so cash should hit sooner than Q4 from those sales, b) they're still doing the daily buybacks - I see there is another one this morning (12 March) - buybacks are the easiest thing to turn off if you're worried about liquidity, c) Greg bought another GBP 900k of shares this morning... not something you do if you're running out of cash, and d) the Rightmove report from February suggests the market is in a decent place with price increases in Jan followed by a flat Feb after Nov / Dec last year saw price declines suggesting lower demand.

I think their levers of stopping buybacks (small impact), getting more partnerships work off the back of rent settlement + convergence + upcoming grants which bring in quick cash, possible bulk deals for land or finished stock (tougher in a down-market so obviously not fully in their hands), cutting unnecessary costs and deferring more discretionary land purchases are all plausible remedies in a severe scenario.

We won't know how many new partnerships deals are being closed or how many of last year's signed deals are meeting their contractual obligations. And I personally don't fully understand their language in the severe scenario: "5% cancellation of new partner funded transactions" - if it's a new transaction not yet contracted how can it be cancelled? Or the sentence about 7 week delays... is that ALL deals above GBP 7.5m that were expected but not signed (how many is that and how often do these things get delayed?) and were going to deliver cash by 30 June?

Lastly, there should be enough money around to extend liquidity if it comes to it? As you say zax, the working capital comes back quickly. At a push would Browning West not step in with expensive short-term financing if needed to defend their equity? Seems like a reasonable thing to do if I were them and other options were exhausted.

Overall my take-out is that they were probably forced to put in that language with all the mess from 2023/24 accounting and restating prior figures. But I don't think its entirely coincidental that Greg is pushing sales discounts at the start of the year... I'd be naive to think thats just about getting the ROCE up. Its pretty poor management that its come to this... doesn't seem like a necessary thing for this business to have to think about and suggests they've just been too bullish in their actions without thinking properly about the downside and rather slowing down if needed.

Fuzzy

Subject Insider Buy: Over \$1,000,000 Purchased Yesterday By CEO Greg Fitzgerald
Entry 03/12/2026 09:07 AM
Member fiverocks19

https://otp.tools.investis.com/clients/uk/vistry_group/rns/regulatory-story.aspx?cid=1525&newsid=2040199

fiverocks

Subject Re: Insider Buy: Over \$1,000,000 Purchased Yesterday By CEO Greg Fitzgerald
Entry 03/12/2026 09:19 AM
Member Thor25

Quite a statement - I think we all hate the "insiders only buy for one reason" quote since it's so wrong (Markus Braun bought a ton of Wirecard 3 months before it went to zero), but buying in this spot seems higher signal than normal. He for sure isn't trying to save his job...

Subject Another Insider Buy + Accelerated Share Buybacks
Entry 03/16/2026 09:10 AM

Member

fiverocks19

Vistry has recently stepped-up share buybacks from 100k GBP per day to 400k GBP per day.

Partnerships CEO Stephen Teagle also just disclosed an over \$100,000 insider buy.

fiverocks

Subject

RBC Note

Entry

03/17/2026 08:53 AM

Member

HTC2012

RBC Note below. I want to be positive but tough to invest when the government is starting to question the Company and its reliability as a counter party.

Our view: Our Elements home-fi data shows that Vistry is cutting house prices much more aggressively than its peers and that consensus estimates are yet to reflect the scale of these cuts. Vistry's woes may also run deeper than big price cuts. The shadow housing minister is questioning Vistry's suitability as a major supplier of social and affordable housing and The Times, in an unconfirmed article, has reported that Vistry is halting payments to suppliers as it focusses on preserving cash

Key points:

Quantifying Vistry's price cut activity

At Vistry's FY25 results (4 March), the CEO stated that each of the 25 regional heads had been instructed to 'double sales rates' through price reductions - though detail on i) the magnitude and ii) the geographic spread of these price reductions was not provided. With our RBC Elements home-fi dataset, we are in a position to answer both of these questions.

Visualising price cuts

We use a dataset sample of 1,258 Vistry homes that were on their websites as of January 3rd, 2026. By 13th March 2026, 54% of these homes had seen no price change, 3% saw price rises, while 43% had their prices cut. We found that the average price change across the 1,258 homes was 2.8%, though among homes that had a price cut, the magnitude of the reduction was 6.4%. 40% of these price reductions were between 5-10% (£20k-40k on average). Around 15% of price cuts were over 10% in magnitude. Current VA consensus forecasts a private ASP reduction in FY26 of 1.4%.

Geographic analysis shows a broad-based price reduction

Surprisingly, we found that price reductions were not just localised to the Southern, affordability-stretched regions. Of the 10 counties that saw the largest price cuts on average, 50% came from Yorkshire & the Midlands. This correlates with management's comments that all regional heads have been instructed to raise sales rates, in our view.

Are subcontractors' mortgage payments at risk?

At the FY25 results Vistry's CEO said "Subcontractors absolutely love our model. They treat us as paying the mortgage." On 14 Mar., an unconfirmed report in The Times said Vistry had 'halted payments to suppliers as bosses grapple with a squeeze on the company's cash reserves'; the report suggests Vistry is demanding payment deferrals and discounts.

Public sector to level up the housing playing field?

In FY25 Vistry delivered 1 in 7 of the UK's affordable homes, but according to the FT shadow housing minister Paul Holmes is concerned that the Government has created an unlevel playing field that favours one developer. Could their affordable volumes also come under pressure?

Subject
Entry
Member

Re: RBC Note
03/17/2026 09:44 AM
churchill

took me a while to figure out that the times was the FT

UK government grilled over Vistry finances

The Conservatives have raised questions in parliament over the financial position of housebuilder Vistry, one of the government's critical housing delivery partners, and the taxpayer's exposure to any potential losses.

Vistry, whose shares in London have plunged more than 40 per cent in the last month, is one of only two private-sector developers eligible for "strategic partner plus" status in Labour's £39bn housebuilding programme. This means the company, one of the UK's largest housebuilders, is allowed to bid for as much as £700mn in taxpayer subsidies.

Paul Holmes, shadow housing minister, has submitted a series of questions relating to the government's due diligence in appointing Vistry as a major partner in its housebuilding agenda, which seeks to build 1.5mn homes this parliament. The government is expected to respond next week.

Following a series of profit warnings in 2024 and an overhaul of its management in 2025, the £1.3bn Vistry said last week that margins would come under pressure this financial year as it offers more sales incentives, [sparking a 25 per cent share price slide](#) in one trading session.

Chief executive and chair Greg Fitzgerald also announced his forthcoming departure from both roles last week, while the audit watchdog [has launched an investigation](#) into two former Vistry employees "in relation to the forecasting and financial reporting" during the financial years ending December 2023 and December 2024.

Holmes told the FT he had held concerns "for some time" about the company's performance.

"For a number of years now Vistry have been issuing profit warnings that make their viability a concern," he said. "The government needs to open up the Affordable Homes Programme to developers who believe that they could deliver, rather than creating what seems to me to be an uneven playing field that favours one developer."

Holmes has asked ministers for the government's total financial commitment to Vistry and its joint ventures through subsidy, loans and equity.

He has also asked for details of the liquidity checks carried out by the government's housing agency Homes England when appointing delivery partners, as well as the checks it carries out on companies' off-balance-sheet liabilities.

Vistry said in a statement: "The group retains a comfortable level of headroom against its banking facilities and continues to maintain a strong emphasis on cash discipline."

It added: "Vistry built one in seven of the country's affordable homes last year, and it has a crucial role to play in delivering the homes this country so desperately needs. [...] After a difficult trading performance in 2024, the Group successfully stabilised in the first half of 2025 and has made a positive start to 2026."

The housing ministry did not immediately respond to a request for comment.

In early 2025 Vistry tightened cost controls after the profit warnings — which were tied to underestimated building costs — [hit its shares](#).

Meanwhile, ministers gave Vistry "strategic partner plus" status in November under their 10-year Affordable Homes Programme, which starts in April, allowing the company to apply for as much as £700mn in subsidies from Homes England. Other potential partners without such status will have a cap of £350mn.

Housing minister Matthew Pennycook and previous housing secretary Angela Rayner have both publicly praised the company's model.

Pennycook previously [praised a joint venture](#) signed in September between Homes England and Vistry subsidiary Countryside — backed by £50mn in government subsidy — to develop a series of neighbourhoods around the country.

Unlike other listed housebuilders, Vistry builds the majority of its homes under contracts with rental and affordable housing providers, a model it has pivoted towards in recent years.

Some analysts have raised questions over the last week about the company's financial position. Bank of America and Investec called attention to the company's debt levels, with BofA saying cash generation would have to be a priority for the group "again" this year.

Meanwhile, Barclays analysts wrote that "Vistry could be struggling to operate within the limits of its £1.1bn banking facilities".

Also weighing on shares was a Bloomberg report last week that Vistry sold properties to a private equity firm at discounted prices to raise cash in recent years.

"As part of our partnership-led strategy, Vistry reviews all sites at the point of acquisition to determine any selective land sales, including the sale and leaseback of certain show homes. This is a core part of our capital-efficient model," a spokesperson said.

On March 12, Fitzgerald bought more than 200,000 shares in the company worth about £900,000.

Subject

Re: Re: RBC Note

Entry
Member

03/17/2026 10:27 AM
fiverocks19

That's not the government. That's the opposition. The Labour government has another ~4 years in power.

fiverocks

Subject
Entry
Member

Re: Re: RBC Note
03/17/2026 01:45 PM
sck4000

The Times article is this one (from March 14th)

Housebuilding giant in row with suppliers amid cash squeeze

Vistry, a major player in Labour's £39 billion affordable housebuilding scheme, is demanding payment deferrals and/or discounts to boost its reserves

One of Britain's biggest housebuilders has halted payments to suppliers as bosses grapple with a squeeze on the company's cash reserves.

Vistry, the former FTSE 100 group previously called Bovis Homes, is demanding payment deferrals and discounts across at least two of its pivotal regions, according to industry sources.

Bosses in regional offices in Essex and the South West are understood to be seeking forbearance from subcontractors. There is speculation that such demands are being made by other regional offices.

A spokesman for Vistry said it was working "closely with its subcontractor and broader supplier network to manage its cost base and provide continuity of work".

The company, whose share price has fallen by more than 40 per cent over the past month, has pinned its strategy to the government's £39 billion programme to build more social and affordable housing.

Announcing the scheme last summer, then housing secretary [Angela Rayner](#) namechecked Vistry as the model the rest of the private sector should follow.

In January, housing minister Matthew Pennycook praised a joint venture between Homes England and Vistry as "a good example of a partnership approach where [the] government is leaning in and encouraging a different type of delivery".

After profit warnings last year, Vistry's chief executive and chairman, [Greg Fitzgerald](#), announced earlier this month that he would step down as chairman on May 13, while remaining chief executive until March 2027 at the latest.

Fitzgerald's dual role had attracted criticism from corporate governance experts, who questioned the level of power he wielded over the company and its board.

Vistry has also faced scrutiny over its aggressive accounting policies. Last year, an internal review unearthed that bosses had significantly understated the cost of building homes, resulting in a £165 million hit to profits.

Last week, accounting regulator the Financial Reporting Council launched an investigation into two former Vistry employees in relation to "forecasting and financial reporting" in 2023 and 2024.

Fitzgerald, who last week bought almost £900,000 of Vistry shares, has made little secret of the need for the company to bolster its cash reserves. At the company's full-year results presentation at the start of March, he vowed to convert Vistry's net debt status to a net cash position by the end of 2026.

But concerns about Vistry's indebtedness — and in particular its off-balance-sheet liabilities — have stoked fears among City analysts. "We note that the wording of the going concern [ability to continue trading solvently] note in the accounts has grown from 350 to more than 1,700 words, and in our view paints a darker downside than it did before," said RBC analyst Anthony Codling.

Vistry's fate looks increasingly dependent on the government's building programme for affordable homes. The company is one of only two housebuilders that will qualify for "strategic partner plus", meaning it will be entitled to apply for up to £700 million of taxpayer funding.

It had been hoped that the scheme would be up and running by April. However, funding is now not expected to flow until October at the earliest — a delay that will place further pressure on the company's finances.

The government is due to answer questions from Paul Holmes, the Conservative shadow housing secretary, this week on what Homes England, the government quango, is doing to monitor the "liquidity" and "off-balance sheet liabilities" of strategic housing partners such as Vistry.

Vistry said: "We hope to play a continuing role in the delivery of the new programme, for which bids are currently being invited. Vistry built one in seven of the country's affordable homes last year and has a crucial role to play in delivering the homes this country so desperately needs."

Subject
Entry
Member

Re: Re: RBC Note
03/18/2026 09:20 AM
FuzzyLogic

Don't think this changes the actual liquidity situation based on the facts already known... I'm sure they regularly squeeze contractors for discounts. It seems like this article is more of a political piece. But the risk is that the article(s) influence the decision of the government to award Vistry their grants, or for housing associations to partner with Vistry on new projects.

Subject	thought
Entry	03/18/2026 04:01 PM
Member	Fat_Tony

This is not intended to disparage or criticize anyone on the board.

Not involved, but I have followed along, mostly via this thread.

I am struck by how far this story has come. From [this is the next NVR and Greg is a rockstar] to [Greg is gone and now there is a conversation about solvency]. Re: solvency, the fact the conversation is happening at all--warranted or not--is an obvious waypoint.

Unsurprisingly, the transition between those two 'stories' was worth -75% on the stock from the peak.

At times, reading this thread has felt like watching the proverbial frog boil.

In my own experience, I have been the 'frog' more times than I would like to admit.

The first cracks in a thesis oft get explained away as one-time, usually with excuses provided by mgmt.

Once the cracks are plentiful enough, the 'story' breaks. And at that point, the frog finds a new thesis, which is usually some variant of: this is too cheap now, etc.

Again, none of this is intended to throw stones. Just an observation/pattern-matching from afar.

I know my own hit rate after changing theses in response to fundamentals going against me...is not very good.

Subject	Re: thought
Entry	03/18/2026 05:31 PM
Member	Ray Palmer

Just wanted to say how well written / thoughtful this was (and I have had the same experience of being the frog that got boiled / riding a growth investment into a deep value play as the stock goes down 20% every quarter)

Subject	New CEO
Entry	04/14/2026 03:33 PM
Member	WSCapital

Anyone have thoughts or insights on Andrew Norman, the new CEO? I've heard he's very detail-oriented, hard working, and very good with suppliers and diligent on costs, but with some question marks as to whether he's ready for this big of stage. I was pretty shocked by how young he is (34 or 35, graduated high school in 2009). From a stock perspective it feels like things obviously aren't going great if they feel the need for Greg to exit immediately, but on the other hand it's hard to imagine they'd hand the keys over to someone so young if they whole thing was a complete disaster internally. Would love to hear others' thoughts or insights.

Subject	CEO Appointment
Entry	04/15/2026 12:37 PM
Member	fiverocks19

On Monday of this week, Vistry Group plc ("Vistry") announced the appointment of Adam Daniels as CEO.

https://otp.tools.investis.com/clients/uk/vistry_group/rns/regulatory-story.aspx?cid=1525&newsid=2047979

Adam's appointment as CEO, and Rob Woodward's previously-announced appointment as Chairman of the Board, were made effective immediately. Through mutual agreement, former CEO Greg Fitzgerald stepped down from both roles and has taken up an advisor role to assist with the transition.

CEO Selection

In our view, **this is a fantastic outcome**. Adam was our top choice for CEO. We advocated for him with the Selection Committee. We also felt it was important to "turn the page" with the leadership change sooner than later. There was no need to have an extended transition with one incoming CEO and one outgoing CEO. Best to get the right person for the seat, and once that was done, to make the change immediately.

We had three criteria for the CEO search: (1) a deep understanding and commitment to the Partnerships model, (2) an outstanding operating track record, and (3) a clear ability to communicate effectively, both internally and externally.

Adam ticks all three boxes.

First, **he has a deep understanding and commitment to the Partnerships model**. Early in his career, he worked at Galliford Try Partnerships (an entity that would later be acquired by Vistry and re-branded Vistry Partnerships). Adam was then recruited to join Countryside Partnerships, where he worked for six years. He then "came home" to Vistry following the Countryside/Vistry merger. Adam has strong relationships across all parts of the company, and has spent nearly his entire career working within the Partnerships model in positions of increasing responsibility. It is hard to think of someone who knows Partnerships better, or who could advocate for Partnerships more clearly, than Adam.

Second, **he has a track record of success**. At Countryside, he was promoted six times in six years. He eventually took over responsibility for all of the Midlands as Divisional Managing Director. Following the merger with Vistry, Adam was promoted three additional times and most recently served on the Executive Leadership Team as Executive Chair for Yorkshire/North Midlands/West, covering 11 regions (nearly half the company's footprint) and over 1,500 employees. Importantly, there's a reason for his frequent promotions: at every stop, his area of leadership has consistently been amongst the company's top performers.

Third, we understand **Adam is a strong communicator and a collaborative leader**. This has been made clear during our Vistry site visits. On three different occasions we have had someone at Vistry – a site manager or regional manager – approach us and ask if we knew Adam Daniels. "You should be sure to meet him. He will run the company one day." It's rare to hear that once about someone; to hear it three times (and each time, unprompted) is something we've never experienced before.

There has been a feeling within Vistry that it was just a matter of time before Adam led the company. Vistry's business potential remains significant – it really can become the British version of NVR, an asset-light housebuilder in the US with an extraordinary track record of returns. We think Vistry is best-positioned to achieve this outcome with Adam as CEO, and we are excited to see him in the role.

Business Update

The investment community has been concerned about a number of "uncertainties" at Vistry – (1) who the CEO would be, (2) the war in Iran, (3) cash generation, (4) the pace of share buybacks, (5) the progression to a pure-play Partnerships business. Markets rightly hate uncertainty, and the share price has reflected this.

Over the coming months/quarters, we anticipate each of these uncertainties has a good chance of being resolved. A new, high-caliber CEO is in place. The war in Iran is hopefully closer to its end than to its beginning. Recent reports from UK housebuilders (Bellway, Crest Nicholson, and Barratt Redrow just this morning) indicate demand remains strong for open market sales through mid-April – positioning Vistry to continue its rapid sales pace and cash generation as it exits Housebuilding. We expect Vistry to reach a net cash position on its balance sheet by year-end, to reaccelerate share buybacks in H2 2026, and to reach "pure-play Partnerships" status on an accelerated timeline.

As markets get comfortable with Adam's leadership and the company's direction-of-travel, the potential for a stock re-rating remains significant. Vistry today trades at 0.5x book value and a mid-single-digit multiple of earnings. Partnerships businesses have historically traded and transacted at many multiples of book value. If and when confidence returns to the Vistry story, the appreciation potential is meaningful.

More to come here. Vistry next updates the market in May at the company's Annual General Meeting. We also believe the company could add to its senior leadership team – perhaps adding a Chief Operating Officer to support Adam. We are excited to see Vistry's progress in the months and years ahead under Adam's leadership.

fiverocks

Subject
Entry
Member

Liquidity headroom?
05/13/2026 06:26 AM
FuzzyLogic

Today's update lacked any reference to the liquidity headroom in the business. Having been highlighted in the year-end 2025 update under the Going Concern note, and given the expectation for higher H1 2026 net debt, I would have expected details around where / when they expect the headroom to peak. I'd appreciate any details on this that happen to be discussed in analyst calls / meetings in the coming days.

Thanks

Fuzzy

Subject Re: Liquidity headroom?
Entry 07/21/2026 10:00 AM
Member fiverocks19
 Fuzzy-

On the analyst call, management noted that average daily net debt peaked in the first half of 2026 and the point of maximum daily net debt is now in the rearview mirror. Management also was asked whether an equity raise might be necessary and was clear that is not something being considered given the company's significant cash generation.

Vistry's net financial position will be net cash of more than £100mm at year-end 2026. I would guess that average daily net debt in H1 2027 will be around £400mm vs. EBIT in excess of that figure.

fiverocks

Subject Recent News - Trading Update, CFO Upgrade, New Housing Secretary, Insider Buys
Entry 07/21/2026 10:04 AM
Member fiverocks19

There has been meaningful news related to Vistry Group plc ("Vistry") over the last two weeks, meriting a brief update.

First, Vistry issued a Trading Update on July 8. The Trading Update was generally positive and supportive to the investment thesis.

Key highlights included:

- Confirmed FY 2026 Pre-Tax Profit will be in-line with consensus expectations of £200mm.
- FY 2026 is already 80% forward sold.
- Guided to a £150mm+ reduction in average daily net debt from H1 2026 to H2 2026, and a £250mm+ improvement in net debt from YE 2025 to YE 2026.
- Focus on organizational efficiency, including a comprehensive strategy to reduce WIP and working capital.
- Noted parts of the business are already achieving target 40% ROCE, evidence that the Partnerships model is working at scale and that a roadmap exists to bring the entire business up to a similar level.

Second, Vistry announced the departure of its CFO Tim Lawlor on July 8. This news was welcome. Tim never fit the mold of a high-caliber FTSE CFO – he was a controller-type, not a strategic or capital markets CFO, with a middling track record at prior roles. In addition, he was “inherited” as CFO and never backed by the company's large shareholders. While it's not easy to move on from a senior executive in the UK (the initial market reaction is near-universally negative in the UK when a CFO departs), I am pleased Vistry has ripped the band-aid off and now has the opportunity to meaningfully upgrade its CFO position. I have already submitted multiple names for consideration to the company.

Third, the new UK Government announced Angela Rayner as Housing Secretary and maintained Matthew Pennycook as Minister of State for Housing and Planning on July 20. I view this as a continuation of Labour's aggressive pro-housing policies. Angela Rayner was previously Housing Secretary, but resigned in September 2025 due to an investigation of personal tax improprieties. She was later cleared of any wrongdoing. I believe the duo of Rayner and Pennycook are likely to maintain and accelerate Labour's pro-housing policies, including the £39B Social and Affordable Homes Programme which is expected to begin dispensing funds in the next 60 days and represents a significant demand-side positive for Vistry.

Finally, CEO Adam Daniels and Board Director (and former NVR Director) Paul Whetsell personally purchased Vistry shares in the market on July 14 and July 15. I view this as a clear signal to the market that Vistry is heading in the right direction and its leadership has confidence in the forward trajectory – and that Vistry's leaders are putting their money where their mouth is.

Vistry currently trades for just below 0.5x book value. It is my view that as Vistry demonstrates its capacity to rapidly improve Returns on Capital Employed as a result of (1) legacy issues like those in the South Division being wrapped up by the end of this year and (2) the decisive actions taken under the new CEO, that a significant re-rating is both possible and likely. For context, Partnerships businesses historically have transacted for 5-7x book value.

fiverocks

Subject Re: Recent News - Trading Update, CFO Upgrade, New Housing Secretary, Insider Buys
Entry 07/21/2026 01:17 PM
Member churchill
 thanks fiverocks

what gives you confidence, beyond management's guidance, that Vistry will achieve their inventory reduction targets this year?

Subject Re: Re: Recent News - Trading Update, CFO Upgrade, New Housing Secretary, Insider Buys
Entry 07/21/2026 01:23 PM
Member fiverocks19

Hi churchill-

(1) The new CEO, Adam Daniels, is highly detail-oriented and sophisticated. He also has the best track record for execution of anyone at the company. He has explicitly put out these targets, which he would not have done unless he knew he would hit them.

(2) The company is already 80%+ forward sold for 2026 at the year's halfway mark. In addition, some of the WIP/working capital releases are within the company's control and/or have already been completed (for example, I understand there were some land sales that were deferred from H1 to the beginning of H2 in order to get better terms). I don't think this is a "wish", I think there is a clear program to get this done which is already well progressed.

(3) You can follow along on the company's LinkedIn page and track progress against various projects. Takes a bit of grunt work to organize the data, but this is showing some meaningful progress against a range of project activity.

fiverocks

Subject	Postmortem analysis on EBIT decline
Entry	08/01/2026 07:57 PM
Member	zax382

Hi fiverocks – thank you again for all of the updated info here. As a continuing and long-suffering holder of Vistry I was once again re-underwriting what seems to be a very good risk/reward. As part of this, however, I wanted to be clear-eyed about the true reason the stock is down so much – simply that EBIT has deteriorated from initial 2026 expectations of 500-600m to now a *hopeful* 200m. Its obvious that the midterm goals have not only been missed by a mile but, unless there are a lot of temporary factors here, earnings power has been dramatically reduced.

This is what I wanted to get your thoughts on. I have been trying to extricate and size the culprits here, but I'm struggling and management/IR has not been super helpful. As far as I can tell we have:

- 1) Worse than expected traditional UK housing market, both in pricing and volumes. Can measure this across the whole sector
- 2) Particular weakness in partnerships volumes, as government support (despite all the political statements, bills, and promises) has been devastatingly slow to actually deploy
- 3) Mismanagement/Cost overruns on traditional homebuilding such that prior EBIT was likely meaningfully overstated
- 4) Aggressive selldown of traditional homebuilding inventory at low/negative (?) EBIT, temporarily reducing earnings power
- 5) Inherently, partnerships is more of a smoke screen for traditional homebuilding, as most of the profits even within partnerships comes from houses sold at market, so the EBIT opportunity in partnerships is just tied to the housebuilding market so when one is bad, so is the other (this is a strong form of #1)
- 6) Something else?

Ideally I would attach dollars to each of these items. Obviously if the culprit is really #3/#4, or even #2 – well we could be in good shape here. If its the other factors, then maybe the upside is more limited. But, I'm struggling to size the various items here, would be curious if you had any thoughts, much appreciated.

Subject	Re: Postmortem analysis on EBIT decline
Entry	08/03/2026 12:48 PM
Member	fiverocks19

zax382-

Happy to share my views on this question, which is an entirely fair one.

First, it's worth mentioning you are not comparing profit numbers that are apples-to-apples. You are comparing PBT to EBIT. The 200mm quoted is PBT. Vistry's EBIT in 2026 is likely to be closer to (but just shy of) 300mm.

Second, I think it's helpful to break it into volume and margin. In 2023, the company delivered just over 16,000 homes and did just shy of 400mm EBIT. In 2026, the company will also deliver just over 16,000 homes but will do just shy of 300mm EBIT. I think most of the delta is your point #4, which is selling down legacy traditional housebuilding inventory at low/negative margin. This applies to both finished homes and to land. EBIT margins this year will be just over 7% vs. the company's mid-term target of 12% (which Countryside achieved for many years in its Partnerships business, and Vistry achieved in its Partnerships business prior to the merger). I do not believe 12% is a stretch target. This represents the bulk of the profit delta.

The other bit is that while volumes have fractionally increased, they haven't increased to the expected 20,000+ unit level. I attribute this primarily to point #2 (delays in the SAHP, which finally is set to distribute funding starting next month) and less so to point #1 (weak UK housing market overall, which can impact VTY along the margins even though the Partnerships model is much less cyclical than traditional housebuilders).

My view is the company is taking the right steps under CEO Adam Daniels. Goal #1 is to bring the entire company up to a 40% ROCE level (parts of the business, which were overseen by Daniels prior to his promotion, are already there) by boosting margins, reducing invested capital, and paying down debt. My best guess is there will be a healthy ROCE and margin recovery (and EBIT recovery) as inventory levels reach a clean position, some projects are re-worked, and invested capital comes down. On the most recent earnings call the CFO was talking about a reduction in price incentives of c. 400-500bps as inventory reaches a clean position. Meaningful volume growth will be secondary, and is probably an out-year objective once Vistry demonstrates it can consistently achieve its ROCE targets. That said, 12% EBIT margins on 4.5 billion revenue would be 500mm EBIT, which feels reasonable to achieve within the next few years.

From a stock perspective, since 2023, EBIT is -25%, the share count has reduced -10%, and net debt is lower. Most of the share price decline has therefore come from multiple compression, both from the sector (UK housebuilders today trade at the lowest P/B since 2010) and due to self-inflicted issues at Vistry where the company has taken write-downs in legacy housebuilding and not achieved its financial targets. To recover investor confidence, Vistry needs to show these issues have been one-time and are finally in the rearview mirror, and that the go-forward trajectory back to historic Partnerships return levels is reasonable and being executed.

fiverocks

Subject	Re: Re: Postmortem analysis on EBIT decline
Entry	08/03/2026 02:00 PM
Member	zax382

Apologies on PBT/EBIT confusion, just referenced wrong part of my model. This is very helpful. Hopefully combo of SAHP distributions and finalizing the inventory sell-down can finally turn the page here. Thank you again.

Subject	FT article
Entry	08/08/2026 11:16 AM
Member	sck4000

<https://www.ft.com/content/a93425c1-0fce-45ba-b716-4f943432aa2f?syn-25a6b1a6=1#:~:text=Leading%20credit%20insurer%20Allianz%20Trade,of%20the%20struggling%20UK%20housebuilder.>

Credit insurer to cut cover for UK housebuilder Vistry's suppliers

Allianz Trade's planned move could exacerbate squeeze on cash flow of struggling company

Subject	Vistry Group Awarded 350mm Funding Via SAHP
Entry	08/25/2026 04:10 AM
Member	fiverocks19

In addition, Vistry's partners received over 9b in funding in the initial allocation.

https://otp.tools.investis.com/clients/uk/vistry_group/rns/regulatory-story.aspx?cid=1525&newsid=2095901

fiverocks